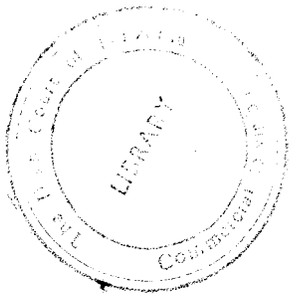

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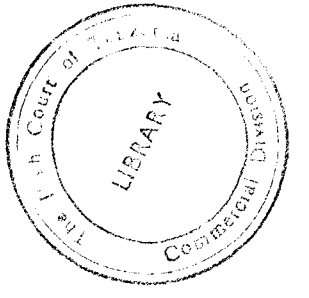

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SAMSON MWAMBENE *v.* EDSON JAMES MWANYINGILI

HIGH COURT OF TANZANIA
AT MBEYA
(Moshi, J.)

(PC) CIVIL APPEAL No. 42 OF 1998

Land Law – Land given to an invitee – The owner gave the land to the invitee – The owner dies – Land is passed to heirs.

Land Law – The invite improved the land – The heirs possess the land through inheritance from the invitee – Whether invitee is entitled compensation for the improvements therein made.

The respondent sued the appellant for return of a piece of land before the Primary Court of Masebe. The Primary Court unanimously found the land in dispute was the property of the deceased father of the respondent, and therefore should be returned to the family of the respondent as its share of inheritance of the estate of the father. But it ordered the respondent to pay the appellant compensation of TZS. 40 932 520 for developments and expenses incurred on the land as condition of taking possession of the shamba. The respondent was aggrieved and appealed to the District Court of Rungwe district at Tukuyu. The District Court allowed the appeal and ordered the appellant to vacate the land in dispute for the respondent unconditionally. The appellant then appealed to the High Court challenging the District Court decision.

Held: (i) The appellant was an invitee *ex gratia* of James on the land in dispute. As this court has consistently held no invitee can exclude his host whatever the length of his occupation

(ii) With respect to compensation, it would be unfair to compel the respondent to pay any compensation for developments effected after the death of James and James had not permitted them.

Appeal dismissed

Cases referred to:

1. *Makofia Merianangа v. Asha Ndisia* [1969] HCD n. 204
2. *Swalehe v. Salim* [1972] HCD n.140

JUDGMENT

(Dated 17 September 1999)

Moshi, J.: The dispute between the parties centred on a piece of land hereinafter to be referred to as the land in dispute. The respondent, Edson James Mwanyingili, sued the appellant, Samsoni Mwambene, before Masebe Primary Court for the return of the land in dispute back to the family of his deceased father, James Mwanyingili, as his share of his inheritance.

The Primary Court arrived at a unanimous finding that the land in dispute was the property of the deceased father of the respondent, and therefore the property of the respondent, but ordered the respondent to pay the appellant a compensation of TZS. 40 932 520 for developments and expenses incurred on the shamba in dispute, as a condition for taking possession of the shamba. The condition for payment of compensation aggrieved the respondent who accordingly preferred an appeal to the District Court of Rungwe District at Tukuyu. The District Court allowed the appeal, quashed and set aside the condition for payment of compensation, and ordered the appellant to vacate the land in dispute for the respondent unconditionally. The appellant, in turn, felt aggrieved, hence this second appeal preferred and argued before me by his learned advocate, Mr Mwangole, and resisted by the respondent himself.

These material facts were established in evidence. The appellant was the brother-in-law of the father of the respondent, James Mwanyingili. The former was married to the sister of the latter. Sometime in 1970, the father of the respondent, James, left for Zambia to work. He left the shamba under the care of the appellant for the benefit of his

children, including the respondent, who were young. This was what his wife or respondent's mother, Ndise Kipesise (SM2), and the wife of the appellant, Magadalena Bulambo (SU2), said. On the shamba he left a foundation of a building, stones, coffee and banana plants and a variety of trees. The foundation was for a building for the children and some materials, such as nails, had been bought. Again, SM2 and SU2 thus said. Unfortunately though, disaster struck. James died in a road accident in Zambia in 1972 leaving behind a widow (SM2) and eight young children including the respondent.

The respondent was four years old at the time of the death of his father James. He was born in 1968 and became eighteen years of age in 1986. On 25 November 1996 the Clan Council appointed him an administrator of the estate of his deceased father, and on 28 August 1997 a Primary Court confirmed that appointment and officially appointed him the administrator of the estate. He instituted the suit on 17 March 1997.

After the death of the respondent's father James, the appellant completed the building on the land in dispute and effected more improvements of permanent nature on it. He planted more coffee and banana plants and trees on it. The respondent had to move in and live with the appellant on the land in dispute. Later on at a time which was not established in evidence, the appellant place claims that the father of the respondent had given him the land in dispute as his property. He told the trial court that there were no witnesses to the giving and that it was oral and not in writing. He tendered in evidence (Exhibit 1) a letter he allegedly received from the appellant touching on the matter. But as rightly found by both courts below, the authenticity of the letter was clearly questionable. It was typed, but it was undated and unsigned and did not bear the address of the sender. In sum, the letter was a plea to the appellant to take care of the coffee and trees.

Let me pause here and say that the concurrent finding by both courts below, that the land in dispute was throughout the property of

the father of the respondent which would pass on to the respondent in inheritance could not be faulted. There was ample material and believable evidence in support of that finding. The appellant's claim, as demonstrated, was wholly unsubstantiated. It was a futile attempt to defraud the children of James, including the respondent, of the land in dispute. The appellant was an invitee *ex gratia* on the land in dispute. As this court has consistently held, no invitee can exclude his host whatever the length of his occupation – See, for instance, *Makofia Merianangа v. Asha Ndisia* (1). It mattered for nothing that the appellant had even made unexhausted improvements on the land in dispute – See *Swalehe v. Salim* (2). That the appellant was occupying and had even made unexhausted improvements on the land in dispute was not, in law, reason for him to oust James who had invited him *ex gratia*. Like both courts below, therefore, I find the land in dispute to have throughout been the property of James which could be inherited by the respondent.

Mr Mwangole preferred five grounds of appeal. They were:

1. That the Subordinate Courts erred in law in entertaining this suit as the respondent has no *locus standi.*

2. That both the Primary and District Court ought to have entered judgment in favour of the appellant as the suit was time barred.

3. That the learned District Magistrate erred in law and point of facts in holding that the suit shamba was merely entrusted to the appellant by the respondent's father.

4. That the learned District Magistrate totally failed to evaluate the evidence on record.

5. That, on the evidence on record, the learned District Magistrate ought to have concluded that the respondent had failed to prove his case on the balance of probability.

I have already disposed of grounds three, four and five of appeal. With respect, I find no merit in the first ground of appeal. As an interested member of his clan or family, the respondent had an independent

right to sue for what he believed, and was found to be, his deceased father's property due for inheritance. That power did not depend on his having had to be clothed with administration powers or consent of the clan or family members first. In any event, he had already been clothed with consent and authority of clan members at the time he preferred the suit. He thus had *locus standi.*

As equally devoid of merit is the second ground of appeal. First, at no time did adverse possession begin to run against the appellant in the circumstances of this case from which limitation of time would have begun to operate against James and respondent. Second, the respondent became of the age of majority in 1986 when the period of limitation would have begun to run against him, and he was thus still within the prescribed limitation period of twelve years when he preferred the suit in March 1997.

I am next, and in conclusion, to consider whether the District Court rightly quashed the condition for payment of compensation. Mr Mwangole submitted that the District Court erred but I would, with respect, disagree with the learned advocate. The District Court gave sound and convincing reasons for setting aside that condition. First, the developments were effected by the appellant after the death of James and not before, and James had not permitted them. So it becomes clear that the appellant had effected them on his own accord, and he had thus taken undue advantage of the death of James and that of the tender ages of his children, the respondent included. Second, in view of the untenable claims raised by the appellant over the ownership of the land in dispute, it became clear that the appellant had effected the developments intending to swindle the children of James of that land. This was, to say the least, an outrageous manner of thanking James for his hospitality. Quite clearly, therefore, gratitude was not listed among the virtues of the appellant. With respect to Mr Mwangole, it would be unfair to compel the respondent to pay any compensation in the circumstances of the case. I would agree with, and uphold, the decision of the District Court which, I am satisfied, was deserving

in the circumstances, and a befitting lesson to a swindler. In consequence, this second appeal stands dismissed in its entirety. The respondent to have his costs here and in both courts below.

FAHARI BOTTLERS LIMITED *v.* REGISTRAR OF COMPANIES AND NBC (1997) LIMITED AND OTHERS ... OBJECTORS

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Kalegeya, J.)

MISCELLANEOUS CIVIL CAUSE No. 155 OF 1998

[Consolidated with Misc. Civil Causes Nos. 146, 147, 148, 149, 150, 151, 152, 153, and 154 by order of the court dated 16 July 1999]

Civil Practice and Procedure – Preliminary Objection – Contents thereof.

Civil Practice and Procedure – Locus standi – Evidence conferring locus standi.

Company law – Provisional liquidator – Appointment of provisional liquidator – What the court should consider in exercising its discretion to appoint a provisional liquidator.

Company law – Provisional liquidator – Scope of the powers of a provisional liquidator.

Company law – Provisional liquidator – Stands in the position of a trustee – Need to have no conflict of interests.

Company law – Provisional liquidator – Appointment of provisional liquidator – Procedure of appointment – petitioner has filed a chamber application for appointment of provisional liquidator supported by an affidavit – Whether objectors proposing a name of a person to be appointed provisional liquidator after petitioner's application for his appointment require to file a chamber application supported by affidavit.

Company law – Provisional liquidator – Remuneration for provisional liquidator – Whether it must be set by the court.

The petitioners prayed to the court for appointment of three provisional liquidators, namely Mark Danhi Bomani, Paul Howard Finn and Kevin Anthony Murphy and for issuance of various orders pertaining to the duties of such provisional liquidators, including preparation of a Scheme of Arrangement - restructuring, their powers and remuneration. The objectors filed notices to appear in the petitions and also filed their affidavits. All the objectors, except Kioo Ltd which also had a Preliminary Objection specifically directed to Fahari Bottlers Ltd and insisted on winding up, did not object to the appointment of provisional liquidators. The basis of the Preliminary Objection was that Fahari Bottlers Ltd was fraudulent, acted in bad faith and concealed material facts directly relevant to the agreement between the two parties. Although the objectors did not object to appointment of provisional liquidators, all of them, except Kioo Ltd which supported Kevin A. Murphy, objected to the trio proposed by the petitioners on grounds of conflict of interests. In addition all objectors objected to the proposed Scheme of Arrangement – restructuring, favouring winding up of the petitioner companies. Further more the objectors prayed for limited powers of the provisional liquidators. The proposed remuneration of provisional liquidators of 12.5% was also objected.

The learned judge considered the Preliminary Objection and the points raised by the petitioners and objectors.

Held: (i) The Preliminary Objection raised that the petition was presented in bad faith is not known in law and is overruled;

(ii) The Objectors' Notices to appear in the petitions and their affidavits stand as sufficient evidence conferring unto them the *locus standi* required in the respective petitions and therefore the objectors are properly and legally before this court;

(iii) The court would not usually exercise its power, which is discretionary, to appoint a provisional liquidator unless there was at least a *prima facie* case for a winding-up order or where the company assets were in jeopardy;

(iv) Since the petitioners have self-confessed of being in deep insolvency and of having "hived down" their assets to another newly formed company and have filed petitions for voluntary winding up and since *prima facie* a winding-up order is likely to be issued and since the petitioners have confessed, this state of affairs sets in uncertainty regarding the stability and safety of the assets let alone the dealings, and loudly threatens the interests of the creditors and shareholders; therefore, in the circumstances, a provisional liquidator is required among other things, to investigate these dealings, collect and protect the assets;

(v) The court is vested with unlimited discretion regarding what powers should be bestowed on provisional liquidators;

(vi) Provisional liquidators can be bestowed with any powers ranging from investigating petitioners' affairs, collection of assets to selling or disposing of the same or some other duties including designing a Scheme of Arrangement that would be beneficial to all the parties involved and which the latter should agree to before presentation to the court for approval or otherwise;

(vii) The provisional liquidator shall exercise the following powers:

(a) to carry out full investigation into the affairs of the petitioners in order to identify their (petitioners) assets and property including the hive-down exercise carried out by the petitioners,

(b) to take possession of all the property and assets of the petitioners wherever they are and by whomever held and preserve them for the benefit of the creditors until a suitable Scheme of Arrangement is proposed and agreed upon, or if no such arrangement is reached, pending a winding up order and the appointment of a liquidator,

(c) to prepare a list of all creditors which should be submitted to the court within 3 weeks,

(d) to prepare a statement of the petitioners' affairs within 5 weeks,

(e) to prepare a proposal for a Scheme of Arrangement, if found feasible, within 6 weeks and apply to the court for an order to convene a creditors' meeting to consider and vote upon the scheme,

(f) to appoint such persons as he may deem fit to assist him discharge his duties;

(viii) Since the proposed provisional liquidators have some connection in terms of business dealing with the petitioners, they are disqualified for the appointment;

(ix) While for an application for a provisional liquidator to be properly before the court, there must be a Chamber application supported by an affidavit, in proposing a name of a person fit to be appointed a provisional liquidator by objectors after the petitioner or any person has filed an application for his appointment does not require the filing of a chamber application supported by affidavit;

(x) In making an appointment of a provisional liquidator the court relies on various factors including judicial notice of the standing of particular person or upon receipt of proposals;

(xi) Since a provisional liquidator is expected to protect the interests of the creditors, it is only fair that such creditors be given opportunity to play a part in the proceedings for appointment of liquidator;

(xii) Mr Joseph Warioba, proposed by the creditors, is a fit person to be appointed a provisional liquidator of the petitioners;

(xiii) The remuneration to which the provisional liquidator is entitled shall be worked out by the provisional liquidator based on his duties and the task ahead of him as he perceives it, then he will table in court the quotation of his charges in the presence of objectors for comments and observations before the court makes a decision on an appropriate remuneration.

Order accordingly

Cases referred to:

1. *Mukisa Biscuit Manufacturing Company Ltd v. West End Distributors Ltd* [1969] EA 696
2. *Amiral Meghji – the Debtor* [1970] HCD n. 230
3. *Indian Building Contrators Ltd v. RB Purohit* [1965] EA 342
4. *In Re St. Thomas Dock Company* (1876) 2 CLD 116
5. *In Re Uruguay Central and Hygueritas Railway Company of Monte Video* (1879) 11 CLD 372

6. *Re Home Remedies Ltd* [1942] 2 All ER 552

7. *Re Dry Docks Corporation of London* (1888) 29 Ch D 112

8. *Re Hammersmith Town Hall Company* (1877) 6 Ch D 112

9. *Re High-field Commodities Ltd* [1984] 3 All ER 884

10. *In the Matter of Peregrine Investment Holdings Ltd and in the Matter of the Companies Ordinance Chapter 32*, decided by the High Court of Hong Kong Special Administrative Region, Companies Winding Up Number 20 of 1998

11. *Re: Charterland Goldfields* 26 T.L.R. 132

Statutory provision referred to:

(1) Companies Ordinance, sections 183, 171, 184(e), 183(2), 183(1), 187(2), 187(4), 154(1), 190(1)(a) – (f) and 190(2)(a), 190(1)(g) – (h),190(1)(c), rule 31

RULING

(Delivered 20 September 1999)

Kalegeya, J.: A group of 10 associated companies has presented itself before this court with ten (10) segmented simultaneous winding up petitions. These sister companies are Ziggi Bottlers Ltd, Kilima Bottlers Ltd, Mwanza Bottling Company Ltd, Ruaha Bottling Company Ltd., Shinyanga Bottlers Ltd., Serengeti Beverages Ltd, West Lake Bottlers Ltd., Fahari Fruit Products Ltd., Southern Highland Bottlers Ltd and Fahari Bottlers Ltd. The petitions were assigned numbers 146 of 1998, 147 of 1998, 148 of 1998, 150 of 1998, 151 of 1998, 152 of 1998, 153 of 1998, 154 of 1998, and 155 of 1998 respectively. Prayers sought in all the petitions are similar in terms.

Simultaneous with the winding up petitions the petitioners, by way of chamber summons supported by affidavits of their respective directors, have applied for appointment of provisional liquidators.

As is the case with the petitions for winding up, the prayers in this aspect are the same and on similar terms. In order to appreciate their import I here below reproduce them as they appear in one of the petitions:

1. That the court exercise its discretion under section 183(1) of the Companies Ordinance Chapter 212 ("Chapter 212" or "the Ordinance) and rule 31(1) of the Winding Up Rules (1929) (Imperial) ("Winding Up Rules") and appoints:

   (a) Mark Danhi Bomani of Bomani and Company , Peugeot House, 39 Upanga Road, P.O. Box 740, Dar es Salaam;

   (b) Paul Howard Finn, FCA of Finn Associates, Temple Chambers, Temple Avenue, London EC4Y ODT., and Peugeot House, 39 Upanga Road, c/o P.O. Box 740, Dar es Salaam;

   (c) Kevin Anthony Murphy, CA of Finn Associates Temple Chambers, Temple Avenue, London EC4Y ODT., and Peugeot House, 39 Upanga Road, c/o P.O. Box 740, Dar es Salaam.

As provisional liquidators of the company we further Order that:

(a) They shall take possession of all the fixed and current assets of the company, whether in tangible or intangible nature;

(b) They shall act with the powers conferred by section 190(1)(a) – (f) and 190(2)(a) – (h) of the said Ordinance;

(c) Within four weeks (or such other period as the court may direct) they prepare a Scheme of Arrangement and make application to the court under section 154(1) of the said Ordinance for the purpose of convening a meeting of the company's creditors to consider and vote upon the Scheme;

(d) For the purpose of section 187(4) of the said Ordinance, they shall act jointly and severally in all matters;

(e) Their remuneration be determined by reference to section 187(2) of the said Ordinance at the rate of 12.5% of gross realizations (or

at any other rate as the court shall deem fit) to be divided by agreement between them;

(f) The costs of appointing an advocate under the provisions of section 190(1)(c) or agents under the provisions of section 190(1)(g) of the said Ordinance, be defrayed from the assets within the hands of the provisional liquidators;

(g) The cost of providing any security as may be determined by the court under the provisions of section 184(e) of the said Ordinance be defrayed from the assets within the hands of the provisional liquidators;

(h) That pursuant to section 171 of the Ordinance, the proceedings in any suit, application, case, petition, or matter pending in this court or in any other Subordinate Court or tribunal be stayed pending the Order for winding up the company or further Order;

(i) That pursuant to section 170(1), the hearing of the petition be adjourned to a date to be fixed following the meeting of the company's creditors to vote upon the proposed Scheme of Arrangement.

2. That the costs of this application be defrayed from the assets of the Company.

3. That such other Order be made in the premises as the court shall deem to be just and thinks fit".

As the petitions and chamber summons are hinged on similar and same terms, for convenience and avoidance of duplication, with consent of the court, the counsel struck a compromise to the effect that the various petitions should be consolidated and argued together in Miscellaneous Civil Cause Number 155 of 1998 hence the presence of proceedings leading to this ruling in the said record.

Arguments were made by way of written submissions. All the petitioners were advocated by Eric Ng'maryo while the respondents/objectors had services of various respective counsel as follows – Capt. Kameja for NBC (1997) Ltd., Dr Sinare for Trust Bank, Mr.

Mwandambo for TIB, Rwebangira (Ms) for Kioo Ltd., Dr Tenga for contingent creditors (Girish T Chande, Ashok T Chande, Ravi T Chande, JV Textiles and Garments Ltd and M/S Juthalal Vesji Ltd), Mr. Mbiro for Grown Cork Company (East Africa) Limited, Mr. Mujulizi for Stanbick Bank (T) Ltd and M and M Communications Ltd. One last objector, Abdillah Mikidadi appeared on his own.

In their counter affidavits the objectors except Kioo Ltd which also has a Preliminary Objection specifically directed to Fahari Bottlers Ltd and insists on winding up, do not object to the appointment of provisional liquidators. Again, except Kioo Ltd which supports one Kevin Murphy all objectors object to the trio proposed by petitioners for appointment as provisional liquidators because of conflict of interests – Finn and Murphy because they allegedly participated in the proposed restructuring scheme while Bomani has been acting for the 'Fahari group' including provision of services by his chambers to the petitioners. Not only that but also they all object to the opposed powers and duties of the provisional liquidators. All except NBC (1997) Ltd, are opposed to the proposed Scheme of Arrangement – restructuring. They insist that the provisional liquidators to be appointed should be for the purposes of maintaining the *status quo*, fully investigating the affairs of the relevant Companies, compilation of list of creditors, collection, prossession, and preservation of the properties fill the winding up order. NBC (1997) Ltd on the other agrees on the making of a Scheme of Arrangement; agrees on the appointment of the provisional liquidators but differs with petitioners on the proposed trio and the powers to be conferred on whoever is appointed. While insisting on winding up, Stanbic and M and M feel that "reconstruction" or "reorganization" could be one of the options to be adopted by liquidators with approval of creditors and the court but that not on terms as proposed. Objectors also, object to the opposed 12 – 0.5% of gross realization as remuneration to provisional liquidators suggesting less instead and fair amount ranging from unspecificity to 5%, proposed Joseph Warioba as provisional liquidator, and call for rejection of the original provisional liquidator's Report.

Just to clarify on the last issue of the "original provisional liquidator's Report", I should point out at this point, that this was the report compiled by provisional liquidators so appointed by this court when the present petitions were filed. Following wanting and conflicting orders and decisions by different judges in these petitions and in Civil Case Number 9 of 1998 the Court of Appeal, *suo motu*, opened revision proceedings vide Civil Revision Number 1 of 1999 in which, among others, it was ordered "the proceedings for appointment of provisional liquidators be and are quashed". By then, however the provisional liquidators appointed and charged with the duty of restructuring had already commenced their work and the report which had already been compiled is the one being referred to.

With that let us now turn to the submissions.

Mr Ng'maryo for petitioners, painstakingly and in a lengthy submission argued on what can be summarized as follows (for ease of reference I will adopt the paragraphs and entitling he designed):

(a) that provisional liquidation procedure is essential to facilitate the restructuring process of the 10 petitioning companies

(i) that the "winding-up order" was not the intention nor the contemplation of the petitioners at this stage but were forced to seek protection of this process because, legally, provisional liquidators cannot be appointed under section 183 of the Companies Ordinance unless a winding petition is filed.

(ii) the three proposed liquidators should be accepted because;

(a) Only seven out of the 10 petitioning Companies have persons objecting

(b) Only 32% (8 persons) out of 26 who filed Notices to Appear, put up an objection

(c) Creditors who never objected or filed Notices to Appear are in excess of 100, the vast majority, hence the minority which objects is just less than 10% of the creditors. There is "overwhelming need to proceed with the restructuring process in order to maximize the

realization for the benefit of all the creditors of the ten Companies and therefore, facilitating the recapitalization process of the Pepsi Cola Business in Tanzania, with the consequential benefits also to the workers and the nation"

(1) Detailing why he is urging for restructuring, Mr Ng'amaryo insists that

(2) reasonably, every creditor is concerned with recovery of its debt.

(3) only restructuring can provide short term and opportunity to creditor to collect all or part of its debt from an insolvent company

(4) Pursuing a winding-up order and full liquidation which results into no realization whatsoever is unreasonable

(5) Macro-economic benefits would include:

(i) The project revenue generation for the period 1999 to 2003 is TZS. 35 billion.

(ii) Major Tanzania suppliers of goods and services will get business worth over TZS. 28 billion between 1999 – 2003. (They will pay taxes including VAT).

(iii) 25,000 retailers will make a gross profit of TZS. 33 billion during the period 1999 – 2003 from sale of Pepsi-Cola products. (They will pay taxes including VAT to the Government).

(iv) The overall benefit to the economy from the above 3 sources is TZS. 96 billion over the next 5 years.

(v) Direct and indirect employment will be created for 9000 workers.

(vi) Competition – resulting in lower prices, better quality and more advertising and promotion – including sponsorships of sports, leisure and cultural activities in Tanzania.

(vii) The consumers and customers will benefit by competition between two world class brands. The court may be aware from the press of the historically unprecedented drop of the Pepsi Cola prices by 25% followed by other too.

(viii) Inward Investment of over USD 20 million.

(ix) Improved prospects of realization and dividends by unsecured creditors.

(6) that under the restructuring process the provisional liquidators will within four weeks of their appointment, prepare a Scheme of Arrangement, make an application to the court under section 154 of Chapter 212 for the purposes of convening a meeting of the petitioner's/creditors to consider and vote on that scheme as well as any other matter brought up and/or arising as a result of the enquiries conducted by the provisional liquidators. If approved, the scheme would be presented to the court for approval or variation after which, the role of "the provisional liquidators as 'Midwives' of the restructuring and recapitalization lapses", that if this fails, the petitions for winding up will be activated. Mr Ng'amaryo vehemently maintains that under this process "there is no possibility – of any lawful rights of the creditors as a body; and individually (including the objectors) being trampled upon in anyway", and that it is the creditors collectively who know and should finally decide exactly what is best for them and what is a mere sham. He concluded by stating that the application and proposition is fair, just and equitable to all the creditors as a body".

(b) Restructuring is an essential and indispensable condition precedent to the recapitalization of the Pepsi Cola business in Tanzania

(i) that the restructuring process leading to recapitalization is to enable a prospective investor "led by a South African based Company called International Pepsi-Cola Bottlers Investment Limited (IPCBIL) with the support of Pepsi-Cola International, who are shareholders in IPCBIL and are also Franchisers of all the Pepsi-Cola Carbonated soft drinks bottled in Tanzania, to recapitalize the Pepsi-Cola business presently run by their Franchisee, namely Fahari Beverages Ltd."

(ii) that the court should note Finn's report which shows that the maximum realization to NBC (1997) Ltd is only USD 2.37 Million at 30 April 1998

(iii) that that figure should now be less due to escalating and continuing costs, losses, claims made (i.e. Civil Case Number 98 of 1998 and 42 of 1999) and potential claims including, another factor that is, payments due to preferential creditors i.e. Tanzania Revenue Authority and terminal benefits of the employees,

(iv) that "..... in liquidation and auctioning the remaining assets, there will be no realization whatsoever for any unsecured creditors and some objectors will also face the prospects of claims and suits similar" to those facing NBC (1997) Ltd.

(c) The question of the appointment of Paul Howard Finn and Kevin Anthony Murphy as provisional liquidators is *res judicata*

(i) That the Court of Appeal decided that the appointment of the two provisional liquidators was proper as there was no conflict of interests and that the "Matter therefore ought to and must rest. No one can or should bring it up again unless, and if so, only through further revisional proceedings in the Court of Appeal".

(d) The proposed appointment of Mr Bomani as provisional liquidator cannot be faulted

(i) that Bomani is eminently qualified and a man whose standing, caliber cannot compromise this integrity and that consenting to the use of his chambers by creditors and interested persons when contracting petitioners' advocates do not make him partisan or agent of addresses in the same way the court whose registries are used to clear various correspondences between opposite parties do not carry that negativity.

(e) There is no application before the court for the appointment of Mr Joseph Sinde Warioba as provisional liquidator or evidence as to his qualifications and professional expertise

(i) that Warioba cannot be appointed a provisional liquidator as there is no chamber application supported by an affidavit to that effecting terms of rule 8(2) of the Winding-up Rules (1929) (Imperial) (Winding-up Rules) and as elucidated by the Court

of Appeal in Civil Revision Number 1 of 1999; that in any case objectors have not provided his qualifications and expertise let alone a defect apparent in the purported consent which reveals an irrelevant company "JV Group of Companies Ltd".

(f) The remuneration of the proposed provisional liquidators is fair and reasonable

(i) that the 12.5% of the gross realization in reference to section 187(2) of Chapter 212 is neither unreasonable nor unfair considering, the "enormity and complexity of the task of the provisional liquidators as exemplified by the volume of the interim report submitted by the previously appointed liquidators, and activities to be covered which are far-flung and over the whole country and specifically considering "the added difficulty in transport and electronic communication between the companies, the rudimentary and manual record keeping and the relatively short time required to complete their ... task".

(g) The court should see ulterior motive in the effort by a handful of creditors to oppose and frustrate the restructuring process and recapitalization of the Pepsi-Cola business in Tanzania. The said handful of creditors seem to be all making a joint effort to do so.

(i) that the various affidavits of creditors and guarantors seem to compliment each other, that some creditors appear prepared to write off their debt albeit jeopardizing other creditors chances of recovery as well as kill the Pepsi-Cola business in Tanzania.

(ii) that the self-injurious and unreasonable efforts by the objectors in blocking genuine and fruitful efforts by petitioners seeking courts assistance in restructuring should be seen as aiming at boosting Coca-Cola Business in Tanzania.

(h) For creditors to address this court in opposition of this application, proof of debt must have been submitted

(i) that the 9 creditors should have proved their debts; "They must have proved that ... applicants/ petitioners owe them the sums

they have indicated in the Counter affidavits. The *onus* and responsibility falls on them to do so, someone cannot simply appear and say I am a creditor, produce no evidence and expect to be heard by the court".

(ii) regarding the contingent "creditors, they should have adduced evidence of the existence of the loans and guarantees.

(iii) that none of these has a *locus standi*.

(i) The report of the initial provisional liquidators and their work so far done should not be wasted

(i) that the interim report relates to a task almost half way through and the same should be adopted in order to allow completion of the task within the contemplated time frame and save effort and expenses so far injected therein.

(ii) that this will have sense if Finn and Murphy in conjunction with Bomani will be allowed to complete the task from where they left off because otherwise, it will be to "reinvent wheel" if new provisional liquidators are appointed.

(j) Powers of the provisional liquidators should not be limtied (this was not so framed by Mr Ng'maryo as he put it under item (a) above, but considering its importance in the dispute I have deemed it proper to give it a separate title).

(i) that though powers of provisional liquidators are not specifically spelt out under the Chapter 212, the said Chapter juxtaposes provisions relating to liquidators with those relating to provisional liquidators kin several sections including sections 176, 180(1), 184, 186(5) proviso, 186(6), 188 thus leading one to reasonably conclude that the same powers required by a liquidator are needed by a provisional liquidator albeit for a specific period.

(ii) that less powers than those asked for will delay the process as the provisional liquidators will have to constantly seek specific court orders to enable them carry out their duties and obligations responsibly.

(iii) that as much as the court may limit and restrict the provisional liquidator's powers under section 182(2) Chapter 212 or liquidators powers under section 190, so also it is a natural inference that the court has power to give other or additional specific powers to provisional liquidators as circumstances of the case may require.

(iv) that it is unimaginable that provisional liquidators cannot have powers to "spearhead" restructuring process but at the same time have powers to investigate, collect, preserve assets, prepare statement of affairs and related ...

(v) that "powers and order less than those prayed for, particularly powers as merger as those proposed by objectors will delay the efforts, the process, hamstring the provisional liquidators and frustrate the restructuring process".

The above is a summary of a very lengthy submission by Mr Ng'maryo. This attracted a formidable joint-counter by the objectors. As they are all launched on the same vein, and being almost similar in substance, I will summarise them jointly and together save for limited areas where they part, in which case, I will deal with those elements separately. I will start with Ms Rwebangira's submission on Preliminary Objection.

Ms Rwebangira has raised a Preliminary Objection to the effect that the petition in respect of Fahari Bottlers Ltd was presented in bad faith and should be stayed pending hearing and determination of legal issues as follows:

(i) Whether a company which is under compulsory winding up proceedings by a creditor, enters into a settlement agreement under which it promises to pay a compromise amount and thereby persuades the creditor and the court to mark the matter as settled and, as a result of which issue a decree but soon thereafter and, without paying the said compromise amount thereto, fraudulently, and/or in an attempt to avoid liability under the decree is entitled to proceed, to a "voluntary" Winding-Up on grounds of alleged insolvency or restructuring or has to show "clean hands" before it can be heard.

(ii) In what circumstances would a petitioner be allowed to defeat the rights of a decree holder, when such judgement had been entered with the consent of the petitioner, fully aware of its alleged insolvency but not disclosed to the decree holder?

(iii) Whether a company which goes into liquidation immediately after it has agreed to settle part of a debt in a compromise and has not paid that compromise amount did so fraudulently or not.

(iv) Whether a company which transfers its assets (and business) to another company without transferring its liabilities with the said assets and immediately petitions for Voluntary Winding Up, that company to which the assets were transferred should not be wound up or at least the assets so transferred be brought into the liquidation process.

Facts leading to this objection include the following – In Misc. Civil Case Number 133 of 1998 filed on 5 August 1998, Kioo Ltd petitioned for the winding-up of Fahari Bottlers Ltd. Before the petition could be heard, precisely on 15 August 1998, parties entered into an agreement which was recorded by the court on 19 August 1998. The terms were as follows:

1. Fahari Bottlers Ltd to pay a sum of TZS. 225 million to Kioo Ltd towards settlement of its claim, within 55 days from the date of this agreement provided the investment was in place by then.

2. If as a result of investment into Fahari or reconstruction it was able to pay Kioo Ltd a further sum towards full settlement of the claim, it would do so. If not the sum paid ... shall be the full agreed settlement.

3. Kioo agreed to withdraw the petition (also consent to lifting of the injunction) and defer further steps in the action for a period of 60 days from the date hereof. If during this period, as a result of investment into Fahari or reconstruction, Fahari took any steps such as transfer of assets or formed a joint venture, Fahari undertook not to prejudice Kioo's rights under their claim. Fahari further undertook to inform Kioo in writing within one week of any such step which may have been taken which could prejudice Kioo's rights.

This persuaded Kioo Ltd to apply to the court to mark the matter as settled which prayer was granted accordingly. According to Mrs Rwebangira, the Fahari Bottlers Ltd had a hidden agenda, for:

> "Surprisingly on the same day of 19 August 1998 the petitioner entered its own resolution for Voluntary Winding-up and filed petition for Voluntary Winding-up on the next day", and the assets were "hived-down" to a newly formed Company – Fahari Beverages Ltd.

Mrs Rwebangira argues:

> The petitioner deliberately misled the creditor and the court into settlement simply to get the creditor's petition off the court record so that it could present its own and seek winding up or its so called "reconstruction"/ "restructuring" under its own terms. We submit that this was fraud. The petitioner concealed the fact that its current investment and assets could not meet the initial sum of TZS. 225 000 000. It also concealed the fact that it was about to make it impossible for Kioo Ltd as decree holder to execute the decree" or "take further steps" to recover the decretal amount by reason of its new petition.
>
> This concealment of material facts directly relevant to the agreement, settlement and consent to the lifting of the injunction amounted to fraud and we pray that its petition should not be allowed to stand.

In response to this, Mr Ng'maryo, citing *Mukisa Biscuit Manufacturing Company Ltd v. West End Distributors Ltd* (1) argued that the above cannot be a Preliminary Objection known in law as it contains facts which have to be proved (and not points of law); that even if it is one it has been raised prematurely as what is before the court now is an application to appoint provisional liquidators and not the hearing of the petition.

With respect to Mrs Rwebangira I am on all fours with Mr Ng'maryo that this is not a Preliminary Objection known in law. Authorities on what is a Preliminary Objection abound and the authority cited above summarises what the legal stand is. As was observed by Law, J.A.at page 700 of the cited Report,

> ... So far as I am aware a Preliminary Objection consists of a point of law which has been pleaded, or which arises by clear implication out of the pleadings, and which if argued as a preliminary point may dispose of the suit. Examples are an objection to the jurisdiction of the court, or a plea of limitation, or a submission that the parties are bound by the contract giving rise to the suit to refer the dispute to arbitration ...

While I don't agree with Mr Ng'maryo in his arguments that the debt of TZS. 225 000 000 due to Fahari Bottlers was not proved and that the "settlement agreement alleged must be proved, for, the decree on record speaks for itself and he would surprise the world if he pretends ignorant of the same when he was a participant thereto, I cannot associate myself with an argument by Mrs. Rwebangira that the existence of that liability is a point of law which should bar the filing of a pettition for winding up as was the case here.

I am persuaded, without prejudice to subsequent decisions on the matter, that on the facts at hand, Fahari Bottlers Ltd's acts are very suspicious – offering debt settlements terms today, only to file a pettition for winding-up tomorrow, and even then, without notifying the party you struck the agreement with, when the terms of the said agreement so provide, and not only that, but also going further to transfer the assets excluding liabilities to another newly formed Company cannot be compatible with honesty, genuiness or faithfulness. There is something very wanting if not fishy. But that is the maximum we can comment at this point. Mrs Rwebangira's arguments are relevant when it comes to the hearing of the pettition. Those are strong and relevant points that can be fronted to convince the court that the petition for winding-up should not be granted. Even then they cannot even be raised as Preliminary Objection for they don't legally qualify. There is no unlawfulness or illegality in the filing of the pettition. Mrs Rwebangira cannot be heard to say this petition was unlawfully filed" or "this petition is illegally before the court". What she can be rightly heard to front is, "though filed this court should not grant this petition as petitioners are before this court shrouded with dirt".

This is different from fronting a Preliminary Objection. In the premises the Preliminary Objection is over-ruled.

Going back to the main substance I should out rightly state that the objectors ably submitted, and at length for that matter.

For consistency I will summarise the objectors' response along the paragraphs and titles as numbered in respect of Mr Ng'maryo's submissions.

All objectors concede that in law provisional liquidators can be appointed but insist (save NBC (1997) Ltd) that these would be for the purpose of maintaining the *status quo*, in that they would only collect, preserve and protect the petitioners property. Except NBC (1997) Ltd, they don't agree that their duties should cross over to restructuring or working on a Scheme of Arrangement. Stanbic Bank and M and M concede to some extent that, that could possibly be one of the duties of the provisional liquidators.

Regarding the indispensability of restructuring as a condition precedent to recapitalization, objectors who are against it, insist that the restructuring is for the benefit of the petitioners and more so because they entered in a Scheme of Arrangement without involving interested parties, ie creditors; that they "hived-down" their assets into a new company "without carrying the liabilities as well and leaving themselves being empty shells and without considering the creditor's interests". The gist of the charges is well reflected in one of the objectors submissions as follows – "...the petitioners directors...grossly mismanaged the debtor companies, have dispated their properties and assets including illegal transferring thereof to a third party, namely Fahari Beverages Ltd whose directorship composes of the petitioners' advocate".

They strongly oppose the proposed trio as provisional liquidators – Finn, Murphy and Bomani as they are interested parties. They insist that the latter was not only used in clearance of petitioner's correspondences but was actively involved in various negotiations

while the former were involved in the restructuring scheme and advises to petitioners – hence none can service and command the confidence of objectors. They stand surprised over the alleged *res judicata* regarding the appointment of Finn and Murphy as it is not supported by the Court of Appeal decision in Miscellaneous Civil Revision Number 9 of 1999.

They all (except the contingent objectors who have no particular preference) urge for the appointment of Joseph Sinde Warioba as a provisional liquidator for they have trust and confidence in him. They argue that once there is a chamber application for appointment of a provisional liquidator, proposals that follow do not require a chamber application; that the consent made by Warioba is proper and the wrong name of the Company (JV Group) was by slip of the pen which can be rectified if need be.

On the remuneration, while they all object to the 12.5% of the gross realization they stand divided on what should be given. The majority propose 5% while NBC (1997) Ltd maintains that the person appointed should make a proposal for determination by the provisional liquidator.

They dispute existence of any ulterior motive in their objections arguing that rather it is the petitioners who harbour the same by engaging in actions which touch their interests but without involving them.

Regarding their *locus standi* objectors are surprised by this argument because petitioners conceded of being insolvent; that they (objectors) have clearly stated the extent of indebtness in affidavits; and that in any case this is not the occasion to prove debts.

Lastly, they argue that the initial report by the provisional liquidators should be disregarded as it was composed by people whose appointment was declared null and void, and that powers of the Provisional liquidators to be appointed should be limited to protect objectors' rights.

Mr Ng'maryo did not have much in rejoinder. He reiterated what he stated in the main submission. He insisted that the proposal of

Mr Warioba is against rule 31(1) of the rules; that decision of majority creditors is of persuasive force (cited: *Amiral Meghji – the Debtor* (2) and *Indian Building Constructors Ltd v. R B Purohit* (3). In *Re: St. Thomas' Dock Company* (4), In *Re: Uruguay Central and Hygueritas Railway Company of Monte Video* (5), *Re: Home Remedies, Ltd* (6), and that Chandes (contigent creditors) by the end of June, 1998, were totally controlling and managing the affairs of the petitioner Companies, thus "they and their associated companies are ... accountable for the affairs and financial position of the companies" and that their acts would be scrutinized and decided upon by creditors' meeting if prayers are granted. He insisted,

> Fahari Beverages Ltd is a company floated by the Chandes for the purpose of restructuring and hive down. This is mentioned in the letters ... signed by Chande.

I have detailed the submissions and arguments purposely. Although the application seems to be a simple one, a decision thereon affects a substantial group of companies let alone other interested parties including objectors. Arguments and submissions regarding their fate therefore should clearly be put to the fore.

I should start by stating that I stand indebted to the counsel's (of both sides) able submissions. Not only that but also for availing me copies of authorities cited – I think, in a responsible recognition of the wanting nature of our Library facilities.

For an organized flow of findings, I will not follow the sequence of titles and paragraphs as designed by Mr Ng'maryo and paraphrased at the beginning of this ruling. Where necessary I will interchange them or argue them together.

I will start with the question of the objectors' *locus standi*. As rightly submitted by the objectors, I have been at pains to understand what Mr Ng'maryo meant by insisting that in order for the objectors to have *locus standi* they should have proved the existence of debts! The objectors duly filed notices upon the petitioners' advertisements

regarding their petitions for winding up. They duly appeared before the provisional liquidator represented by counsel. Their respective directors swore affidavits showing the extent of indebtness by petitioners – Crown Cork, USD 186,288, Kioo Ltd TZS. 1 139 814 292; out which TZS. 225 000 000 forms a provisional liquidator decree; Stanbic Bank, USD 1 193 199 99; M/S M and M Communications Ltd TZS. 68 333 9090-20 and USD 773-39, subject of (HC) Civil Case Number 268 of 1998; Abdillah Mikidadi, TZS. 10 000 000, for wrongful termination, subject of Civil Case Number 283 of 1996 at Kinondoni District Court; NBC (1997) Ltd a total of TZS. 7 300 378 428 [broken up as follows:- Ruaha Bottlers – TZS. 298 541 705 Southern Highlands Bottling Co. – TZS. 137 679 230; Fahari Fruits Products Ltd – TZS. 184 409 767, West Lake Bottlers Ltd – TZS. 130 787 172; Fahari Bottlers Ltd – TZS. 6 399 463 939], Shinyanga Bottling Company Ltd – TZS. 149 496 615, Trust Bank (Tz) Ltd, TZS. 688 000 000; TIB, TZS. 269 036 877-92. The directors of the contingent creditors (Girish T Chande, Ashock T Chande, Ravi T Chande, JV Textiles and Garments Ltd M/s Juthalal Verji Limited) swore affidavits to show that they guaranteed various loans extended to petitioners. What else does Mr Ng'maryo wish to be proved in order for these parties, who stand to lose in case the petitioners die miserably insolvent, to be able to stand in provisional liquidator to defend their interests?

The objectors' Notices to Appear in the petitions and their affidavits stand as sufficient evidence conferring unto them the *locus standi* required in the respective pettitions. As rightly submitted by them, in any case, this is not the right moment for proving the exact debts/ liabilities. Coupled with this, the petitioners who self-confessed of being deeply indebted to various parties did not challenge the objectors' affidavits regarding the debts nor regarding the contingent creditors that they guaranteed various loans. Mr Ng'maryo who knows it well, being a seasoned lawyer; is aware that an affidavit is evidence and cannot be assailed by mere submissions as he is trying to do. Suffice to conclude that the objectors are properly and legally before this court..

Next to consider is whether it is proper to appoint a provisional liquidator. This should not detain us at all. All counsel concede that this is purely legal and the law so provides. section 183(1) of Chapter 212 (Companies Ordinance) provides:

> Subject to the provisions of this section, the court may appoint a liquidator or provisionally at any time after the presentation of a winding-up petition and before the making of a winding-up order, and either the official receiver or any other fit person may be appointed.

Rule 31 of the Companies (Winding-Up Rules, 1929) provide further:

> After the presentation of a petition, upon the application of a creditor, or of a contributory, or of the Company, and upon proof by affidavit of sufficient ground for the appointment of a provisional liquidator, the court, if it thinks fit and upon such terms as in the opinion of the court shall be just and necessary, may make the appointment.

Do facts and circumstances of the controversy before this court warrant appointment of provisional liquidators? On this point, the counsel have made reference to various persuasive foreign decisions on what the court should consider in exercising its discretion towards that end – *Re: Dry Docks Corporation of London* (7), *Re: Hammersmith Town Hall Company* (8), *Re: High-field Commodities Ltd* (9). The enunciated principles boil to what is contained in the headnote to the report of the judgement in *Re High-field's* case:

> The court would not usually exercise its powers ... to appoint a provisional liquidator unless there was at least a good *prima facie* case for a winding-up order. However, the courts' Power to appoint provisional liquidator (is) general in scope and (is) not restricted to cases where the company was obviously insolvent or where it was otherwise clear that it was bound to be wound-up, or where the company's assets were in jeopardy. Furthermore the power (is) discretionary, and in addition to being required to be exercised judicially, the need for the exercise of the discretion should outweigh the consequences to the Company ... In particular where the grounds for winding up pettition ... was expedient in the public interest, the public interest should be given full, though not conclusive, weight.

The above quoted being a common law stand and not in derogation of the law as already quoted has full blessing of this court, for it potrays what the law is in this country as well.

The petitioners have self-confessed of being in deep insolvency. They have filed petitions for voluntary winding-up. *Prima facie* therefore, a winding-up order is likely to be issued. The petitioners have categorically stated:

> All the ten companies are interlinked in their businesses, finances, directors and shareholders and have confessed of having "hived-down" their assets to another newly formed company. Naturally, this state of affairs sets in uncertainty regarding the stability and safety of the assets let alone the dealings, and loudly threatens the interest of the creditors and shareholders. In the circumstances, a provisional liquidator is required, among others to investigate these dealings, collect and protect the assets. For that reason, I answer the question I had posed at the beginning, positively.

Following on heels to the above is – what powers should this provisional liquidator have.

The objectors save NBC (1997) Ltd urge for very limited powers and not as insisted upon by petitioners. They insist instead that the provisional liquidators are only appointed for preservation of the petitioner's assets – maintain *status quo*, and that legally a provisional liquidator cannot engage in restructuring or composition of any Scheme of Arrangement (cited the *Re: Dry Docks (7) and Hammersmith (8)* cases whose citation has already been provided above). On whether restructuring is essential and indispensable to recapitalization of Pepsi-Cola business in Tanzania, they argue that petitioners being insolvent and out of business no meaningful restructuring can be made; that it is superfluous to the petitions and that creditors should not be compelled on a course whose extent of the alleged benefit has not been disclosed and more so in relation to creditors.

I should start by stating the obvious that neither the Companies Ordinance nor the "Rules" made thereunder specifically provide powers

which have to be conferred upon provisional liquidators. section 183(2) of the Ordinance and rule 31 of the Winding up Rules, refer to powers of a provisional liquidator in an assumptive manner. They provide:

> 183(2) Where a liquidator is provisionally appointed by the court, the court may limit and restrict his powers by the order appointing him.
>
> Under rule 31 the court, (regarding a provisional liquidator), "(i) ... if it thinks fit and upon such terms as in the opinion of the court shall be just and necessary, may make the appointment (ii) The order appointing the provisional liquidator ... shall state ...the duties to be performed by the provisional liquidator."

On the basis of the quoted law, it is clear that the court is vested with unlimited discretion regarding what powers should be bestowed on provisional liquidators. For that matter I am in full agreement with Mr Ng'maryo that the court is empowered to give powers including those provided to the liquidator under section 190 through 193 of the Ordinance. What powers should be given are left to the wisdom of the court. I cannot therefore buy the objectors' contention that provisional liquidator's powers is limited to only investigating the affairs of the petitioners, collection and preservation of the petitioner's assets. Depending on the facts of a particular case, provisional liquidator's powers can loom into restructuring action and making of a Scheme of Arrangement or any other activity deemed proper by the court to be in the interests of the creditors/shareholders.

The counsel for both camps cited authorities in support of their respective stands – some of the objectors cited *Re: Dry Docks* (7), *Re: Hammersmith* (8) and *High-field's* (9) cases while Ng'maryo for pettitioners cited, among others, *Re: Amirali Meghji* (2); *Indian Building Contractors Ltd v. RB Purohit* (3). The latter cases show that a provisional liquidator has powers ever to make restructuring or arranging a Scheme of Agreement, which stand, I fully support in view of the blank cheque given by the law (above quoted) to the court. There is yet another support from a recent Commonwealth

decision, decided just last year (1998) (Mujulizi, learned counsel, stands commended for unearthing it) which shows that provisional liquidators not only can they be given powers to preserve but also to dispose off the petitioner's property (In the Matter of *Peregrine Investment Holdings Ltd* (10) *and In the Matter of the Companies Ordinance Chapter* 32, *decided by the High Court of Hong Kong Special Administrative Region, Companies Winding-Up* (10). An excerpt from the judgement runs as under –

> provisional liquidators were appointed ...
>
> The Order appointing the provisional liquidators provided that the liquidators could sell or dispose off any assets by way of private treaty tender or auction upon such terms as the provisional liquidators may deem appropriate subject only in the case of sales of subsidiaries or entire business divisions to the liquidators obtaining leave to do so from the court.

I am satisfied that as the law stands now, provisional liquidators can be bestowed with any powers ranging from investigating petitioners affairs, collection of assets to selling or disposing of the same or some other duties including designing a Scheme of Arrangement that would be beneficial to all the parties involved and which the latter should agree to before presentation to the court for approval or otherwise.

Now, back to the specific question, on the facts of this particular case what specific powers should be conferred on the provisional liquidator?

My first reaction is that they should not be limited as proposed by the majority objectors but rather should be wide enough to cover a formulation of a Scheme of Arrangement. I have reached this conclusion because of the following, first, it would seem that there is a confusion regarding the centre of controversy. The arguments presented by the objectors seem to suggest that there is already in place a Scheme of Arrangement which they are being called upon to agree to. One of the objectors charges thus:

> It is therefore manifestly clear that there has already been a transfer or attempt to transfer the assets. What then are the provisional liquidators to take charge of? Aren't they being appointed simply to inherit and adopt the already prepared Scheme, thrust it at the creditors and call for a vote from a number of already approving creditors who are in the majority anyway? Isn't the court being called on to rubber-stamp an already made Scheme, with the secured creditors being sidelined as mere by-standers?

And yet another objector lauched a similar serious attack in the following words:

> It is ridiculous therefore my Lord for a debtor to compel a creditor to agree to a course of action of whatever description which does not appear to be beneficial to him considering the fact that there is no real guarantee that recapitalization process will deliver any positive results. My Lord, it is our further submission and we pray that this honourable court of law should not be used as conduit pipe for debtors finding the leeway of technically avoiding debts on sheer mechanism such as restructuring and recapitalization which were at their disposal long way ago to the detriment of the creditors.

To clear the air, I should say that I am surprised by these submissions. I know from the record that Finn and Murphy had already embarked on a formulation of a Scheme of Arrangement. I also get a feeling that whatever was proposed arose serious misgivings among the objectors. Well, that may be correct but for the purposes of this application there is no scheme whatsoever in existence. The petitioners and objectors alike may feel that in case provisional liquidators are empowered to formulate a Scheme of Arrangement, the already compiled proposal may find its way into the new scheme. That should not be our concern now. A decision to utilize which material and from which source will lie with the person appointed – that's why a neutral, unbiased person is required.

At the same time, it is not correct to say that a Scheme of Arrangement would be brought to the court for simply rubber stamping. The scheme will have secured the blessings of the creditors/shareholders. The

court's duty is not to rubber-stamp but rather to scrutinize the Scheme of Arrangement formulated, satisfy itself on the response of creditors/shareholders and whether the Scheme itself is fair and equitable and for the benefit of all parties concerned. Only after being satisfied with the above perfection would the court approve the Scheme. It is not mandatory that the court should approve such Scheme. It may reject the same or order for amendments.

While still on that, it should be noted that it is not mandatory that such a provisional liquidator must formulate a Scheme of Arrangement. He would be empowered to formulate one but during his investigations he may get convinced that a Scheme of Arrangement is unworkable in the circumstances or not beneficial to the creditors. In such situation he is not bound to formulate any. He would then inform the court accordingly for winding up process to proceed. What is the gauge of his duties? Whatever he does should be in the best interest of the creditors/shareholders. That's why I have not and will not bother to make a finding on the weight to be attached to percentages of creditors as regards their support on the scheme orchestrated by Mr Ng'maryo and elaboratively responded to by the objectors, counsel. It is premature to argue on the percentage of creditors that support a scheme or not, for, at this point there is none.

Insisting on merely winding-up without giving leeway to the provisional liquidator to survey for another beneficial option may not lie in the interests of creditors. 10 companies are involved. They have effected a hive-down on the assets to a newly created company. They are miserably indebted to both secured and unsecured creditors (just one creditor claims over TZS. 7 billion). Even if a winding-up order is made there may be not be enough money to pay creditors. Let a provisional liquidator investigate, scan and come out with what is good for the parties.

Arguments have been presented that only limited powers should be given and that the provisional liquidator would be at liberty to apply to court for specific additional powers to embark on restructuring

or a Scheme of Arrangement if he soon discovers its necessity. Well, this is one mode of approach but compared to what I am suggesting the latter saves time, expedites matters and removes unnecessary delays. Let him leave the court clothed with all the authority and powers. Let him join the battle armed with all armaments available. It defeats common sense for a fighter to join the battle with a Scheme that he has to check on the strength of the enemy first then rush back to the armoury to equip himself well!

That said, what should these wide powers encompass? We have two versions. The petitioners', as they appear at the beginning of this ruling, and NBC (1997) Ltd.

Having carefully considered the arguments, the law, the state in which the 10 petitioners are, the way the "hive-down" has been effected, I settle, with minor variations on NBC (1997) Ltd's proposals regarding powers which should be exercised by a provisional liquidator as follows:

1. To carry out full investigation into the affairs of the petitioners in order to identify their (petitioners) assets and property including the hive-down exercise carried out by the pettitioners.

2. To take possession of all the property and assets of the petitioners wherever they are and by whom ever held and preserve them for the benefit of the creditors until a suitable Scheme of Arrangement is proposed and agreed upon, or if no such arrangement is reached, pending a Winding-Up Order and the appointment of a liquidator.

3. To prepare a list of all creditors which should be submitted to the court within 3 weeks.

4. To prepare a statement of the petitioners' affairs within 5 weeks.

5. To prepare a proposal for a Scheme of Arrangement, if found feasible, within 6 weeks and apply to the court for an order to convene a creditors' meeting to consider and vote upon the scheme.

6. To appoint such persons as he may deem fit to assist him discharge his duties.

The schedule within which to take the steps, for one reason or another, may prove insufficient. In that case, he will be allowed to apply for extension of time.

The question of restructuring and its indispensability being a condition precedent to the recapitalization should not take much of our breath. We have provided wide powers to the provisional liquidator. Armed with that he will investigate full activities of the petitioners and will come up with whether restructuring is necessary and in what form and that's why he is empowered to formulate a Scheme of Arrangement, which has to be accepted by the creditors and approved by the court. The benefits enumerated by the petitioners should not carry the show of the day for the provisional liquidator has to go into them thoroughly and satisfy himself that they are real and workable and a not a "sham" (to borrow the language of one of objectors' counsel).

While still on this I should touch the argument that the initial report of provisional liquidators and their words so far done should not be wasted. I am afraid this court cannot issue an order for his utility. The provisional liquidator should be left free to decide on how to collect the required information. However, common sense would dictate that the provisional liquidator will go for all relevant materials and contracts, and that report is one of them. It is not of insignificance that the initial provisional liquidators will be paid for whatever they did before being barred. In effect, therefore the initial report is the property of the petitioners.

That said, who should be appointed a provisional liquidator? I should in very certain terms declare that neither Finn, Murphy nor Bomani is fit to be appointed as provisional liquidator – they are disqualified because of their association with the petitioners. Conflict of interest is very glaring.

I was surprised not stunned to hear a seasoned lawyer of Ng'maryo's caliber gathering guts and audacity to say that the Court of Appeal in

Civil Revision Number 1 of 1999 decided on the appointment of Finn and Murphy. He asserts that the matter is *res judicata.*

He declared, the matter therefore ought to and must rest. No one can or should bring it up again unless, and if so, only through further revisional proceedings in the Court of Appeal.

With respect, I am sure that Mr Ng'maryo is aware that that submission is fallacious. The Court of Appeal observed:

There is not much to say about the appointment of the two other provisional liquidators (i.e. Messrs Finn and Murphy). At first we had the impression that both resided outside the jurisdiction of the High Court, that is, in London, but on closer examination of the record, it appears that they have an address within the jurisdiction of the court and is [*sic*] qualified for appointment as a liquidator.

The Court of Appeal did not appoint (and could not in the circumstances) provisional liquidators. If so, as rightly fronted by the objectors, why bring the same matter before this court which is subordinate to the Court of Appeal?

Although Mr Ng'maryo capitalizes on those observations he forgets or deliberately, fails to make reference to the final order of the court, which among others states.

The proceedings for appointment of provisional liquidators be and are quashed.

Clearly, and as rightly submitted by the objectors, the observation of the court relied upon was *obiter dicta.* In any case, having quashed the proceedings which appointed them, on which ground then can the purported appointment stand?

The suitability or otherwise of Murphy, Finn as is the case with Bomani is now what is before this court for determination. And I have already indicated that the trio do not qualify because of conflict of interests. As was stated in *Peregrine case* already referred to above:

It is the task of the provisional liquidators to get in the assets on behalf of the creditors and shareholders. They stand in the position of trustees ...

Trustees are never permitted to be or remain in a situation where they have a conflict of interest. That rule is crucial to the proper administration of the relevant trust. The dual role of the liquidator's firm should have been disclosed to the court at the earliest opportunity.

In that case the provisional liquidators had been performing auditing duties to the other party and this was concluded upon to be client relationship hence, existence of a position of having conflict of interests.

Again, in *Re: Charterland Goldfields* (11) a liquidator was disqualified for similar reasons-it was stressed:

The liquidator of the company must be a person who will act independently, especially of those against whom there may be pending claims, and will discharge his duties without favour to either side.

Where it appeared that the liquidator in the Voluntary Winding-Up of a company had an intimate business connection with several of the directors of company, who were also directors of other companies between which and the company in question there had dealings requiring investigation, the court being of the opinion that he was not in a position to take independent course in making the necessary investigations, made an order removing him from the office of liquidator, and appointed another liquidator in his place.

The objectors in here have sufficiently proved that there is client relationship between Finn, Murphy and petitioners. The two personalities have been engaged in the negotiations with some of the creditors on behalf of petitioner, let alone formulation on the restructuring proposal long before the petitions were filed. They have been negotiating with NBC on behalf of petitioners regarding their indebtness proposing in the process debt – compression. The objectors' fear that they may put into effect whatever plans and recommendations they have had in their capacity as professional advisors to the Fahari Group are not far fetched. On the other hand it has amply been proved that

Mr Bomani's Chambers were being used by the petitioners for clearance of their correspondences. Mr Ng'maryo's urge that the relationship ended but as that has been contradicted by evidence that fees were paid for services. Also it has not been explained why, if the services ended at mail delivery arrangement, didn't they use Eric N. Mahayo partnership chambers just within reach.

In any case, there are very telling correspondences whose copies were sent to Mr Bomani and which clearly show that he was engaged in some negotiations between the newly formed company, Fahari Beverages Company Ltd and NBC. The former is the company to which the petitioners transferred their assets. Even an angel would not trust that Mr Bomani would not take sides in a conflict, as the one in existence, between objectors and petitioners.

As provisional liquidators are expected to protect the interests of the creditors, any person who has any connection in terms of business dealing between him and petitioners is outrightly disqualified from appointment to that position, for, conflict of interest is the very obvious. Here it is not a question of qualification and experience. The trio no doubt excel in this. And it is not a question of acting in the interest of the creditors. It must actually be seen that it is done. provisional liquidators must not have tainted let alone suspicious trust in the eyes of the creditors. The trio is obviously netted in the latter and is accordingly disqualified.

Who should be appointed? The objectors propose Mr Joseph Warioba. The petitioners object to the proposal arguing that there is no application as such as rule 8(1) of the "Rules" has not been complied with; that he has not given his consent as the one he submitted is in respect of a different company and that his qualifications and expertise have not been proved.

Indeed, for an application for a provisional liquidator to be properly before the court there must be a chamber summons supported by an affidavit – the *Court of Appeal in Civil Revision Number 1 of 1999* is clear on this as is rule 8(1) of the "rules". However, with respect

to Mr Ng'maryo, what the objectors are proposing is not an application for appointment of a provisional liquidator as much, but who should fill in that position once an application to appoint is allowed. The petitioners were the ones who applied for appointment of provisional liquidator and that is the application which is before us.

Proposing a name is just ancillary to the main application. The petitioner could even have simply filed the application without naming a person leaving it to the court to scan around and pick a fit person. The objectors are simply proposing whom they think, once the application is granted, can fill up the position. I cannot imagine the legislature passing such unreasonable a law which sets up a procedure as proposed by Mr Ng'maryo. I am of the settled view that in proposing a name of a person fit to be appointed a provisional liquidator by objectors after the petitioner or any person has filed an application for his appointment does not require the filing of a chamber application supported by affidavit. That requirement stands only for the initial application, in this case, the one filed by Mr Ng'maryo for the petitioners.

Concerning the argument that Warioba did not give consent, while conceeding that he made an error when he consented to be being appointed a provisional liquidator to "JV Group of Companies" because there is no petitioner going by that title, I am inclined to agree with the objectors that that was a slip of a pen. In any case, the law does not state that such consent should be secured before appointment. It may be desirable in order to avoid inconvenience because a person may refuse to take up the task if arbitrarily picked but the law as it stands puts up no such condition to the court before so appointing. The same is the case with qualifications and expertise. The court simply picks on a "fit" person. In doing that, the court will rely on various factors including judicial notice of the standing of particular person or upon receipt of proposals. The objectors have come up with a proposal. As was observed by the Court of Appeal Civil Revision Number 1 of 1999:

> ...After all the provisions liquidators were expected to protect the interest of the creditors, and it is only fair that such creditors be given opportunity to play part in the proceedings for appointment of liquidators ...

The objectors, all of whom except one are represented by advocates, and able ones for that matter, have proposed Mr Warioba. Is it possible that this formidable group can come up with a personality who is incapable of protecting its interests? I am not persuaded by Mr Ng'maryo in this respect. I thus hold that Mr Joseph Warioba is a fit person to be appointed a provisional liquidator of the petitioners. In any case, he is just a provisional liquidator. The task will surely involve engaging various professionals and that's why it has specifically been provided that he can appoint any fit person to assist him. For that matter, he is not precluded from seeking assistance from Finn, Murphy or Bomani. What is important is not who does what but who controls what is being done, who decides on direction to be taken, who makes a decision before matters are presented to creditors and to court.

We come to the remuneration to which the provisional liquidator is entitled. Here we have three scenarios proposed 12.5% by petitioners, 5% by the rest of the objectors except NBC which proposes that the liquidator be called upon to chart his duties and activities and quote his charges. The contingent creditors leave it to the wisdom of the court.

It is unfortunate that neither the Ordinance nor the rules provide a definite answer. The counsel are agreed on this. Those who propose 5% argue that this is the commonly applied practice in Tanzania in respect of receivership and Liquidation and this is in consonance with the requirements of English Property Conveyancing Act 1881 as applied to Tanzania by Chapter 114 of the Laws. While I have not been able to understand the basis of Mr Ng'maryo's urge to have his clients pay a higher charge of 12.5% (he argues that the enormity and complexity of the task call for that percentage) I have been persuaded by the counsel for NBC that using a "percentage" criteria on the gross realization in awarding the provisional liquidator's remuneration is wanting.

What is that "gross realization"? This would have no problems in winding up proceedings for there would be sales and disposals. Now, in our case, regard being had to the powers and duties we have placed on the provisional liquidator which realizations will he make? If he manages to formulate an acceptable Scheme of Arrangement no sales will have been made and even if that fails and winding-up proceedings activated, he will only have collected assets. We have given him no powers to sell. How then will we calculate the 5% of the gross realization? Again, on this I am persuaded that the only logical step to take is to call upon Mr Warioba to chart out his duties, and the task ahead of him as he perceives it and quote his charges which would then be tabled in court in the presence of objectors for comments and observations before the court makes a decision on an appropriate remuneration.

Finally, I will make a brief observation on what the petitioners call ulterior motives by objectors. This charge is too unfortunate, for, there is no scintilla of evidence suggesting what is alleged and I am glad that though while thus charging the petitioners concede in the same submission:

> There is no direct evidence that the objectors are actually making a proxy effort to kill the Pepsi-Cola business.

The petitioners' conduct, including unclear "hive-down" of some of the assets into another newly formed company would naturally generate suspicions, resistance and mistrust on the part of objectors/creditors. Their reactions cannot therefore be faulted.

In conclusion therefore:

(a) The Preliminary Objection by Mrs Rwebangira for Kioo Ltd that the pettition by Fahari Bottlers should be thrown out for having been filed in bad faith is dismissed.

(b) The prayer by petitioners that objectors be declared to have no *Locus standi* is dismissed.

(c) The application for appointment of a provisional liquidator in respect of the petitioners (the 10 companies) is granted.

(d) The prayer that Mark Danhi Bomani, Paul Howard Finn and Kevin Anthony Murphy should be appointed provisional liquidators is dismissed, on basis of conflict of interest and instead Joseph Warioba is appointed.

(e) The prayer that the provisional liquidator's powers should encompass all powers of a liquidator under section 190(1)(a) to (f) and 190(2)(a) to (h) of the Ordinance Chapter 212 is dismissed except as embodied in thier ruling, and which powers are wider than mere collection and preservation of petitioner's assets, for they include formulation of a Scheme of Arrangement.

(f) The prayer that the provisional liquidator's remuneration be 12.5%⁻ of gross realization is dismissed and instead the person appointed provisional liquidator should sketch his duties and submit his quotations which shall be tabled in court' in the presence of parties for decision within 7 days of the delivery of this ruling.

(g) Other prayers, that costs of appointing an advocate and providing security; that all other proceedings in this court, Subordinate Court of Tribunal be stayed pending the winding up order or further, order; that hearing of the petition be adjourned to a date after the creditor's meeting to vote on the Scheme of Arrangement, if any, and that costs of the application be defrayed from the assets of the petitioners, stand allowed.

(h) The provisional liquidator will be at liberty at any time, to apply to the court for directions and guidance on anything he deems proper and which has a bearing to petitions

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SOUTHERN ESSO *v.* PEOPLES BANK OF ZANZIBAR AND ANOTHER

HIGH COURT OF ZANZIBAR
AT VUGA

(Garba Tumaka, DC.J.)

MISCELLANEOUS CIVIL APPEAL No. 5 OF 1999

(From Civil Case No. 4 of 1997 of the Regional Court, Vuga, Zanzibar)

Civil Practice and Procedure – Applications – Application for revision – Circumstances under which such application may be granted.

Jurisdiction – Revision powers of the High Court – Applicant for revision raising substantial issues for determination which can come only by way of appeal – Whether revision powers may be exercised.

After losing a civil case in the Regional court at Vuga, the applicant did not appeal but decided to make an application to the High Court for revision of the matter. Counsel for the respondents raised a Preliminary Objection arguing that the remedy open to the applicant was an appeal to the High Court against the decision of the Regional court and not an application for revision. The High Court considered under what circumstances it may exercise revision powers.

Held: (i) While exercising jurisdiction under section 90 of the Civil Procedure Decree, it is not competent for the High Court to correct errors of fact however gross, or even errors of law, unless the said errors have relation to the jurisdiction of the court to try the dispute itself;

(a) The High Court's powers of revision are only exercisable where no appeal lies;

(b) In the application for revision there are substantial issues for determination which can come only by way of appeal.

Application dismissed

Cases referred to:

(1) *Abdu Hassan v. Mohammed Ahmed* [1989] T.L.R. 181

(2) *Mwanahawa Muya v. Mwanaidi Yaro* [1992] T.L.R. 78

(3) *Zabron Pangamaleza v. Joachim Kiwaraka* [1989] T.L.R. 140

(4) *Kulwa Daudi v. Rebeca Stephen* [1985] T.L.R. 117

(5) *Venka Tagiri v. Mindu Religious Endowment Board* 76/ A.67,1949 APC 156

(6) *DLF Housing and C. v. Sarup* A 1971 SC 232

(7) *Abbabhai v. Gulamnabi A.* 1964 SC 1341

(8) *Khanna v. Dillon* A 1964 SC 1497

(9) *Shar v. Jag* 54 A 466

Statutory provisions referred to:

(1) Magistrate's Court Act Number 2 of 1984, section 44(1)(6)

(2) Civil Procedure Decree, section 79(1)

(3) Civil Procedure Code 1966, section (79)(1)

RULING

(Dated 21 September 1999)

Garba Tumaka, DC.J.: This is an application arising from Civil Application Number 72 of 1999. The applicant, represented by Mr Ussi K. Haji, filed for a revision under section 90 of the Civil Procedure Decree against the judgement of the Regional court, Vuga, Zanzibar Civil Case Number 4 of 1972 which judgement was given on the 25 January 1999 in the presence of the applicant and the respondents counsel Toufiq, state attorney.

Mr Ussi in his chamber application filed a 17 paragraph affidavit with his plaint annexing along some other documents. In it, Mr Ussi

prayed the court to make orders setting aside the judgement of the learned Regional Magistrates in the said civil case and declare for him that:

(1) The mortgage created between the applicant and the first respondent was a simple mortgage and hence the mortgage property cannot be sold without the courts approval.

(2) The first respondent being a lending institution its decision to sell the applicants house in order to recover the loan was illegal.

(3) Merging two of the applicants accounts one of which had no connection with the loan agreement was illegal.

(4) Charging the applicant interest of 31% instead of 1% was improper.

(5) The costs of this application and proceedings in the Lower court be paid by the respondent and such further orders as the court may deem fit.

Clearly, the applicant is dissatisfied with the judgement of the Regional court and this is manifested more particularly by paragraphs 5 and 16, to wit, that the Regional Magistrate Court clearly erred in failing to understand the implications of sections 13 and 87 of transfer of Property Decree Chapter 150, Laws of Zanzibar and in so doing gave a decision which was illegal and full of material irregularity; and that the court in its decision failed to address itself to the question of the first respondent being a lending institution as a result of which it gave decisions contrary to the requirements of justice.

Mr Toufiq has however sought to have this application dismissed by way of Preliminary Objection through an oral application.

He began by referring to para B of the applicant's plaint in his chamber application, which referred to the Regional Magistrate "*ex-parte* judgement". He described this as misleading and erroneous as both of them (Mr Ussi and himself) were in court when the judgement was given. He posited that, perusing the application, what the applicant ought to be asking for or applying for before this court is an appeal and not a revision.

He said the applicant was trying to change the Regional courts decision through the "backdoor" instead of appealing which is the proper procedure. He quoted section 90 thus:

> The High Court may call for the record of any case which has been decided by any court subordinate to such High Court and in which no appeal lies thereto and if such subordinate court appears;
>
> (a) to have exercised a jurisdiction not vested in it by law;
>
> (b) to have failed to exercise a jurisdiction so vested;
>
> (c) to have acted in the exercise of its jurisdiction "illegally or with material irregularity, the High Court may make such order in the case as it thinks fit".

He contended that the courts power of revision is restricted to the situations covered in Para A, B and C and that the High Court do not have blanket powers. These powers, he said, are limited to keeping the subordinate courts within their jurisdiction. He referred to **Sarkar on Civil Procedure** (8 ed 1992) at page 402 where it was stated that the High Court can only exercise its revisional jurisdiction on 3 grounds, which are as of paragraphs A, B and C of section 90.

He submitted also that any court having jurisdiction over a matter may decide it rightly or wrongly.

In the present case, he argued the Regional Magistrate Court had jurisdiction to try the case and as far as the points canvassed are concerned, the courts decision was final, as long as there was no appeal. There was no illegal exercise of jurisdiction or material irregularity in this case otherwise the applicant would have appealed.

To buttress his contention, he cited 2 cases, *Abdu Hassan v. Mohammed Ahmed* (1) at page 181 and also *Mwanahawa Muya v. Mwanaidi Yaro* (2) at page 78.

The first, he said, held that the revisional powers of the High Court under the Civil Procedure Code are limited to cases where no appeal lies and issues relating to the appropriate exercise of jurisdiction

by subordinate courts and whether they have acted illegally or with material irregularity while the second stated that the High Courts powers of revision are usually exercised when exercising its supervisory powers.

He was emphatic that since there were serious issues specifically canvassed by the applicant in his affidavit to be decided by the High Court, it should not and cannot come by way of revision but by way of appeal.

He maintained that where there is a maintainable appeal to the High Court, a revision is not maintainable and in support cited the case of *Zabron Pangamaleza v. Joachim Kiwaraka* (3) at page 147.

He said there were appropriate instances where the revisional powers of the High Court were applicable but this clearly was not one.

He summed up by saying that there were provisions for revisional powers for the High Court where there appeared to be injustice and no appeal lay. However, where there is no injustice and there are provisions for appeal, the revisional powers of the High Court **cannot** be exercised. He then urged the court to summarily dismiss the application.

Mr Ussi in his reply vehemently opposed Mr Toufiq's submissions and prayed that the court heard his application.

He said his application was made under the provisions of section 90 and "any others that the court may deem fit", not specifically mentioned in his application.

He also prayed the court to determine his application alongside the provisions of section 129 of this decree which confers inherent powers on the High Court to "... make such orders as may be necessary for the ends of justice or to prevent the abuse of the process of the court".

He was asking that the court interfere with a view to removing the injustice occasioned by the judgement of this case. Nothing, he

said, prevented the High Court from interfering with the decision of a subordinate court especially where injustice had been occasioned.

His application originates from the main Suit Number 4 of 1997, in which, the applicant as plaintiff challenged the decision to sell his house. He said the main issue was whether the respondent, a commercial institution, had a right to sell the house of the plaintiff/mortgagor where the mortgagor failed to repay the loan sum, bearing in mind the mortgage deed created was a simple mortgage as defined in the transfer of property, decree Chapter 150. The decision given by the Regional Magistrate on the type of mortgage deed created between the plaintiff and the bank was wrong, unjust and unfair and was given as a result of the wrong interpretation of the mortgage deed. This interpretation was contrary to law, he said. The cases Mr Taufiq cited he said, had helped the applicant's case, including **Sarkar on Civil Procedure** with reference to the revisional powers of the High Court where it was *inter alia* held that the High Court, while exercising its revisional jurisdiction can infer the order passed on appeal by the appellate authority only on 3 grounds, i.e.

(i) where the original or appellate authority exercise a jurisdiction not vested in it by law or

(ii) where the original or appellate authority exercises a jurisdiction so vested or

(iii) where in following the procedure or passing the order, the original or appellate authority acted illegally or with material irregularity".

In these 3 instances he said, revisional power is exercisable and this application had been filed to move this court to rectify the illegality and injustice done by the Lower court.

He cited the case of *Kulwa Daudi v. Rebeca Stephen* (4) where it was held *inter alia* that "The revisional powers of the High Court may be invoked by any party to a civil case or on a motion of the High Court to correct an error resulting in injustice committed by a District Court or court of a Resident Magistrate ..." That he said

is the purpose of this motion. He contended that the court will only be able to determine whether there was injustice or not when the main case was tried. He said the case of *Mwanahawa Muya v. Mwanaidi Maro* (2), cited by his learned colleague had no relevance to the present case. Similarly, he said the case of *Zabron Pangamaleza* (3) cited by Mr Toufiq did not apply to the instant case. He concluded that whether injustice was occasioned or not in the Lower court, it is for the High Court to determine and therefore requested that the applicant be allowed to make his case.

He urged the court to dismiss the oral application for summary dismissal and order a full trial on its merits.

In reply to the points raised by Mr Ussi, Mr Toufiq reiterated his submission that even if the Regional Magistrate erred in law in determining the case, it cannot be rightly remedied by the High Court through its power of revision and that the use of the power of revision must be restricted to the circumstances provided by paragraph (a), (b) and (c) of section 90.

He stated that the holding most relevant is in the case of *Mwanahawa Muya v. Mwanaidi Maro* (2).

> "It is wrong, indeed improper for the High Court to resort to its revisional powers where (as in this case) there are specific issues calling for determination by the court". From the grounds filed by the applicant in support of his application, there are substantial issues to be determined and these cannot be determined by revision; he added.
>
> I have gone through the submissions of both counsels and their cited authorities. I am of the opinion that the provisions of section 90 must be closely studied because in there lies the key to the true position of the law.

Section 90 provides:

> The High Court may call for the record of any case which has been decided by any court subordinate to such High Court and in which no appeal lies thereto and if such subordinate court appears;

(a) to have exercised a jurisdiction not vested in it by law

(b) to have failed to exercise a jurisdiction so vested

(c) to have acted in the exercise of its jurisdiction illegally or with material irregularity, the High Court may make such order in the case as it thinks fit.

Mr Ussi in his application apart from relying on this provision also enjoined the court to exercise its inherent powers to " ... make such orders as may be necessary for the ends of justice or to prevent the abuse of the process of court" along "any others that the court may deem fit" to cure the injustice engendered by the Lower courts decision. The pertinent question here is, under what circumstances can the High Court exercise its revisional powers?

I have gone through the case of *Kulwa Daudi v. Rebecca Stephen* (4) [1985] T.L.R. 117

Cited by the learned applicant, where it was held *inter alia*, that "The revisional powers of the High Court may be invoked by any party to civil case or on a motion of the High Court to correct an error resulting in injustice committed by a District Court or court of a Resident Magistrate."

The application here was made under the provisions of section 44(1)(6) of the Magistrate's Court Act Number 2, 1984 which enabled it. Substituted service was in this case, to all intents and purpose ordered, in wrongful exercise of the courts discretionary power when the defendant was known to be absent and to compound it, *ex-parte* judgement was given against the defendant without calling on the plaintiff to prove her case. Revisional authority was appropriately exercised.

The case, *Zabron Pangamaleza v. Joachim Kiwaraka and Amin* (3) was also cited by counsel. The revisional power of the High Court had been sought to be invoked under section 79(1)(c) of Civil Procedure Code in addition to the provisions of section 44(1) of the Magistrate Courts Act "and any other enabling provision of law" as in the instant case.

It was held that section 79(1) which is a kin to section 90 of the Civil Procedure Decree, applied only to issues of jurisdiction and thus could not be invoked but that section 44 of the Magistrate Court Act had served to broaden the scope of the powers of the High Court and ... "goes beyond jurisdictional issues and covers all situations where it appears that there has been an error material to the merits of the case involving injustice". Merits of the case, can in this instance be looked into by the High Court, where there appears that there has been an error material to the case involving injustice. In that case, the appellant had challenged the impartiality of the presiding Magistrate and accordingly applied for the case to be tried by another Magistrate, and it was brushed aside. This admittedly, amounted to an error material to the merits of the case involving injustice to the appellant. The applicant herein is seeking for similar consideration and contended that the issue of injustice can only be determined by the High Court if the applicant is allowed to make his case.

Similarly, reference was made to the case of *Abdu Hassan v. Mohammed Ahmed* (1) at page 181.

A case in which the plaintiff filed claiming over TZS. 280 000 for goods delivered on contract to the respondent in a District Court. The Resident Magistrate forwarded the record to the High Court, questioning the trial magistrate pecuniary jurisdiction in the matter and recommending revision, if considered appropriate.

This case, to me is very poignant in its exposition of the position of the law. The court held that the High Court has no power to interfere in revision under this section (79)(1) of the Civil Procedure Code, 1966, except in the three cases mentioned in paragraph (a), (b), and(c), which is a replica of section 90 (a), (b), and c of Civil Procedure Decree. Vindicating the above view, the court cited the Privy Council case of *Venka Tagiri v. Mindu Religious Endowment Board* (5). That commented on section 115 of the Indian Civil Procedure Code – the equivalent of section 90 of the Decree thus:

Section 155 applied only to cases in which no appeal lies and where the legislature has provided no right of appeal ... the section empowers the High Court to satisfy itself on three matters:

(a) that the order of the subordinate court is within its jurisdiction

(b) that the case is one in which the court ought to exercise jurisdiction and

(c) that in exercising jurisdiction, the court has not acted illegally, that is, in breach of some provisions of law, or with material irregularity this is by committing some error of procedure in the course of the trial which is material, in that it may have affected the ultimate decision. If the High Court is satisfied on these three matters, it has no power to interfere, because it differs however profoundly from the conclusions of the subordinate court on questions of fact or law.

As far as section 90 is concerned, that is all. The High Courts revisional powers herein are restricted; very circumscribed, and while discretionary, they are limited to the aforestated conditions enumerated therein.

This position seems to me to be in consonance with learned Taufiq's contention that the High Courts revisional powers are not blanket. As he contended, they must be in strict compliance with the circumstances enumerated by the Decree.

Gleaning further from the Privy Council, " ... it has no power to interfere because it differs however profoundly from the conclusions of the subordinate court on questions of facts or law", it is clear that it is immaterial whether the courts decision is wrong or right as along as the adjudicating court has jurisdiction over the matter.

Considering the issue of error in judgement further, it has been held that "merely because the High Court would have felt inclined, had it dealt with the matter initially, to come to a different conclusion, would hardly justify interference in revision when no illegality or material irregularity was committed by the subordinate court "... **Sarkar" Law of Civil Procedure** Volume I.

Further illumination is brought on the issue thus "the position is firmly established that while exercising jurisdiction under section 115 (replicated verbation by section 90). It is not competent for the High Court to correct errors of fact however gross or even errors of law, unless the said errors have relation to the jurisdiction of the court to try the dispute itself".

Mr Ussi talked of "illegality" or with material irregularity warranting the exercise of the High Courts revisional power but it has been held that these words "... do not cover either errors of fact or of law; they do not refer to the decision arrived at but merely to the manner in which it is reached. The errors contemplated relate either to the breach of some provision of law or to material defects of procedure affecting the ultimate decision, and not errors either of facts or of law, after the prescribed formalities have been complied with." *DLF Housing and C. v. Sarup A.* (6).

On this issue of error, I will like to conclude with the holding of the Supreme Court of India in the case of *Abbabhai v. Gulamnabi A.* (7) that "... when a court has jurisdiction to decide a question, it has jurisdiction to decide it rightly or wrongly, both in fact and law. The mere fact that the decision is erroneous does not amount to illegal or irregular exercise of jurisdiction."

In the case of *Mwanahawa Muya v. Mwanaidi Maro* (2) at page 78 it was held that "it is wrong, indeed, improper, for the High Court to resort to its revisional powers where (as it was in this case) there are specific issues calling for determination by the court".

I agree with Mr Toufiq, that going through Mr Ussi application, there are substantial issues for determination which can come only by way of appeal. The serious issue canvassed by Mr Ussi in his affidavit in support of his application cannot come by way of revision but by appeal.

Section 90 appears succinct to me:

"The High Court may call for the record of any case which has been decided by any court subordinate to such High Court and in which no appeal lies ..." It appears to me incontrovertible that the High Courts powers here are only exercisable where no appeal lies.

In support of this is the decision in the case of *Khanna v. Dillon, A.* (8), where it was held that "the High Court shall not, under this section vary or reverse any decree or order against which an appeal lies either to the High Court or to the court subordinate thereto. The powers given are clearly limited to the keeping of the subordinate courts within the bounds of their jurisdiction".

It would also appear to me that this revisional jurisdiction has been conferred on the High Court for the effective exercise of its superintending and visitorial powers over subordinate courts, which is purely discretionary. It is part of the general appellate jurisdiction of the High Court, though this jurisdiction is strictly restricted by section 90 which invests it. The power is very limited and advisedly not to be exercised except in the rarest of rare cases, however seriously erroneous, the jurisdictional error.

As decided in the case of *Shar v. Jag* (9) "the revisional power should not be exercised unless as a last resort for an aggrieved party".

It has been held also that "if a person fails to avail the remedy of appeal against the order of the rent controller (subordinate court in this instance) instructed, he cannot invoke the revisional jurisdiction of the High Court.

This application is consequently dismissed and the applicant is advised to file his action through the appropriate procedure.

VITAMIN FOODS (1989) LTD *v.* SCOTCH WHISKY ASSOCIATION

HIGH COURT OF TANZANIA AT DAR ES SALAAM

(Chipeta, J.)

MISCELLANEOUS CIVIL APPEAL No. 5 OF 1999

(From the decision of the Registrar of Trade and Services Marks at Dar es Salaam)

Trade Marks – Application for removal of trademark from the register – Locus standi – Aggrieved party – Section 36 of Trade and Service Mark Act 1986.

Trade Marks – Protection of trademarks – Paris Convention of 20 March 1883, articles 2, 7 bis, 9, 10,10 bis, 10 ter and 22.2 – United Kingdom and Tanzania are parties.

Trade Marks – Application signed by advocate – Application by body corporate – Acceptance of application by the Registrar.

Trade Marks – Ruling signed by one officer only – Section 4 of the Trade and Service Mark Act 1986 .

An application was made to the tribunal presided over by the Registrar, Senior Assistant Registrar and two Assistant Registrars, for the removal from the register a trademark registered in favour of the appellant for a product the appellant described as "Premium Whisky – A Blend of Finest Selected Imported Old Scotch and Malt Whiskies." The basis of the application was that the said mark was deceptive and likely to cause confusion between that product and the products of the members of the respondent who distill, blend and merchant Scotch Whisky. The appellant raised two Preliminary Objections: (a) that the respondent had no *locus standi* because it had no registered trade mark of its own in Tanzania or in the United Kingdom, (b) that the application had not been properly signed. Both Preliminary Objections were dismissed. The appellant being aggrieved, appealed to the High Court on the grounds that the Registrar had erred in holding that the respondent had *locus standi,* and in holding that the

application was not defective. A further ground was that the ruling of the tribunal was defective as it was only signed by the Registrar and had not been read in open court.

Held: (i) The respondent is a lawfully registered company and as one of its arms and objects is to protect and promote the reputation vested in Scotch Whisky throughout the world it was a party aggrieved;

(ii) The respondent, therefore had *locus standi* to bring the application because the law allows any aggrieved party to apply to the Registrar for the removal of an entry from the Register;

(iii) The respondent has *locus standi* as provided for by article 7 bis (3) of the Paris Convention of 1883;

(iv) The Registrar correctly accepted the application signed by the advocate of the respondent.

(v) The tribunal is a quasi judicial body and therefore the provisions of the Civil Procedure Code do not or need not necessarily apply as such the tribunal's communication of its decision to parties concerned by post was proper.

Appeal dismissed with costs

Cases referred to:

(1) *William Powell v. Birmingham Vinegar Brewery Company Limited* [1894] AC 8

(2) *Wineworths Group Limited v. Comite Interprofessionel du Vin de Champagne*, 2. NZLR 327

(3) *Taittinger SA and others v. ALLBEL Limited and another* [1993] ChD 641

Statutory provision referred to:

(1) Trade and Service Mark Act 1986, sections 4 and 36

JUDGMENT

(Delivered 1 October 1999)

Chipeta, J.: This is an appeal by the appellant, Vitamin Foods (1989) Limited, against the Ruling of the Registrar of Trade and Service Marks rejecting Preliminary Objections raised by the appellant in the course of hearing an application by the respondent, The Scotch Whisky Association. The said application was made to the said Registrar for the removal from the Register of Trade Mark Registration Number 22065 registered in the name of the appellant in Class 33, Royal Challenge. The product is described as "Premium Whisky – A Blend of the Finest Selected Imported Old Scotch and Malt Whiskies". The basis of the application is that the said mark is deceptive and likely to cause confusion between that product and the products of the respondent's members who distill, blend and merchant Scotch Whisky.

In the tribunal, which was presided over by the Registrar, a Senior Assistant Registrar, and two assistant Registrars, the appellant raised two Preliminary Objections, namely, (*a*) that the respondent had no *locus standi* in the matter, and (*b*) that the application had not been properly signed. The Registrar rejected both Preliminary Objections.

The Memorandum of Apperal contains two main grounds. The first is that the registrar erred in holding that the respondent had *locus standi* and that the application was not defective. The second ground is that, the Ruling is not a proper ruling of the tribunal in that it was not written and signed by the Principal Officer, that is, the Registrar, and that it was not read and delivered in the tribunal in open court. By the order of the court, the learned advocates of the parties in this appeal filed written submissions. I am indebted to them for their lucid submissions. I do not intend to reproduce them here but will refer to them on appropriate occasions in the course of this judgement/ruling.

It has been submitted by learned counsel for the appellant that the respondent has no *locus standi* because the respondent has no registered trademark in its own name either in Tanzania or in the United Kingdom, and so the respondent cannot be "a party aggrieved" within the meaning of that expression in section 36 of the Trade and Service Marks Act 1986, (hereinafter referred to as the Act) nor could the respondent suffer any harm or loss.

This question, it seems to me, centers on the interpretation of section 36 of the Act. The section reads as follows:

> 36 any person aggrieved by the non-insertion in or omission from the Register of any entry, or by any entry wrongly remaining on the Register, or by any error or defect in any entry in the Register, may apply to the court or at the option of the applicant and subject to the provisions of section 55 of this Act to the Registrar, and the court or the Registrar shall make such order for making, expunging or varying the entry as shall be deemed fit.

It will be noted that the section talks of "any person". It does not qualify the person. Who then is "a person aggrieved" who would thus be said to have *locus standi* in such applications. The leading authority on this point, it appears to me, is the case of *William Powell v. Birmingham Vinegar Brewery Company, Limited* (1). In that case, Lord Herschell, L.C. stated, at page 10:

> Wherever it can be shown, as here, that the applicant is in the same trade as the person who has registered the trade-mark, and wherever the trade-mark if remaining on the register would or might limit the legal rights of the applicant so that by reason of the existence of the entry upon the register he could not lawfully do that which but for the appearance of the mark upon the register could lawfully, do, it appears to me that he has a locus standi to be heard as a person aggrieved.

The House of Lords was, in fAct echoing the voices in the Court of Appeal in that case. There Lord Bowen, L.J., stated:

> Persons who are aggrieved are persons who are in some way or other substantially interested in having the mark removed from the register, or persons who would be substantially damaged if the mark is retained.

He added:

> To my mind, it is equally true that persons would be aggrieved if they are in the same trade and might reasonably be expected to deal in the same article.

(See: *In Re Powell's Trade-Mark*, (1893) 2 Ch 388, at page 406).

Eminent authors on the subject confirm the foregoing to be the meaning of the expression "person aggrieved". They go on to express the view, which I share, that the expression should be interpreted liberally. (See **Kerly's Law of Trade Marks and Trade Names**, page 179, 12 ed). This approach was approved by Lord Herschell, LC in the *Powell* case in which he stated, at page 10:

> I should be very unwilling unduly to limit the construction to be placed upon these words (persons aggrieved), because, although they were no doubt inserted to prevent officious interference by those who had no interest at all in the register being correct and to exclude a mere common informer, it is undoubtedly of public interest that they should not be unduly limited in as much as it is a public mischief that there should remain upon the register a mark which ought not to be there.

Lord Ashbourne added his voice. He stated, at page 14:

> I do not see any reasons of public policy rendering it at all desirable to unduly narrow the definition of this class of "persons aggrieved.

In the instant case, the respondent is a lawfully registered company, and one of its aims and objects is to protect and promote the reputation vested in Scotch Whisky throughout the world. The appellant is said to be dealing in "a blend of the finest selected imported Old Scotch and Malt Whiskies". It, therefore, goes without saying that the two parties are in the same trade, and are in fact dealing in the same article, Scotch Whisky. By the definition of the expression "person aggrieved", it is beyond peradventure that the respondent is "a person

aggrieved" within the meaning of that expression in section 36 of the Act. In the words of Lord Ashbourne in *Powell's* case (*supra*), if the respondent in this case is not to be classified as "a person aggrieved", it would be difficult to suggest any one who could be more aptly be so designated. The respondent, therefore has *locus standi* in the application. The fact that the respondent has no trade mark registered in its name in Tanzania or the United Kingdom is irrelevant.

On the point that the respondent is a mere association which had not filed a representative suit, let me point out, as was pointed out by learned counsel for the respondent, that in many jurisdictions in the Commonwealth, courts have granted remedies to trade associations for trade malpractices such as passing-off. Such was the case *in Wineworths Group Limited v. Comite Interprofessionel du Vin de Champagne*, (2) in the Court of Appeal of New Zealand, and in the case of *Taittinger SA and Others v. Allbel Limited; and another,* (3). I can see no reason why this court should treat trade associations differently in this day and age. The practical reason for permitting trade associations to file suits is to avoid multiple parties, minimize costs, and save the time for courts.

The respondent, I think, has another basis for its *locus standi*, as suggested by learned counsel for the respondent. I have in mind the Paris Convention of 20 March 1883 for the protection of industrial property to which both the United Kingdom and Tanzania are parties. The relevant articles are articles, 2, 7 bis, 9, 10 bis, 10 ter and 22.2. article 7 bis (3) of the Convention states that the protection of trade marks referred to in the Convention :

> ...shall not be refused to any association the existence of which is not contrary to the law of origin, on the ground that such association is not established in the country where protection is sought or is not constituted according to the law of the latter country.

It was next submitted that Ms Kasonda, learned advocate with the respondent's firm of advocates, that is, Mkono and Company Advocates,

had no authority to sign the application because, it was said, that was a breach of rule 10 of the Trade Marks Rules 1958. In my view, since the respondent is a body corporate, the second part of the rule is relevant. It provides as follows:

> A document purporting to be signed for or on behalf of a body corporate shall be signed by a Director or by the secretary or other principal officer of the body corporate, or by any other person who satisfies the Registrar that he is authorized to sign the document.

In this case, it is abundantly clear from the conduct of the Registrar in accepting the respondent's application and dealing with it in the ordinary manner that the Registrar was satisfied that Ms Kasonda was authorized to sign the application being "any other person".

The next ground of appeal was that the "Power of Attorney" granted to Mkono and Company, Advocates, was bad in law in that a power of attorney can be given to an individual, or to a limited liability company, but not to a firm. Learned counsel for the appellant quoted no authority for that proposition. I am not, for my part, aware of any law which prohibits a client from instructing or authorizing a firm of advocates to act on his or its behalf. I can see no better person than a firm of advocates to be given authority or instruction to act in connection with any lawful matter. It might have been a different matter if the complaint had been that Mkono and Company, Advocates had no authority from the respondent to act on its behalf in the matter; or if the complaint had been that by so acting on the authority of the power of attorney, the appellant was materially prejudiced. This ground of appeal, therefore, is equally without merit.

The last ground of appeal was that the Ruling was not a proper ruling of the Registrar because (a) although the application was heard by the Registrar, it was not written, signed, and dated by the Registrar, and (b) it was not delivered in open court. Instead, it is argued, it was written and signed by a person who had no authority to do so. This, it is said, was a breach of Order 20, rule 3 of the Civil Procedure Code.

To start with, the record of the tribunal reveals that its coram consisted of the Registrar, a Senior Assistant Registrar, and two Assistant Registrars. The Ruling was signed by the Senior Assistant Registrar and the two Assistant Registrars. As correctly submitted by learned counsel for the respondent, under section 4 of the Act the Registrar and the Assistant Registrars have concurrent jurisdiction or authority in matters concerning rectification of, or removal of a trademark from, the Register. That being the position, the Ruling was properly signed by people with authority to do so.

The complaint that the Ruling was not delivered in open court as required by the Civil Procedure Code is also without merit. This was a quasi-judicial tribunal to which the provisions of the Civil Procedure Code do not or need not necessarily apply. Besides, it appears to be the practice in such tribunals for the Registrar or an official of the tribunal to communicate decisions of the tribunal to the parties concerned by post, as was done in this case. There is nothing in the Trade Marks Rules 1958, compelling the Registrar to deliver his decisions in open court. Communicating decisions of such tribunals by post is the procedure followed even in the United Kingdom and the European Union. In **The Trade Mark Handbook,** which is a practitioners guide to trade marks in the United Kingdom and the European Union (1997) it is stated, in paragraph 9.6.6:

> In cases where a hearing takes place, the Registrar (who is normally represented by a senior official) will normally reserve his decision. Copies of the decision are sent to all the parties to the proceedings.

That was what the Registrar did in this case. I cannot, therefore, see any irregularity in the manner in which the decision of the tribunal in this case was communicated to all the parties concerned. For the foregoing reasons, I am of the settled view that this appeal is devoid of any merit. The same is accordingly hereby disms.sed with costs.

ATHANAS ALBERT AND FOUR OTHERS *v.* TUMAINI UNIVERITY COLLEGE, RINGA

COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Kisanga, J.A.)

CIVIL APPLICATION No. 50 OF 1999

(Application for stay of execution of the decision of the High Court of Tanzania, at Songea, Mwipopo, J., dated 26 June 1999, in Misc. Civil Application No. of 1999)

Civil Practice and Procedure – Stay of Execution – Application for stay of execution – Stay of execution sought where there is no court order granting to the respondent any right to execute or to do anything affecting the rights or interests of the applicant – Whether the application is competent.

The applicants filed a suit against the respondent in the District Court and then applied successfully for temporary order of injunction pending the determination of the suit. The High Court exercised its revisional jurisdiction and set aside the order. The applicants filed a notice of intention to appeal to the Court of Appeal and then made an application for stay of execution of the revisional order.

Held: (i) There was nothing to stay in the revisional order of the High Court;

(ii) A stay of execution can properly be asked for where there is a court order granting a right to the respondent, or commanding or directing him to do something that affects the applicant.

Application dismissed

Mr Mkwata, for the Applicants

Mr Mwakingwe, for the Respondent

RULING

(Dated 8 October 1999)

Kisanga, J.A.: This is an application for a stay of execution of the order of the High Court pending the hearing and determination of an intended appeal to this court. The background to the case is set out in a joint affidavit of the five applicants and it may briefly be stated as follows: The applicants who are currently third year students at the respondent University College had their studies terminated on grounds of non-payment of fees. They filed a suit in the District Court against the respondent challenging such termination of their studies. They at the same time applied for temporary injunction to restrain the respondent from expelling them pending the hearing and determination of their suit. The District Court granted the temporary injunction but the High Court exercising revision powers set aside the order for temporary injunction. The applicants gave notice of intention to appeal to this court against that order of the High Court. In the present application to this court the applicants are now seeking for a stay of execution of the order of the High Court pending the hearing and determination of the said intended appeal to this court. At the hearing of this application the applicants were represented by Mr BP Mkwata while the respondent was advocated for by Mr MT Mwakingwe.

As intimated before, the Notice of Motion was duly supported by a joint affidavit of all the applicants. The respondent filed a counter-affidavit and a supplementary counter-affidavit. The applicants filed affidavit in reply to the supplementary counter-affidavit. Upon the application of counsel, I allowed counsel for both sides to make their submissions in writing. The application was resisted mainly on two alternative grounds, namely, that the application was incompetent or, in the alternative, that there was no order of the High Court to be stayed. On the first ground it was contended that in law, there was no intended appeal because a copy of the notice initiating the

said appeal was not served on the respondent or its counsel. The applicants adduced evidence showing that a copy of the said notice was received by one Scolla Rwezaula, the Secretary to the Vice Provost of the respondent University College. That evidence was not challenged or contradicted. The respondent's only argument was that the notice was not received by a responsible officer of the respondent's administration. It seems plain to me that that argument is untenable. The said Scolla Rwezaula was the Secretary to the Vice Provost of the respondent University College, undoubtedly a very senior and responsible officer of the respondent's administration.

In the absence of any contrary indication, one is entitled to assume that in that capacity, it was part of Scolla's duties to receive communications addressed or directed to the respondent through the Vice Provost. The said notice titled "Notice of Appeal in Miscellaneous Civil Application Number 90 of 1999" was clearly addressed to "Tumaini University, Iringa University College". In my view the applicants were perfectly entitled to leave the notice with the said Scolla and to take it that it was duly served on the respondent University College through its Vice Provost. This ground of objection, therefore, fails.

Coming now to the second and alternative ground, the respondent contends that there is no order of the High Court to be stayed. The respondent's evidence as adduced by counter-affidavit shows that following the High Court order setting aside the temporary injunction granted by the District Court, the respondent proceeded on 26 June 1996 to take a number of steps against the applicants. These steps include:

(i) Termination of the applicants' studies

(ii) Instructions to lecturers to stop supervising the applicants' research work and to stop releasing any examination results to them.

(iii) Withdrawal from the applicants of the amenities such as accommodation and other facilities at the campus which are intended for *bona fide* students.

The respondent's contention, therefore is that when this application was filed on 2 July 1999 it was already too late in the day because the respondent had already acted on the order of the High Court which was intended to be stayed. On the other hand the applicants vigorously contend and reiterate that if their application is not granted, they stand to suffer irreparable loss, and that the intended appeal to this court stands good chances of success.

In my opinion, the real question raised in this application is whether the High Court order in question was one in which it was capable of ordering a stay of execution. As stated before, the High Court order consisted of setting aside the order of the District Court which had granted temporary injunction to the applicants. The applicants, in effect, are now asking this court to stop that order from taking effect. In other words the applicants are asking this court to set aside the order of the High Court and thereby restore that of the District Court. But it seems that that can only be done in the course of hearing and determining the intended appeal to this court. To do otherwise would amount to granting the applicants what they are asking for in the intended appeal, which to my mind would be wrong in principle.

I am increasingly of the view that, there is nothing in the High Court order the execution of which is capable of being stayed. All that the High Court did was to set aside the order of the District Court which had restrained the respondent from terminating the applicants' studies. It seems to me that a stay of execution can properly be asked for where there is a court order granting a right to the respondent or commanding or directing him to do something that affects the applicant. In such a situation, the applicant can meaningfully ask the court for a stay and to restrain the respondent from executing that order pending the results of an intended appeal. But in the present case after the High Court had set aside the order of the District Court, there is no order of any court now granting any rights to the respondent or commanding or instructing the respondent to do anything affecting the applicants or, indeed, anyone. There is a clean slate,

as it were. Then the question is: Which order of the High Court are the applicants asking this court to order a stay of execution of?

In my view there was no basis for the applicants seeking a stay of execution of the order of the High Court. For, the said order of the High Court did not grant to the respondent any right the enjoyment or enforcement of which could be stayed through a court order pending the results of the intended appeal by the applicants. In the result I am satisfied that this application was misconceived and it is accordingly dismissed with.

AUGUSTINE LYATONGA MREMA AND TWO OTHERS *v.* ABDALLAH AJENGO AND TWO OTHERS

COURT OF APPEAL OF TANZANIA
AT DAR ES SALAAM

(Kisanga, Mfalila and Lubuva, JJ.A.)

CIVIL APPEAL No. 41 OF 1999

(From the decision of the High Court of Tanzania, Bubeshi, J. dated 14 May 1999)

Civil Practice and Procedure – Interim injunction – When it can be granted without serving notice on the respondent – Order 37, rule 4 of the Civil Procedure Code 1966.

Civil Practice and Procedure – Interim injunction – Reasons to be disclosed for requesting the court to dispense with service of notice – Order 37 rule 4 of the Civil Procedure Code 1966.

The respondents filed a suit against the appellants after the first and the third appellants had resigned from NCCR – Mageuzi Party and took over all national leadership positions in the Tanzania Labour Party (TLP). They sought declarations, one of which was that the purported wholesale removal of the elected office bearers of the TLP

and the installation of the first, second and third appellants and others in various positions that party was null and void. The respondents also filed a chamber application in which they sought first, an interim *ex parte* injunction restraining the appellants, their followers, agents and servants from acting as office bearers of the TLP and conducting political activity in the party or issuing the new TLP membership cards, pending the hearing of the application *inter partes;* the second prayer was for a temporary injunction to be heard *inter parties* pending the final determination of the suit and thirdly costs of the application. Bubeshi, J. heard the application and granted the *ex parte* order of interim injunction and an order was drawn in accordance with the prayer. Being aggrieved the appellants appealed against the order on two grounds: one, that the interim order was improperly heard and granted *ex parte* without first serving a notice on the appellants and, two, that the interim injunction was granted without adducing evidence to dispense with the requirement of service of notice to the appellants.

Held: (i) The requirement of giving notice to the respondent before granting an interim injunction is mandatory.

(ii) The onus of satisfying the court that there is a good cause for dispensing with the requirement to give notice lies with the applicant and the affidavit filed in support of the chamber summons disclosed no grounds for dispensing with such notice.

(iii) **Obiter**: The interim injunction granted *ex parte* was too wide and resulted in denying the appellants and their followers and personal servants their Constitutional rights to engage in political life.

Appeal allowed with costs in both courts; Interim injunction set aside

Case referred to:

(1) *Noor Mohamed Jan Mohamed v. Kassamali Virji Madhani* (1953) 20 E.A.C.A 8

Statutory provision referred to:

(1) Civil Procedure Code1966, Order 37, rule 4

Mr Magesa, for the Appellants

Mr Tadayo, for the Respondents

JUDGMENT

(Dated 11 October 1999)

Mfalila, J.A.: On 6 May 1999, the respondents filed a suit against the appellants in which they claimed for a number of declarations including the following:

> The purported wholesale removal from office of the elected office bearers of the Tanzania Labour Party and the installation of the first, second and third defendants (the present appellants) as National Chairman, National Vice-Chairman (Mainland) and Secretary General respectively, and all appointments made at all levels of the party are null and void for being contrary to the Constitution of the United Republic of Tanzania, the Constitution of the Tanzania Labour Party and the Political Parties Act.

This suit followed the alleged gate-crashing by the first and third appellants into the Tanzania Labour Party after their resignations from the NCCR-Mageuzi Party. The respondents alleged in their plaint that the first and third appellants not only gate-crashed into their party but also unsurped all national leadership positions in the Party. Also that the second appellant vacated his position as National Chairman of the party without following the procedures laid down in the party Constitution. In the plaint, the respondents described themselves as members of a registered political party, the Tanzania Labour Party and holding party portfolios as follows:

> First respondent, Abdallah Majengo -Vice-Chairman (Mainland)
>
> Second respondent, Alphoncina Massawe - National Women's Chairman
>
> Third respondent, Winston Gellege- Dodoma Regional Party Secretary

The appellants are described as follows:

> First appellant, Augustine Lyatonga, Mrema - installed as National Chairman
>
> Second appellant, Leo Lwekamwa - installed as National Vice-Chairman (Mainland)

Third appellant, Harold Jaffu - installed as Secretary General

It appears that before the appellants had filed their written Statements of Defence, the respondents filed chamber summons supported by the affidavit of the first respondent in which they prayed first for an *interim ex-parte* injunction restraining the appellants, their followers, agents and servants from acting as office bearers of the Tanzania Labour Party, conducting political activity in the name of the paty or issuing the new TLP membership cards pending the hearing and determination of the Application *inter-parties*. Secondly, for a temporary injunction, upon hearing the Application *inter-parties*, restraining the appellants, their followers, agents and servants from acting as office-bearers of the paty, conducting party political activities in the name of the paty or issuing the new TLP membership cards pending the final determination of the suit; and, thirdly, for costs of the application.

On 14 May 1999, *ex parte* proceedings to hear this application commenced in the High Court before Bubeshi, J. Mr Tadayo learned counsel who appeared for the respondents, told the trial judge that he was applying for an interim injunction against the appellants, their followers, agents and servants restraining them from acting as office bearers of Tanzania Labour paty and conducting political activities in the name of the said paty or issuing new paty membership cards. Elaborating on this prayer, Mr Tadayo further told the trial court that the appellants had descended on the paty and purported to assume paty official positions of National Chairman and Secretary General. Replacements of TLP functionaries with former NCCR-Mageuzi cadres were also effected at regional and district levels. All these actions, Mr Tadayo submitted, were contrary to the paty Constitution as well as the provisions of the Political Parties Act. On the basis of these unConstitutional activities by the respondents, he said, the paty was put in danger of being struck out from the register of political parties. Hence, he concluded, it was necessary for the court to issue the order prayed for in order to maintain the *status quo* pending the hearing *inter-parties* of the main application for temporary injunction.

Following these submissions, the learned judge made the following order:

> After hearing counsel for the applicants *ex-parte*, and after studying the accompanying affidavit deponed to by the first plaintiff (*sic*) in support thereto, this court grants *ex-parte* an interim injunction as prayed. The main application inter parties is hereby fixed for hearing on 27 May 1999. respondents to be served to appear.

The order which was drawn up following this ruling was indeed as prayed in the chamber summons, and this is the order whose correctness is being challenged in this appeal. As indicated, the *ex-parte* order which was granted as prayed, restrained the appellants, their followers, agents and servants from acting as office bearers of Tanzania Labour Party, conducting political activities in the name of the paty and issuing the new TLP membership cards, pending the hearing and determination of the application inter parties.

The appellants challenged the correctness of this order in a two-point Memorandum of Apperal as follows:

1. The High Court erred in law and in fact to grant interim order of injunction to the respondents *ex-parte* without first having served a notice to the appellants.

2. The High Court erred in law and in fact by granting an interim order of injunction *ex-parte*, without evidence to dispose with the requirement of service of notice to the appellants.

The two grounds are inter related and will be dealt with together. At the hearing of this appeal, Mr Magesa, learned counsel who appeared for the appellants, submitted with some force that the amended Order 37, rule 4 of the Civil Procedure Code 1966 made it mandatory to serve the notice on the opposite party before hearing and issuing the order of injunction. Order 37, rule 4 provides as follows:

> The court shall in all cases, before granting an injunction, direct Notice of Application for the same to be given to the opposite party, except where

it appears that the giving of such notice would cause undue delay and that the object of granting the injunction, would thereby be defeated.

On the basis of this provision, Mr Magesa contended that the requirement of giving notice is mandatory and that the burden is on the party alleging otherwise to prove the circumstances exempting the notice, and cited the decision of the Court of Appeal for Eastern Africa in *Noor Mohamed Jan Mohamed v. Kassamali Virji Madhani* (1) as authority for this proposition. He added that in this case not only did the affidavit by the first respondent fail to disclose any reasons for dispensing with the mandatory requirement of serving notice on the opposite side, but there was actually no reason because the appellants, all resident in Dar es Salaam, could have been easily served before the hearing. Mr Magesa concluded his submissions by stating that because no reasons had been advanced for dispensing with notice, the *ex-parte* order of injunction granted by the learned judge was in contravention of Order 37, rule 4.

In reply, Mr Tadayo for the respondents conceded that no reasons were given for the non-service of notice on the appellants, but he said that in his view the rule applies only to applications for temporary not as in this case interim injunctions.

With respect, we think Mr Tadayo's argument is ingenious but it has no merit. The rule as cited above makes no distinction between interim and temporary injunctions. On the contrary it covers all cases, it states – "the court shall in all cases ..." With even greater respect we are satisfied that Mr Magesa's submissions are correct. The effect of rule 4 of Order 37 is to make it compulsory for the giving of notice to the opposite party in all cases except in situations covered by the exception to the rule. In the *Noor Mohamed case* (1) referred to by Mr Magesa, it concerned Order 39, rule 3 of the Kenyan Civil Procedure Code in *pari materia* with our Order 37, rule 4, the Eastern Africa Court of Appeal stated, after quoting rule which is identical to our rule 4:

The requirement to give notice is clearly mandatory and it cannot be disputed that the onus of satisfying the court that there is good cause for dispensing with it will lie with the applicant.

In the instant case, the respondents' summons did not contain any reference to rule 3 nor any application for the order dispensing with notice and the only paragraph of his affidavit which could be prayed in aid of the immediate issue of an injunction is paragraph 10 which contains the bold assertion that the furniture, goods and effects are in danger of being wasted or wrongfully sold in execution.

That case is on all fours with the case before us. It was up to the respondents to satisfy the court that there was a good cause for dispensing with the mandatory requirement to serve the notice of the application to the appellants. Not only did the respondents' chamber summons fail to refer to rule 4, but the first respondent's affidavit contained no grounds for dispensing with such notice. Without the respondents satisfying the court as to the necessity of dispensing with the notice under the exception to rule 4, the court had no power to grant *ex-parte* the injunction against the appellants. The result of this unfortunate error was that the appellants have been denied their Constitutional and civil right to engage in the political life of their country, this is because, in this country political activity is not possible outside registered political parties. We also wish to observe that the High Court, even if it were minded to grant the order for injunction, should not have granted the order as prayed because it was unduly wide, bringing under its umbrella even innocent parties apart from its vagueness. For instance, who are the appellants' followers? What have the appellants' servants in the form of cooks, housegirls or gardeners to do with their bosses' political life? As no political activity is allowed in this country outside registered political parties, the judge's order amounted virtually to a suspension of the appellants' Constitutional and civil rights. The judge should have limited her order to the main complaint against the appellants, namely usurpation of leadership positions in Tanzania Labour paty.

Before we end, we wish to quote the very useful guidelines on the practice to be followed in applying for injunctions under rule 37, the guidelines made by the Court of Appeal for Eastern Africa in the *Noor Mohamed case (1)*. These guidelines when followed will help the High Court avoid making similar mistakes in future. The court stated at page 12:

> In conclusion I will venture to add a few observations on the practice in applying for the injunction under Order 39. I have been most surprised to find in this case that service on the opposite party was dispensed with, without there being a formal application for this in the applicant's summons, and that peremptory injunction was served without the party affected thereby being at the same time served with the copy of the plaint. I should like to suggest therefore that, as a rule of practice:
>
> (a) An application under Order 39 should contain a prayer for, either, directions as to service of the notice on the defendant, or, for an order dispensing with such notice. In the latter case reference should be made to the affidavit or affidavits relied upon in support.
>
> (b) Every order made under Order 39, rule 3, should direct that service of the notice or injunction, as the case may be, should be accompanied by service of the plaint if this has not previously been served.

Having said all this, we allow the appeal and set aside the interim injunction ordered against the appellants. We also make an order for costs in favour of the appellants both in this court and in the court below.

EL-NASR EXPORT AND IMPORT COMPANY *v.* NAHDI TRADING COMPANY

COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Makame, Samatta and Lugakingira, JJ.A.)

CIVIL REFERENCE No. 12 OF 1998

Civil Practice and Procedure – Stay of Execution – Application to the Court of Appeal for stay of execution of a High Court decision where no Notice to Appeal against it is lodged – Whether the application is competent – rule 9(2)(b) of the Tanzania Court of Appeal Rules 1979.

An *ex-parte* judgment was entered by the High Court against the applicant on 10 July 1997. No Notice of Appeal was lodged in respect of that decision. Instead, the applicant applied to the High Court for orders, *inter alia*, to set aside the *ex-parte* judgment and to stay its execution. This application was dismissed on 16 February 1998 whereupon the applicant lodged a Notice of Appeal against this dismissal. The applicant then filed before the Court of Appeal an application for stay of execution of the *ex-parte* judgment of 10 July 1997, in respect of which there was no Notice of Appeal. The application was heard and dismissed by a single judge, hence this reference to the full court.

Held: (i) Since no Notice of Appeal is lodged in respect of the judgment whose execution the applicant wishes to be stayed, this court has no jurisdiction to order stay of execution of that judgment under rule 9(2)(*b*) of the Court's Rules.

Application dismissed

Case referred to:

(1) *Faizen Enterprises Ltd v. Africarriers Ltd* [1999] T.L.R 77

Statory provision referred to:

(1) Court of Appeal Rules, rules 9(2)(b), 57(1)(b), 76(6), rule 76(2) and (3),

Dr Lamwai, for the Applicant

Dr Mwaikusa and *Mr. Mponda,* for the Respondent

RULING

(Dated 29 October 1999)

Smatta, J.A.: This is a reference brought under rule 57(1)(b) of the Tanzania Court of Appeal Rules 1979 (hereinafter referred to as "the rules") from a ruling of a single judge of this court (Lubuva, J.A.). In that ruling, the learned single Judge dismissed the applicant's application for stay of execution of a decree passed by the High Court (Kaji, J.) following an *ex parte* judgment entered in favour of the respondent.

The following is the background to the application. In July 1994, the respondent filed a suit in the High Court against the applicant, claiming from it a collosal sum of money. Following non-appearance of the applicant's counsel at the hearing of the case, on 10 July 1997, Kaji, J., entered an *ex parte* judgment in the respondent's favour. It is not in dispute that no Notice of Appeal was lodged in respect of **that** decision. On 15 August 1997, following an application by the respondent for execution of the decree ... that High Court issued an order for attachment of the applicant's property and a garnishee order against its (the applicant's) bank account. Having become aware of those legal steps, the applicant rushed to the High Court and there filed an application for (1) setting aside the *ex parte* judgment; (2) an order raising the attachment order; and (3) stay of execution. The application was heard by Chipeta, J. The learned Judge dismissed it. The applicant was aggrieved by that decision. Six days later, it lodged a Notice of Appeal in respect of it. The body of that notice read as follows:

> Take Notice that El Nasr Export and Import Company Ltd., the appellant above-named, being dissatisfied with the decision of the Honourable Mr Justice BD Chipeta, given at Dar es Salaam on the 16 February 1998, intends to appeal to the Court of Appeal of Tanzania against the whole of the said ruling.

The applicant then filed the application before this court, which eventually the learned single judge dismissed. The learned single Judge held that as the applicant had filed no Notice of Appeal in respect of Kaji, J.'s judgment, the subject of the application for stay of execution, the application for stay of execution was incompetent in law. In the course of his ruling, he cited the provisions of rules 9(2)(*b*) and 76(6) of the rules and went on to say:

> From the provisions of these rules, I am increasingly of the view that the Notice of Appeal necessarily has to specify the particular decision or such part of the decision against which it is desired to appeal. In this case, it is common ground that the Notice of Appeal lodged ... of 18 February 1998 by Honourable Chipeta, J. However, the application indicates that it involves the *ex-parte* judgment in the High Court by Honourable Kaji, J. This was a well conceded by Dr Lamwai in his oral submission before me. His argument however, was that even though it was not specified which decision it was intended to be stayed, both the decisions concerned the same decision of the High Court, i.e., Civil Case Number 159 of 1994. With respect, it is my view that Dr Lamwai is wrong on this point. As the Notice of Appeal filed pertains to the decision of 18 December 1998 (Chipeta, J.) and not that of 10 July 1998 (Kaji, J.) which it is intended to be stayed, it goes without say that the application for stay of execution before me, was without the requisite Notice of Appeal. For that reason, it was, as submitted by Dr Mwaikusa, incompetent.

Before us, it was contended by Dr Lamwai, on behalf of the applicant, that the learned single Judge strayed into an error in law in dismissing the application for stay of execution on the ground that no Notice of Appeal had been lodged in respect of Kaji, J.'s decision. According to the learned advocate, if the learned single Judge had taken into account the following three points he would have arrived at a decision in favour of the applicant: (1) no Notice of Appeal could have been lodged in respect of Kaji, J.'s judgment before the applicant was

granted extension of time to lodge the same; (2) the applicant could not take the first step of appealing against Kaji, J.'s decision before moving the High Court to set aside that that decision; and (3) the *ex parte* judgment suffered from illegality because it was based on an affidavit and not oral evidence. Counsel sought to bolster that submission by reference to the decision of this court in *Faizen Enterprises Limited v. Africariers Limited* (1), a case which concerned, among other things, the question whether an *ex parte* judgment may be entered entirely on the basis of affidavit evidence. He strenuously contended that the *ex parte* judgment in the present case was in law, not judgment. The learned advocate concluded his submission by arguing that since the application before Chipeta, J., was for setting aside the "*ex parte* decree", by necessary implication Kaji, J.'s judgment was on agenda. He urged us to reverse the learned single Judge's decision. On behalf of the respondent, Dr Mwaikusa made a simple and straightforward response. He contended that since no Notice of Appeal has been lodged in respect of Kaji, J.'s decision, the stay of execution of which was being sought before the learned single Judge, that decision has not in law been brought before this court and therefore no stay of execution of it can be ordered.

We have carefully considered counsel's rival arguments and in the upshot we agree with Dr Mwaikusa that there is no basis for taking a view different from that arrived at by the learned single Judge. We are of the settled opinion that the learned single Judge was perfectly right in holding, as he did, that the absence of a Notice of Appeal in respect of the decision the execution of which the applicant sought to be stayed was fatal to the application for stay of execution. As aptly put by Dr Mwaikusa, a Notice of Appeal is the gear, so to speak, which moves this court to exercise its power under rule 9(2)(*b*) of the rules. In spite of Dr Lamwai's ingenious argument, we entertain no doubt that lodging of a Notice of Appeal by an indirect method is a notion unknown to the law of this country. The provisions of rule 76(2) and (3) of the rules as read with Form D in the First Schedule of those rules plainly rule out that notion.

Those provisions require an appellant to expressly specify in his Notice of Appeal the decision of the High Court which he intends to appeal against. Form D requires that the name of the judge who gave that decision be disclosed. Since, in the present case, no Notice of Appeal was lodged in respect of Kaji, J.'s judgment this court clearly lacked jurisdiction to order stay of execution of the decree arising therefrom.

For the reasons we have given albeit briefly, we can find no warrant for holding that the learned single Judge was not entitled to reach the conclusion he did. Accordingly, we dismiss the application. The respondent company will have its costs

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LAUREAN RUGAIMUKAMU *v.* THE EDITOR, MFANYAKAZI NEWSPAPER AND ANOTHER

COURT OF APPEAL OF TANZANIA
AT DAR ES SALAAM

(Makame, Samatta and Lugakingira, JJ.A.)

CIVIL REFERENCE No. 12 OF 1996

Civil Practice and Procedure – Extension of time – Application for extension of time to apply for correction or variation of Judgment – Application filed more than a year after applicant is made aware of the need for it – The delay is inordinate.

Civil Practice and Procedure – Judgment – Correction of errors in a judgment – High Court omits to award interest on a decretal amount – Whether that is an error which the Court of Appeal may correct under section 2(3) of the Appellate Jurisdiction Act.

The applicant was successful in his appeal before the Court of Appeal but the court did not award him costs because they were not asked for in the Memorandum of Appeal. There then followed a series of applications and references before the court without success. This one came as a reference from another unsuccessful application, this time, seeking extension of time to apply for correction of judgment, with a view to inclusion of an award of costs, and for adding an award of interest on the decretal amount awarded by the High Court.

Held: (i) Though the applicant was made aware that costs had not been awarded to him back in 1994, he did not try to take appropriate steps to vary the court decision so as to include costs until 1996, after a series of misguided and useless applications to court; the present reference is an abuse of the court process.

(ii) The prayer for additional interest on the sum decreed by the High Court cannot be considered with this reference.

Reference dismissed

Statutory provision referred to:

Appellate Jurisdiction Act 1979, sections 2(3) and (5)

RULING

(Dated 29 October 1999)

Lukangira, J.A.: This is the seventh time since 1994 that the applicant has come before this court on the issue of costs. The background to the saga is short and it is this.

The applicant sued the respondents for defamation before the High Court at Dar es Salaam in Civil Case Number 330 of 1991. The respondents did not file a defence and the hearing proceeded *ex parte* by affidavit. However, the suit was dismissed upon the court finding that the claim had not been established. The applicant then applied to the same court to review its decision but the court refused to do so. He appealed to this court against the refusal in Civil Appeal Number 39 of 1992. The court allowed the appeal, remitted the suit

to the High Court for trial according to law, but made no order for costs since they were not asked for in the Memorandum of Appeal. That was the genesis of the saga.

On or about May 1994, the applicant's advocate, Mr Magesa, presented a bill of costs incurred in the appeal for taxation, but it was disallowed by the Taxing Officer who pointed out that the court had not awarded any costs. The applicant, now appearing personally, contested that ruling in Civil Reference Number 4 of 1994 before a single judge of the court arguing that "where the court is silent on the question of costs in its judgment, it implies that costs are awarded to the successful party". The learned judge rejected the argument, stating that a successful party must be declared by the court as the recipient of costs, but he does not automatically attract costs by merely being declared a successful party. The applicant was adamant and made a further reference to a panel of three judges before whom he submitted that in civil matters a successful party has to be awarded costs. He conceded, however, that costs have to be asked for specifically – which was not the case in his Memorandum of Appeal – and further conceded that a court was not obliged to grant costs when they were not asked for, but maintained that silence in the judgment implied that costs had been granted. The judges were not impressed and dismissed what was Civil Reference Number 8 of 1994. Undaunted, the applicant returned with Civil Application Number 24 of 1995 praying for review of the decision but that, too, was refused.

Upon realizing that he could not obtain costs as of right, he changed tactics. In February, 1996 he applied to a single judge, this time to vary the judgment of the court so as to include an order for costs. The judge (Nyalali, C.J.) struck out the application for being "hopelessly time-barred" and "an abuse of court process". That did not deter the applicant; on the contrary, it seems to have spurred him into renewed battle. He now lodges Civil Application Number 17 of 1996 for extension of time to apply "for correction of judgment". On this occasion he also has another prayer. Following this court's directions in Civil Appeal Number 39 of 1992, the High Court retried the suit, found

in the applicant's favour and awarded him damages. However, it did not award him interest on the decretal amount from the date of filing the suit to date of judgment stating that "it was not pleaded for". The applicant says this is an error and invites this court to correct that error pursuant to section 2(3) and (5) of the Appellate Jurisdiction Act 1979 as amended by Act Number 17 of 1993 and award him interest at the rate of 31%.

We begin with the prayer for extension of time. When the applicant appeared before us he stated that he could not make the application in time because he assumed that costs had been awarded. He did not become aware of the true position until the matter came for taxation. This argument may well be true but it cannot assist the applicant in the circumstances of this case. We say so because even after the ruling in the taxation, which was given on 1 June 1994, and the ruling on the reference therefrom which was given on 12 October 1994, and both of which made it clear that costs had not been awarded and could not be presumed, the applicant, for well over a year thereafter, persisted in his contention to the contrary as evidence by Civil Reference Number 8 of 1994 and Civil Application number 24 of 1995. In reality, therefore, although the truth was brought to his door, he refused to accept it, preferring instead to rely on his own wisdom and his ability to have his way. The resulting delay was therefore not attributable to any misapprehension of the judgment; it was entirely of the applicant's own making. His current attempts to shift ground come after realizing the futility of his position and can only be described as an abuse of the court process. We are unable to fault the decision of the single judge and we refuse the extension prayed for.

The prayer for additional interest on the sum decreed by the High Court is equally misconceived. It is an entirely different subject, quite unconnected with this reference, and cannot be considered with it. If the applicant thinks he has a case, let him take it up with the High Court if he can be heard there.The reference is accordingly dismissed.

ALMAS IDDIE MWINYI *v.* NATIONAL BANK OF COMMERCE AND MRS NGEME MBITA

COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Ramadhani, J.A.)

CIVIL APPLICATION No. 88 OF 1998

(From the decision of the High Court of Tanzania at Dar es Salaam, Bubeshi, J., dated 30 November 1998, in Civil Case No.162 of 1994)

Civil Practice and Procedure – Notice of Motion – Notice filed without citing the provisions of the law relied upon – Whether the Notice is sufficient to move the court.

The applicant filed a Notice of Motion moving this court to grant a stay of execution of the judgment of the High Court. The first respondent filed a Preliminary Objection and the second respondent associated herself with it. The tenor of the objection was that this court has not been moved at all by the notice of motion because it did not cite the provision of the law relied upon, to do what is prayed for.

Held: (i) As a wrong citation of law renders an application incompetent, non-citation of the law is worse and equally renders an application incompetent.

Application struck out

Cases referred to:

(1) *Devram Valambhia v.Transport Equipment* [1995] T.L.R. 161

(2) *National Bank of Commerce v. Sadrudin Meghji* [1998] T.L.R. 503

Mr Nyange, for the Applicant

Mr Mselem, for the Respondent

RULING

(Dated 10 November 1999)

Ramadhani, J.A.: The applicant has filed a Notice of Motion moving this court to grant a stay of execution of the judgment of the High Court (Bubeshi, J.). The first respondent filed a Preliminary Objection and the second respondent associated herself with it. Meanwhile, the applicant, wanting to preempt the Preliminary Objection, filed another Notice of Motion seeking to rectify the defect with respect of which the Preliminary Objection was raised.

When the matter came for hearing, the learned advocate for the first respondent, Mr Mselem, wanted to know what the procedure would be; to hear the Preliminary Objection first or to entertain the second notice of motion. I ruled that we proceeded to hearing the Preliminary Objection. In *Devram Valambhia v. Transport Equipment* (1) this court has clearly made its position against the practice of pre-empting applications already before it. The applicant was seeking to strike out a Notice of Appeal filed by the respondent because a copy of the same was not served on him. Before that application was heard, the respondent filed an application seeking to enlarge time within which to serve a copy of the Notice of Appeal in *Valambhia.* The two applications were consolidated and the court rebuked in no uncertain terms such practice of pre-empting applications. It was on the strength of that decision that I decided to ignore the second Notice of Motion and proceeded to hear the Preliminary Objection.

Mr Mselem submitted that this court has not been moved at all by the Notice of Motion of the applicant because it has not cited which provision of the law is relied upon to do what is prayed for. The learned counsel cited *The National Bank of Commerce v. Sadrudin Meghji* (2) as authority for his submission. Mr Nyange, learned advocate for the applicant pointed out that Notices of Motion are provided for in rule 45 which require them to be "substantially in the Form A in the First Schedule". The learned advocate contended that Form A

does not contain a citation of the provision of any law in support of the application.

It is true that Notices of Motion are regulated by rule 15 and that they are required to be substantially as Form A which does not contain a citation of the provision of any law. However, as Mr Mselem submitted, the practice of this court has always been that a provision of law on which the applicant relies upon to move the court is cited. In the appeal of *NBC v. Sadrudin Meghji* cited above, a full court said at page 5:

> It follows therefore that the application has been filed by a Notice of Motion under an inapplicable section of the law. Consequently, as the court was not properly moved, the application is likewise, incompetent.

If a wrong citation of a law renders an application incompetent, I have not a flicker of doubt on my mind that none citation of law is worse and equally renders an application incompetent.

I reserved my ruling on the Preliminary Objection and I went ahead to hear the application itself. I must say that the application has no merits. As pointed out in the counter affidavit of Mr El Maamry, learned counsel of the second respondent, the tenant who was in the premises in dispute vacated after the decision of the High Court. The applicant, fully aware of the decision against him, went ahead to rent the premises to another tenant. So, the applicant cannot now be heard to complain that if a stay of execution is not granted, the tenant would be irreparably inconvenienced. It is a problem of his own making.

So, the application is incompetent for the reason given above and is hereby struck out with costs

FOYA T.Z. AND OTHERS *v.* NDIGO KIURE NDIGO

HIGH COURT OF TANZANIA
AT MOSHI
(Mrema, J.)

MISCELLANEOUS CIVIL APPLICATION No. 73 OF 1999

Civil Practice and Procedure – Review of a court of a decision – court with competent jurisdiction to review – a decision of a court of a resident magistrate with extended jurisdiction – Order XLII, rule 1(1) of the Civil Procedure Code.

This was an application for review of the judgment of the court of resident magistrate with extended jurisdiction. The application was brought to the High Court under XLII, rule 1(1) of the Civil Procedure court. The High Court considered whether the application was properly before it.

Held: (i) The law provides that an application for review may be made to the same court that made the decision sought to be reviewed;

(ii) As the decision sought to be reviewed by this application was made by a court of a Resident Magistrate, extended jurisdiction, this application is improperly made to the High Court.

Application struck out

Statutory provision referred to:

(1) Civil Procedure Code1966, Order XLII, rule 1– (1)(*a*)

RULING

(Delivered 16 November 1999)

AC Mrema, J.: This is an application for reviewing the judgement of the learned Principal Resident Magistrate, Extended Jurisdiction, Mrs R.M. Rweyemamu, in (PC) Civil Appeal Number 6 of 1998, which was delivered on 18 May 1998 in the Resident Magistrate's Court, at Moshi.

The application has been brought by the three applicants who were the appellants in the aforementioned appeal, to wit, Foya T.Z., Dismass Mohamed and Hamadi Shauri, hereinafter referred to as the first, second and third applicants, respectively. The respondent is one Ngido Kiure Ngido. The application has been brought under Order XLII, rule 1–(1)(a) of the Civil Procedure Code 1966.

At the hearing of this application the first applicant tendered a document which he said is authority (Power of Attorney) from the other two applicants clothing him with power to appear and prosecute the application for them all. As the document was fully attested by the three applicants I conceded that prayer, allowing Foya T.Z. to appear and prosecute the application for himself and for the other applicants. The respondent was not present and by a document dated 7 September 1999, also filed in the instant proceeding, very clearly confirms that Ndigo Kiure Ndigo was properly served, hence his correspondence to the District Registrar purporting to answer the applicants' application. From the same document (dated 7 September 1999) I observe the following statement at the bottom of the first page or leaf, which reads:

> Naiomba Mahakama yako hii tukufu itakapoona nina haki naomba unipe taarifa kwa anuani hiyo hapo juu.

That very clearly, in my opinion, confirms that the respondent did not wish to appear during the hearing of the application. As I have pointed out earlier on (above) the application is brought under Order XLII, rule 1–(1) of the Civil Procedure Code 1966. For the purpose of this ruling the said law provides as follows:

> Order XLII, rule 1– 1) Any person considering himself aggrieved:
>
> (a) by a decree or order from which an appeal is allowed, but from which no appeal has been preferred, or
>
> (b) ...
>
> (not relevant here)

and who, from the discovery of new important matter or evidence which, after the exercise of due diligence, was not within his knowledge or could not be produced by him at the time when the decree was passed or order made, or on account of some mistake or error apparent on the face of the record, or for any other sufficient reason, desires to obtain a review of the decree passed or order made against him, may apply for review of judgement to the court which passed the decree or made the order. [emphasis supplied]

It is evidently clear from the court's records that the judgment from which the instant application is brought was in respect of court proceedings before the court of the Resident Magistrate, at Moshi and not before the High Court. It is not, therefore, the High Court which passed the decree or made the order and for that reason, the application for review of the order or decree of the court of the Resident Magistrate could not be filed before this court in terms of Order XLII, rule 1 – (1)(*a*) of the Civil Procedure Code 1966.

As a result, the application has to be struck out for being incompetent before this court. Accordingly, I strike out the application with direction that the applicants, if they so wish, may file the application before the competent court and to be heard by a Principal Resident Magistrate with extended jurisdiction. It is so ordered and I make no order for costs.

PASINETTI ADRIANO *v.* GI RO GEST LIMITED AND ANOTHER

HIGH COURT OF ZANZIBAR
AT VUGA

(Kannonyele, J.)

CIVIL CASE No. 17 OF 1998

Labour Law - Quantum Meruit - Circumstances under which quantum meruit is payable.

Civil Practice and Procedure - Pleading – Whether courts can make decision on issues not pleaded.

The plaintiff was by written contract employed as Technical Director of Works by the first defendant. On oral instructions by the first defendant, he also worked for the second defendant as manager of a hotel for which he was not paid any wages or any fringe benefits. Two individuals were shareholders and directors of both the first and second defendant companies. The plaintiff's claim against the defendants is that his Contract of Employment was unlawfully terminated by the first defendant, and for payment for services rendered to the second defendant. In his final submissions the defense counsel raised a new issue of non registration of the contract with the first defendant executed in Italy and therefore non-compliance with section 46 of the Labour Act 1997 which provides for attestation by the Labour Office in Zanzibar of the Contract of Employment to give it legal force thereunder.

Held: (i) Termination of the Contract of Employment between the plaintiff and the first defendant was unlawful and in breach of the Contract of Employment;

(ii) In civil cases, the court may decide on those issues which have been raised in the pleadings and not otherwise; thus the question of non-registration of the contract is accordingly rejected for incompetence;

(iii) The plaintiff is entitled to remuneration for his services at the second defendant's hotel on the basis of *quantum meruit.*

Judgment for the plaintiff

Cases referred to:

(1) *Zalkha Mohamed v. Juma Mazige* [1970] HDC n. 132

(2) *Shah v. Patel* [1961] EA 397

(3) *Hussein Bhanjee v. NIC* [1977] LRT n.26

(4) *Joseph Marco v. Paschal Rweyemamu* [1971] HCD n. 59

(5) *Venance Kiboko v. Meneja Mkuu, ZSTC* High Court (Z) Case Number 7 of 1996 (unreported)

(6) *Ahmed Said Omar v. Mazsons Hotel Ltd* Civil Appeal Number 41 of 1996 (CA)

Statutory provision referred to:

(1) Civil Procedure Decree, Order XVI, rule 2

Dr Lamwai, for the Plaintiff

JUDGMENT

(Delivered 18 November 1999)

Kannonyele, J.: The plaintiff, one Passinetti Adriano was, by written contract Exhibit P1, employed as Technical Director of works by the first defendant, a limited liability company. In that capacity, his duties constituted supervision or management of construction works at the Reef Village Hotel project at Pwani Mchangani, Zanzibar Island. The project was under construction between 1997 and 1998 if it is not still to date. Salary attached to this employment contract was Italian Lire 2 700 000 per month, plus other fringe benefits. The contract was to last for a minimum of two years effective from 3 May 1997.

On 29 May 1998, however, the plaintiff's Contract of Employment was unceremoniously orally terminated by one of the first defendant's

directors, one Mr Fulvio Frigerio. The plaintiff claims (vide plaint paragraph 10) that this premature termination of his employment constituted breach of the contract and (therefore) unlawful resulting in loss of earnings amounting to Lire 41.1m or the equivalent of USD 23 480 being salary for one year, leave pay and the value of return air tickets between Zanzibar and Italy.

The plaintiff further alleges (plaint paragraph 9) that on instructions by the first defendant, he also worked for the second defendant as manager of the hotel for which he was not paid any wages nor any fringe benefits. The plaint does not, however, specify for how long he so worked as manager of the hotel but contends that the plaintiff is entitled to a salary therefore on the basis of *quantum meruit* and that the second defendant be estopped from denying the fact in view of the fact that he never protested against his services *pro tanto*. However, the plaint is also silent as to how much salary he is entitled on the said *quantum meruit* basis. In any case, the total claim is assessed at lire 68 970 500 or USD 39 406 per plaint paragraph 4 and 10(*a*) plus 5 and 10(*b*).

The plaintiff ended up his plaint with the usual prayers for any other relief as the court might deem fit, plus costs of and incidental to the suit.

In their joint statement of defence, the defendants came up with a Preliminary Objection to the suit on an alleged point of law namely, that the plaint did not aver that either of the defendants would abide by the other's liability be it severally or jointly together were the suit to succeed in favour of the plaintiff. In the alternative, they prayed that the plaintiff be directed to bring separate suits against either of the defendants. By consent of the parties counsel with leave of the court, however, ruling on the alleged point of law was agreed to be deferred and consolidated with the ultimate judgement of the court after hearing evidence for and or against either of them, as the case may be.

On the merits of the claims as a whole, the defendants completely denied the contents of paragraphs 4, 5, 9 and 10 of the plaint, admitted with qualifications contents of paragraphs 6, 8 and 11 while the rest of the paragraphs of the plaint were wholly admitted. Whereupon three issues were ultimately agreed as follows:

1. Whether the contract between the plaintiff and the first defendant was lawfully terminated, and if not, whether the first defendant is in breach of the Contract of Employment.
2. Whether there was a Contract of Employment between the plaintiff and the second defendant, and if so, at whose instance and on what terms?
3. To what reliefs are the parties entitled?

The following facts were agreed by the parties' counsel namely, that the two defendants are separate (and distinct) companies but that both are managed by one Andrea Novasconi; that there was a Contract of Employment between the plaintiff and the first defendant and that this contract (between the plaintiff and the first defendant) was to be for a minimum period of two years effective from 3 May 1997. It was further agreed that under the said contrAct the plaintiff was supposed to be the technical director of works for the first defendant company and that he was to be paid a monthly salary of Italian Lire 2.7 million to be paid in Italy. It was lastly agreed that the contract as thus stated was terminated by the first defendant one year after it had come into effect, on 29 May 1998.

In his evidence at the trial, the plaintiff started by producing as an Exhibit (P1) an officially translated version (into English) of the copy of the contract between himself and the first defendant. And he started working as per contract with effect from 3 May 1997. He went on further to say that the first defendant was both owner and contractor of the buildings constituting the Coral Reef Village, a tourist resort with hotel facilities at Pwani Mchangani on the east coast of the island of Zanzibar. According to the plaintiff, there was no manager of the hotel when he took up employment with the first

defendant. Hence in October of that year (1997), the directors of the first defendant company asked him to manage the hotel as well, in addition to his (contract) work as technical director of the first defendant company. According to the plaintiff, however, it was the second defendant company, managing the hotel (*sic*). The plaintiff produced letters Exhibit P2 and P3 by which he contends that the two brothers, directors of the defendant companies had recognized him as hotel manager as well. However, his management of the hotel notwithstanding, the plaintiff says that he was paid no salary, therefore inspite of earlier oral discussions and assumed understandings that he would be paid the same in that respect as well. The plaintiff argues that this was extra work over and above that in his Contract of Employment and, therefore, he expected as much extra pay as well. He stated that he expected an additional monthly salary of Lire 2 million for this additional work as manager of the hotel.

The plaintiff further appraised the court that the contract Exhibit P1 provided for 9 days leave for every four months of service. On this basis, he claims he had acquired 15.75 days of leave for the period between 4 May 1997 and 25 March 1999 which would earn him some ITL 1 417 500 of leave pay at 90 000 liras a day. He claims this amount to his credit. However, the plaintiff does not liase between this claim and his subsequent assertion by which he reveals that in March 1998 he went home to Italy on 25 days of leave for which he was given a one way (non-return) air ticket. He completed that leave in April 1998 but makes no disclosure of commencement nor ending dates thereof.

It was just verbally agreed (with Fulvio Frigerio – one of the company directors) that I should go for about two or three weeks leave.

Anyway, he got the single journey ticket on 25 March 1998. We may therefore assume that it was thereabout that he commenced his 25 days of leave. We probably may also safely count back to find out for which period were the 25 days of granted leave earned from

at the earlier stated rate of 9 days of leave for every four months of service.

There was, in the contract Exhibit P1 also a provision for a return air ticket each time the plaintiff went on leave. Hence when in March 1998 he proceeded on 25 days leave he was given an air ticket to Italy. But this was a single journey ticket. The plaintiff said he thought it was because return air tickets issued in Zanzibar were not acceptable in Europe. He therefore expected to get his return air ticket from Italy. However, although he contacted his employers immediately he completed his leave in April 1998 and asked them for his return air ticket to Zanzibar, his employers always back-pedalled each time asking him to wait until they contacted new investors. He said he could not prolong his leave any further indefinitely. He therefore bought his own return (one way) air ticket at ITL 1000 300 (about USD 764) and spent another USD 200 with which to renew his work permit.

Exhibit P1 also provides for two months prior notice as a condition for termination of the contract (article 8). However, he was given no notice nor any prior warning for wrongs committed at work before his employment was terminated on 29 May 1998. The plaintiff said Exhibit P6 was incompetent to affect the contractual relations as per Exhibit P1 (clause 10.02). If at all, the plaintiff said Exhibit P6 could only affect his oral engagement as manager of the hotel. He emphasized that even if it was true that he had occasioned cash losses at the hotel which is owned by Ngalawa Ltd., the same could not affect the contractual relations as per Exhibit P1. In any event, he denied any prior admission by him of the purported cash losses at the hotel at least in so far as he was concerned. He only inquired for details of the alleged losses but never admitted them as I suggested.

Elaborating in his evidence the plaintiff stated that the two defendant companies are closely related by the fact that some, if not all, shareholders have their shares in both companies but more importantly, is that it was the first defendant company who is not only one of the co-share

holders but is also the one constructing the second defendant company. Moreover, directors of the two companies are not only the same but also are two Frigerio brothers, Fulvio and Paolo respectively. Hence distinction between the two companies is not very real and for that reason, he could not quite tell for who Fulvio Frigerio was negotiating with him on the question of salary for his (plaintiff) services as manager of the hotel. He said that the negotiations led to a mutual understanding between them that there was to be salary for the managerial post at the hotel although they had not yet quite agreed as to what that salary should be although he expected a salary of Lire 2 million per month by virtue of the on going negotiations. The plaintiff claimed he started to work as manager of the hotel in October 1997 and the same month and the coming November, there were the letters part of whose contents in effect recognized him as manager of the hotel. He went on leave in March, 1998 upon return from which the services were terminated as stated earlier.

The plaintiff further claimed that despite some demands, payment of salaries as per contract also were not as smooth as they ought to have been. They allegedly accused him of idling in Italy before he returned to Zanzibar after his leave and this notwithstanding that he had always contacted them and demanded for his return air ticket while in Italy (vide Exhibit P4). It was obvious that their relations had turned sour culminating in termination of his employment on 29 May 1998 which, however, he thought it was for the hotel management only. It was not until he realized the defendants were not willing to pay him anything nor deal with him in any other manner that he realized it was all over. It is then he contacted his lawyers.

To summarise his claims, the plaintiff produced as part of his evidence summary sheet with the title "Economical Situation". In it every individual claim is itemized with the amounts due to each as he believes he is entitled to same. Ultimately, the plaintiff also produced the Italian copy of the contract as a sister copy of Exhibit P1 after it was earlier inadvertently withheld when the English translation

thereof was produced as Exhibit P1. It is the Italian copy which was executed by the parties in Italy.

There were also references to payments made to his wife in Italy. These include payment of one salary at a monthly rate of ITL 2.7 million on 12 June 1997 and two more salaries of the same amount both made on 24 July 1997. The plaintiff acknowledges these payments and they are, respectively, the first and second items in the Economical Situation Sheet. Indeed there were other payments made through his wife in Italy. The plaintiff acknowledges these as well in the Economical Situation Sheet. Finally, the plaintiff confirmed in a reply to me that they did not introduce the contract agreement Exhibit P1 to the Government here in Zanzibar for the purpose of evading taxation. He said, however, that in so far as he was concerned, he had nothing to do with the non-disclosure of the terms of the contract as per Exhibit P1 in that there was provision in the contract that his salary was to be paid tax-free. So much for the plaintiff's case.

The defendants had two defence witnesses namely, Mr Seif Omari (DW1 and Mr Paolo Roberto Frigerio (DW2). The latter is an engineer and building contractor in the business name of Ngalawa Limited which owns and runs the hotel business at the Coral Reef Hotel Village. On the other hand, Seif Omar Said DW1 is as so-called local manager of the second defendant company Ngalawa Ltd in the hotel business. Both the defendant companies have common investors, two brothers, namely Messers Fluvio and Paolo Frigerio. However, Gi-Ro Gest, the first defendant company was only responsible for the construction of the infrastructure at the hotel village no more.

Giving his evidence at the trial, Seif DW1 said he knew the plaintiff to be technical director of the first defendant company whose proprietor is Fulvio Frigerio. However, Seif knew the plaintiff to be also manager of the hotel business owned by Paolo Frigerio in the business name of the second defendant company. The plaintiff came to Zanzibar in May 1997, then only as technical director of the first defendant company. However, Seif DW1 said he was not conversant with the

terms of the employment contract between the plaintiff and his employers except for the fact that the plaintiff started working as technical director from May 1997 and that he was being paid in Italy by the first defendant company. He did not say how he came by the details as to payments of salaries made in Italy were being made by the first defendant company. According to Seif however, in October 1997, the first defendant through its proprietor asked the plaintiff to manage the hotel business as well.

Seif DW1 said that construction of the hotel village was completed by October 1997 as and when the plaintiff was assigned the hotel management post. Also according to Seif, the plaintiff was assigned to manage the hotel on the same contract terms and salary as was the post of technical director. According to Seif, the plaintiff had two options on completion of construction work. He either had to take up the new assignment as manager of the hotel or, in the alternative, return back home to Italy. These new arrangements, however were only by oral directives by Fulvio Frigerio, owner of the first defendant company. According to DW1, the plaintiff had allegedly agreed with Fulvio on the new assignment, including salary thereof and other contract terms. Seif DW1 said he was not aware of any defaults of payment of salary for the new assignment as hotel manager by the first defendant company.

Seif said the plaintiff managed the hotel from October 1997 up to April 1998 when he allegedly proceeded on leave to Italy. DW1 said he could not comment on anything as listed in the Economic Situation Sheet nor on any payments effected abroad as per Exhibit P7. Later in cross-examination, Seif DW1 said he worked under the plaintiff when the latter was still with the hotel, one as general manager and the other as local manager respectively. He also admitted he never participated in negotiations nor in creation of any of the agreements between the plaintiff and his employers, either in the creation of the technical director post and all that went with it, or the other in respect of management of the hotel. He claimed he came to know

details or the much he knew of the plaintiff's terms of employment agreements by going through record of the defendant companies available at office. Thus he knew Exhibit P1 provides in paragraph 2.01 for minimum period of two years services with effect from 3 May 1997 up to 1999. But he knew of no letter from the defendants to the plaintiff either to terminate his employment in accordance with Exhibit P1 or to transfer him from the employment of the first defendant company to that of the second. But neither has he ever seen any new letter of appointment from the second defendant company to the plaintiff.

But Seif DW1 acknowledged of the existence and contents of Exhibit P3. Thus he confirmed there was still the post and duties of technical director as on 10 November 1997 according to Exhibit P3 and that the plaintiff was thereby still recognized and required in that capacity by the defendant companies. Subsequently a little later, however, the witness shamelessly countermands his own evidence as to that effect. In fAct DW1 confessed he had no evidence to offer so as to contradict the plaintiff in terms of his claims as per Economical Situation sheet, his adherence to the shameless countermands notwithstanding.

In his evidence Paul DW2 said he is a co-share-holder in both defendant companies. The first defendant is a building contractor whereas the second defendant manages the Coral Reef Hotel Village. The first defendant company constructed the infrastructure for the second defendant company. Whereas there is a third share holder in the first defendant company they are only two in the second defendant company, two brothers namely Fulvio Frigerio and Paul Roberto Frigerio who between them have 50% shares each in the second defendant company. Paolo DW2 acknowledged that at one time the plaintiff entered into a Contract of Employment as per Exhibit P1 with the first defendant company for the construction of the second defendant's infrastructure. Both the Frigerio brothers signed the contract Exhibit P1 on the one hand, and the plaintiff on the other, executed at Milan

in Italy. Although he had acknowledged Exhibit P1 and the *modus operandi* ensuing therefrom he could not say when exactly the plaintiff started and or ceased to work for the first defendant as per Exhibit P1. After march last year (1998) the plaintiff was allegedly required to return home to Italy because there were no more construction work at the Coral Reef Hotel Village.

Paolo DW2 said there were no employment relations between the plaintiff and the second defendant company. However, he acknowledged the contents and effect of Exhibit P3 in relation to the plaintiff's employment contract especially to the extent that it required the plaintiff to continue with maintenance work at the Coral Reef Village. The witness said he never saw the plaintiff again since he left his employment at the Coral Reef Hotel Village. He also was not aware if the plaintiff ever met with Fulvio while he was on leave in Italy. However, he was aware that the plaintiff had not taken all of his last salary.

Paulo also claimed that the plaintiff had stolen some money from a safe of the hotel and said this was enough to terminate his employment according to article 6.01 of the contract Exhibit P1 but subject to prior notice of no fixed time. As regards to holidays, Paolo DW2 claimed that he had come over to Zanzibar, with agreement with the plaintiff, his wife at the defendants expenses and that this he said substituted any leave claims that might be due to the plaintiff. In the alternative, he said the plaintiff should first pay them his wife's hotel expenses and likewise they will pay him over his leave entitlements.

When cross-examined, Paolo denied he was also a director but only shareholder of the first defendant company. He appraised the court that the plaintiff worked with the first defendant company exactly between and from 19 May 1997 to 19 March 1998 inclusively. He also confirmed that for his period of service with the first defendant company the plaintiff was entitled to a total salary of ITL 29.7 million as per the Economical Situation Sheet. However, he said he had no evidence to offer in a documentary form to prove that the plaintiff

was in fact paid so much of the salary as was due to him. Instead he admitted it was true the plaintiff had received only ITL 23.9 million salary paid either directly to himself or through his wife in Italy. Hence the deficit of ITL 5.8 million and now due to the plaintiff was acknowledged albeit with deductions. He claimed there was to be deducted from the plaintiff's salary of some USD 2548 which he said was an equivalent of ITL 4.4 million being the sum the plaintiff had allegedly lost from the safe of the hotel as allegedly earlier admitted by him in a letter written to the defendants. At the insistance of the court, the letter was subsequently produced as part of evidence herefore (vide Exhibit D1 and 2) although it had allegedly been handed to their counsel for that purpose. In another stance, however, Paolo said the plaintiff was merely making inquiries (about the alleged losses) through the said letter.

Elsewhere the witness DW2 purported not to know why messages like Exhibit P 2 and 3 were routed through the plaintiff who was a mere technical director for construction and had nothing to do with management of the hotel about which those letters dealt with. Yet in another instance, Paolo claimed that such letters were routed through, and other hotel workers (e.g. Hilario) required report to the plaintiff only allegedly because Gi-Ro Gest for whom the plaintiff was working was spending money from Ngalawa (second defendant) resources and income. Also, he acknowledged one Ms. Passinetti, the plaintiff's wife, having come to work at the hotel's kitchen on about two or three different phases although he does not know of what exact duration thereof severally or all cumulatively together. Mr Paolo DW2 appraised the court that during her stay in Zanzibar, the plaintiff's wife stayed at the hotel rendering free services *in lieu* of her stay in the hotel free of any charges. Yet, he said they decided to deduct the plaintiff's unpaid salaries being expenses for his wife's accommodation at the hotel on one of the occasions she stayed there.

At another stage, the witness admitted that one Andrea Novasconi who came to work as manager of the hotel started so to work in the

absence of the plaintiff while the latter was away in Italy. However, he denied Fulvio was in Zanzibar and had the key for the security while the plaintiff was away in Italy. B "If it is true that Fulvio was in Zanzibar at the Coral Reef Hotel Village during the plaintiff's absence there, then it is possible that he (Fulvio) had the key for the security room with him", he said. Paolo suspected signature of the addressor in Exhibit P6(a) could be Fluvio's as it is presumed. He doubted if it is. (Exhibit P6 is the one which for the first time talks of heavy financial losses caused by the plaintiff at the hotel and goes on to terminate the plaintiff's employment with Gi-Ro Gest because of those losses). Paolo also admitted that the plaintiff was entitled to ITL 90 000 per day of leave entitlement.

I would in the first place, like to begin with the Preliminary Objection to the suit on an alleged preliminary point of law raised by the defendants paragraph of their joint written statement of defence. The defendants have alleged that the plaint does not disclose an averment that the one defendant would abide by the other's liability either severally and or jointly together should the plaintiff succeed in the suit. They pleaded in the alternative that the plaintiff should be directed to file separate suits against the defendants. In essence, this is a plea of either mis-joinder or non-joinder of parties in a suit and the defendants would want to see a remedial measure although they do not say so in quite clear terms.

In my understanding, it is Order XVI, rule 2 of The Civil Procedure Decree, in *pari materia* to Order 14, rule 2 of the Indian Code of Civil Procedure before it was substituted by Amendment Act 1976, which gives power to the court to deal with an issue in a case as a preliminary issue of law. The rule provides as follows, namely:

> Where issues both of law and of fact arise in the same suit; and the count is of opinion that the case or any part thereof may be disposed of on the issue of law only, it shall try those issues first, and for that purposes may if it thinks fit, postpone the settlement of the issues of fact until after the issues of law have been determined.

In my opinion, issues of law are raised in pleadings as preliminary points to be determined with the object that they should be disposed of first before the suit proceeds to be determined on the merits of its factual issues. It is thereby intended that when and if an objection to the suit is allowed upon determination of the issue of law, either the suit collapses as a whole or else the particular issue of law is thus determined once and for all and it shall not be open in future to re-open any further arguments on it in that case. Thus for example, a party may raise that the suit is unsustainable on account of limitation or lack of cause of action or complete lack of jurisdiction by the court. If the issue is determined and the objection as to that effect is ultimately allowed, then in relation to that court, the suit is determined once and for all. That is to say, the suit will be finally disposed of on the issue of law as raised in the Preliminary Objection and unless such an issue is not finally conclusive of the whole case, that would normally be the end of the matter.

In this case the issue raised in the Preliminary Objection is as indicated earlier, either it is mis-joinder or non-joinder of parties. I respectfully concur with Dr Lamwai, learned advocate for the plaintiff, that the issue cannot and could not be finally disposed of as a preliminary point of law. If anything, mis-joinder or non-joinder of parties, as the case may be, constitutes both issue of law as well as issues of fact. It needs to hear the evidence on the matter so as to appreciate whether or not there is indeed mis-joinder or non-joinder of the parties and this could not be properly dealt with as a preliminary point of law. It was therefore just proper that it was agreed to defer determination on the objection raised purportedly on a point of law so that the same could be dealt with together in the final judgment of the case. I now hold that the objection was unsustainable in the circumstances of this case and the same is hereby accordingly overruled.

Next, I wish to point out here at the outset, that if cogency of testimonies and veracity of witnesses were the only criteria to be considered in determining cases, then I would straightaway here and

now state that the plaintiff has won the suit at least by about seventy five per cent of the arguments if not the issues to be determined by the court. To a greater extent the plaintiff succeeded in convincing the court as to how the contract between the parties (Exhibit P1) was executed in Italy and as to what extent it bound who among the litigants in this case. *A fortiori* he also succeeded in leading as much convincing evidence showing how as between them were the defendants related to each other both the form of natural persons of the major players or participants involved in the conflict and also the legal persons impleaded in this suit.

Quite pertinently, the plaintiff appeared to be more truthful in his words such that even when and where he floundered in his answers, he appeared more natural and genuine and, therefore, equally more convincing. Take production of the original (Italian) version of the contract Exhibit P1 for example, it was not produced early in time when it should. Only the translated English copy thereof was produced (on 4 December 1998). When he was later accosted to comment on the omission, the plaintiff (PW1) appeared genuinely confused to state why it was not. He thought he had handed it over to his counsel for use as potential evidence in the case and he believed it was lying somewhere either in the counsel's file or among the documents already presented to the court (as one of the appendices to the pleadings) with a view to its ultimate production as an exhibit herein. Otherwise, he said he did not know where it was lying among his possessions and why it was inadvertently left behind if indeed he had not already handed it over to his counsel. I believed him *pro tanto*, his demeanour taken into account. In fAct the original copy of the contract executed in Italian was left behind at home in Italy, his counsel having apparently been contented with the English version thereof whose production was not even contested by the defence counsel albeit not signed by his clients. Surprisingly, however, production of the signed original document was by the defence counsel contested not until the court overruled the objection and ordered for its production. In conclusion, therefore, I would simply say, that the plaintiff appeared to be more

genuine and as much truthful in his evidence. For that reason, he was more convincing and captivating to the court.

In contrast to the foregoing, most of the defence evidence, both by Seif DW1 as well as that by Paolo DW2, appeared to be much of a make-shift and, for that reason less convincing. Moreover, even the witnesses themselves appeared to be apparently less informed of the requisite details and in a number of instances they admitted as to that effect. In essence, these witnesses appeared to be more strangers in the dispute. Hence their lack of the much needed compelling will power and cogency of most of the matters they averred.

Now, we saw that the first issue is whether the contract between the plaintiff and the first defendant was lawfully terminated and if not whether the first defendant is in breach of the contract. First of all I wish to express the view that the manner in which this issue was framed is repetitive and, therefore, superfluous. In my opinion, if a party to a contract unlawfully terminates the contrAct he is automatically in breach of that contract. *A fortiori* and to put it affirmatively and more meaningfully in the manner the issue was framed, the contract was lawfully terminated by the first defendant he cannot at the same time be considered to have been in breach of that contract as it is being questioned. For he will have acted lawfully after all and, therefore, free from any blemish, legally. Or was the second part of the issue aimed at addressing the question as to whom exactly was responsible for the unlawful breach of the contract when and if it is held that it was? Perhaps. Be that as it may, I will now address my mind to answering the twin issues as it ought to be.

As will be recalled from the evidence, article 8 of the contract Exhibit P1 was cited as providing for two months prior notice before termination of the contract can be effected. According to the English version of the contract Exhibit P1, the substance of which was uncontested by the parties during the trial, article (8) provides as follows:

> 8 Recess From The Contract. Each party can withdraw from the contract at any time, giving to the other, two months notice.

(May be there is the word "by" between the words "time", and "giving" below where I have marked with an asterisk. However, this is not quite clear from the exhibit itself due to inking by a rubber-stamp. At any rate, I am satisfied the true intent of the article can be deduced and easily understood). There is also article 6 of the agreement Exhibit P1 It provides:

> 6. Anticipated Resolution of The Contract
>
> 6.01 The conclusion of the work to which the employee is assigned and also to the fact that the duties entrusted to the employee are no longer considered necessary will constitute, through previous notice, a justified reason to cancel the terms of the contract.
>
> 6.02 The company can terminate the present contrAct even before the expiry term, as for example, in the following cases: (The particular instances and then particularized in paragraphs (s) to (j).

Reading the two articles closely together, it is my opinion that article 8 anticipates those situations where a party to the contract of his own accord decides to withdraw from the contract for any reason whatsoever, negative or positive. It is the party himself who, for his own reason, on his own opts to step aside from the contact. He will be permitted to do so provided he gives two months prior notice to the other remaining party or parties, as the case may be. In such case, the party withdrawing from the contract is not kicked out by the others. It is himself who opts to step aside from it.

In this case, the plaintiff nor any other party, did not of his own opt to step aside from the contract. Rather, the plaintiff was pushed out from it against his will. Hence, assuming that my interpretation of article 8 above is correct as I believe that it is, then that article cannot apply in the circumstances of this case. It is for that reason accordingly ruled out.

Article 6.01 on the other hand, anticipates those situations where the contract is determined due to completion of the work for which the employee, in this case the plaintiff, was first employed. Hence,

determination of the contract can only come about only if the work for which one was employed is no more, any case, it must be preceded by prior notice. It is not stated how long the notice should be. However, judging from the spirit of article 8 discussed above, is just reasonable to assume that here also the parties had in mind two months notice. It is held accordingly. However, it is important that completion or anticipated completion of the work precedes the issue of the notice. It is a condition precedent to issuing of the notice. If there is still work and or its completion is not within the foreseeable future, a notice would be incompetent. In this case, the evidence as materially uncontested indicates that termination of the plaintiff's employment was not proceeded by any prior notice as provided under article 6.01 of the work agreement. Moreover, the sentence:

> It is essential that the bedroom next to the office should be usable and occupied by Ilario and Peter reading in Exhibit P2 but particularly the other.
>
> For Adriano: to start work in the villa number 13. To paint all bedrooms which show fungus, to start all maintenance general works eventually engaging daily new personnel found at page 2.

Exhibit 2 and Exhibit P3 indicate that as of the time those letters were written on 31 October 1997 and 10 November 1997 respectively, there was still construction work for which the plaintiff was employed as a technical director.

But, by those very letters namely, Exhibit P2 and P3, the plaintiff was being asked or rather instructed to supervise operations of the hotel. For example, Exhibit P2 addressed to Mr Adriano reads in part:

> Mr Adriano on 2 November 1997 with this letter, Peter and Ilario are arriving in the village to help you in management of the hotel
>
> Peter will attend the customers and Ilario the reception.
>
> We have received some complaints for the quantity of food, which must always be plentiful, and for the change of linen, towels in the bedroom.

This is as clear as it is that the plaintiff was already managing operations of the hotel and Peter and Ilario were arriving merely to assist him in this work at the hotel, the one in attending to customers and the other at the reception. However, his management of hotel operations notwithstanding, the plaintiff was still the technical director. Hence the directives that he should start work at the villa number 13, paint the bedrooms and start general maintenance. What is clear from this is that although he was now managing the hotel operations over and above Peter and Ilario, the plaintiff had not relinquished his original work as technical director. It is therefore not correct to say that plaintiff took up management of the hotel because there was no more construction work to be done nor that he had since abandoned his post as technical director. Evidence available in the record simply does not support these claims.

We revert to article 6 of the Contract of Employment as per Exhibit P1. Defence counsel argued in his final submissions that since article 6.01 is silent on the period of notice, then even one day notice would suffice. With due respect, this is unsustainable for two reasons. Not only is the suggestion unreasonable but there is also practically no evidence at all even to suggest much less to show that even the said one day's notice was given to the plaintiff before article 6.01 of the contract Exhibit P1 was implemented. Hence article 6.0 does not apply here for want of prior notice being issued to the plaintiff. Article 6.01 of the agreement is accordingly ruled out.

Article 6.02 of the agreement as per Exhibit P1 presupposes proof of or at least the laying of clear charges against the employee mentioning those vices as are listed in paragraphs 9(a) to (j) of the article. In this case, no such vices had been proved against the plaintiff. Yes, there were the allegations mentioning loss of funds at the hotel being leveled against the plaintiff. No charges much less clear charges had been laid against the plaintiff neither in any criminal court nor adequate disciplinary charges in that regard. Even when the plaintiff tried to make inquiries on the alleged loss of funds, he got no reply

to clarify the claims as he had requested. He got dismissed instead and so against the rules of natural justice. But if for the alleged loss of funds at the hotel, it was incompetent for two reasons. First, misconduct by the plaintiff while in the discharge of duties of and at the hotel (hence in the employment of the second defendant company cannot competently be ground for terminating his employment with the first defendant company in terms of the contract Exhibit P1 because the second defendant who runs the hotel is no party to that contract notwithstanding that the two Frigerio brothers who as directors of the first defendant, are signatories thereto on behalf of the employer (First defendant) are interested parties in the affairs of the hotel managed by the second defendant company being the sole shareholders thereof. Secondly, the plaintiff was entitled to be heard before he was fired from his work not only as technical director as per contract but also for the hotel management post in which his services had already been recognized at least by conduct.

In relation to the alleged loss of hotel funds, however, not only are the allegations weak for the aforementioned reasons alone; the source of such allegations is also dubious. I have in mind the evidence of Paolo DW2. Exhibit P6 which makes the first claims alleging loss of funds of a doubtful origin. There was also the possibility that someone whose true identity is not quite revealed by the evidence could have had an access to the safe keys in the absence of the plaintiff as the latter was away in Italy. Who that someone could be is not easy to establish by the evidence available. Whereas Seif DW1 is not quite a reliable witness in this regard due to the fact that much of his evidence is reported information (hence hearsay evidence) acquired from his reading of the office records as he stated himself. Paolo DW2 on the other hand clearly stated he suspected the letter Exhibit P6 was authored by Fulvio Frigerio indeed as the same is purported to be signed by him. In particular Paolo suspected the signature appearing there at the same time doubting if Fluvio could have been in Zanzibar indeed at the time when that letter was authored. On the other hand, is conceded that another Andrea Novasconi who

replaced the plaintiff in managing hotel operations started to work in that capacity in the absence of the plaintiff. That means that there was no handing over of the hotel's operations between the plaintiff and Andrea Novasconi. When therefore it is conceded that someone had had an access to the hotel's safe key in the absence of the plaintiff there at the hotel, when also it is not clearly established who is that somebody who had such access to the key in the absence of the plaintiff, whether Andrea Novasconi or Fulvio Frigerio. The alleged loss of funds cannot with certainty be leveled against the plaintiff. In any case, he should not, under the rules of natural justice, be condemned unheard, neither criminally nor disciplinarily as is intended here. By the way, is it not possible in the circumstances that the letter Exhibit P6 whose originating signatory is now doubted by Paolo DW2 and which alleges loss of massive funds for the first time is nothing but a forgery? If it be a forgery as is now doubted by DW2, by who and for what purpose could it have been so forged? In any case, would the circumstances thus obtaining in relation to the alleged loss of hotel funds justify condemning the plaintiff unheard to the extent of terminating his employment in the manner as proposed by the defendants here? I think not, at least not in accordance with the law. Hence the first leg of the first issue in the series is answered in the negative. That is to say, termination of the Contract of Employment between the plaintiff and the first defendant company was, in the obtaining circumstances as revealed by the evidence as accepted by the court, unlawful.

As regards to the second leg of the first issue, both Paolo DW2 and Seif DW1 came to testify as defence witnesses in the interests of the two defendant companies in this case. They both maintained that the defendant was properly terminated from the services, not only as hotel manager for the second defendant company but also as technical director of the first defendant company in terms of the contract Exhibit P1. None of them, namely, neither Seif DW1 nor Paolo DW2 disclaimed or disowned the letter Exhibit P6 and D1 (B). These were, respectively the letter alleging loss of funds and

purporting to invoke article 10.02 of the contrAct Exhibit P1 on the one hand, and the plaintiff's response thereto in which he inquires for details of the alleged loss of funds on the other. That notwithstanding, the two defence witnesses also affirmed the plaintiff's purported oral termination of his services with either of the two defendant companies. However, I have, I think, sufficiently demonstrated how unlawful the purported termination of the plaintiffs services both as manager of the hotel but with the first defendant company in particular. It follows, therefore, that the second leg of the first issue is answered affirmatively namely, that the first defendant company is in breach of the Contract of Employment as per Exhibit P1.

I note with disappointment that at the end of his final submissions, defending counsel raised a new issue of non-registration of the contact executed in Italy and therefore non-compliance with section 46 of the Labour Act 1997 which provides for attestation by the Labour Office in Zanzibar of the Contract of Employment to give it legal force thereunder. I say "with disappointment" because it is stale law that in civil cases, the court may only decide on those issues which have been raised in the pleadings and not otherwise: Order VI, rule 7 of the Civil Procedure Decree (q.v.) hence it was held in *Zalkha Mohamed v. Juma Mazige* (1)(Seaton, J. as he was citing *Shah v. Pate* (2) (slightly paraphrased) thus:

> The whole object of pleading is to bring the parties to an issue, and the meaning of the rules is to prevent the issues being enlarged which would prevent either party from knowing when the cause of action came on for trial, what is the real point to be discussed and decided ... [I]t is for the (party) to plead the (issue or fact) ... (so as to give the other party) an opportunity ... to call evidence (thereon) ... [I]t was too late to rely on in final address when evidence had been closed.

In another case: *Hussein Bhanjee v. NIC* (3) (as per Mustafa, Ag VP) the Court of Appeal held:

> [T]he question whether the appellant was entitled to the value of the lorry never became an issue in the pleading or in the trial itself, nor was it canvassed or left to the judge for decision. A last minute attempt by (counsel ... to include such an issue was rejected (on appeal) ...

In yet another case: *Joseph Marco v. Paschal Rweyemamu* (4) Mfalila, J. (as he then was) was more pertinent when he held that:

> In civil cases, it was extremely important for a trial court to limit its findings to the issues as revealed by the state of the pleadings, and no party should be allowed to go outside his pleadings ... Order VI, rule 7. The purpose ... is to prevent parties from introducing new matters without giving adequate time to the opposite party to answer. Pleadings are meant to clarify and identify the areas of dispute between the parties. The way each side is afforded sufficient opportunity to prepare its case on the point in dispute ...

This question of attestation of the contract under the labour law introduced so late in final submissions by counsel after close of evidence by the parties is rejected for consideration here, because it is incompetent when and as it comes in this case. We can never tell what the plaintiff would have said in reply to it. He might have had sufficient and quite convincing evidence to defeat it only if he was afforded with the necessary opportunity to prepare his defence there against. Regard is particularly had in mind to his evidence that when the defendants dragged their feet, he had to spend his own money (USD 200) in order to renew his work permit for his continued residence in Zanzibar in honour of the contract Exhibit P1. He probably would not have done this if he was privy to the concealment of the contract and therefore its (alleged) non-registration under the Zanzibar Law. It is therefore emphasized that the question of non-registration of the contract thus lately raised in final submissions by defence counsel is accordingly rejected for incompetence.

I will now turn to the second issue: whether there was a Contract of Employment between the plaintiff and the second defendant, and if so, at whose instance and on what terms. According to the plaintiff, they were still negotiating the terms of this contract, particularly regarding salary, when their relations turned sour. However, according

to his evidence, it was directors of "my company" who asked him to manage the hotel as well. According to the contract, Exhibit P1, "my company" in this sense should mean the first defendant company, and therefore directors of the first defendant company who, according to the plaintiff asked him to manage the hotel. However, according to that same evidence, directors of the first defendant company are the two Frigerio brothers, Fulvio and Paolo respectively. Paolo, DW2 conceded that both he and his brother Fulvio were directors of the first defendant company. He also conceded that they both signed the contract, Exhibit P1 on the one hand and the plaintiff on the other definitely as employee according to that contract. On the other hand, whereas the plaintiff stated that the two Frigerio brothers are joint shareholders in both defendant companies, Paolo DW2 said this was not correct. According to Paolo DW2, he and his brother Fulvio each has 50% of the shares in the second defendant company and are the sole proprietors thereof. In the first defendant company, however, he said that while he (Paolo) bought one per cent of the shares there, Fulvio his brother has none. Paolo said another John Fanko Marte also has one per cent shares in the first defendant and that the rest of the shares there are held by an Overseas United Trust. However, Paolo does not know whether or not his brother Fulvio has any shares in the said Overseas United Trust. As regards to directorship of the two defendant companies, Paolo said he was not a director of the second defendant company himself. Meanwhile, the letter Exhibit P2 was signed by Fulvio while Exhibit P3 was signed jointly by Fulvio and another Andreas. These are the letters which the plaintiff contends and earlier accepted herein above that they contain evidence of directors of the two defendant companies recognizing the plaintiff as manager of the hotel effective from October, 1997.

It will be found from this analysis that the relationship of the two companies between themselves, their shareholders and their directors or managers generally is so complex such that one may not easily discern their boundaries. Whether this is by design or by sheer accident is anyone's guess and that is not what I am required to canvass here.

Complex as it may be, what is clear is that in relation to the first defendant company, the two Frigerio brothers, Fulvio and Paolo are co-directors thereof and, in relation to the second defendant company, they are joint but sole shareholders at parity, each with fifty per cent of the total shares thereof. Hence where they acted jointly together in relation to the affairs of the first defendant company, it would seem they were doing so in their capacity as directors of that company and, in relation to the second defendant company, it seems likely that they were acting in their respective capacities as shareholders, in each case either in their joint positions as such or severally, as the case maybe. But what of the companies inter-relationship in connection with such dealings? What would be the legal effect of such actions where and when they affect either of them one way or the other, or those whom they deal with when and if these actions affect both companies? Where does one draw the line of demarcation to say this is in the legal province of one and that is not, both the individual natural persons performing those actions and the respective individual companies affected by the actions of those natural persons? *A fortiori* how does a third party as was the plaintiff here make the distinction? I bet it is not easy. And that the position the plaintiff found himself in when he dealt with the defendants and the natural persons connected with them either as shareholders and or actions giving rise to the dispute must be allocated one way or the other so that in the end legal remedy, if any, may also be possible to allocate to whoever is ultimately considered as liable therefore whether by himself alone or jointly together with the other. I shall now attempt to do this on the balance of probabilities and the preponderance of the evidence in relation to the second of the issues in the series.

I am satisfied with the evidence as it obtains that Paolo DW2 and his brother Fulvio are sole proprietors of the second defendant company each with fifty per cent of the shares therein. I am also satisfied, at least on the balance of probabilities, that both Paolo DW2 and Fulvio, his brother are joint directors of the first defendant company whereas full membership of directorship in the second

defendant company has not been fully established by the evidence available just as much as has not full ownership of the shares in the first defendant company, is therefore possible, going by the evidence in record, that Paolo DW2 is not but only Fulvio is director in the second defendant company but these cannot as facts be ascertained by the evidence available in the record. Likewise, it is possible that Fulvio has no shares in the first defendant company but he possibly may be having his shares in the Overseas United Trust which in turn is the majority shareholder in the first defendant company. However, this also cannot be ascertained by the evidence available on record. So also is the exactitude of the influence which either Paolo and or Fulvio as such natural persons can exercise in either of the two defendant companies. This also cannot be ascertained by the evidence available in record albeit it is abundantly clear that both of them had a certain amount of influence in either of the two companies. It is only the exactitude of such influence which cannot be ascertained by the evidence available.

On these premises, one can hold with impunity, I think, that the plaintiff was entitled to assume that both Paolo DW2 and his brother Fulvio had and could speak with equal force and authority in the affairs of the two defendant companies and further that any deal struck with either of them severally or jointly together would equally bind either of the two defendant companies. Which is why I hold that in the circumstances of this case, then whoever the plaintiff discussed with concerning his appointment as manager of the hotel, be it Paolo or Fulvio, the same had the full impact of convincing the plaintiff that he was dealing with the right authority regarding the affairs of the second defendant company in the same way as both or either of them were/was a party to the contract Exhibit P1, formally hold accordingly.

But were there any such discussions indeed between the plaintiff with either Paolo and or Fulvio (severally or jointly together) which were designed to engage the plaintiff as manager of the hotel? There

may be scant direct evidence with which to answer this question in the affirmative. It is only the plaintiff who claims there were such discussions or negotiations except that they had not quite agreed on the terms but the salary in particular. The defence, however, seems to deny this either expressly so or by inference. In this respect the learned defence counsel submitted that the plaintiff's acceptance of extra work against his contract with the first defendant and so without any more ado should be interpreted to mean that either he had agreed to work for the second defendant on the same but only salary as he earned from the first defendant or that the had displayed an obvious agreement to substitute a new contract for the former one, or to rescind same or to alter it.

The learned counsel advanced these theories arguing that there was no evidence with which even to infer the existence of a Contract of Employment between the plaintiff and the second defendant. To support the validity of his argument the learned defence counsel cited section 62 of the Contract Decree which prescribes what is known as the principle of novation in contract. In reply, Dr Lamwai for the plaintiff argued that the principle of novation cannot apply in this case because, he said, there is no evidence of discharge of the former party to the contract Exhibit P1 nor is there any evidence of taking over by the second defendant the duties of the first defendant. To support his argument, learned counsel for the plaintiff Dr Lamwai cited paragraphs 460 and 464 of **Halsburys Laws of England**, Volume 8 (ed) (Sin at pages 262 and 265 respectively to support his arguments on the principle of novation. Other than **Halsburys Laws of England** (which I have not been able to refer to due to the poor state of the library in this High Court) other authorities have also defined "novation" to mean:

> ... a generic term which signifies that there being a contract in existence some new contract is substituted for it, either between the same parties or between different parties; the consideration mutually being the discharge of the old contract. In particular, however, it denotes the rescission of

> one contract and the substitution of another in which the same acts are performed by different parties ... "**Chitty on Contracts (General principles),** (22 ed) (1961) at paragraph 949 on page 421.

Earlier on, the author emphasized at paragraph 946 on page 419 that:

> Novation takes place where the two contracting parties agree that a third shall stand in the relation or either of them to the other. It is a new contract and therefore essential that the consent of all parties shall be obtained, and in this necessity for consent lies the essential difference between novation and assignment ...

Some thirty years later, Cheshire, Fiffot and Furmston in the **Law of Contract,** (12 ed) (1991) at page 518 retain the essential of the definition for novation thus:

> Novation is a transaction by which, with consent of all the parties concerned, a new contract is substituted for one that has already been made ...

In each of these texts, the authors both emphasize on the essentiality of the existence of consent by all the parties concerned in the novation of the particular contracts, namely, the new agreement substituting the old one with a third party with his consent replacing one party in the former thereby completely discharging the latter from the old contract now replaced by a new one.

In the instant case, there is practically no evidence at all to show that there was consent, express or implied, between the plaintiff and the first defendant company on the one hand and between the plaintiff and the second defendant company on the other, so that a new contract is created between the latter two parties whereby the second defendant replaces the first defendant standing in the relation of the two contracting parties as per contract Exhibit P1. In other words, just as there was no evidence on record showing the existence of a contract or agreement of employment between the plaintiff and the second defendant on the one hand, so also was there none to show that the plaintiff had agreed to work for him (second defendant) on only that salary of the first defendant company other than the

plaintiff's own testimony and version of the story in that regard. So much the more on the alleged display of agreement to substitute, rescind or alter the contract Exhibit P1 dated the 3 May 1997. Quite to the contrary, we have on record only the plaintiffs own evidence that there were on-going negotiations with a view to paying him (plaintiff) extra wages for his services as hotel manager for the second defendant and that as early as October 1997, the two defendants severally and or together had recognized him as such manager of the hotel while on the other hand there was still some construction work to be done as per contract Exhibit P1 vide the defendants' own letters Exhibit P2 and P3 respectively. Such other than the plaintiff's own testimony on this, there can be no basis of rejecting his version of the story except and unless the same is made outside of the judicial mind.

I rule out novation for lack of evidence to prove mutual consent between the parties concerned, to create a new contract in substitution of the old one as per Exhibit P1. Rather, it seems probably true to me that there probably were some on-going negotiations designed to engage the plaintiff for extra work at the hotel on new wages other than what had earlier been agreed as per Exhibit P1. I am fortified on this view by the evidence which shows that the plaintiff was already managing the hotel while there was still more construction work to be done as per Exhibit P1. I am also fortified in this view by the failure by the defence witnesses to show by what evidence the said novation can be proved. We need clear evidence as to that effect, certainly not by inferences to be made in that regard while there is in existence contrary evidence from the plaintiff.

But was there created any Contract of Employment between the plaintiff and the second defendant company and, if so, at whose instance and on what terms? Considering all the historical background of this case, I am constrained to have to answer this first leg of the question in the affirmative. And for the second part of the question, I say it is the two Frigerio brothers who, either as director of the first defendant company or as co-owners of the second defendant company, or both, by their conduct ascertainable in writing vide Exhibits P2 and P3,

had led the plaintiff into believing that he had secured new but additional job or additional new pay, the latter having not been agreed as yet when the relations turned sour. The evidence is just too convincing that this was the case although perhaps only intended to last as a temporary measure. Otherwise, after Fulvio had written (Exhibit P2) to the plaintiff that:

> Mr Adriano ... Peter and Ilario are arriving in the village to help you in the management of the hotel ... [emphasis supplied]

And again, by Exhibit P3, that:

> The duty of the last (Mr Ilario) ... is (a long list of hotel duties) and, if eventually should he need more help he will have to speak to Adriano in order to obtain authorization of engaging new people. Furthermore we specify, that only Mr Adriano can go to town ... if, for his duties he should require further personnel, the authorization for the new engagement shall be given by Mr Adriano.

It is abundantly clear that the plaintiff was being entrusted with senior management duties of the hotel. These are the affairs of the second defendant company. However, at the same time, the plaintiff was, by the same letters, also being told that:

> It is essential that the bedroom next to the office should be usable and occupied by Ilario and Peter ...

and, further, that:

> ... he is responsible for the maintenance at the village of all civil and plumbing works.
>
> For Adriano: to start works in the Villa number 13, to paint all bedroom which show fungus, to start all maintenance general works...

As clearly it shows, these latter are civil works; the province of the first defendant company and for which the plaintiff was employed as Director of Works by the defendant company. The defendants Fulvio and proprietors of the second defendant company in particular cannot deny they had instructed the plaintiff to perform senior

management duties of the hotel of the second defendant while at the same time retaining his duties as Director of Works of the first defendant company. And the plaintiff performed both duties until he left to go on leave sometime in March, 1998. With this display by their conduct, the defendants are now estopped to deny the fact.

However, in this new assignment, the plaintiff could not have been working for charity and we have seen it could not have been on the same old salary as per contract Exhibit P1. I believe it is true that the plaintiff performed this extra new job in the hotel strongly believing that he would in the end be remunerated by an extra new salary, the amount of which they were still negotiating when their good relations were strained on these premises. I am satisfied there was oral agreement established by the parties' conduct towards each other. Natural persons inextricably dealing and or with the affairs of either of the two defendant companies had by their conduct, led the plaintiff into believing that he had struck a new deal for which he would be paid for working extra in the hotel as well and he did so.

However, as I said recently in another case, *Venance Order Kiboko v. Meneja Mkuu* (5), that the problem with oral contracts is that they are difficult to ascertain the exactitude of their terms when and if disputes arise as is now the case here. In such cases, the contending parties usually tend to capitalize on the fact that the contract is unwritten and their unrecorded terms are not available for cross-checking and as an aid in settling the dispute. But that is not to say that oral contracts are not provable or enforceable. In yet another unreported case, *Ahmed Said Omar v. Mazsons Hotel Ltd* (6) the Court of Appeal had this to say:

> Upon close examination of the history, circumstances of the case and the law of contract which gives room for unwritten agreements as binding contracts, the conduct of the defendant in the handling of this matter is relevant. In this connection, the provisions of section 8 of the Contract Decree, Chapter 149 of the Laws of Zanzibar would ... apply. It provides for the performance of a contract by conduct ... From the exchange of

> letter between the (parties) it is common ground that the appellant was in the employment of the respondent ... He worked for a period exceeding six months ... and this was to the knowledge of the respondent who, upon the appellant's inquiry on the delayed confirmation, assured the appellant not to worry about it ... It is also apparent that even though the Contract of Employment had not been signed, persistently the behaviour and conduct of the respondent was such that it encouraged the appellant to believe that he was already employed ...

In this case, natural persons closely connected with the two defendant companies and whose mutual relations are inextricable had made the plaintiff perform extra work as manager of the hotel of the second defendant company while at the same time negotiating with him on the remunerations for which this extra work should carry over and above what the plaintiff was already earning in term of the contract Exhibit P1. I do not believe the plaintiff was rendering these new and extra services at the hotel on that same salary as per contract whereas the contractual assignment was still going on as the letters Exhibit P2 and P3 have shown to us. Arrangements will most likely have been paid work on a temporary basis but, after ruling out novation, I cannot entertain the view that it was on the same and only salary as per contract Exhibit P1. According to the evidence, particularly the economical situation list, the plaintiff indicates that he worked at the hotel for period six months from October 1997 to 25 March 1998. His claim against the second defendant according to the same economical situation list is for payment of salary for those six months only. In his final submissions, Dr Lamwai argues that the plaintiff is entitled to salary from the second defendant company on the basis of *quantum meruit*. This is the principle that where someone has expressly or impliedly requested another to render him services without specifying any remuneration, but the circumstances of the request imply that the service is to be paid for, there is implied promise to pay *quantum meruit*, i.e. so much as the party doing the service deserves. A claim on a *quantum meruit* also arises when work has been done and accepted under a void contract believed to be valid.

[Osborn: A **Concise Law Dictionary**, (5 ed) (1964) at page 261]. In this case, there were directives requiring the plaintiff to serve in the management of the hotel belonging to the second defendant company made in writing (vide Exhibits P2 and 3) by at least one of its proprietors (Fulvio) if not by all shareholders thereof. Believing in on-going negotiations that the services he was being instructed to carry out at the hotel would be paid for, the plaintiff worked at the hotel for a good six months and this is not disputed. With great respect to the learned counsel for the plaintiff, I fully concur with him that the plaintiff is entitled to extra pay for his services at the hotel on the basis of *quantum meruit*. Decent and reasonable claim I think. It is held accordingly.

It follows, therefore, that the first part of the second issue as well is answered in the affirmative and the contract thus created was at the instance of the two defendants as such legal persons. Otherwise, it was the creation of at least Fulvio who was the signatory of the letters Exhibit P2 and 3 and who is both of director of the first defendant company and also a co-owner of the second defendant company, persons (both natural and legal) whose relations are inextricably complex indeed.

Rule 9(2)(b) I will begin with the principle claims against the second defendant and the economical situation list is my best aid in that regard. It provides such an invaluable summary of the reliefs claimed. The plaintiff is claiming six months salary against the second defendant company. It is specifically for the period from October, 1997 to 25 March 1998 to a total LIT 13 667 000 at the rate of 2 million LIT per month. I have already demonstrated how justified is this claim particularly on the basis of *quantum meruit*. For a person already earning LIT 2.7 million per month from a sister company of the second defendant, a claim of LIT 2 million per month for management work of the second defendant's hotel is in my opinion decent and reasonably fair. They had not reached an agreement for same as yet but it was for that amount that their negotiations were based on as I believed the evidence I am not persuaded by the reasons advanced

in defence for refusing to pay the amount claimed as salary on *quantum meruit* basis from the second defendant company. I enter judgment for the plaintiff and against the second defendant on the principle amount claimed as salary for six months service which the plaintiff rendered as manager of the hotel. It is LIT 13 667 000 awarded here, or its equivalent in (USD) United States dollars.

As against the first defendant, I am satisfied that as at the time he was unceremoniously terminated from his employment as per contract, there were outstanding earned but unpaid salaries in the sum of LIT 5.8 million due to the plaintiff. I was convinced on the balance of probabilities by the plaintiff's account on how this has come to and, as already pointed out earlier in this judgment, the defence had nothing to offer to counter the claim in this regard. Difference of salary arrears in the sum as stated (LIT 5.8 million) claimed (out of a total of LIT 29.7million) is hereby awarded to the plaintiff.

There is a claim for LIT 41 000 000 (equivalent of USD 23 480) as per paragraphs 10 and 12(b) of the plaint. The plaintiff says this is anticipated earnings for a year (at a monthly salary of LIT 2.7million), three return air tickets and leave pay. I have no problem picking the damages in terms of expected salary earnings for one year now that the contract Exhibit P1 has been prematurely albeit unilaterally terminated by the defendants. Salary claimed in these terms should be LIT 32 400 000 (for example 2.7 million x 12 months). In line with what I have stated hereinabove, a claim to that extent in the form of damages as anticipated lost earnings is understandable and fair I think.

However, I have some difficulties in allocating the claim in respect of the other two items as they are listed under the two paragraphs so as to raise the total claim to some LIT 41 100 000. Pertinently, I am referring to the claims for return air tickets and leave pay. To begin with the right to return air tickets, article 2.01 of the contract Exhibit P1 provides that:

> ... The periodical air fare is recognized, provided a further effective and continuous stay of at least 4 months is foreseen after the return. If the ticket is not utilized, it will, however, be refunded.

So the right to or recognition of periodical air fare, hence the return air tickets, is conditional upon an expected further effective and continuous stay of at least another four months being foreseen or expected to place of work. However, note that there is foreseen no further stay at place of work following termination of the contract, recognition of the right to return air ticket does not arise. I am fortified in that view by article 2.03 of the contract, which gives the company the right to withhold the travel expenses in anticipation to premature maturation of the contract for a number of reasons, including advanced resolution. In my considered opinion, I think it is improper to award the claim for travel air tickets as demanded in the circumstances that obtain here. The claim as to that effect would accordingly be rejected.

So much the more with regard to the claims on leave pay as the same is claimed under paragraphs 5, 10(*c*) and 12(*b*) of the contract Exhibit P1. I can read nothing in article 4 which provided for holidays on the basis of which the plaintiff could also claim entitlement to cash payment *in lieu* of anticipated leave one which was, in fact, not yet due and will never be now that the contract is terminated albeit unilaterally and prematurely so. There is nothing on record to liase between the claim for cash payment *in lieu* of anticipated but as yet unearned leave entitlement. I would accordingly reject the claim in that regard.

While I am still on this topic regarding leave generally, maybe I should also seize the opportunity to comment on another claim for leave in the sum of LIT 1 417 500 which the plaintiff alleged to be entitled allegedly as earned leave for services rendered from 3 May 1997 upto 25 March 1998. Again, I can see no contractual basis for this claim particularly taking into account the fact that the plaintiff managed to go on leave from 25 March 1998 for services rendered hitherto. Incidentally, other than the economical situation list, I have

not been able to locate from the plaint anywhere where cash payment is claimed in respect of leave entitlement for services duly rendered. Accordingly, a claim for LIT 1 417 500 for leave pay is refused.

However, I will award to the plaintiff some USD 200 being the amount he paid from his own pockets for renewing his work permit here in Zanzibar, and another USD 764 also paid from his pocket for his return ticket to Zanzibar after his employers back-paddled to issue one without any much less adequate and or clear explanation. It is a total of USD 964 being awarded here being renewal of work permit and return air ticket from Italy as detailed in the Economic Situation List.

In the Economic Situation List, there is also a claim for LIT 7 020 000 said to be stand-by days in Italy and kin Zanzibar from 9 April 1998 to 26 June 1998. I am not sure if I properly grasped the gist of this claim. If I did, then I cannot trace anywhere in the pleadings (plaint) nor does the evidence sufficiently reveal its basis. The plaintiff should at least have shown how the amount as claimed is arrived at. He has not done so in this regard. The claim as to that effect is therefore refused and accordingly dismissed.

The plaintiff also prayed for interest on the decretal amount from the date of judgment to full payment. It is a reasonable claim. I award ten per cent (10% interest on the decretal amount in terms as prayed by the plaintiff (plaint paragraph 12(c) refers).

It is also usual that costs should follow the event. The same is awarded to the plaintiff in terms of paragraph 12(d) of his plaint.

In the upshot therefore, this court now decreeth in summary as follows, namely:

1. That the first defendant shall pay to the plaintiff a sum of Italian Lire 32 400 000 (say thirty two million for hundred thousand of Italian Lires) (or its equivalent in USD) being contractual damages for loss of expected earning (one year salary at the rate of LIT 2.7 million per month) but for the unilateral premature termination of the contract by the first defendant (or his agents).

2. That the first defendant shall also pay to the plaintiff another Italian Lire 5 800 000 (say five million eight hundred thousand Italian Lires) (or its equivalent in USD) being the deficit of salary arrears due but unpaid from the first defendant.

3. That the second defendant shall pay to the plaintiff Italian Lire 13 667 000 (say Italian Lire thirteen million, six hundred and sixty seven thousand) (or its equivalent in USD) being unpaid salaries due for services rendered as hotel manager of the second defendant company on the basis of *quantum meruit* principle.

4. That the first defendant shall pay to the plaintiff another (a) USD 200 (say two hundred United States dollars) being the amount to plaintiff spent from his pocket in renewing his work permit in Zanzibar and (b), another USD 764 (say seven hundred and sixty four of United States dollars) being an amount the plaintiff paid from his own pocket for buying his own return ticket to Zanzibar.

5. That the defendants shall also pay to the plaintiff ten percent (10%) interest on the decretal amount from the date of judgment to full payment in terms of the prayer at plaint paragraph 12(c) (q v).

6. Defendants also to pay costs of the suit (plaint paragraph 12(d) to be taxed by theRegistrar.

7. Claims for Italian lires 7 020 000 said to be for stand-by days in Italy and Zanzibar (from 9 April 1998 to 26 June 1998), and also claims for return air tickets and another Italian Lire 1 417 500 for an alleged leave pay as per Economic Situation List and paragraph 10(b) and (c) of the plaint are refused and dismissed as unsubstantiated.

ALFRED TEDO *v.* REPUBLIC

HIGH COURT OF TANZANIA AT MTWARA

(Kaji, J.)

CRIMINAL APPEAL No. 41 OF 1997

(From original Criminal Case Number 15 of 1977 before the District Court at Nachingwea, J.K.A. Khaliki, Esq., PDM.)

Evidence-Witness of tender age – No corroborated evidence – Whether conviction may stand on evidence of witness of tender age without corroboration.

Evidence - Witness of tender age – No voire dire whether that is an irregularity – Whether curable irregularity/defect section 381(1) Criminal Procedure.

Criminal law – Offence of defilement – Accused 64 years old – Whether accused may commit the offence.

The appellant, 64 years of age, was charged with and convicted of defilement of two girls aged 4 and 6 years, contrary to section 136(1) of the Penal Code Chapter 16. He was sentenced to 20 years imprisonment and payment of compensation of TZS.10 000 to both girls. On appeal, the appellant challenged conviction on grounds that (i) he would not have, at his age, sexual intercourse with two girls at the same time, (ii) the trial magistrate did not conduct *voire dire* before recording evidence of the witnesses of tender age, (iii) the trial magistrate erred in law in convicting him based on uncorroborated evidence of witnesses of tender age.

Held: (i) The totality of evidence showed that there was penetration into the vagina of the victims which is enough for defilement to stand regardless of ejaculation; Although the record does not show that *voire dire* was conducted before recording the evidence of PW3 and PW4 who were children of tender age the trial magistrate had an opportunity to make proper assessment of the witnesses- that they possessed sufficient intelligence and knew the importance of speaking the truth under section 127 of the Evidence Act 1967.

Appeal dismissed

Cases referred to:

(1) *Furth India Co-operation Ltd v. Stanley and Son Ltd* [1967] HCD 168

(2) *Kisire v. Rule* [1981] T.L.R. 218.

Statutory provisions referred to:

(1) Criminal Procedure Act, section 381(1)

(2) Penal Code Chapter 16, section 136(1)

(3) Evidence Act 1967, section 12

JUDGMENT

(Delivered 22 November 1999)

Kaji, J.: The appellant Alfred Tedo who was at the material time aged 64 years was charged with two counts of defilement of girls under the age of 14 years contrary to section 136(1) of the Penal Code Chapter 16. He denied both counts. However at the end of the trial he was found guilty as charged and was convicted accordingly. He was sentenced to 20 years imprisonment on each count. Both sentences were ordered to run concurrently.

At the trial, it was alleged by the prosecution evidence that the appellant and the two victims namely PW3 Fatuma d/o Seleman and PW4 Christina d/o Christian were neighbours. PW3 and PW4 were residing with their parents. The appellant who had no wife was living alone.

On 12 January 1997, which was a Sunday, PW3's and PW4's parents left for different ventures leaving PW3 and PW4 playing on a heap of sand which was just nearby. There was a house near that heap of sand. PW5 Samson s/o Eliezer was selling sardines (*dagaa*) on the other side of that house while PW3 and PW4 were playing on the sand on the other side.

At about 1:00pm while PW3 and PW4 were playing on that sand, they were approached by the appellant who invited them to his home where he promised to give them some money for buying sweets. They were interested. They went with him to his home. PW5 Samson who had been hearing their noises when playing on the sand, suddenly stopped hearing that noise. However he felt nothing unusual about it as children keep on changing venue for better playing grounds. He thought they might have moved somewhere for a better playing ground. He continued with his business of selling sardines.

When PW3 and PW4 arrived at the appellant's house, the appellant invited them inside where he said the promised money was. They entered. But just when they entered the appellant locked the door. He grabbed PW3 and placed her on his bed and stripped her of her underwear. He pushed his private part (penis) into her private part (vagina). She felt much pain. He took her down and grabbed PW4 and placed her on the said bed. He stripped her of her underwear and pushed his private part (penis) into her private part (vagina). She felt much pain. Then he cautioned them that they should not tell anybody about it and that if they did they would die as well as their mothers. He opened the door and let them go. He never gave them any money.

Later PW5 Samson saw PW3 Fatuma lying on the ground facing downward (*kifudi fudi*). She looked unhappy. He asked her as to what was wrong with her to what she said there was nothing wrong with her.

Later PW6 Anastasia d/o Eliezer came. PW5 requested her to interrogate her as to what was wrong with her as he had tried to ask her but had not given a convincing answer. PW6 found her still lying on her stomach behind their house. She asked her as to whether she was sick to what she denied. She asked her again. This time she told her as to what the appellant had done to her and as to how it all happened. When PW3's mother PW1 Anna d/o Rashidi arrived she was told about it. She examined her private part (vagina) and saw

some sperms. PW4's grandfather PW2 Oswald Mayaya was informed as to what had happened to her grand-daughter PW4. He asked her to what she narrated the whole story as above. The matter was reported to the village chairman and later to the police. PW3 and PW4 were issued with PF3. They were medically examined. The PF3 for PW3 Fatuma showed the following finding:

> Patient has got bruises on the vaginal wall. But no sperm was seen. (Exhibit P1).

That of PW4 Christina showed the following finding:

> Vulva and vagina stained with blood, and fresh blood oozing from vagina. Vaginal wall is inflamed and there is laceration. But no spermatozoa seen. (Exhibit P2).

At the material time, PW3 Fatuma was aged 4 years and PW4 Christina 6 years. The appellant was arrested and charged with defiling them.

The appellant denied and raised an *alibi*. He narrated as to what he had been doing on that day from morning till 1 pm when he left his home for DW2 Mbobwe s/o Salinu at Namatula "A" after changing his clothes. He said he remained there talking with DW2 and a visitor from Tunduru till around 4 p.m. when he left for home.

DW2 denied to have seen the appellant at his home on that day or anywhere on that day. He said the man from Tunduru who had come to take his child had left long ago before 12 January 1997. After evaluating the evidence, the trial court was satisfied the prosecution had proved the guilt of the appellant beyond all reasonable doubt. The appellant was found guilty and was convicted and sentenced as above. He was also ordered to pay PW3 and PW4 TZS. 10 000 being compensation for the pain they suffered. He was aggrieved. Hence this appeal.

In his grounds of appeal he insisted on his innocence and blamed the trial court for convicting him on the prosecution evidence which he termed as "weak and insufficient". He said, at his age he could not have sexual intercourse with two girls at the same time. He blamed

the trial court for failing to call the doctor who examined PW3 and PW4 as a witness. He cited the case of *South India Co-operation Ltd v. Stanley and Son Ltd* (1)

In reply the learned state attorney Mr Masaju who represented the Republic at the hearing of this appeal supported the conviction and sentence on the ground that the prosecution evidence established the guilt of the appellant beyond all reasonable doubt. He said the evidence of PW3 and PW4 who were of tender years was corroborated by PW5, PW6 and the PF.3. He said there was no need of calling the doctor and that if the appellant felt there was a need, then he would have told the trial court so and the doctor would have been called. The learned state attorney went on replying that PW3 and PW4 knew the appellant very well and the event took place during daytime. The learned state attorney conceded that there was no *voire dire* test conducted by the trial magistrate before recording the testimony of PW3 and PW4. However he was of the view that that failure did not cause failure of justice and is curable as per section 381(1) Criminal Procedure Act 1985 and the case of *Kisire v. R.* (2).

On whether the appellant could have sexual intercourse with two girls at his age, the learned state attorney replied that some old men use local herbs to stimulate their erection, and that there is no wonder for an old man of the appellant's age to have sexual intercourse with two girls simultaneously even if by mere penetration without necessarily ejaculating.

I have carefully considered the evidence on the record, the appellant's grounds of appeal, the learned state attorney's reply together with the overall circumstances surrounding this case. There is no dispute that the appellant and the prosecution witnesses are neighbours and know each other very well. The defilement is alleged to have been committed during daytime at about 1:00pm. Therefore, under those conditions the question of misidentification does not arise. There is nothing indicating or suggesting that any of the prosecution witnesses

had any grudge with the appellant. Therefore there was no danger of a probable concoction or frame up.

The PF3, Exhibits P1 and P2 showed the injuries PW3 and PW4 sustained in their private parts (vagina). No spermatozoa were seen. PW3 and PW4 said they felt much pain in their private parts (vagina) when the appellant inserted his private part (penis) there. And that he rubbed their private parts with a piece of clothe. Therefore if the appellant had ejaculated to one or both of them, he probably rubbed off his sperms with the said piece of cloth. Also since PW3 and PW4 were medically examined on the following morning, their parents had probably washed them the previous right. But as properly stated by the learned trial Principal District Magistrate in his judgment, in cases of this nature, ejaculation is not necessary. What is necessary is penetration however small it may be. The totality of the prosecution evidence shows clearly that there was penetration by the appellant's penis. Therefore it is immaterial whether the appellant ejaculated or not, and the absence of spermatozoa in PW3's and PW4's private part (vigina) did not vitiate the merits of this case.

The appellant raised a defence of *alibi* that at the material time he was at DW2 Mbobwe's home till 4:00pm. DW2 denied this. His *alibi* did not raise any doubt, leave alone a reasonable one. It was properly rejected by the trial court.

PW3 and PW4 did not report to anybody until when asked. They gave the reason why it was so. They said the appellant had warned them not to report the matter to anybody, and that if they did so they would have died together with their mothers. They were scared and decided to keep quiet. These were young girls, and that lawful warning scared them stiff. That explanation cannot be said to be unreasonable. It was reasonable. Therefore the fact that they did not report to anybody immediately until later when they were asked, does not mean they were not defiled by the appellant. They simply did not report due to fear created by the appellant himself.

In ground number 4, the appellant complained of the discrepancy between PW3 and PW4 on whether there was a mattress on his bed. PW3 had first said the bed had no mat or mattress. But later she said she saw a spongy mattress but she could not remember what type it was. PW4 said the bed was covered with a mat (*tapwata la tefu*). However she said she had no time to investigate everything especially that the room had dim light. I am satisfied this discrepancy is minor and did not vitiate the merits of the case. PW3 and PW4 were in a terrified state, and had no time to concentrate on whether the bed was covered with a mattress or a mat.

Lastly, but the most important of all, is whether it was proper to convict the appellant on uncorroborated evidence of PW3 and PW4. PW3 and PW4 were children of tender years. They gave unsworn testimonies.

The procedure of recording testimonies of witnesses who are children of tender years, and the weight of their testimonies, is governed by section 127 of the Evidence Act 1967. Before recording the evidence of such a witness, the trial magistrate must conduct a *voire dire* test to decided whether that child knows the meaning of an oath and is possessed of sufficient intelligence to justify the reception of his or her evidence, and understands the duty of speaking the truth.

According to the record, there is nowhere where it was recorded how the *voire dire* test (if any) was conducted. But the record shows that PW3 and PW4 did not understand the nature of an oath but both of them understood the importance of speaking the truth and were possessed with sufficient intelligence and were able to give rational answers to the questions put to them. They gave unsworn testimonies. I am satisfied under those circumstances the learned trial magistrate had an opportunity to make a proper assessment and was satisfied they were possessed with sufficient intelligence and knew the importance of speaking the truth.

Under section 127(3) of the Evidence Act 1967, a court may convict an accused person on uncorroborated evidence, after warning

itself of the danger of acting on such uncorroborated evidence, and after fully being satisfied that the child or children are telling nothing but the truth. In the present case the learned trial magistrate did not record in his judgment about that warning. But although he did not record so in black and white, yet going through his judgment very carefully, it is apparent that he took all the necessary precautions and was satisfied PW3 and PW4 were telling nothing but the truth. In view of this it is my view that the omission of recording the warning did not cause failure of justice nor did it prejudice the appellant. The appellant's complaint that he is too old to defile two girls at the same time has no merit, because defilement requires only penetration and not necessarily ejaculation. The appellant did not say he is impotent.

Failure to call the doctor who examined PW3 and PW4 also did not vitiate the merits of this case, because the appellant did not tell the trial court that he wanted that doctor to be called as a witness so that he could cross examine him on any important fact.

The sentences imposed on the appellant were minimum at that time. The compensation of TZS. 10 000- to PW3 and PW4 is not excessive in view of the pains PW3 and PW4 sustained as shown in the PF3, Exhibits P1 and P2. This appeal was lodged without sufficient grounds. It is hereby dismissed in its entirely.

ATTORNEY GENERAL *v.* AMOS SHAVU

COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Kisanga, Mfalila and Lugakingira, JJ.A)

CIVIL APPEAL No. 1 OF 1998

(From the decision of the High Court of Tanzania at Dar es Salaam, Mwaikasu, J., dated 18 May 1995, in Civil Case No. 128 of 1993)

Civil Practice and Procedure – Civil Procedure Code 1966 – Rule 6(1)(a) of Order IX –Whether the modification in G.N. Number 376 of 1968 applies where the Attorney General is one of several defendants.

Civil Practice and Procedure – Rule 6(1) of Order IX of Civil Procedure Code 1966 – Whether the words "when the suit is called for hearing" refer to an adjourned date of hearing.

Civil Practice and Procedure – Order IX, rule 6 of the Civil Procedure Code 1966 – Whether it applies only when the suit is called for hearing on the first occasion Order XVII, rule 2.

Civil Practice and Procedure – Order for compensation – Whether correct to use the dollar to calculate judicial compensation for purpose of – Setting devaluation.

Judgement – Basis of judgment – Whether extraneous information may be acted upon.

The appellant was one of the defendants in the High Court in this case. Counsel for the appellant did not appear when the suit was called for hearing. The High Court proceeded *ex-parte* against the appellant and in the end all the respondent's claims, including compensation, were granted, the judge using the USD to calculate the compensation for purpose of off-setting devaluation. The judge purported to determine the respondent's exact entitlement by employing a multiplier derived from the exchange rates over a certain period. The judge obtained the information regarding the exchange rates privately in the absence of the parties. On appeal, the Court of Appeal considered whether the modification to rule 6(1)(a) of Order IX applies where the Attorney General is one of several defendants; whether that rule is applicable to an adjourned hearing; and whether it was an error for the trial judge to calculate the respondent's entitlement that way.

Held: (i) The words "when the suit is called for hearing" in Order IX, rule 6(i) of the Civil Procedure Code refer to the first day fixed for hearing on the first occasion but when read with Order XVII, rule 2 of the Code, the words are applicable even to an adjourned hearing;

(ii) The modification in G.N. Number 376 of 1968 applies only where the Attorney General is the sole defendant but not where he is one of several defendants;

(iii) The methodology for determination of the respondent's multiplier derived from the exchange rates between the shilling and the dollar over the period 1979 to May 1995 the date of the judgement, was wrong;

(iv) The award of the trial judge that was based on information obtained otherwise than in the course of the trial was a complete ruling.

Appeal partly allowed and partly dismissed

Cases referred to:

(1) *NBC v. Perma Shoe Company* [1988] T.L.R. 224

(2) *Agustino v. Mugabe* [1992] T.L.R .137

Statutory provisions referred to:

(1) Civil Procedure Code 1966, rule 6(1)(a) of Order IX, 6(1) of Order IX, Order IX, rule 6, Order XVII, rule 2

Mr *Mwidunda,* for the Appellant

Mr *Lukwaro,* for the Respondent

JUDGMENT

(Dated 26 November 1999)

Lukangira, J.A.: This appeal arises from the judgment and decree of the High Court sitting at Dar es Salaam in Civil Case Number 128 of 1993. The suit was founded on trespass to property and the person of the respondent/plaintiff. The respondent was a businessman operating a bar, a lodging, a restaurant and a shop in premises situate on plot number 5/A at Kibondo Minor Settlement in Kigoma region. There were three defendants before the High Court: the Kibondo District Area Commissioner, one TAK Msonge, the Kigoma Regional Trading Company Ltd., which carried on wholesale and retail business in Kigoma region, and the Attorney-General. It was found at the trial that on 27 November 1978 the first defendant, purporting to act in his official capacity, ordered the respondent's arrest and he was duly arrested and detained in police custody overnight. Meanwhile, agents of the first and second defendants broke into and entered the respondent's business premises, then removed and took away the respondent's entire property. It included goods worth TZS. 357 253, cash amounting to TZS. 90 000 and cheques worth TZS. 4 800. Nothing was to be restored. This outrageous act apparently came in the wake of a breakdown in negotiations whereby the respondent was to hand over his premises to the second defendant in exchange for the second defendant's premises on plot number 7/D. The second defendant accordingly took occupation of the respondent's premises but the respondent could not move to plot number 7/D because the premises were dilapidated.

Up until November 1992, the respondent sought for compensation from the Government, alternatively, the consent of the Minister to sue, but while the Government admitted liability substantially, it offered compensation which the respondent considered inadequate and consent to sue was flatly refused. In August 1993, following a change in the law, the respondent instituted this suit against the defendants jointly and severally claiming damages for false imprisonment, compensation

for goods and money seized, loss of earnings, and cost of modifications to the business premises, plus interest and costs. The second defendant did not enter appearance and did not file a written statement of defence, whereupon judgment was entered against it on 2 March 1995. The Attorney-General and the first defendant were represented by a state attorney and filed a joint written statement of defence. On the day fixed for hearing, 28 April 1995, counsel for the defendants did not appear and the court proceeded to take evidence from the respondent. In the end the court granted all the claims as well as compensation of TZS. 878 383 107 for the devaluation of the shilling, along with interest and costs.

The Attorney-General was aggrieved by the decision and brought this appeal on the following four grounds:

1. The Honourable Judge erred in law in allowing defendant *(sic)* to prove his case *ex parte* the way he did, contrary to Order IX, rule 6 of the civil Procedure Code 1966 as amended by G.N. 376 of 1968, Government Proceedings (Procedure) Rules 1968.
2. That the Honourable Judge erred in fact when he awarded compensation based on the United States dollar instead of the Tanzanian Shilling.
3. That the Honourable Judge erred in law by taking into consideration devaluation and also awarding interest.
4. That the Honourable Judge erred in law when he granted the whole amount quoted as loss of earnings without considering whether or not the respondent did mitigate his loss.

We will start with the first ground, move on to the fourth, and revert to the second and third grounds. On the first ground, Mr Mwidunda who appeared for the Attorney-General submitted that the *ex parte* proof ordered by the trial judge was fatally irregular as it ignored the provisions of Order 9, rule 6 as modified by G.N. 376 of 1968. This Government Notice introduces various modifications in the First Schedule to the Civil Procedure Code to cater for proceedings under the Government Proceedings Act 1967. In its unmodified form rule 6(1)(a) of Order 9 reads thus:

6(1) where the plaintiff appears and the defendant does not appear when the suit is called for hearing then:

(a)(i) if the suit is before the High Court and it is proved that the summons was duly served, the court may proceed ex parte.

As modified by G.N. 376 of 1968, paragraph (a) reads thus:

(a)(i) if the defendant is the Attorney-General and it is proved that the summons was duly served, the plaintiff may apply for leave to proceed *ex parte* and the court shall thereupon fix a day for the hearing of the application and shall direct that notice of the application and of such day be given to the Attorney-General;

(ii) Where the Attorney-General appears at the hearing of the application under this paragraph and assigns good cause for his previous non-appearance, he may, upon such terms as the court may direct as to costs or otherwise, be heard in answer to the suit as if he had appeared on the day fixed for hearing of the suit.

Mr Mwidunda argued that in view of this modification, the respondent should have moved the trial court by a written application as provided under Order 43, rule 2 to proceed *ex parte* and the court should have fixed a day for hearing the application after notification to the Attorney-General. Since this procedure was not complied with, but the court proceeded as if G.N. 376 of 1968 did not exist, the *ex parte* proof was incurably irregular.

Mr Lukwaro appearing for the respondent disagreed with Mr Mwidunda. He stated that G.N. 376 of 1968 did not apply in this case and gave two reasons. First, he said that the modification applied only "if the defendant is the Attorney-General", meaning, if the Attorney-General is the sole defendant. In this case, however, the Attorney-General was one of three defendants but not "the defendant". Second, Mr Lukwaro submitted that Order 9, rule 6 applies "when the suit is called for hearing", meaning, when it is called for the first time for hearing. In this case, Mr Lukwaro said, the suit was not first called for hearing on 28 April 1995, but that was an adjourned date.

It seems logical to begin with Mr Lukwaro's second point. Indeed in the opening part of rule 6(1) the words "when the suit is called for hearing" appear to be operative. In one sense that means the court cannot proceed *ex parte* if, say, the suit is only coming for mention. Mr Lukwaro takes the matter further to say that those words refer to the first day of hearing. We have given adequate consideration to the argument and we think learned counsel has a point. In the first place, there is support for the argument from learned texts. **Sarkar** (8 ed) page 478, says the words "called on for hearing" mean "on the first day of hearing" so as to distinguish Order 9, rule 6 from Order 17, rule 2. Similarly, **Woodroffe** (2 ed) page 756, says the words "when the suit is called on" appear to have been inserted so as to limit Order 9, rule 6 to the first day of hearing and mark the distinction between these provisions and those of Order 17, rule 2. Further support for the argument is also found in Order 9 itself read with Order 8, rule 15. A careful examination of Order 9 establishes that the whole of it refers to a hearing day fixed in accordance with the provisions of Order 8, rule 15, and that in fact is the first hearing day fixed upon completion of the pleadings, Order 8, rule 15 says that when the pleadings are complete, "the case shall be deemed to be ready for hearing and a day shall be fixed by the court accordingly ..." Order 9, rule 1 provides for appearance by the parties on the day so fixed and the rest of the rules under Order 9 provide for the consequences of non-appearance by the parties or any of them on that day. We are therefore in agreement with Mr Lukwaro that the words "when the suit is called for hearing" in Order 9, rule 6(1) refer to the first day fixed for hearing.

However, our agreement ends there; we do not think, with respect, that learned counsel is correct in further stating that Order 9, rule 6 applies only when the suit is called for hearing on the first occasion. It seems that he mistakes **Sarkar** where it is said (on page 1309):

> Order 9, rule 6 by itself is not applicable if the defendant after having appeared in answer to the summons fails to appear at an adjourned hearing.

Learned counsel appears to rely on this passage, and similar passages he read from **Mulla**, to argue that Order 9, rule 6 cannot apply in this case because 28 April 1995 was not the first hearing day but an adjourned hearing day. He overlooks, or so it seems, the significance of the words "by itself" in the passage which imply that Order 9, rule 6 as such cannot be applied at an adjourned hearing except in conjunction with some other provisions. These provisions are Order 17, rule 2 which states:

> Where, on any day to which the hearing of the suit is adjourned, the parties or any of them fail to appear, the court may proceed to dispose of the suit in one of the modes directed in that behalf by Order 9 or make such other order as it thinks fit.

Therefore, Order 9, rule 6 is applicable even on an adjourned hearing, but it derives that applicability from Order 17, rule 2. **Sarkar** in fact makes this point by again saying (*ibid*):

> Both under Order 9, rule 6 and Order 17, rule 2 the procedure is the same where the defendant fails to appear at the hearing, whether the hearing takes place on the day fixed in the summons as contemplated by Order 9, rule 6, or at a later date to which the hearing may be adjourned, which is contemplated by Order 17, rule 2.

And **Woodroffe** states (on page 838) that Order 17, rule 2 "is an application to adjourned hearings of the procedure prescribed for the first hearing". It is thus evident that Order 9, rule 6 when read with Order 17, rule 2 applies to adjourned hearings and was so applicable in the instant case if, as maintained by Mr Lukwaro, 28 April 1995 was an adjourned date.

We say if 28 April 1995 was an adjourned date because there is some difficulty in this case in ascertaining which day was the first day of hearing, the proceedings having taken a checkered course. The written statement of defence for the first and third defendants was filed on 16 January 1994 and hearing was fixed for the first time to proceed on 10 June 1994. On that day, however, hearing was

adjourned to 9 August 1994 due to the absence of the first and second defendants. But on that day neither the respondent/plaintiff nor his counsel appeared and the suit was dismissed for want of prosecution. There followed an application for restoration of the suit and it was restored on 22 September 1994 when hearing was also fixed for 2 March 1995. On that day judgment was entered against the second defendant but hearing did not proceed; the judge made an order staying hearing in order for the case to go through the ADR process. It seems that no mediation took place, or it failed, for the court sat on 11 April 1995 when the judge ordered: "Hearing adjourned to 28 April 1995". The word "adjourned" would suggest that 11 April 1995 was a hearing day, but it seems most likely that the court sat on that day ostensibly to fix a hearing day following the failure of mediation. On 28 April 1995 learned counsel for the defendants did not appear and the plaintiff was permitted to proceed *ex parte*.

Now, which was the first day of hearing – 10 June 1994, following completion of the pleadings, 2 March 1995, following restoration of the suit, or 28 April 1995, following the failure of mediation? It is tempting to think that 10 June 1994 cannot be that day because the suit was thereafter dismissed and ceased to exist, but the temptation is fraught with difficulty since the restoration of the suit operated to revive all the steps that had been taken before. That being so, 2 March 1995 which followed the restoration cannot be the first hearing day but must rank as an adjourned date. Similarly, 28 April 1995, though coming after the failure of mediation, cannot be the first hearing day. The scheme of Order 8A, B and C which provide for alternative dispute resolution does not remove a suit from the jurisdiction of the court but is a process which, if successful, substitutes for a trial. To that end even the learned trial judge was careful to say that he was "staying" the hearing but not disposing of the suit. This analysis leaves 10 June 1994 as the first day of hearing and Mr Lukwaro was correct in regarding 28 April 1995 as an adjourned date. It follows from what has been stated earlier that Order 9, rule 6 was applicable on that day by virtue of the provisions of Order 17, rule 2. In fact

the trial judge did not cite any provision while deciding to proceed *ex parte* but, as now demonstrated, his decision had the requisite basis in law.

To turn now to Mr Lukwaro's first point, he said that G.N. 376 of 1968 applies only where the Attorney-General is the sole defendant. Mr Mwidunda countered, but we think without heart, that the modification applies whenever the Attorney-General is a defendant, whether alone or with others. The answer, really, turns on the construction of "if the defendant is the Attorney-General", and these words do not present any ambiguity. Giving them their grammatical meaning, they limit the person of the defendant to the Attorney-General only and any attempt to read any other defendant in that context would be an outrage to the English language. Had the legislature wished to convey a different meaning and to make it appear that G.N. 376 of 1968 is applicable whenever the Attorney-General is a defendant, and not "the defendant", it could have said so. For instance in Order 3, rule 1 the same G.N. 376 of 1968 introduces the words "or, where the Attorney-General is a party ..." and in that context the modification applies whenever the Attorney-General is a party. We hold, therefore, that the modification to rule 6(1)(a) applies where the Attorney-General is the sole defendant but not where, as in this case, he is one of several defendants. In saying so we are also fortified by the modification to Order 9, rule 11 of which states:

> Provided that if the Attorney-General is a defendant who does not appear, the provisions of paragraph (a) of sub-rule (1) of rule 6 shall apply to such non-appearance.

This means that where the Attorney-General is one of several defendants and defaults in appearance, the court may proceed under Order 9, rule 6 as if G.N. 376 of 1968 did not exist. The proviso is a logical clarification; it is otherwise difficult to imagine a situation whereby, the other defendants would have to wait while the Attorney-General was being availed the privileges of the Government Notice. For there is no doubt that the modification to rule 6 extends to the Attorney-

General a privilege not enjoyed by other litigants; the Legislature could not be so indulgent and also intend that this privilege should be enjoyed at the expense of co-defendants. The proviso to rule 11 puts this beyond doubt.

We are satisfied in the final analysis that G.N. 376 of 1968 applies to Order 9, rule 6 only where the Attorney-General is the sole defendant but does not apply in a case like the present where the Attorney-General was one of three defendants.

The first ground of appeal is therefore rejected. The fourth ground charges the trial judge with granting earnings without considering whether or not the respondent mitigated his loss. This need not detain us long. In fact the trial judge considered the aspect of mitigation of loss and said:

> It is ... to be noted when the plaintiff was forcibly removed from his business premises the building he was supposed to move into, being one formerly occupied by the Regional Trading Company, was not by then fit as business premises. It was in a dilapidated state ... It is also to be borne in mind that by seizing his trading goods, the plaintiff's business capacity had thereby been brought to the ground. In the circumstances it is most unreasonable to contend that the plaintiff had not been stopped from carrying on with his business, when he was practically so battered.

We share in the observations of the learned judge. Perhaps, it is only necessary to add that a plaintiff is only expected to take reasonable steps to mitigate his misfortunes and whether he has done so or not is a question of fact rather than law which has to be judged in the peculiar circumstances of each case. In the case before us, the respondent could mitigate his loss by taking up occupation of the premises on plot number 7/D and continuing his business there, but as the trial judge remarks in the passage above, neither of this was possible. There were no alternative premises to turn to, there were no goods to restart a business with, and, it should not be forgotten, even his money was seized. In spite of all this, the respondent in fact did seek to mitigate his loss. He set out early to claim compensation

or, if this failed, to be allowed to sue; but for over ten years he was not offered reasonable compensation and for the same period he was refused the fiat to sue. Yet he was under no obligation to aggravate his already precarious situation in order to mitigate the compensation payable by the defendants. This case is testimony to such a flagrant violation of the rule of law, wanton disregard of the individual's rights, and abuse of power by the officers of state that it is cynical and unbefitting to turn around and say that the respondent did not mitigate his loss. In the circumstances, we cannot fault the trial judge in his decision to grant all the items of lost earnings. In fact they were modest and amounted to TZS. 3 100 per day, consisting of TZS. 500 from the shop, TZS. 1 000 from the bar, TZS. 450 from the restaurant and TZS. 1 150 from the lodgings. We reject the fourth ground as well.

The second ground questions the propriety of using the United States dollar as a yardstick in assessing compensation for the purpose of making good the depreciation of the shilling. Mr Mwidunda contended that, the practice of the courts in this country is to award reasonable compensation to cater for devaluation and charged that the method used by the trial judge had resulted in an excessive award. Mr Lukwaro saw nothing wrong with the use of the dollar and did not consider the award excessive.

The respondent's entitlement to be compensated for devaluation is not in dispute. This court has on a number of occasions taken the position that in awarding compensation it is proper to take into account the fact of devaluation of our currency in order to put the claimant in the position he was at the time of the wrong complained of: see for example *NBC v. Perma Shoes Company* (1) and *Augustino v. Mugabe* (2). In deciding to award compensation in the instant case the learned trial judge actually had that principle in mind for he spoke of putting the respondent "in as good a position as he would have been had his business not been brought to a stand still", and that the respondent deserved to "be offered compensation that would proximately enable him to put up another business of the kind that had been effectively

wiped out". The respondent's claims fell under five heads, that is, (i) TZS. 357 253 for goods seized, (ii) TZS. 94 800 in cash and cheques seized, (iii) TZS. 114 400 being cost of modifications to the business premises, (iv) TZS. 3 100 in lost earnings, and (v) TZS. 13 000 as damages for false imprisonment and inconvenience but which the trial judge scaled down to TZS. 10 000 only. There is no controversy or reasonable controversy over these basic claims which amounted to TZS. 579 553 as at 28 November 1978. In assessing the compensation for devaluation, however, the trial judge adopted a methodology which we think attracts at least two criticisms.

The first criticism is that raised by Mr Mwidunda: the learned judge purported to determine the respondent's exact entitlement by employing a multiplier derived from the exchange rates between the shilling and the dollar over the period 1979 to May 1995, the date of the judgement. As a result item (i) in the above paragraph yielded TZS. 185 414 304, item (ii) yielded TZS. 49 201 200, item (iii) yielded TZS. 59 373 600, item (iv) yielded TZS. 579 203 000, and item (v) yielded TZS. 5 190 900. The combined total came to TZS. 878 383 107 to which was added interest from the date of judgment to full payment. The ridiculous nature of the result is self-evident. From a humble TZS. 579 553 the element of compensation for devaluation came to over TZS. 878million. The result was ridiculous because by no stretch of imagination could the respondent have made that amount in the fifteen years considered by the learned judge. It is obvious, therefore, that the methodology was wrong. Indeed, we are not aware of any authority or precedent where the dollar was used to calculate judicial compensation for the purpose of offsetting devaluation, although we are aware that our shilling is pegged to the dollar for the purpose of financial transactions. But as Mr Mwidunda argued, this court and the High Court have on diverse occasions awarded what was considered a reasonable amount in the circumstances of each case. In *Perma Shoe Company* (above) a judge of the High Court awarded TZS. 50 000 and this court upheld that sum as "not excessive so as to warrant interference", although the judge did not

show how he arrived at the figure. In *Augustino* (also above) this court considered too high an award of 200% on the compensation of TZS. 500 000 for non-use of a motor vehicle. The court said: "We think a 50% rate is reasonable in the circumstances of this case. Thus we allow TZS. 250,000 for the devaluation". In the instant case, therefore, the trial judge misdirected himself in departing from the principle of reasonableness and purporting to be scientific in a context which required a judicious decision only.

The second criticism is that even if the formula employed by the judge were available in practice, but we stress it is not, there was no evidence in this case to enable him to exploit that formula. No evidence whatsoever was adduced regarding the exchange rates between 1979 and 1995. During the trial an attempt was made to introduce a document showing rates of exchange for foreign transactions on 22 November 1978, but the document was not admitted in evidence because it was not certified by the originating bank. Thereafter no other attempt was made either to reintroduce this document or to adduce other evidence on the whole of the period up to May 1995. It therefore remains a mystery where, when and how the learned judge came by the exchange rates upon which he purported to rely. He states in his judgment that "it has been possible to obtain exchange rates for the month of November 1978, December, 1984, December 1989 and December, 1994", but since none of this is in the record of evidence, it is reasonable to assume that he obtained that information otherwise than in the course of the trial. We think that was improper. The decision of the court can be founded only upon evidence adduced in court but not on information privately obtained in the absence of the parties. It follows, therefore, that the award by the learned judge based, as it was, on information from unknown sources, was a complete nullity and deserves no further attention. We uphold the second ground of appeal.

Lastly, the third ground. It is contended here that the trial judge erred in law by taking into consideration devaluation and also awarding interest. It seems there is a misunderstanding. The award of interest

on the compensation for devaluation did not amount to double compensation for the same element, rather the compensation, being the decretal sum, attracted interest for so long as it remained unpaid. It is normal practice for the decretal amount to attract interest and the cure for it, indeed the cure for any interest, is to pay up at once. Apart, perhaps, from the proliferation of interest in the judgment generally, we are otherwise not persuaded that the judge went wrong as such. The third ground is therefore rejected.

We now set out what we consider the appropriate award in the case and in doing so we propose to rationalize the aspect of interest. Firstly, we uphold the principal sum of TZS. 576 453 awarded by the trial judge. Second, we add to this sum compensation of TZS. 2 500 000 for devaluation over a period of sixteen and half years at the rate of 25% per annum rounded off to the nearest half a millionth. We wish to emphasize that this approach to catering for devaluation is not intended to be general but serves the peculiar circumstances of this case. In each case, therefore, the concerned court should be guided by the factors obtaining in determining the appropriate award. Third, we grant lost earnings of TZS. 18 414 000 at the rate of 3 100 per day to the date of judgment. The three amounts add up to TZS. 21 490 453 and this will carry interest at the current bank rate from the date of judgment, 18 April 1995, to full payment. In sum, the appeal partly succeeds and partly fails; each party will bear its costs before this court

GENERAL MANAGER: WILLIAMSON DIAMOND LTD *v.* CLETUS SWILA

HIGH COURT OF TANZANIA AT TABORA

(Mwita, J.)

CIVIL APPEAL No. 16 OF 1994

(From the Ruling of the District Court of Shinyanga at Shinyanga, in Civil Case No. 52 of 1993)

Civil Practice and Procedure – Issue overtaken by events – Consequence thereof – Order XXXVII, rule 2 of the Civil Procedure Code and G.N. Number 508 of 1991 and section 28 of Chapter 129.

The respondent sued the appellant in Shinyanga District Court for damages for wrongful dismissal and for terminal benefits. He also filed an application seeking injunctive reliefs against the appellant, one of which was to restrain the appellant from evicting him from the company premises which he was occupying. The District Court granted the application as prayed, that is, that the appellant be restrained from evicting the respondent from the premises until the suit was finally determined. The appellant appealed to the High Court against that ruling. But by the time the appeal came up for hearing, the matter had been overtaken by events in that the main suit itself had already been determined and the respondent had vacated the house in question. The question before the High Court, therefore, was whether it would be proper to proceed to determine the appeal on merits in those circumstances in the absence of any controversy between the parties. Learned counsel for the appellant submitted that although the matter had been overtaken by events, the court should determine legal questions raised for future guidance.

Held: (i) There has to exist a matter in actual controversy which the court then undertakes to decide as a living issue; as there was no issue to be decided, the appeal is dismissed

Appeal dismissed

Cases referred to:

(1) *Ainsbury v. Millington* [1987] 1 WLR 379

(2) *Sun Life Assurance Company of Canada v. Jervis* [1944] 1 All ER 469

Statutory provision referred to:

(1) Civil Procedure Code, Order XXXVII, rule 2

Mr Rugarabamu, for the Appellant

Respondent, Absent

JUDGMENT

(Delivered 26 November 1999)

Mwita, J.: Cletus Swila was employed by Williamson Diamond Ltd with effect from 1 January 1967. His contract of service was terminated on 20 October 1992. Swila instituted a suit against his employer, Williamson Diamond Ltd claiming damages for unfair dismissal as well as terminal benefits. He also sought injunctive relief against his employer, namely, an order of temporary injunction restraining Williamson Diamond Ltd., its agents and servants from evicting him from his employer's premises until the parties' rights are determined in the main suit. An order for injunctive relief was granted. The trial magistrate made the order in the following terms:

> Temporary injunction is hereby given restraining the respondent, his servants and/or agents from evicting the applicant from the suit premises pending the final determination of the main suit.

Aggrieved by the said order Williamson Diamond Ltd (appellant) has appealed to this court.

At the hearing of this appeal the appellant was represented by Mr Rugarabamu, learned advocate. Though duly served, the respondent did not appear and was not represented by counsel. The appeal was accordingly heard *ex-parte*.

Mr Rugarabamu conceded that the appeal against the order of temporary injunction has been overtaken by events. The main suit has been determined and the respondent has already quit the premises the subject matter of the temporary injunction. Despite the fact that it has been overtaken by events, Mr Rugarabamu invited the court to consider the appeal on the merits with a view to giving guidelines to trial magistrates with regard to principles which ought to guide them when exercising the discretion to grant or not to grant orders for temporary injunction.

Mr Rugarabamu attacked the trial magistrate's order on three main grounds. The first being that where damages would be a sufficient remedy, an injunction ought not to be granted. Mr Rugarabamu argued that this was not a proper case for the grant of an order for temporary injunction, because if it could be proved that eviction was wrong, any damages could be compensated by money.

Secondly, that in terms of Order 37, rule 2 of the Civil Procedure Code as amended by G.N. Number 508 of 1991 a temporary injunction lasts for six months and can be renewed for another six months. After that there can be no further renewal. Thus an order to restrain the appellant from evicting the respondent from the suit premises until the final determination of the main suit is erroneous as it contravenes the provisions of Order 37, rule 2 of the Civil Procedure Code as amended.

Thirdly, that by ordering that the respondent should stay in the suit premises when his Contract of Employment with the appellant had been terminated, the trial magistrate was in error because under section 28 of Chapter 129 the respondent could stay in the suit premises only with the permission of the appellant.

The question is whether it is proper for this court to consider this appeal on the merits when there is no longer any controversy between the parties with regard to the order of temporary injunction.

It is a fundamental feature of the judicial system that the courts decide disputes between the parties before them and do not pronounce

on abstract or hypothetical questions of law where there is no dispute to be resolved, even though the question of law raised might be one of general importance the resolution of which may have been left in doubt by different decisions of the courts below. In *Ainsbury v. Millington* (1) where a party had been refused an injunction requiring the other party to vacate a council house and by the time the case was called on for hearing before the House of Lords, the party's tenancy of the council house had been terminated, the House of Lords held that there would be no hearing on the merits and the appeal would be dismissed. The House of Lords applied the dicta of Viscount Simon, in *Sun Life Assurance Company of Canada v. Jervis* (2) at pages 470 and 471 which are as follows: at page 470 Viscount Simon, LC said:

> The difficulty is that the terms thus put on the appellant by the Court of Appeal are such as to make it a matter of complete indifference to the respondent whether the appellant wins or loses; the respondent will be in exactly the same position in either case. He has nothing to fight for, because he has already got everything that he can possibly get, however the appeal turns out, and cannot be deprived of it. I do not think that it would be a proper exercise of the authority which this House possesses to hear appeals if it occupies time in this case in deciding an academic question, the answer to which cannot affect the respondent in any way. If the House undertook to do so, it would not be deciding an existing *lis* between the parties who are before it, but would merely be expressing its view on a legal conundrum which the appellant hopes to get decided in its favour without in any way affecting the position between the parties.

Viscount Simon, LC continued at page 471:

> No doubt the appellant company is concerned to get, if it can, a favourable decision from this House because it fears that other cases may arise under similar documents in which others who have taken out policies of endowment assurance with it, will rely on the decision of the Court of Appeal. But if the appellant desires to have the view of the House of Lords on the issue upon which the Court of Appeal has pronounced, its proper and more convenient course is to await a further claim, and to

bring that claim, if necessary, up to the House of Lords with a party on the record whose interest it is to resist the appeal. The research which has been given to the matter does not discover any previous decision in which the House of Lords has undertaken, on the petition of an unsuccessful appellant, to review the decision below when the opposite party has been finally settled with, and I think it is an essential quality of an appeal fit to be disposed of by this House that there should exist between the parties a matter in actual controversy which the House undertaken to decide as a living issue.

In the instant case, as there is no living issue to be decided, it would be improper for this court to decide an academic question, the answer to which cannot affect the respondent in any way. The appeal is accordingly dismissed. Each party to bear his own costs.

KIBO MATCH GROUP LTD *v.* H.S. IMPEX LTD

HIGH COURT OF TANZANIA (COMMERCIAL DIVISION) AT DAR ES SALAAM

(Dr. Bwana, J.)

COMMERCIAL CASE No. 7 OF 1999

Civil Practice and Procedure – Application for temporary injunction – Order 37, rule 2 of the Civil Procedure Code 1966.

Trade Mark – Infringement of trademark both parties manufacturing or dealing in similarly branded items from different counties – Sections 31 and 32 of the Trade and Service Marks Act 1986.

The applicant had sued the respondent for infringement of its trade marks. It manufactures in Tanzania safety matches under the trade mark KANGAROO, identified by a distinct label depicting a picture of three kangaroos on the box of its

matches. The respondent is an importer and distributor of safety matches also identified as KANGAROO with a similar, distinct label depicting three kangaroos. The applicant filed a chamber application seeking a temporary injunction to restrain the respondent, whether by its officers, servants, agents or any of them or otherwise from infringing and or passing off the trade mark of the applicant by way of importation, distributor, sale, advertisement, or otherwise, of safety matches under the name and device of "KANGAROO" until final determination of the suit. It was plead by the plaintiff that the importation was designed and calculated with the object of profiting at the expense of the applicant. The advocate for the respondent raised three Preliminary Objections. The first one was that the application was misconceived as it was pegged on a suit that was instituted against a wrong part; secondly, that it was based on a suit which had prayers offending the principles of natural justice and, thirdly, that it rested on suit instituted in a wrong forum. The learned counsel argued that the respondent was a mere importer and distributor of the safety matches imported from Indonesia and not the manufacturer.

Held: (i) The court is satisfied that unless immediate action is taken, the applicant may suffer irreparable damage, whether quantifiable or not, and further the final decision would be rendered nugatory as consequence of not granting the temporary injunction.

The High Court of Tanzania LIBRARY Commercial Division

Application granted

Cases referred to:

(1) *Atilio v. Mbowe* [1969] HCD n. 284

(2) *Ibralim v. Ngaiza* [1971] HCD 249

(3) *Colgate Palmolive v. Zakaria Provision Stores and others* High Court Civil Case Number 1 of 1997 (unreported)

(4) *American Cynamid Co. v. Ethicon Ltd* [1975] AC 396

Statutory provisions referred to:

(1) Civil Procedure Code 1966, Order 37, rule 2

(2) Trade and Service Marks Act 1986, sections 31 and 32

(3) Civil Procedure, Order 38, rule 2

Dr Nguluma, for the Applicant

Mr Lutema, for the Respondent

RULING

(Dated 10 December 1999)

Bwaba, J.: Before I examine the legal mish mash that seem to surround these proceedings at this stage, the factual position of the matter need to be put in its proper perspective albeit, briefly.

On 15 November 1999 the plaintiff filed the main suit against the defendant requesting this court ... to restrain the defendant by permanent injunction, from importing, distributing, selling, offering, exposing, advertising for sale, procuring to be sold or passing off safety matches bearing the plaintiff's trade mark or in any other manner infringing the said trade ...the plaintiff is the registered proprietor of a trademark namely Kangaroo identified by a distinct label depicting a picture of three kangaroos on the box of its matches.

While that main suit is pending in court, the plaintiff/applicant filed a chamber application (pursuant to Order 38, rule 2 of the Civil Procedure Code) for an order:

> That a temporary injunction be granted to restrain the respondent, whether by its officers, servants, agents or any of them or otherwise from infringing and/or passing off the applicant's trademark by way of importation, distribution, sale, advertisement, or otherwise of safety matches under the names and device of 'Kangaroo' until final determination of the main suit.

That application for an interim injunction forms the basis of this Ruling. From the pleadings, it is apparent that the defendant/respondent is an importer and distributor of safety matches also identified as Kangaroo with a similar, distinct label depicting three Kangaroos.

When the Chamber application came for hearing, Mr Lutema raised three Preliminary Objections namely:

1. That the application is misconceived and bad in law as it is pegged on a suit that has been instituted against the wrong party.
2. The application is misconceived and bad in law as it hinges on a suit which has prayers offending the principles of natural justice.
3. That the application is misconceived and thus bad in law as it rests on a suit that has not been instituted in a proper forum.

Both counsels had a chance to argue their points before this court. Regarding the main application it is Mr Lutema's submission that his client did not infringe the trade mark law as it is not the manufacturer of the Indonesian brand. He cited section 32 of the Trade and Service Marks Act Number 12 of 1986 (hereinafter referred to as the Act) in support of the view that an importer and distributor cannot be said to infringe the provisions of the said Act. He also submitted that the applicant having quantified (in paragraph 9 and 7 of the plaint and chamber application respectively) the damages suffered, an injunction is not necessary. He cited the case of *Atilio v. Mbowe* (1) in support.

Dr Nguluma in his submission made reference to the imminent and continuing loss being suffered by his client as a result of the infringement. section 31 of the Act as well as the *Atilio case* (1) and that of *Ibrahim v. Ngaiza* (2) as well as *Colgate Palmolive v. Zakaria Prov. Stores and others* (3) were cited and relied upon.

Before I deal with the main issue of this chamber application, that is, the application for injunction, I will firstly examine the matters raised in the Preliminary Objection. First is the issue of suing the wrong party. It is Mr Lutema's submission that as per section 32 of the Act only a manufacturer who uses a sign which is identical with or similar to the trade mark that may cause confusion, can be sued. That is correct to that extent, if I may observe. However, section 32 should be read together with section 31 which states:

> Section 31
>
> Subject to the provisions of this Act and any limitations or conditions entered into the Register, the registration of a trade or service mark shall, if valid,

give or be deemed to have given to the registered proprietor the exclusive right to the use of a trade or service mark in relation to any goods including sale importation and offer for sale or importation.

The substantive factual and legal issues shall be unveiled in the course of the main trial. However, it suffices to note at this juncture that the law (cfr. section 31) protects the proprietor of a trade and service mark in relation to the sale, importation and offer for sale or importation of the goods in dispute. In the pleadings, the defendant admits to have imported the goods from Indonesia. The main claim by the plaintiff is that he has suffered loss and damages as a result of the said importation of matches which infringe his trademark rights. He avers and rightly so, that the law is not restricted to manufacturers only. It covers importers as well as distributors (section 31 and 32 of the Act read together), that is, in the instant suit, the defendant. Therefore this suit is properly instituted against the defendant.

As concerns offending the principles of natural justice, Mr Lutema submitted in substance, that holding that the plaintiff in this case is the right proprietor of the trade mark without calling the other party (from Indonesia) who uses that sign, is tantamount to condemning him unheard. I must state at the out set that, with due respect, I do not subscribe to this line of argument. The issue before the court is not between two manufacturers of Kangaroo labeled matches each claiming to be the rightful proprietor of the trademark. It is simply between a proprietor registered in Tanzania – on the one hand – and an importer of goods with labels similar to the registered one on the other hand. The manufacturer in Indonesia cannot be sued as the subject matter in the instant suit is different. Not suing the Indonesian manufacturer is, therefore, not violating his human rights or contravening any natural law as contended by Mr Lutema. If anything, Mr Lutema's submission on this point is a contradiction in terms.

The same argument may be advanced in respect of the third point of Mr Lutema's submission, that is, that this suit has not been instituted in a proper forum. To him, such a forum would be in Indonesia! Again,

it suffices to state that the issue is not between two manufacturers registered in which country, but rather, between a manufacturer and a defendant alleged to have infringed the former's proprietary rights arising from a trademark. The infringement is alleged to have occurred by the importation and distribution of those matches in Tanzania, thus, within the territorial jurisdiction of this court. Therefore this court is the proper forum.

The above said, I now turn to the issue of an application for a temporary injunction. The plaintiff/applicant is a limited liability company incorporated in Tanzania, having its headquarters at Moshi. It is the registered proprietor of a trademark Kangaroo as registered in Part A under class 34 Schedule III of the relevant Register. It is under Registration Number 21008 dated 10 October 1989. It deals in the production of safety matches carrying a registered trademark of Kangaroo and a label depicting three Kangaroos. It was the exclusive user of the said trademark until – and is not in dispute – the defendant company started importing and distributing for sale safety matches bearing the word Kangaroo and the label of three Kangaroos depicted thereon. It is admitted by the defendant that the said matches are manufactured and imported from Indonesia.

It is the plaintiff's averment that the said importation was designed and calculated with the object of enabling the said goods, which are of poor quality, to be mistaken as products of the plaintiff or having connection with the plaintiff with a view to profiting thereby, at the expense of the said plaintiff. Computation of an estimated loss was prepared. An interim injunction, pending the disposal of the suit therefore, will restrain the defendant from repeated infringement of the plaintiff's trademark.

In his submission, Mr Lutema argued that since the damage has been quantified by the plaintiff, there is no need for injunction as it can be granted only in case where the damage is irreparable and cannot be quantified in monetary terms. Again, *Atilio's* (1) case is relied upon.

It is settled law that in order that the court may grant such an injunction the following salient features must exist, *inter alia*:

1. It must be satisfied that there exists a *prima facie* case, serious enough to be tried on the facts alleged and with a probability of decree in favour of the applicant.
2. The award of damages to the plaintiff-applicant will not provide an adequate remedy for the loss sustained as a result of the defendant respondent's infringement.
3. The plaintiff-applicant stand to suffer greater hardship from the withholding of the injunction than that suffered by the defendant if it is granted.

However, I must be quick to add that in cases such as the instant one, quantification of damages is not always a conclusive factor. Matters such as loss of goodwill; confusion and/or deception resulting from apparent similarity of the goods involved, are equally important. They may have far reaching consequences to the business of both parties even after the conclusion of their case in court. Therefore, an injunction may be granted to protect a party from an irreparable infringement of or on his rights as well as when it is just and convenient to do so. It is also aimed at preventing irreparable injury which is substantial and cannot be adequately remedied or atoned for by damages.

It is worth mentioning here that a long held view of establishing a *prima facie* case before an injunction is granted is misleading. As rightly pointed out by Mapigano, J., in *Colgate – Palmolive Company v. Zacharia Provision Store and others* (3):

> I direct myself that in principle the *prima facie* case rule does not require that the court should examine the material before it closely and come to a conclusion that the plaintiff has a case in which he is likely to succeed, for to do so would amount to prejudging the case on its merits. All that the court has to be satisfied of, is that on the face of it the plaintiff has a case which needs consideration and that there is likelihood of the suit succeeding.

To underscore the foregoing, Lord Diplock stated the following in *American Cyanamid Co. v. Ethicon Ltd* (4):

> There was no rule of law that the court was precluded from considering whether, on a balance of convenience, an interlocutory injunction should not be granted unless the plaintiff succeeded in establishing a *prima facie* case or a probability that he would be successful at the trial of the action ...

In other words therefore, the court should be free to use its discretion in granting that remedy if and when it is satisfied that unless immediate action is taken the plaintiff applicant may suffer irreparable damages – quantifiable or not and further, that the dispute would be rendered nugatory as a consequence thereof.

I have examined the present chamber application in depth and on the strength of the pleadings and submissions by both advocates as well as on the strength of the authorities cited herein, I am satisfied that this application should succeed. Therefore I grant a temporary injunction in favour of the applicant – Kibo Match Group Ltd – to restrain the respondent – H.S. Impex Ltd – whether by its officers, servants agents or any of them or otherwise, from importation, distribution, sale, advertisement or otherwise, of safety matches under the names and device of "KANGAROO" until final determination of the main suit. Costs of this application are awarded to the applicant.

EXECUTIVE SECRETARY: WAKF AND TRUST COMMISSION *v.* SAIDE SALMIN AMBAR

COURT OF APPEAL OF TANZANIA AT ZANZIBAR

(Kisanga, Lubuva and Lugakingira, J.A.)

CIVIL APPEAL No. 104 OF 1998

(From the Judgment of the High Court of Zanzibar at Vuga, Dourado, J., dated 7 April 1998 in Civil Application No.106 of 1997)

Civil Practice and Procedure – Time within which to file application for leave to appeal – Application filed out of time – Whether appeal is competent – Rule 43(a) of the Court of Appeal Rules 1979.

Civil Practice and Procedure – Application for leave to appeal – Whether copy of the decision and order of the High Court should be attached to the application – Court practice in Zanzibar – Whether applicable in the Appeal Court.

Civil Practice and Procedure – Application for leave to appeal to the Court of Appeal – Whether High Court and Court of Appeal have concurrent jurisdiction.

This appeal was filled by the appellant in this court pursuant to the execution of a judgment and decree granted in favour of the respondent by the High Court of Zanzibar in Civil Case Number 28 of 1990. When the appeal was called on for hearing the counsel for the respondent raised a Preliminary Objection to the effect that the appeal is incompetent because it was based on leave which was wrongly granted on account of the fact that it was sought and granted in the High Court of Zanzibar out of time. Counsel for the appellant objected to the Preliminary Objection on ground that application for leave could not be filed within 14 days of the decision because copy of the decision and order of the High Court had not been received by appellant for attachment to the application.

Held: (i) While it is true that under the provisions of section 5(1)(c) of the Appellate Jurisdiction Act 1979, the Court of Appeal and the High Court have concurrent jurisdiction in granting leave to appeal to the court, the applicable requirements and conditions under the rules are the same in dealing with such applications.

(ii) In Zanzibar and Tanzania Mainland, as well as the Court's Rules and the Appellate Jurisdiction Act 1979 there is no rule of law at all which prescribes for the attachment of documents to applications for leave to appeal.

(iii) As there is no provision under rule 43(a) of the Court of Appeal Rules 1979 for the exclusion of the time taken in obtaining copy of the ruling and order, we think that the learned judge erred in entertaining an incompetent application on account of it being time barred.

(iv) The granted based of such leave on the basis of an incompetent application was of no legal consequence.

Appeal struck out

Statutory provisions referred to:

(1) Court of Appeal Rules 1979, rule 43(a), Order 18, rule 1

(2) Appellate Jurisdiction Act 1979

(3) Zanzibar Civil Procedure Decree, section 1(2) and 100(2)

Mr Mbwezeleni, for the Appellant

Dr. Lamwai, for the Respondent

RULING

(Dated 13 December 1999)

Lubuva, J.A.: On 8 December 1999, we heard submissions by the learned counsel for both parties on the Preliminary Objection raised by the respondent. At the conclusion of hearing the submissions, we reserved our ruling which we are now set to deliver. For an easy appreciation of the sequence of events that gave rise to the matter

we think it is desirable to preface this ruling with a brief historical background. In the High Court, Zanzibar, Civil Case Number 28 of 1990, the respondent, Saide Salmin Ambar sued the appellant, the Executive Secretary, Wakf and Trust Commission. On 8 January 1991, exercising extended jurisdiction, the Regional Magistrate (Milla, Ex J.) passed a decree in favour of the respondent. Among other reliefs sought, the immediate handing over of the suit premises and the payment to the respondent at the rate of TZS. 2 000 per day from 7 December 1997 till the day of handing over the premises was ordered. Furthermore, interest was ordered to be paid at the court rate.

In execution of items 2 and 3 of the decree, a total sum of TZS. 14 592 098 was to be paid to the respondent. Apparently, this figure was arrived at as a result of calculations based at the rate of 24%. When the matter came before the Taxing Master, the respondent was ordered to be paid TZS. 8 353120 calculated on the basis of the court rate of 6%. Not being satisfied with the Taxing Master's decision, Miscellaneous Application Number 106 of 1997 was filed in the High Court, Zanzibar. On 2 April 1998, the High Court, Zanzibar, (Dourado, J.) set aside the Taxing Master's order and in substitution thereof execution in favour of the respondent was to be levied at the original amount of TZS. 14 592 098. The appellant was aggrieved by this decision, he filed in the High Court Zanzibar Miscellaneous Application Number 46 of 1998 seeking leave to appeal to this court. On 3 September 1998, leave was granted (Kannonyele, J.) resulting in the filing of this appeal.

A three point Memorandum of Appeal was filed. The main ground of complaint is that the learned judge erred in awarding interest at the compound rate and not at simple court rate. When the appeal was called on for hearing, Dr Lamwai, learned counsel for the respondent raised a Preliminary Objection. In this regard, he had duly filed a notice of Preliminary Objection under rule 100 of the Court of Appeal Rules 1979. The preliminary point raised was to the effect that the appeal is incompetent because it was based on leave which was wrongly

granted on account of the fact that it was sought and granted in the High Court Zanzibar out of time. Restating the legal requirement under the rules, Dr Lamwai stated that it is common knowledge that under rule 43(a) leave to appeal to the court is to be made to the High Court either informally or by chamber summons within 14 days of the decision. In this case, Dr Lamwai went on, the decision against which it was desired to appeal was delivered on 2 April 1998, and the application for leave by chamber summons was filed on 6 May 1998.

This, according to Dr Lamwai was a delay of about 19 days because since the High Court Zanzibar decision was delivered on 2 April 1998, the filing of the application for leave should have been filed at the latest on 16 April 1998. In the absence of an application for extension of time in which to apply for leave, Dr Lamwai contended, the application in the High Court Zanzibar, (Kannonyele, J.) was incompetent. It was his view that in such a situation, the application for leave was granted wrongly under a misapprehension of rule 43(a). Furthermore, the application for leave having been granted wrongly in the High Court, Dr Lamwai insisted, the appeal in this court is likewise incompetent. At the hearing of the application before the High Court Zanzibar, Dr Lamwai said, he had raised the same objection but the learned judge overruled him holding that the applicant needed to be seized with copy of the ruling and order embodying the decision to be appealed against. For that reason, Dr Lamwai stated, the learned judge came to the conclusion that the application was not time barred.

Mr Mbwezeleni, learned counsel for the appellant was quick to respond to these submissions. In essence, his submission was to the effect that if the respondent was dissatisfied with the decision of the learned judge granting leave on 3 September 1998, an appeal should have been preferred against that decision and not raised at this stage the same issues which were raised and decided on. More importantly, he maintained, the application for leave could not be filed within 14 days of the decision (2 April 1998) because a copy of the decision and order of the High Court had not been received

by the appellant for a attachment to the application. He insisted that it is the practice in Zanzibar to have these documents attached to the application. The court was referred to sections 1(2) and 100(2) of the Zanzibar Civil Procedure Decree.

We wish to point out at the outset that the Civil Procedure Decree Chapter 8 of the Zanzibar Laws does not apply in the Court of Appeal. The conduct of appeals and applications before the court are governed by the Court of Appeals Rules 1979 and the Appellate Jurisdiction Act 1979. For this reason, we find no relevance to the repeated references made by Mr Mbwezeleni to the Civil Procedure Decree of Zanzibar in this matter which involves leave to appeal to the court from the decision of the High Court Zanzibar. While it is true that under the provisions of section 5(1)(c) of the Appellate Jurisdiction Act 1979, the Court of Appeal and the High Court have concurrent jurisdiction in granting leave to appeal to the court, the applicable requirement conditions under the rules are the same in dealing with such applications. These are set out in the Court's Rules 1979 and not the Civil Procedures Decree. At any rate, we have had occasion to look at the provisions of section 1(1) and 100(2) of the Civil Procedure Decree to which Mr Mbwezeleni had referred as authority to his submission that the time taken in receiving copy of the decision, the subject matter of the application for leave was to be excluded in computing the time for filing the application. With respect, these are not relevant to the issue before the court. They apply to proceedings in the High Court, Zanzibar in situations where exclusion of time is warranted and provided for.

In dealing with applications for leave to appeal to the court, Mr Mbwezeleni was emphatic that the practice of the High Court of Zanzibar is a significant factor which is also recognized under rule 43(a) of the Court's Rules, 1979. In this case, he insisted, the practice in Zanzibar is to require the attachment of the copy of proceedings and ruling of the High Court of Zanzibar to the application for leave. We have no difficulty in agreeing with Mr Mbwezeleni that rule 43(a) makes reference to the practice of the High Court when dealing

with an application for leave to appeal to the court. This is plainly clear from the provisions of Order 18, rule 2 of the Civil Procedure Decree Zanzibar and Order 43, rule 2 of the Civil Procedure Code of the United Republic of Tanzania. The practice relates only to the filing of applications for leave to appeal by chamber summons in the High Court, Tanzania Mainland and by Notice in the High Court, Zanzibar as was done in this case when the application was filed. This is different from the practice applicable in the Court of Appeal where, applications are by way of motions. Order 43 rule 2 of the Civil Procedure Code 1966 applicable to the High Court, Tanzania Mainland provides:

> Every application to the court made under this Code shall, unless otherwise provided, be made by chamber summons supported by an affidavit.

In the case of the High Court, Zanzibar, Order XVIII, rule 1 which applies provides:

> Where in any suit it is intended to make an application to the court and notice of such application has been given to the opposite party such notice shall be in writing in the prescribed form and shall be prepared by the party intending to apply or his advocate.

It is apparent therefore that from these provisions of the law in Zanzibar and Tanzania Mainland as well as the Court's Rules and the Appellate Jurisdiction Act 1979, there is no rule or law at all which prescribes for the attachment of documents to applications for leave. With respect therefore, Mr Mbwezeleni's claim that it is the practice in Zanzibar to require such attachment has no legal foundation. In this case, it is clear to us that as the application before the learned judge (Kannonyele, J.) pertained to leave to appeal to the court, the applicable rule is rule 43(a) of Court's Rules 1979 and Order 18, rule 1 of the Civil Procedure Rules of Zanzibar. Upon a strict interpretation of these rules, Mr Mbwezeleni's assertion that the time taken in receiving copy of the documents for attachment should be excluded in computing the time in which to file the application for leave is untenable. The application has to be made to the High Court within 14 days of the

decision i.e. 2 April 1998. Here, the application was to be filed by 16 April 1998 at the latest. Instead, it was filed on 6 May 1998. This was a delay of about 19 days. The application was therefore filed when it was already time barred. As there is no provision under rule 43(a) for the exclusion of the time taken in obtaining a copy of the ruling and order, we think that the learned judge erred in entertaining an incompetent application on account of it being time barred. There being no legal requirement for the attachment of the copy of ruling and order to the application, there was no reason whatsoever for the learned judge to hold that the applicant needed to be seized with the copy of ruling and order. The High Court was already seized with the record embodying the decision and the applicant through his advocate was also sufficiently conversant with the matter. The application could safely be processed without any attachment of documents within the prescribed period of 14 days. On the other hand even though it is not a legal requirement, if the appellant, the original applicant felt that he required the documents to be attached to the application, he could do so provided that that was done within 14 days of the decision. Otherwise, if the time required for the attachment of the documents cannot be accommodated within this period, still it would be open for him to seek extension of time. Here, the application was filed well over two weeks after the expiry of 14 days and there was no extension of time sought.

In the upshot, to summarize the position, it is our view that the application for leave to appeal before the High Court (Kannonyele, J.) was filed out of time, it was incompetent. The learned judge with respect, fell into the error of misinterpreting rule 43(a) resulting in the granting of leave wrongly. It follows therefore that such leave granted based on an incompetent application was of no legal consequence. Consequently, we accept Dr Lamwai's contention that this appeal, founded on leave which was wrongly granted is likewise incompetent.

Accordingly, for the foregoing reasons, the Preliminary Objection is sustained. The appeal is struck out with costs

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KISHORE VALLABHDAS LILADAS AND ANOTHER v. SMZ

COURT OF APPEAL OF TANZANIA AT ZANZIBAR

(Kisanga, Lubuva and Lugakingira, JJ.A.)

CRIMINAL APPEAL No. 80 OF 1999

(From the Judgment of the High Court of Zanzibar at Vuga, Dourado, J., in Sessions Case No. 2 of 1998 dated 23 March 1999)

Criminal Practice and Procedure – Transfer of Cases – Whether the Chief Justice can transfer a partly heard case from one judge to another – Section 13 of the High Court Act Number 2 of 1985.

Criminal Practice and Procedure – Bias – Allegations of bias against a Judge – Such allegations not to be taken lightly.

The two appellants were jointly charged with and found guilty of acts intended to cause grievous harm contrary to section 205(a) of the Penal Decree, and were each sentenced to 30 years imprisonment by the High Court. Amongst the grounds of appeal, the appellants contended that it was wrong for the Chief Justice to transfer their case from Justice Kannonyele to Justice Dourado after the former had recorded evidence from four prosecution witnesses. They also contended that it was improper for the second trial judge to refuse to disqualify himself from hearing the matter after being asked to do so by the prosecution on grounds of bias.

Held: (i) The Chief Justice has powers to transfer a case from one Judge to another in the interest of justice, and there is no restriction as to the stage in the proceedings beyond which a transfer cannot be ordered;

(ii) Where bias has been alleged, then unless there be very good reasons, it is prudent for the judge or magistrate concerned to step down and not to insist on hearing the matter;

(iii) The trial judge ought to have disqualified himself.

Order accordingly

Messers Mbwezeleni and *Mnkonje,* for the Appellants

Mr Toufiq. for the Respondent (SMZ)

Statutory provisions referred to:

(1) High Court Act Number 2 of 1985, section 13

(2) Penal Decree, section 205(a) and (g)

JUDGMENT

(Dated 13 December 1999)

Kisanga, J.A.: The two appellants were jointly charged with and found guilty of acts intended to cause grievous harm, contrary to section 205(a) and (g) of the Penal Decree of Zanzibar, and were each sentenced to 30 years' imprisonment by the High Court of Zanzibar (Dourado, J.) sitting at Vuga. They have now appealed against both conviction and sentence. Before us, they are represented by Mr Mbwezeleni and Mr Mnkonje, learned advocates, while Mr Toufiq, learned Principal state attorney was for the respondent, S.M.Z.

The substance of the case for the prosecution is that the appellants who are brothers invaded their brother, Hasmukh Vallabhdas at his home one morning and poured acid on him thereby causing him to suffer grievous bodily harm. The prosecution opened their case before Kannonyele, J. After the learned judge had recorded evidence from four prosecution witnesses, progress in the case was stalled. The last witness testified on 11 June 1998 but for more than three months no progress was made by calling more witnesses; the court's time was taken up in hearing applications and ordering adjournments for one reason or another. Then on 6 October 1998 the Chief Justice made the following order:

> In the interest of Justice, this case is transferred to Honourable Justice Dourado for the disposal of the same.

Dourado, J., decided to hear the case *de novo* but the defence applied to him asking him to disqualify himself from hearing it on the ground that he was biased against them and in favour of the prosecution. The learned judge heard the application but found it without merit and dismissed it accordingly. He then proceeded to dispose of the case ending up with finding the appellants guilty and sentencing them as was shown earlier. It has been necessary to set out the background to this case in some detail for reasons which shall be apparent later on in this judgement.

A total of nine grounds of appeal were filed in this appeal but again for reasons which will be apparent later we shall consider only grounds 1, 2 and 6. Those grounds are reproduced herein below and re-numbered 1, 2 and 3 respectively.

1. That the Honourable Chief Justice erred in law in transferring an almost finished session case without assigning clear reasons for the same and without giving opportunity to the defence to be heard hence occasioning great injustice i.e. the unprovoked action of the Chief Justice to order a change of judges gave unfair chance to the prosecution to clear its earlier short comings to the injury of the appellant the same being tantamount to a re-trial and against the legal norms.

2. The Honourable second trial judge erred in law in insisting to hear the case despite the defendants application to disqualify him from hearing the matter vide their Criminal Miscellaneous Application Number 8 of 1998 without presenting any legal reasons for the same but giving mere statement of self-gratification and self righteousness contrary to the laid down norms of the same to the injury of the appellant *(sic)* and occasioning failure of justice.

3. That the honourable second trial judge went out of his way clearly to please the alleged victim *(sic)* was seen talking to the alleged victim and another party in the High Court corridors telling them ... *Itakuwa ni vile vile hakuna tabu* ... before he gave his judgment which is further a clear indicator that he was biased against the

> appellant *(sic)* and was acting maliciously *(sic)* against them contrary to the legal norms and ethics.

On the first ground Mr Mbwezeleni advanced a number of reasons for criticizing the Chief Justice for transferring the case from Kannonyele, J. to Dourado, J. He submitted that the Chief Justice had no power to do so. He contended that the power and authority of the Chief Justice was just like that of any other judge, so that once a judge was seized of a case the Chief Justice could not take it away from him. With due respect to the learned counsel we think that this view is not entirely correct. It is true that in hearing and determining cases the Chief Justice exercises equal jurisdiction with the other judges in that he cannot review the decision of another judge of the court. Thus, for instance, a party who is aggrieved with the decision of a judge cannot appeal to the Chief Justice to have that decision reviewed by the Chief Justice. In that sense then the Chief Justice is properly regarded only as the first among equals.

However, over and above his jurisdiction to hear and determine cases, the Chief Justice has administrative powers conferred on him by law. For instance section 13 of the High Court Act Number 2 of 1985 of Zanzibar, provides that:

> 13. The Chief Justice shall regulate the distribution of business in the court, and all actions and proceedings before the court shall be heard and determined by a single judge, unless the Chief Justice otherwise directs or where the law provides otherwise.

The reading of that section makes it plain that a single judge of the High Court, including the Chief Justice, has jurisdiction to hear and determine cases which come before the court but that in addition to such jurisdiction, the Chief Justice has the power and authority to regulate the distribution of court business. We think that in the exercise of that power, the Chief Justice was perfectly entitled in the present case to transfer the case from Kannonyele, J. to Dourado, J.

Mr Mbwezeleni alleged that the Chief Justice acted arbitrarily by ordering the transfer without assigning any reasons thereto, and

by not giving the defence the opportunity of being heard on the transfer. Counsel stressed that even if the Chief Justice had power to order the transfer, he ought to have exercised that power judicially, which he did not. We find no merit in this contention. We have held that section 13 of the High Court Act reproduced above empowered the Chief Justice to order the transfer of the case. We cannot find anything in that provision which requires the Chief Justice to give reasons for the transfer. The Chief Justice as head of the Judiciary is a responsible official expected to act fairly when exercising his powers under the section. One is entitled to assume that he has acted fairly unless there is any contrary indication. In the instant case the learned Chief Justice stated that he ordered the transfer in the interest of justice. That, in our view, is a clear indication that he was acting fairly, as indeed was expected of him, and that the transfer was not motivated by any evil design. For the same reasons we think that it was neither necessary nor practicable for the Chief Justice to hear the defence before ordering the transfer.

Likewise, there is no merit in the criticism that the transfer was an unprovoked action by the Chief Justice. For, there is no evidence that the Chief Justice was merely acting on whims and not on information or complaint received. He might very well have acted on a complaint that the finalization of the case was being delayed unduly, bearing in mind that progress in hearing the case was stalled for over three months when no witnesses were called. In any event, the law does not require the Chief Justice to disclose the reason or complaint which led to his order of transfer. As we said earlier we think that his statement that the order was made in the interest of justice was enough.

And finally, on this ground, there is the criticism that the order of transfer was wrongly made at a time when the prosecution had virtually closed their case, thereby, prejudicing the defence as it gave the prosecution a chance to improve upon their earlier shortcomings. Once again, this ground is devoid of merit. The law empowering the Chief Justice to order the transfer places no restriction as to the

stage in the proceedings after which no transfer can be ordered. We think that the Chief Justice can order transfer at any stage in the proceedings if in his opinion there are grounds to justify the transfer. Indeed if Mr Mbwezeleni's criticism is conceded, then it would open to question the power conferred on appellate courts to order re-trial when they nullify the proceedings of the courts below.

We therefore find that the first ground of appeal which criticized the Chief Justice for improper handling of and unwarranted interference with the appellants' cause has no merits and it accordingly fails.

Grounds 2 and 3 may be considered together as they raise the issue of bias on the part of Dourado, J., the trial judge. The defence complained of bias against the judge and made a formal application requesting him to disqualify himself from hearing the case. In support of that application, evidence was adduced by affidavit alleging that the judge had improperly allowed one Mr Ajar Patel, a private advocate, to team up with the prosecution against the defence, that he wrongly ruled against the defence on their objection to admitting certain new evidence into the case, he bulldozed their advocate, he was a friend of one Mr Kamal Vallabhdas, a prosecution witness and brother of Hasmukh, the victim/complainant in the case. It was further alleged that the said Kamal Vallabhdas had promised to do all he could to have the appellants jailed while Hasmukh, his said brother and victim, was going round bragging that the appellants would be jailed because the judge had given assurance that he would not listen to any arguments by their counsel. Counter-affidavits were filed and, as stated earlier in this judgement, the judge heard the application, denying all the allegations against him, and dismissed it.

However, the matter did not end there. In this appeal, counsel for the defence has adduced evidence, through the affidavit of one Hamza Rajab Teko, a watchman with the High Court at Vuga, to the effect that in the morning of the day the appellants were found guilty the complainant/victim Hasmukh and another person believed to be his brother, were in the company of the trial judge at the High Court building where the judge was heard saying to them:

"*itakuwa ni vile vile hakuna tabu*", free translation of which is: "it will be so, no problem".

No counter-affidavit was filed to refute this allegation. Mr Mbwezeleni submitted that the conduct of the judge on the day he found the appellants guilty confirms the fears of the defence all along of bias on the part of the judge. He added that such fear was further confirmed by the draconian penalty of 30 years' imprisonment meted out to the appellants.

An allegation of bias against a judge or magistrate is a serious matter, and the judge or magistrate concerned cannot take it lightly. The allegation may be completely unfounded to the knowledge and belief of the judge. But that does not lessen the need to act with great care in reaching to the allegation. Because what matters is not so much what the judge knows or thinks or feels about the allegation. Rather it is what the person making the allegation thinks or believes or feels. It is important that those who come to court to have their disputes adjudicated upon have confidence in the court. The existence of bias or the apprehension of its existence in the court seriously undermines that confidence. In the light of this, we think that where bias has been alleged, then unless there be very good reasons it is prudent for the judge or magistrate concerned to step down, not to insist on hearing the matter. To insist on hearing the case gives the impression that the judge has or might have personal interest in the matter even though in fact he does not. It is important to remember that justice should not only be done but should manifestly be seen to be done. Where upon an allegation of bias the judge refuses to step down and insists on hearing the case it cannot be said that justice is seen to be done. No doubt the decision whether or not to step down upon an allegation of bias will depend on a number of factors. It will depend on whether the allegation is frivolous, vexatious or is one merely intended to delay the proceedings. Other factors include the availability or otherwise of other judges or magistrates at the station who could take over the case. Thus, for instance, where an unfounded allegation of bias has been made, the decision to step

down could be reached easily where there are many judges or magistrates at the station, but not so in a one-man's station.

In the instant case, the allegations made against the trial judge cannot be said to be frivolous, vexatious or ones which were merely intended to delay the proceedings. This is true, for instance, of the alleged friendship between the judge on the one hand and the victim/complainant and his brother who was also a prosecution witness on the other – a relationship which was noticed even on the last day of the trial. Indeed in our view this relationship amounted to serious misconduct and it is to be deprecated.

In the light of the various allegations of bias made against the trial judge, we are of the view that the learned judge ought to have disqualified himself especially after being requested to do so. Nor, is there any suggestion that if he decided to step down there would be no other judges at the station to whom the case could be re-assigned. Following such failure to step down, and by reason of the learned judge insisting on continuing to hear the case to the end and, to crown it all, his alleged association with the prosecution witnesses on the very last day of the trial, all these factors would, in our view, be more than sufficient to create in the minds of the appellants reasonable fear and apprehension that they could not have a fair trial before the learned judge. At the very least, justice was not manifestly seen to be done; and once we are so satisfied, as indeed we are, it must follow that this vitiated the trial, with the result that we have to declare the trial null and void.

The appellants were sentenced only on 26 March 1999 to 30 years' imprisonment each. We think that this is a fit case in which to order a re-trial of the appellants before another judge. We order accordingly. In the light of the order for re-trial, we think that it is now neither necessary nor proper to deal with the remaining 6 grounds of appeal which mainly concern the findings of the court on the merits of the case.

SOMOE NAKUWA v. SAIDI ABDALLAH NAKUWA

HIGH COURT OF TANZANIA
AT MTWARA
(Kaji, J.)

(PC) MATRIMONIAL CIVIL APPEAL No. 4 OF 1997

(From Lindi District Court, in Civil Appeal No. 32 of 1996)

Family Law – Divorce – Division of matrimonial assets – Whether compensation can be ordered on top of the division.

The appellant and respondent who were married in 1973 had their marriage dissolved by Lindi Primary Court in 1996. On top of the order for the division of matrimonial assets the court also ordered the respondent to pay the appellant TZS. 500 000 as compensation. The respondent aggrieved with the compensation order, appealed to the District Court. The District Court allowed the appeal and set aside the compensation order. The appellant aggrieved by the order of the first appellate court appealed to the High Court for the restoration of the compensation order.

Held: (i) The compensation order of TZS. 500 000 had no legal backing and was properly quashed by the first Appellate court.

Appeal dismissed

Statutory provisions referred to:

(1) Law of Marriage Act, section 60(a)

(2) Law of Marriage Act 1971

Mr Mlanzi, for the Respondent

JUDGMENT

(Delivered 14 December 1999)

Kaji, J.: This is a second appeal. The appellant *Somoe Nakuwa* and the respondent *Saidi Abdallah Nakuwa* were married in 1973 under

Islamic rite. In 1996 their marriage was dissolved by Lindi Primary Court at Lindi. By then they had 4 children of the marriage.

The appellant who was the petitioner prayed for division of assets which she alleged were acquired by them during their marriage by their joint efforts. These were as follows:

1. Two plots, one of them already developed with a house on it, and the other still being developed.
2. Two farms.
3. A motor vehicle.
4. A video.

The respondent resisted the division of some of them and had no objection with others. For example, he resisted the division of the plot which had already been developed on the ground that it was in his name and he developed it for the use of the entire family which included their 4 children and other children from other wives. He said the other plot was in the name of the appellant and was for her exclusive use upon which he had no right of any claim. He said one of the farms was in the appellant's name and was her property upon which he had no claim. That farm is at Mtanda Lindi. The other one at Nangaru was purchased with his money for the use of his mother and other children from other wives. He said the motor vehicle was obtained on loan when he was a Member of Parliament, and the loan is still not yet fully paid. He said the video was for use by their children.

The trial court was satisfied that since the two plots belonged to each of them separately, each on his or her own name, and since the developed one is for use by the whole family, they were not subject to division. Also since the Mtanda farm was in the appellant's name, it was not subject to division. The appellant withdrew her claim over the Nangaru farm which was purchased by the respondent's money for use by his mother and his children of the other wives. The court also held that the motor vehicle was the sole property of the respondent

and was not subject to division. Further, that since the video was for use by their children, it was not subject to division.

The trial court also noted that the appellant had in possession the following assets:

1. 32 corrugated iron sheets
2. One roll of mosquito gauge
3. 24 building poles
4. One sewing machine
5. One bed
6. One set of coach
7. Two pairs of earrings
8. One bag of clothes
9. One watch
10. Utensils
11. One ring
12. One necklace.

The court ordered those properties to be to her exclusive use.

The court ordered also the respondent to pay the appellant TZS. 500 000 for what it termed as "*fidia akiwa kama mke wake wa halali*" (compensation as she was her legal wife).

The respondent was aggrieved with the compensation order. He lodged his appeal to the first appellate court where he argued that, after the trial court had found that the assets Somoe had prayed for division were not subject to division, there was no justification for ordering him to pay her a compensation of TZS. 500 000. The respondent Saidi Nakuwa found no justification to pay Somoe TZS. 500 000 as a kind of pension (*kiinua mgongo*).

Somoe who was the respondent in that appeal is recorded to have replied as follows, and I quote:

> I had the right to be paid as we have lived together for 23 years and he has done nothing to me despite long cohabitation. He has a lot of things he would give me, but he has done nothing.

The first appellate court held that there was no justification for ordering the respondent to pay the appellant TZS. 500 000 which the appellant had not prayed for in her petition. That compensation order was quashed.The appellant was aggrieved. Hence this appeal.

Before this court the appellant said the first appellate court erred in not considering the period they had lived together as husband and wife! She went on stating that the first appellate court did not even consider the question of maintenance of the 3 children of the marriage who are living with her without any help from the respondent. She said all the assets she had mentioned were acquired during their marriage. She said she contributed quite a lot towards the acquisition of those assets but she said she could not say how much. The appellant went on stating that when the respondent married her in 1973, she was a Ward Secretary. Later she was promoted to the rank of Divisional Secretary the rank she is still holding. She conceded that the motor vehicle was loaned to the respondent when he was a Member of Parliament. But she said it had been maintained by family money, and the loan is probably over by now.

She conceded that each had his or her own plot. But she said they had made a friendly agreement that they should first develop the respondent's plot and later hers. They developed respondent's plot. But while developing hers their marriage collapsed and the house was left unfinished. She said the TZS. 500 000 ordered by the trial court would enable her to finish her house. Also if she can be ordered to have a fair share from the above assets she will be able either to finish her house or to buy another one as she has so far no house of her own.

She conceded that the Mtanda farm is hers. But she said she was not very sure whether it was really hers as the respondent had managed to tell her he would give her money so that he can take that farm. Also there is no signature of the seller of that shamba who is the respondent's new wife.

The appellant conceded that the video was for use by their children. But she said since 3 of them are staying with her, the purpose has been defeated and it should be valued and she be awarded a fair share.

In reply the respondent's advocate Mr Mlanzi replied that since the appeal before the first appellate court was against only the order for payment of a compensation of TZS. 500 000 which the first appellate court quashed, if aggrieved by that decision the appellant's appeal should be limited to that issue only and not to raise new issues which were not presented before the first appellate court and no finding was passed on them.

The learned counsel went on replying that the first appellate court was right in quashing the order for compensation because that type of compensation is unknown to the Law of Marriage Act 1971. Mr Mlanzi went on replying that there is no justification in awarding the appellant anything from the house on the developed plot because each of them had his or her own plot, and the developed one which is in the name of the respondent, is for the use of the whole family which include their children of the marriage. The learned counsel said since the appellant is a divisional secretary and was awarded building materials and other properties by the trial court, she can finish developing her semi-developed plot.

Mr Mlanzi found no justification in demanding division of the motor vehicle which is solely of the respondent, and that at the moment it belongs to him and the Principal Secretary, Treasury until he finishes paying the loan. Under those circumstances it was the learned counsel's submission that the appellant has no right of any share in that motor vehicle.

The learned counsel went on replying that the video is for the use of their children. If the said children have now moved away to the appellant from the respondent, then she can present her prayer before the trial court. This would apply too if she wishes to be paid maintenance for staying with the children or for herself.

Mr Mlanzi found no basis for the appellant complaining against the Mtanda shamba which is her own property and is in her name. In short that is the gist of the matter.

There is no dispute that at the trial, the appellant prayed for division of the following properties:

1. plot number 78 Block C Twiga Street Lindi Township which is in the name of the respondent.
2. plot number 90 Block Z Wireless Hill Lindi Township which is in the appellant's name.
3. A farm at Mtanda which is in the name of the appellant.
4. A farm at Nangaru.
5. A motor vehicle Toyota Land-Cruiser reg. TZC 5005 which the respondent purchased on hire purchase when he was a Member of Parliament.
6. A video.

There is no dispute that kin dealing with that claim the trial court held as follows:

1. plot number 78 Block C Twiga Street which is in the name of the respondent where there is already a house for the whole family is not subject division.
2. plot number 90 Block Z Wireless Hill which is in the name of the appellant and which is still being developed, is not subject to division, but is the exclusive property of the appellant.
3. The Mtanda farm which is in the name of the appellant is the sole property of the appellant and is not subject to division with the respondent.

4. The farm at Nangaru had no dispute after the appellant had withdrawn her claim. It was held to be for the exclusive use of the respondent's mother and the respondent's children from other wives.
5. The motor vehicle is the sole property of the respondent and is not subject to division.
6. After making the above findings, the trial court appears to have been sympathetic with the appellant. It ordered the respondent to pay her a compensation of TZS. 500 000 for cohabiting with her since 1973.

It was against this compensation order that the respondent appealed to the first appellate court. The appellant Somoe did not appeal nor did she file a cross appeal.

That being the case there was only one issue before the first appellate court, that is, whether it was proper for the trial court to order the respondent to pay the appellant that compensation.

The first appellate court held that after finding that the appellant Somoe was not entitled to any share in the above properties, it was improper to order the respondent Saidi Nakuwa to pay her a compensation of TZS. 500 000 which she had not prayed for. That compensation order was quashed.

The appellant lodged this appeal against the compensation order being quashed.

But in arguing her appeal she revived her whole claim as she had presented before the trial court. I could not stop her from doing so because according to the nature of the order of a TZS. 500 000 compensation, it would be very difficult for her to defend it without referring to the merits or demerits of her original claim.

I have carefully considered the appellant's grounds of appeal, her oral submission before this court, the reply by the respondent's advocate together with the overall circumstances surrounding this case.

In cases of this nature where a wife was an employee and not a mere housewife, it is not enough to establish merely that certain assets were acquired during their marriage. It is necessary to establish the extent of her contribution in money or work towards the acquiring of those assets.

In the present case the appellant who was an employee as a Ward Secretary and later a Divisional Secretary could not show before the trial court as to how much money or work she made towards the acquiring of the house on plot number 78 Block C Twiga Street.

Secondly, there is no dispute that that Plot is in the name of the respondent and that it was acquired during the existence of their marriage. Under section 60(a) of the Law of Marriage Act 1971, it is stated that, where during the subsistence of a marriage any property is acquired in the name of the husband or of the wife, there shall be a rebuttable presumption that the property belongs absolutely to that person, to the exclusion of his or her spouse. Before the trial court, the appellant did not rebut sufficiently this presumption.

Thirdly, there is no dispute that that house is the one catering for the whole family including the children of the marriage. The record shows that when this case was proceeding before the trial court, the children of the marriage were staying and being taken care of by the respondent. They are grown up and they can decide where to stay. But wherever they may stay the fact remains the same that, that house is theirs. They are the principal heirs in the event their father (respondent) dies.

plot number Block Z Wireless Hill is in her name and the respondent has publically said he has no claim on it or on the construction materials and other properties in her possession. There was no justification to call upon the trial court to divide it. The Mtanda farm is in the name of the appellant and the respondent does not claim anything upon it. If there are some errors in its sale agreement, those errors can be rectified by relevant authorities. There is nothing to talk on the Nangaru farm as the appellant withdrew her claim on it.

The motor vehicle reg. number TZC 5005 which the respondent purchased on hire purchase through a government arrangement will be the respondent's sole properly when the loan is over. At the moment it is the property of the respondent and the Principal Secretary Treasury jointly. At the trial, the appellant did not show as to how much money or work she made towards the acquiring of that motor vehicle.

The trial court refused to divide the video on the ground that it was for the use of their children. Since by then their children were staying with the respondent in the family house it had to be there. If the said children have now moved to the appellant's home and they need it there, the matter can be brought before the very trial court for consideration and direction.

As far as the compensation of TZS. 500 000 is concerned, it has been very difficult for this court to understand the basis for such an order. The words "*mdai anayo haki ya kulipwa fidia ya TZS. 500 000 akiwa kama ni mke halali wa mdaiwa*" used by the trial court are not free from ambiguity. Is it a kind of pension or consolation? Under which provision of the Law of Marriage Act 1971 was that order made? The trial court heard both parties with their witnesses and visited most of the disputed properties. It came to the conclusion that the appellant was not entitled to division of any of the properties she claimed. But she was entitled to a compensation of TZS. 500 000 for being the wife of the respondent for 23 years. May be it had good reasons but it lacked the proper words. The way it was put by the trial court had no legal backing and was properly quashed by the first appellate court. I find nothing to fault the decision of the first appellate court on this.

It is upon the above reasons that I dismiss this appeal. For the interest of the children of the marriage, and for the interest of not making their relationship too sour, each party will have to bear his or her costs.

REGIONAL SERVICES LTD *v.* SECRETARY – CENTRAL TENDER BOARD AND THREE OTHERS

HIGH COURT OF TANZANIA AT DAR ES SALAAM

(Mapigano, J.)

MISCELLANEOUS CIVIL CAUSE No. 67 OF 1998

Administrative Law – Judicial review – Procedure – Preliminary Objection not raised at the hearing of the application for leave to apply for prerogative orders – Whether the objection may be raised subsequently against the application for the orders.

Judicial Review – Acts amenable to judicial review – Complaint arising from contract – Relationship between applicant and respondent being contractual – Whether acts arising from that relationship are amenable to judicial review.

Natural Justice – Right to be heard – Tender awarded to applicant and then the award process is unilaterally terminated – Whether applicant was entitled to a hearing before termination.

Natural Justice – rule against bias – Deputy Minister stating in Parliament that tender was improperly awarded to applicant and a fresh tender will be floated to award it to another person in a more transparent manner – Whether the statement creates bias against the applicant in the fresh tender process.

The applicant was awarded a tender to design, print and supply national identity cards pursuant to the provisions of the Registration and Identification of Persons Act 1986. But before a formal agreement was signed the applicant received a letter informing that the Government had decided to terminate the process. A Deputy Minister then made a statement in Parliament explaining that the process had been cancelled because the Government was dissatisfied with the procedure used to award the tender to the applicant and directed that the tender be re-floated in a more transparent manner. This explanation conflicted with the one given subsequently by the second respondent

in response to the applicant's request. Some five months or so later the first respondent floated a fresh tender which, it was stated in court, was manifestly designed to exclude the applicant from bidding for it. The applicant came to court to challenge, by judicial review, both the cancellation of the original tender and the re-floated tender. Leave to apply was granted without opposition from the Attorney General. When the main application came up for hearing, a Preliminary Objection was raised by the respondents, arguing that because the relationship between the parties was contractual, the matter was not amenable to judicial review. The applicant countered that it was improper to raise the objection now, and that it should have been raised by the Attorney General at the hearing of the application for leave to apply for judicial review.

Held: (i) It is permissible for the court at the hearing of the substantive cause to go into the question whether the matter is amenable to judicial review because the application for leave to apply is basically *ex-parte*, the joinder of the Attorney General being virtually pro-forma, and the principal respondents have had no opportunity of being heard on that question;

(ii) In floating and awarding the tender, and in the subsequent termination, the respondents were performing public duties; their actions, therefore, are amenable to judicial review;

(iii)The decision to terminate the award process was bound to adversely affect the interests of the applicant, was shocking and distressing, and went contrary to the applicant's legitimate expectations, entitling the applicant to the right to be heard;

(iv) The allegation that the applicant was privy to and partly responsible for the alleged flawed procedure to award the tender was a serious one to which the applicant was not given an opportunity to reply; this was a clear denial of natural justice;

(v) From the statement of the Deputy Minister in Parliament, the decision to terminate the award process was clearly intended to exclude the applicant from the re-floated tender and the first respondent was blamed for allegedly making a mess of the first tender process; the first respondent, therefore, was bound to be heavily biased against the applicant in relation to the re-floated tender;

(vi) Termination of the award process and the re-floated tender are quashed by *certiorari* and the third respondent is directed by *mandamus* to finalise the award process of the original tender or to terminate it in accordance with the law.

Application granted

Cases referred to:

(1) *courtney and Fairbain Ltd v. Tolaini Brothers. (Hotels) Ltd and another* [1975] 1 W.L.R. 297

(2) *Lausa Alfan Salum and Others v. Minister for Lands, Housing and Urban Development and another* [1992] T.L.R. 293

(3) *Mobrama Gold Corporation v. Attorney General and another,* HC-DSM-Miscellaneous Civil Case Number 42 of 1995 (unreported)

(4) *Ridge v. Baldwin* [1964] 2 All ER 66

(5) *Ndegwa v. Nairobi Liquor Licencing Authority* [1957] EA 709

Statutory provision referred to:

Registration and Identification of Persons Act 1986

Mr Mujulizi, for the Applicant

Mr Ngwembe, for the Respondents

RULING

(Delivered 17 December 1999)

Mapigano, J.: This is an application for prerogative Oorders. The circumstances which attend the application are set out in the affidavit made by Sharif Mohamed Mubago who describes himself as the local representative of the applicant. In substance, his depositions are as follows:

In 1995 the Government through the Central Tender Board advertised tender number 26 of 1995/96 for the design, printing and supply of National Identity Cards. The making of identity cards and issuing them to persons residing in Tanzania was the requirement of the law, namely the Registration and Identification of Persons Act 1986. The applicant submitted its bid and was awarded the tender in June 1997. By a letter dated 20 June 1997 annexture "RSL", the third

respondent notified the applicant of the decision of the Central Tender Board and intimated the Government's intention to enter into contract with the applicant subject to successful negotiations.

Pursuant to the said letter, the applicants mobilized and put in place all the necessary documentation, systems and other requirements as specified by the third respondent, in readiness for negotiations, and then carried on the negotiations with the Government. In January 1998 a Draft Agreement was initiated and the second respondent was the person who did so on behalf of the Government.

But the agreement never came to be executed. To the applicant's surprise, and without warning or notice of any kind, the applicant received a letter on 16 June 1998 by which the second respondent informed him it that the Government had decided to terminate the negotiations. It is the applicant's allegation that the letter did not give reasons for such decision. Next, there was a statement made by the Deputy Minister for Home Affairs in Parliament on 23 June 1998, when answering a question on behalf of his Minister, which reads as follows:

> After floating the tender, a total of 27 tenderers submitted their bids, out of which 11 bidders pre-qualified and finally one going by the name of RSL of West Indies was appointed to do the job. However, the Government was not satisfied with the procedure used to appoint the awarded contractor and the Government was left with no alternative but to direct my ministry to re-float the tender in a more transparent manner and to get another contractor. In compliance with the Government directive, my ministry has set new procedures for calling another tender for the project. As soon as another contractor with sufficient qualifications is appointed and all other procedural matters being completed, the work will commence immediately.

But in reply to the applicant's request for the reasons for the cancellation of the award, the second respondent wrote a letter on 3 July 1998 Annexture "RSL6", giving completely different reasons from those stated by the Deputy Minister. The letter is in the following terms:

> As pointed out in our earlier letter ref. number 657 Volume 1/16 of 16 June 1998, the Government could not continue with the finalisation of the

award process as it became more than obvious that the new project package had greatly varied from the original package that had been used to give the provisional green light to negotiate with RSL. For example:

(i) The price of the ID for aliens had risen from USD 100 to USD 1 200. The second bidder had it at USD 500, hence the need to get him also to improve the respective offer.

(ii) The overall costs had escalated from USD 64 million as tendered in 1995 to USD 127million. It was not easy just to ignore this bigger jump even if we had the justifications. Other bidders would have taken this as an issue for an objection.

This decision is said to have been taken by the cabinet.

In November 1998 the first respondent floated tender number 22 of 1998/99, vide annexure "RSL7", and it is stated that the said re-floated tender is manifestly designed to exclude the applicant from bidding for it. Upon several grounds, the cancellation of the original tender and propriety of the re-floated tender are impugned in this application. An Order of *certiorari* is sought to quash the letter of the second respondent dated 3 July 1998 as well as the re-floated tender. An order of Prohibition is sought to prohibit the first, second and third respondents from interfering with the award process of the original tender or awarding the same to any other person other than in accordance with the terms and conditions of the tender. And an order of *Mandamus* is sought to direct the third respondent to finalise the award process of the original tender or, alternatively, terminate the award process in accordance with the law.

The respondents have raised a point of law, which is essentially a Preliminary Objection, that the subject-matter of this application is not amenable to judicial review. It is contended on their behalf that the relationship between the parties was contractual, because the tender process would eventually have given rise to a procurement contract. It is accordingly submitted that the applicant should have sued on the contract.

In reply, counsel for the applicant points out that when Mrs. Macha appeared for the Attorney General on 2 February 1999 she did not oppose the application for leave to apply for the prerogative reliefs. It is his contention that it is now too late to raise the point.

In the alternative, the applicant meets the preliminary point by first pointing out that the respondents are wavering between two opinions. They start with the contention that there existed a contractual relationship between the parties, but later in argument they urge the point that the parties were still negotiating, and that what the Government did was to terminate the negotiations. In regard to the later argument, reference is made to the decision of the Court of Appeal of England in the case of *courtney and Fairbairn Ltd v. Tolaini Brothers (Hotels) Ltd and another* (1), where it was held that the law does not recognize a contract to negotiate.

Secondly, it is submitted that since the respondents were discharging a statutory duty, as the making of identity cards and issuing them to persons residing in Tanzania was the requirement of the statute, the exercise of that power is subject to judicial review. Several authorities have been cited in support of that proposition, including the decision of our Court of Appeal in the case of *Lausa Alfan Salum and Others v. Minister for Lands, Housing and Urban Development and another* , (2), where the court subscribed to the view that:

> Any action of a public official done in official capacity is challengeable on the ground of illegality, irrationality and procedural impropriety. By way of an application for judicial review; and a passage in Lewis, C's book, **Judicial Remedies in Public Law** (1992) Sweet and Maxwell, London, at page 31, namely, that:
>
> > Bodies performing public duties or exercising powers that could be characterized as public may be subject to judicial review, even though the powers are not statutory or prerogative. Given the wide or disparate range of bodies that operate in the administrative landscape, and given a revitalized approach on the part of the courts to judicial review and the need to control potential abuses of power, a large

> number of non-statutory bodies might well be brought within the ambit of public law and judicial review.

It is also submitted, in the further alternative, that even if the matter is to be held to be more contractual, legal redress can still be sought in public law, since there is an element of public law involved. The decision of this court in *Mobrama Gold Corporation Ltd v. Attorney General and another* (3), is relied upon.

It may appear to be an uncommon practice that a respondent should raise such point at this stage. But it is permissible. In principle, the court can go into the question whether an applicant should pursue a remedy in private law at the hearing of the substantive cause. It makes good sense, because, as a rule, the application for leave to apply is basically an *ex parte* one and in the majority of cases the principal respondents have no opportunity of being heard as regard the question whether the subject-matter of the cause is amenable to judicial review or whether there exists a *prima facie* case. And it has to be stressed that on 2 February 1999 Mrs Macha appeared for the Attorney General only, and that the joinder of the Attorney General is virtually *pro-forma*.

I entirely agree that there existed no valid and enforceable contract between the parties. The negotiations had not been finally concluded when the Government decided to re-float the tender. I cannot but also agree that in floating and awarding the tender, and in terminating the subsequent negotiations, the first, second and third respondents were performing public duties. As their Lordships stated in the *Lausa Alfan Salum (2)* case, which decision is binding on this court, any action of a public official done in official capacity is impugnable by way of judicial review proceeding on the grounds of illegality, irrationality and procedural impropriety. I must hold, therefore, that the application is entertainable.

The allegation that the second respondent's letter which notified the applicant of the termination of the negotiations did not give the

reasons for the decision is denied by the respondents, and rightly so. In paragraph of that letter it is stated thus:

> The decision has been prompted by the current change of terms of reference from the original one as then submitted in the year 1995. For instance, the alteration of the well noted reduced population statistical data, have subsequently necessitated the escalation of prices per identity card on aliens.

Quite clearly, a reason was given, and it is a different matter whether that reason was well based.

Also controverted is the applicant's averment that the second respondent had no authority to act for the Ministry of Home Affairs or the Government in respect of the termination of the negotiations. In a counter-affidavit made by Mr Philo Nombo, on behalf of the respondents, it is deposed in paragraph 10, that the second respondent was directed by the third respondent to notify the applicant of the said termination. I have believed Nombo's word.

It is idle to deny that the reasons stated by the Deputy Minister in Parliament for the termination of the negotiations are in conflict with those given by the second respondent in his letter of 3 July 1998. This is admitted in Mr Nombo's counter-affidavit, and it is pertinent and meaningful that the respondents have nothing to say in explanation of that disparity. In the circumstances, I should agree with counsel for the applicant that that disparity brings the *bona fides*, candour and veracity of the Government into question.

The applicant describes the Central Tender Board as a Government body through which the procurement of goods and services by the Government is made. The applicant then puts forward the propositions that the Board is an independent executive agency; that the Cabinet has no authority to review its decisions; and that if there was any serious irregularity in the tender process then it was only the Board which could terminate the process: with due respect, this argument is hardly tenable. There is simply no material before this court which demonstrates that the Board enjoys such unfettered powers. I am,

therefore, unable to sustain the argument that the Cabinet has no power to review the decisions and acts of the Board and, if need be, to terminate tender processes. There are other imputations of illegality, stream over the pleadings and submissions of the applicant, with reference to the acts and decisions of the respondents. The problem, however, is that they are presented in general terms and I have to confess that I have failed to apprehend the essence of the illegalities alleged. But as aforementioned, there are other grounds which are being canvassed by the applicant, and it seems to me that they are not effectively resisted.

The first is failure on the part of the respondents to give the applicant the opportunity of making its representations. As we have seen, there are two versions as to why the award process was terminated. The first version is contained in the statement of the Deputy Minister for Home Affairs; and the second is contained in the letter written by the second respondent ten days later. The reasons given by the Deputy Minister for the cancellation of the process are pre-award, while those given by the second respondent are post-award. In relation to the subject at hand, I consider that the first version is more authoritative. The main points of the Deputy Minister's speech were the allegation that the procedure used to appoint the applicant was shrouded in some in transparency; and the decision of the Government to get another contractor to do the job. Beyond question, there is an insinuation in that speech that the applicant had a hand in the creation of the alleged flaw.

It is common ground that the applicant was not afforded a hearing before the Government took that drastic step. It is submitted on behalf of the applicant, that an administrative decision of a public official, which is bound or likely to adversely affect the interests of individuals, has to be taken after giving such individuals a reasonable opportunity of being heard, and the decisions in *Ridge v. Baldwin* (4), and *Ndegwa v. Nairobi Liquor Licencing Authority* (5), are cited in support. The respondents say nothing in reply to this submission, and in my opinion, it is a submission I must sustain. There can be no

doubt that the decision to terminate the award process was bound to adversely affect the interests of the applicant. There was also the serious allegation that the applicant was privy to and partly responsible for the alleged flawed procedure used to award the tender. In my judgment, there was a clear denial of natural justice.

The second ground put forward is legitimate expectations. Basically, the argument of the applicant is of the following nature; the respondents had re-affirmed that the applicant was the winner and would enter negotiations for terms of contract with the Government. The negotiations had been carried out and a final draft agreement had been initiated. The applicant had prepared a feasibility study, engaged experts to prepare technical and financial proposals, and all the great expenses involved were incurred in compliance with conditions precedent stipulated by the respondents. Reference is made to the text under paragraph 81 of **Halsbury Laws of England** (4 ed) that in relation to judicial review, it counts if a person has legitimate expectations of being treated in a certain way by an administrative authority, even though he has no legal right in private law to receive such treatment. Again, the respondents say nothing in reply, and I think it is a fair inference that they are conceding the point. In truth it must be said that the applicant was given a very severe treatment. I agree with the applicant that the decision to terminate the award process was not only shocking and distressing but also went contrary to the applicant's legitimate expectations.

The third ground is bias. This court is invited to deduce, from what the Deputy Minister stated in Parliament, that the Cabinet had adjudged the applicant unfit for the job; and that even if the applicant were to bid for the re-floated tender the Board, having been blamed for allegedly making a mess of the first tender process, was bound to be heavily biased against it. The respondents do not deny that they were obliged to act fairly, reasonably and properly in regard to the re-floated tender. But they maintain that the re-floating of the tender was devoid of bias. I must go with the applicants. The relevant words in the speech of the Deputy Minister are "(a) the Government

was left with no alternative but to direct my ministry ... to get another contractor; and (b) As soon as another contractor ... is appointed ... the work will commence ..." The language is explicit. The makers of the decision to terminate the award process clearly meant to exclude the applicant from the re-floated tender. It is thus impossible to avoid the conclusion that tender number 22 of 12/99 was designed to keep out the applicant.

In the final even and for all the reasons I have given, the application is granted with costs. The second respondent's letter of 16 June 1998 is quashed. The same with tender number 22 of 1998/99. The third respondent is directed to finalise the award process of the original tender or terminate it in accordance with the law.

MAHMOUD AMEIR MUHIDINI *v.* PEOPLE's BANK OF ZANZIBAR AND TWO OTHERS

HIGH COURT OF ZANZIBAR
AT VUGA

(Umar Sadiq, J.)

CIVIL APPEAL No. 28 OF 1999

(From original decree in Case No. 52 of 1998)

Civil Practice and Procedure – Pleadings – Plaint – Amendment of plaint – Application for leave to amend plaint – When such application may be made.

A Regional Magistrate refused an application for leave to amend a plaint on the ground that the advocate was in possession of the plaint for a long time and did not care to file the application for leave to amend on mention dates but waited until the date fixed for hearing that he made the application. Aggrieved by the decision of the Magistrate, he appealed to the High Court of Zanzibar. The High Court considered the law applicable.

Held: (i) Both in law and equity an advocate is required to take proper steps at the earliest time to apply for leave to amend pleadings;

(ii) The advocate of the appellant was in possession of the plaint for a long time and was required to apply for leave to amend at the earliest possible time;

(iii) The delay in applying for leave to amend the plaint meant the advocate had elected to proceed on the plaint as originally drafted.

Appeal dismissed

Case referred to:

1. *British Indian General Insurance Company Ltd v. Parmar* [1966] EA 172

Statutory provisions referred to:

(1) Transfer of Property Decree, sections 67(s)(a) and 69(1)

(2) Laws of Zanzibar Chapter 8, Order 6, rule 17

JUDGMENT

(Dated 20 December 1999)

Umar Sadiq, J.: This is an appeal against the ruling and the decision of the Regional Magistrate in Civil Suit Number 77 of 1998 given on the 2 July 1998. The appellants in their memorandum filed seven grounds of appeal:

1. The Magistrate erred in facts and law and ought to have allowed the appellant to amend his plaint which had been prepared by a court official in ignorance of the facts and the law pertaining to mortgages.

2. The Magistrate erred in facts and law and ought to have agreed with the issues framed by the appellants as were consistent with the pleadings.

3. The Magistrate erred in facts and law and ought to have held that the sale of the house was contrary to the terms of the Mortgage Deed and the law pertaining to the mortgages. Further, he ought to have held that the first and second respondents had reached there statutory duty of care owed the appellant by failing to obtain a best possible price for the house.

4. The Magistrate ought to have held that there was clear conspiracy between the respondents themselves at the expense of the appellant.

5. The Magistrate erred in law and ought to have drawn adverse inference due to the total lack of interest or defence shown by the second respondent throughout the trial.

6. The Magistrate erred in facts and law and ought not to have given judgement for the first respondent on its counter claim which had not been proved on balance of probabilities.

7. The Magistrate generally conducted the trial unsatisfactorily and ought to have entered judgement for the appellant as prayed by him or more appropriately as evidence disclosed.

Whereof the appellants prayed as follows:

(i) That the judgement of the Magistrate be set aside with costs.

(ii) That the sale of the house be set aside and its title be confirmed for the appellant.

(iii) That alternatively to prayer number 2 above, judgement be entered for the appellant for TZS. 8 000 000 (Eight million shillings) as damages with costs thereon.

(iv) That the issues raised by the appellants at the trial be confirmed and the under lying suit be remitted back to the Magistrate to retry the suit accordingly.

(v) Such other relief(s) be granted as may be just under the circumstances.

Arguing the appeal, Mr Patel advocated to the appellant admitted that he wants to be allowed to argue grounds one and two jointly as

they relate to each other. Mr Patel said that the plaint and the Chamber summons/application were clearly prepared by the court clerk in complete ignorance of Transfer of Properties Decree Chapter 150, CPD Chapter 8, Registration of Document Decree Chapter 99 and Auctioneers Decree Chapter 165, Laws of Zanzibar.

Advocate told the court that all the relevant section of these laws have been given to the Magistrate in their written submission. "By the time I was instructed to appear for the appellant, the defence has been filed, I went through the pleadings and found that the plaint requires an amendment and while waiting for the right opportunity to make that application, in the meantime. I file the document which needed to be filed and also give a notice to produce to the defendant.

However on the 9 March 1999, I submitted/frame issues at page 2 of the Magistrate Court of proceedings, which entails all the necessary grounds that was necessary to make an application under Order 6, rule 17 of Chapter 8 of Zanzibar and this order provides for an amendment to be made at any stage of the proceedings. On this application the Magistrate gave this ruling on 10 March 1999. Advocate cited the case of *Indian General Insurance Companies v. Parmar* (1) which clearly outlines that amendment should clearly be allowed which entails four grounds:

(i) It should not cause injustice to either side, but if there is injustice it can be compensated by cost. Whereof the respondent at page 3 lines 22–25 the respondent did agree that if amendment were to be allowed he will be quite happy with the cost.

(ii) It should not been amendment to introduce a new cause of action. Advocate said that in this case it was on breach of Mortgage Deed, and wishing to afraid on the relief thought not even the cause of action.

(iii) The right acquired by the other parties should not be allowed to be disturbed by the amendment. But those rights we have already challenged due to the breach of the Mortgage Deed.

(iv) The amendment must go to the real controversy between the parties, but the RM unfortunately dismissed my application. Advocate said the question of amendment is a dictionary matter which must be exercised judiciously, by the Magistrate. Unfortunately restricted consideration to only pleadings that were before him, he also said that if he were to allow the amendment it would result in injustice to the other side.

At page 5 line 4 of our written submission, there are 5 requisites which a court must consider before allowing an amendment. In our case my application was made before the actual hearing of this case, and therefore application made *bona fide*. My submission is that in the event of our appeal succeeding allowing us to amend, then the rest of the issues in the appeal should be aborted.

Advocate said at the auction sale even though the third respondent was the highest bidder he was not declared the winner but was left subject to the bank approval of the price, this was in line with the evidence of DW1 at page 10 lines 19–20. Advocate said that I submit that this was against the rules of auction sales. Also referred is the evidence of the appellant given at page 7 lines 18–20 where he said that he will announce another date for the auction, in view of the low price received.

Also referred to at page 13 lines 18–21 where the bank official clearly admitted that contrary to the loan agreement which allows simple interest, the bank were charging compound interest; however in the annexures it is shown that the loan was a simple interest.

Also referred by Council to the appellant was section 67(s)(a) of the transfer of property decree of which a three months notice is obligatory and in page 14 line 3. DW2 admitted they gave 14 days notice and then waited for one more year which amounts to a very serious breach as well. The fourth breach is of that of duty of care by the mortgage to the mortgager when exercising this power of sale. This is so because the house, under mortgage was valued TZS. 8 120 000 in appeal 1994 but some 5 years later was sold at TZS. 1

700 000 at the auction sale and this amount to a clear breach of duty.

Section 69(1) of the Transfer of Property decree requires court intervention but in this case such an action is sought and neither a given before the sale.

The last is the breach committed by the auctioneer, the second respondent by selling the house by private treaty instead of by public auction, which is very counter to section 18 of the Auctioneers Decree Chapter 165. It is clear that there was conspiracy by first, second and third respondent to which themselves and there is surely a reasonable ground to belief there was conspiracy to the detriment of the appellant. Not only that the appellant lost his house at throw away price, but the counter claim allowed to the bank, should not been allowed because it worked on compound interest.

On the fact that the second respondent did not take part in the proceeding, the Magistrate should have drawn an adverse inference that he had accepted the allegation made against him.

On grounds number 7 that the Magistrate conducted the trial generally unsatisfactory.

On prayer, Mr Patel advocate, said this prayer is very clear and he need not say more.

In his reply counsel/advocate representing the first and third respondents said that he reply grounds 1 and 2 together and said that the first and second grounds of appeal hold no water, because the learned advocate for the appellant had been in possession of clients pleadings for about 6 months (before the date when issues a said to be joined for the commencement of trial) for all these period advocate ought have seek to amend the plaint earlier but did not seek to amend until his hanged issues were rejected by the court.

Another reason is if the court would allow such an amendment it will bring an injustice to the other side. See the case of *British India General Insurance Company Ltd v. GM Parmar and Company*

(1), page 172. Where five conditions were entailed of which the Magistrate Court was aware of but still refuse the amendment.

Respondent's advocate said that on grounds 3 and 4 it is not true that the sale of the house was contrary to the Mortgage Deed, and the law pertaining the mortgage.

According the terms of the mortgage which was in Kiswahili dated the 22 April 1994 the first respondent willingly for he appointed the second respondents to be his agent for the purpose of the sale of his house in issue of the loan repayment. That is to say there was an actual authority by express agreement. The allegation, that the first respondent breached the duty being an agent such allegation is baseless because the price sold was the best and proper accordingly to public auction.

Advocate to the respondent also said on the ground that there was a conspiracy due to the estimated amount at TZS. 8 120 000 in 1994, but 5 years later was sold for TZS. 1 700 000 to consider devaluation of the property. The fact that the house was sold in a public auction, and the highest bid was TZS. 1 700 000 proved that the agent had done his duty to his principal by selling to the highest bidder.

On the issue of section 69(1) of Transfer of Property Decree, the appellant has appointed the first respondent to sell the house to put the consent of the court and would like to insist that the house was not sold as a result of a private treaty, but a public auction.

On the issue of the second respondent not taking part in the trial at the Magistrate even though made a defendant our submission is that the second respondent is an agent of the first respondent therefore it suffices.

Although the first respondent is the agent of the appellant the doctrine of *deligutus non deligary* does not apply in the circumstances because his principal has also already a appeared.

On the sixth ground of appeal which is on the issue judgement to the respondent on his counter-claim. We submit that the counter claim was proved on a balance of probability. The loan given was the sum of TZS. 2 000 000. Subject to the interest at 30% and this rate of interest is well known to all the clients of the first respondent even though not provided in the agreement.

Advocate for the respondent conclude that the judgement of the trial court was fair not only to the respondents but also the appellant. We pray this court to dismiss the appeal. In his agreement in the appeal Mr Patel advocate continued grounds of appeal number and find and argue the grounds together.

It was his contention that he wants to amend the plaint because it was initially drafted by a court in complete ignorance of the provisions of Transfer of Properties Decree Chapter 150, Civil Procedure Decree Chapter 8, Registration of Documents Decree Chapter 99 and the Auction Decree Chapter 165 Laws of Zanzibar.

Mr Patel said after being briefed to appear for the appellant, I went through the pleadings and found that plaint requires an amendment while waiting for the right opportunity to that application, in the meantime I filed all the relevant documents which need to be filed and also gave notice to proceed to the defendants. Advocate said that on 9 March 1991, I submitted my framed issues which is towards my application under Order 6, rule 17 of Chapter 8 Laws of Zanzibar which order permits for amendment to be made at any stage of the proceedings but it which the Magistrate refused the application and ruling dated the 10 March 1999.

It is a well known fact that applications of this nature are applications which are to be considered by the presiding judge by the case of his discretionary power of course to be exercised judiciously.

It is allowed that amendment could be ordered at any stage of the proceedings to a deserving party. This right is not relent exception which depend in each given circumstances in each given case.

In this particular case, advocate admitted getting the brief in this case after the plaint was drafted and filed by the court clerk admitted finding the plaint faulty and did not take any step to amend same until only on the date accepted to be set for hearing.

The advocate took part in mentioning the case on 17 November 1998 and 17 February 1999 and specifically ahead for a date for hearing on 19 February 1999.

The advocate only raised the issue to amend after issues are asked to be joined then ask for a leave no amend which application was resisted by the respondents advocate on the reason that the advocate has had the opportunity to amend the pleading but only decided to that after the issues to be joined as proposed by him was rejected by the court at the point of trial.

Mr Patel referred to the case of *The British India General Company Ltd v. G.M. Parmar Company* (1).

In which case the fact that amendment is a right to a party but to be allowed ability subject to the discretion of the judge an agree circumstances of every case.

In this case, the advocate right from the onset admitted seeing the mistake or defects in the plaint but has elected to continue with the plaint even though defective, taking part fully in the preliminary stage of the case which includes mentioning the case on the successive dates, without making reference to any application or intention to amend.

In the ruling before the Magistrate Court, the RM said that it is in the interest of justice for both parties that when a person gets his right he gets it without the right of other parties being then out unreasonably".

This piece does not tally with the issue now at hand, because amending a plaint does not take away the right of the adversary, but at most, delays the process.

In the plaint before the Magistrate Court the plaintiffs only made reference as to illegality only the sale of house as done irregularly and at an under valued price.

On this, the RM said that "in my view the word just means justice for both parties in a suit and that amendment should be allowed only for the purpose of determining the real question in controversy between the parties, therefore as it is seen from the plaint filed by the plaintiff the real question in controversy between the parties are together the security (house) of the plaintiff was sold by public auction or privately. The question of mortgage has not been pleaded, specifically by the plaintiff. The RM concluded that the question of amending the plaint arises at a point of disagreement with the issues of mortgage to be included, therefore to allow the plaintiff to amend the plaint, the court will be insisting the plaintiff to frame his case according to his issues in his mind hence diverting the whole subject matter from an illegal auction to whether that was a simple mortgage or not".

According to the Record of Proceedings before the RM the advocate of the plaintiff admitted knowing the defect in the plaint but only said to be waiting for the right opportunity to make an application to amend it is a well known practice that where an amendment is made by the plaintiff the defendant as well has to be given the right of reply/defence.

Therefore waiting for the right opportunity should not be construed to mean waiting for so long as in this case up to the time when hearing date is set and witnesses in court issues agreed to be framed.

However the new reasons given by the RM for refusing the application may not suffice in this case "that where the RM said it refused because the amendment with advise new cause of action that is the legality of the mortgage and secondly that the amendment will create injustice to the other party.

But the sound reason given was that of the delay in applying to have the amendment thereby electing to proceed on the plaint as it was drafted immediately.

The advocate is both in law and equity required to take the proper steps at the earlier time to effect the amendment therefore as it is said he who comes to equity must come with clean hands. This was certain the ruling of the RM where by he said in part "also it is in this court view that the amendment will create unnecessary delay bearing in mind, that Mr Patel had this plaint for a long time, whereby he was supposed to have seen the issues (defect) in his case and did not ask the court for leave to amend the plaint.

Far the foregoing the grounds of appeal in this issue fails. On the third ground of appeal the advocate submitted that at the auction sale even though the third respondent was the highest bidder he was not declared the winner but was left subject to the bank approval of the price, (this piece was in line with the evidence of DW1).

However the appellant in his evidence said that the auctioneer (DW1) amend that due to the low price at the bidding the sale was adjourned to another date which was to be announced later. This evidence as given by the appellant in his evidence as PW1 and also in the evidence of PW2. This was against the evidence of DW1 and DW3 who said they were at the auction and have even bid to buy the house.

The adjournment of the sale in itself does not make the sale void because it only amounts to breach of the Auctioneers Act which has provided a penalty of such a breach.

Therefore the sale to the bidder at the sum TZS. 1 700 000 was proper in law.

Consequence upon which grounds of appeal number three fails.

Coming to the fourth ground which provides that there was a conspiracy between the respondents to enrich themselves.

However, all I need to say here is that I don't see any conspiracy here because according to designation of conspiracy is that "it is an

agreement of more than one person to commit an illegal act or illegal act by an illegal means".

As per in this case the Deed (Mortgage) has provided the clause for sale of the house if there is any breach from the part of the Mortgage without resort to court Order.

Therefore in this case the power of the bank as to the sale was proper. The auction was published accordingly and properly, as it was done where the public had gathered and bid publicly without any restriction.

The house was in the end sold to the highest bidder.

For the above reasons, the grounds of appeal number 4 hereby fails.

On grounds of appeal number five which says that the Magistrate should have drawn inference due to the total lack of interest or defence shown by second defendant respondent throughout the trial.

On this ground all I will say is that there is no law which prevents the court to proceed *ex parte* particularly in civil case, it is therefore correct for the tried Magistrate to proceed *ex parte* in the absence of the second respondents.

I want to say that, had any order in the judgement to affect the second respondent it will be carried out against the second respondent as if he had partaken in the trial. In this case the trial magistrate was right in the conduct of his trial in relation to the absence of the second respondent. Therefore this also fails.

On ground of appeal number six, where the appellant said the Magistrate erred in law and in facts as he ought not have given judgement for the first respondent counter- claim which had not been proved on the balance of probability.

However this ground of appeal was contained in the memorandum but also as in the trial at the trial court, nothing was said in arguing the appeal before me.

Counter-claim as it is requires defence which should be traversed and denied specifically, however in this case the appellant on cross-examination by the respondents advocate admitted to being in debited to the tune of "four million three hundred and thirty seven thousand, two hundred and thirty nine shillings TZS. 4 379 239 which includes the amount loaned with the corresponding interest that generates within the period of the loan. In his words, the appellant before the Magistrate Court said "On the question of me being owed TZS. 4 379 239 I am not disputing it". Therefore this ground also fails.

Lastly as all the grounds argued have failed judgement is hereby entered against appellants and the appeal hereby dismissed

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AFRED MTATIRO *v.* SHELTER CONSTRUCTION LIMITED, THE REGISTRAR OF TITLES AND TAALIB MBOWE t/a AMIN AND COMPANY

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Kalegeya, J.)

CIVIL CASE No. 195 OF 1996

Civil Practice and Procedure – Status Quo – Order to maintain status quo – Whether the order has more force in terms of duration than would a normal temporary injunction – Order XXXVII, rule 3 of the Civil Procedure Act 1966.

The applicant/plaintiff appeared before this court praying for an order committing the third respondent/defendant to prison for contempt of court. The contempt is alleged to have arisen because of the respondent/defendant's violation of the Orders of this court dated 16 August 1996 and 23 May 1997 which ordered that the *status quo* be

maintained in respect of the property on plot number 8 Block 47 Kijitonyama, in Kinondoni District. The application for committal was filed on 13 October 1998.

Held: (i) Under Order XXXVII, rule 3 of the Civil Procedure Act 1966 as amended by G.N. 508 of 1991, a temporary injunction lasts for 6 months unless renewed, which period however should not exceed 12 months in aggregate.

(ii) The Order given on 21 May 1997 and which was not renewed lapsed six months later i.e. 21 November 1997, and therefore, there is no breach which has been established entitling this court to condemn the respondent for contempt of court.

Application dismissed

Statutory provision referred to:

(1) Civil Procedure Act 1966, Order XXXVII, rule 3

Mr Magesa, for Applicant/Plaintiff

Mr Ukongwa, for third Respondent/Defendant

RULING

(Dated 28 December 1999)

Kalegeya, J.: The applicant/plaintiff is before this court praying for an order committing third respondent/defendant to prison for contempt of court. What is the background to this?

On 23 July 1996 the applicant filed a chamber summons with the following prayers:

1. That this Honourable court be pleased to issue a temporary injunction restraining:
   (a) The first respondent from transferring property on plot number 8 Block 17, Kijitonyama, Title Number 186289/5 to the third respondent, pending the determination of this suit.
   (b) The second respondent from registering the aforesaid transfer pending the determination of this suit.

2. Costs of this application be paid to the applicant.

When the application came up for hearing on 16 August 1996 Mr Ukongwa for third defendant applied for adjournment because he had just been instructed. What transpired thereafter can best be put by reproducing the proceedings as under;

"Magesa: That being the case, let *status quo* be maintained pending hearing of this application.

Ukongwa: I have no objection

Order: The respondents to file their counter affidavit not later than by 23 August 1996.

Reply (if any) by 30 August 1996. Hearing on 12 September 1996. Meanwhile the *status quo* to be maintained.

Sgd by KAJI,

JUDGE

16 August 1996"

After numerous adjournments, on 21 May 1997, the following transpired. Again I will quote at length the proceedings because they form the basis of the controversy at hand.

"Ukongwa: I am not aware that one of my clients is breaching the Order of this court. I will look for him and stop him from doing so.

Since by virtue of the order for the *status quo* to be maintained has settled the application for a temporary injunction thereby making my Preliminary Objection impotent I pray for time to file my Written Statement of Defence within 2 weeks.

Magesa: Since my learned brother has undertaken to stop his client from breaching the order for the status quo to be maintained the date for hearing the main suit can be left undisturbed. I have no objection for my learned brother to file his Written Statement of Defence provided I am allowed to reply if necessary.

Order: The order for the *status quo* to be maintained is still in force. Mr Ukongwa to see to it that Order is not breached by his client as he has undertaken on the Bar. The defendants to file their Written Statement of Defence within 14 days from today. The plaintiff's reply (i) (if any) to be filed before 4 July 1997. Hearing on 4 July 1997 as already fixed. The second defendant has already been served on 7 April 97 as can be seen on the notice.

Sgd by KAJI,

JUDGE

21 May 1997"

Having passed through the hands of two different judges, in November 1998, this matter was re-assigned to me. By then however, the plaintiff had filed a chamber application leading to the present ruling. He filed a chamber summons on 13 October 1998, praying for orders:

That the third respondent be summoned to show cause why he should not be committed as a civil prisoner for violating the orders of this court dated 16 August 1996, and 23 May 1997 which ordered that the *status quo* be maintained.

In support thereof is the plaintiff's affidavit. Again, for clarity, I will reproduce the relevant paragraphs.

12. That at the time I lodged the caveat to restrain any transfer as per paragraph 10 hereinabove, the only development on the suit land was a small house used by the first respondent as office premises.

13. That later in 1996, when I lodged the main suit in this matter, I also applied for a temporary order of injunction to restrain the defendants from effecting any transfer from the first defendant to the third respondent or carrying on any development on the suit land.

14. That on 16 August 1996, this Honourable court ordered that the *status quo* be maintained, pending the hearing the application for

temporary injunction. A copy of the said order is annexed hereto and marked "E". It forms part of this affidavit.

15. That notwithstanding, the Order to maintain *status quo* as per paragraph 14 hereinabove, the third defendant commenced and continued with construction of a multi-storey structure on the suit land. This led me to apply for another order of injunction to restrain the third respondent from effecting any development on the suit land until finalisation of this matter. The application was granted on 23 May 1997.

16. That notwithstanding, the existence of the two orders the third defendant has persistently continued with the construction on the suit land in violation of the said orders and at the moment, the construction has reached the level of two floors.

17. That by failing to observe the orders of this court and by continuing with the development he has embarked on the suit land, the third defendant is acting in contempt of this Honourable court.

On the other hand, the third defendant filed a counter affidavit stating that although there is no injunction restraining him from carrying on with construction, he had decided to abide by the order of maintaining a status quo until the plaintiff encouraged him to proceed with finishing touches as they embarked upon discussions for settlement out of court which attempts however proved fruitless.

Parties effected their arguments by way of written submissions.

The applicant/plaintiff adopting what is contained in his affidavit insisted that the third defendant's counsel having undertaken to maintain it, the *status quo* was to last till finalisation of the case; that:

> *"status quo is as good as injunction order" and disputed having given any encouragement to third defendant.*

The respondent/third defendant also adopted the counter affidavit adding that the application is misconceived because the order dated 16 August 1996 was issued pending the hearing of the chamber application for temporary injunction, which application has not been heard; that

the order issued in May is akin to a temporary injunction and that as 6 months having elapsed without renewal it is now stale; that there is no order dated 23 May 1997 which restrained respondent from effecting developments on the plots and that before the suit was filed, the main construction had already been made save finishing touches which were made with applicant's approval.

Now to the merits. I have quoted the proceedings and the affidavit at length for clarity of my findings which are as follows:

First, I will start by saying that the defendant/respondent rightly argued that the applicant should not have referred, in his application, to the Order given on 16 August 1996. Indeed, the proceedings clearly show that that order was made pending the hearing of the chamber application for temporary injunction. The defendant's counsel being not ready to proceed and having prayed for more time to prepare himself the applicant's counsel successfully applied for an order to have a *status quo* maintained. Obviously, he was referring to maintaining the *status quo* till such a time, as shall be fixed by the court, and when Ukongwa would have been ready to have the application heard. This order got extinguished on 21 May 1999. Although on this day the court ordered the *status quo* to go on, in actual fact it was giving a new order. The relevant order therefore is that of 21 May 1999.

Secondly, although both parties refer to an order dated 23 May 1997, they are both wrong. They are not supported by the record. The order they are referring to was made on 21 May 1997 while the next date appearing on record is 3 July 1997 when Kaji, J. who was handling the matter recorded that he was returning the case file to the Judge in-charge for re-assignment as he was moving on transfer.

Thirdly, the applicant's affidavit particularly paragraph 13 last seven words; 15 last sentence, contains lies. According to the court record, after 21 May 1997 there is no other order regarding any of the party's *status quo*. Where did he get an order dated 23 May 1997? Further to that the applicant has never prayed for an order restraining respondents from going on with construction or developments on

the disputed land. The prayers in his chamber summons filed on 23 July 1996 already quoted are very clear.

Fourthly, although in his chamber summons for an application for temporary injunction the applicant had made prayers limited to just transferring the property on plot 8, Block 47, Kijitonyama, when the respondent undertook to maintain the *status quo* which was duly recorded as a court order, the court having believed that it was an honest undertaking any other activity which could change the existing state of affairs between the parties but related to the disputed property become entangled. On those premises, any construction or development thereon would constitute contempt for court, clear and simple, as it negates the order.

The question however is, whether that order of maintaining the *status quo* has more force in terms of duration than would a normal temporary injunction. Under Order XXXVII, rule 3 Criminal Procedure Code as amended by G.N. 508 of 1991 a temporary injunction lasts for 6 months unless renewed which period however should not exceed 12 months in aggregate. The purpose behind the introduction of this new condition was to curb the otherwise prevalent shrewdness of parties who upon securing a temporary injunction, never bother to prosecute their cases if not creating a whole lot of excuses to make sure that the matter is not finalized or takes unduly a long time. This would be so, in most cases, because they would have already secured what they want or they would be aware that the scales of justice lean against them. Now, if temporary injunction is explicitly given a limited life span, can an order for maintaining a *status quo*, which order is generally wider in ambit, have unlimited duration? In my considered view the answer is in the negative. The conditions provided under Order XXXVII, rule 3 Criminal Procedure Code should rule as well on such order. I thus agree with the respondent that the order given on 21 May 1997 and which was not renewed lapsed six months later, i.e. 21 November 1997, hence of no effect thereafter.

And yet still, even if it was still in force, on the facts of this matter and the uncertainty and unreliability of the applicant's affidavit, which, as I have already indicated, contains some lies, I am not convinced that the respondent breached the Order. His explanation that by the time the Order was given the main construction had already been made, and that the finishing touches were made with applicant's approval stand unchallenged. He who alleges must prove. The applicant should have convinced us as to when the alleged violation took place. The Order was given on 21 May 1997. The present application was filed on 13 October 1998. The affidavit alleges that respondent has constructed a two storey building after the order. If that is the case where was the applicant? Could he simply keep silent if indeed respondent was effecting such developments at the alleged speed? What then activated him when he subsequently decided to file the said application? I am not convinced by the applicant's allegations as they are not supported either by direct or even circumstantial evidence. There is no breach which has been established entitling this court to condemn the respondent for Contempt of court. The application is dismissed with costs

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JOSEPH MNIGA *v.* ABASS FADHIL ABASS AND HASSAN KHATIB PANDU

HIGH COURT OF ZANZIBAR
AT VUGA

(Garba Tumaka, DC.J.)

CIVIL APPEAL No. 34 OF 1999

(From the Judgment and Decree of the Regional Magistrate's Court at Vuga, dated July 1999, in Civil Case No. 18 of 1999)

Civil Practice and Procedure – Appeal – Limitation of time to appeal – Computation of time – Time spent to obtain a copy of the decree or order

appealed against is excluded – Section 100(2) of the Civil Procedure Decree Chapter 8.

Civil Practice and Procedure – Set off – Appellant's remedies – Appellant paid expenses for the vehicle – Whether he can recover by set off.

Contract – Discharge of – Breach of fundamental term – Whether breach of fundamental term may discharge contract by frustration.

Agency – Formation of – Agent acting for principal – Whether the car possessed by agent may be said to be possessed by the owner.

The appellant and the first respondent entered into an oral contract of hire of a car at a rental price of TZS. 10 000 per day. In May 1996 the appellant paid TZS. 900 000, being rentals for May, June and July 1996 and the vehicle was given to him. No further payments had been made and the appellant promised, in writing at the police station, to pay up the outstanding rentals but then only paid TZS. 100 000. The first respondent then sued the appellant and the second respondent for the recovery of his money in the sum of TZS. 9 000 000 per annum. The trial Regional Magistrate found in his favour. On appeal (by the appellant) the first respondent raised a preliminary point that the appeal was filed out of time.

Held: (i) In terms of section 100(2) of the Civil Procedure Decree Chapter 8, the time used for obtaining a copy of the decree or order appealed from is excluded in computing time; this appeal, therefore, was filed in time;

(ii) As the car after being hired by the appellant operated for three consecutive months, there was no fundamental breach of a term of the contract of hire which may lead to frustration of the contract.

(iii) As the second respondent instructed Khamis Hasani to act on his behalf during the time he was hospitalized, the car was in the possession of the second respondent's agent and such-agent within the meaning of section 179 of the Interpretations Section, Chapter 149.

(iv) The appellant was entitled to set off the sum of TZS. 100 000 and 90 000 from the total sum owed being the total sum paid for rentals for the first three months and payment made at the police station.

Appeal Dismissed

Cases referred to:

(1) *Karsales (Harrow) Ltd v. Wallis* [1956] 2 AC ER 866 CA

(2) *Photo Productions Ltd v. Securers Transport Ltd* [1980] CA 822

(3) *R v. Sebastian Ndomba* [1986] T.L.R. 190.

(4) *Hutton v. Warren* (1836) 1 M and V 466.

Statutory provision referred to:

(1) Civil Procedure Decree Chapter 8, section 100(2)

Mr Salum Mnkonje, for the Appellant

JUDGMENT

(Dated 4 January 2000)

Garba Tumaka, DC.J.: This is an appeal by the appellant, Joseph Mniga, against the judgment of the Regional court at Vuga, given in July 1999, in Civil Case Number 18 of 1999. Being dissatisfied with this Judgment, the appellant lodged an appeal before this court, represented by Mr Salum Mkonje, whilst the respondents elected to represent themselves.

The salient facts are as follows:

The first respondent, Abass Fadhil Abass, had sued the appellant herein, Joseph Mniga and Hassan Khatib Pandu for the recovery of his money in the sum of TZS. 9 000 000 (nine million) with interest at 30% per annum, being the rental/hire price for his car, with Registration Number ZNZ 9640.

The first defendant, Hassan Pandu, had in his possession, a vehicle with the above stated Registration Number belonging to Abass Fadhil Abass, and the appellant indicated through an agent, his interest in hiring the vehicle for use as "*daladala*". It was orally agreed that a rental of TZS. 10 000 per day would be payable and, in furtherance, the vehicle

was handed over to Mr Mniga in May 1996, who paid the sum of TZS. 900 000 (nine hundred thousand shillings) being rentals for the months of May June and July 1996.

Thereafter, there were no further payments:

Mr Pandu fell ill, was hospitalised and ultimately had his right leg amputated and all attempts by the first defendant to get to him failed, whereafter he instructed one Khamis Hassan to follow up on his behalf in trying to get to Mr Mniga. The situation degenerated to the matter being reported to the police in an attempt to get Mr Mniga to pay up the outstanding rentals and he promised in writing at the police station to do so on the 2 March 1997, which promise was apparently unfulfilled.

The plaintiff (first respondent hereat) in his evidence recounted how the agreement was entered into in respect of his vehicle with the second respondent (appellant hereat) through the first respondent and how the appellant reneged on his agreement to pay 10 000 daily after paying only the first three (3) installments and how all efforts to get him to pay up failed (including resorting to the intervention of the police) he called no witness in his support.

Mr Hassan Khatib Pandu, the first defendant (and second respondent hereat), virtually corroborated the plaintiff's evidence, concluding his evidence that even though he instructed Mr Hamis Hassan to follow up on the matter on his behalf, the appellant managed to pay only TZS. 100 000 at the Madema Police Station.

The second defendant, (appellant herein) in his defence gave evidence to the effect that he hired the above stated vehicle through the first defendant in May 1996, for an agreed daily rental of TZS. 10 000 even though the agreement was unwritten. He said he paid the sum of TZS. 900 000 for the first three months and paid an additional sum of 250 000 at the Anti-Corruption Unit of the police where the matter was reported. He couldn't pay the due rents, due to business difficulties he encountered, which claim was refuted by both the plaintiff and the first defendant.

In addition, he said the vehicle was grounded and that fact he made known to the owner of the vehicle. That was denied by the plaintiff and the first defendant. In what would appear as further defence, he stated that the vehicle had neither a road licence nor an insurance policy cover as a result of which it couldn't operate and this he reported to the owner, which was also denied. On the whole, he did not deny his indebtedness. He however contended that he could not be rightly ordered to return the vehicle to the owner because it was already with the owner through the owner's agent.

He brought in two witnesses to support his submission:

Mr Ramadhani M. Ahmed, a painter, told the court that, Mr Khamis (defence Witness DW2) and agent to Hassan Khatib Pandu the first defendant, gave him a car for painting, which he did and was paid by the said Mr Khamis. He asked that the car be taken away from his garage several times, all to no avail as the car still remains at his garage.

His second witness, police officer Kondo Hassan Kondo stated that he remembered that Mr Joseph, upon being brought before him (Kondo) at the police station, admitted his indebtedness and even came on about four occasions to make some payments even though he couldn't remember exactly how much he paid.

The learned magistrate couched the issues for determination as (1) In whose custody was the vehicle? (2) If there was any indebtedness, how much and to whom? (3) What are the remedies available? At the conclusion of the case he decided that; the second defendant hired the plaintiff's vehicle; he didn't pay the agreed rental even though he had promised to do so before the police; even if the vehicle had broken down, the defendant never brought this to the knowledge of the owner; that the defendant paid only the sum of TZS. 900 000 together with another sum of TZS. 100 000 which he paid in the police station and that the vehicle was still in the custody of the second defendant.

He consequently ordered that the second defendant should pay the sum of TZS. 9 000 000 being the rental from August 1996 to December, 1998 at the rate of TZS. 10 000 per day and that he should return the vehicle to the first defendant immediately.

The appellant filed 4 rounds of appeal, to wit:

(1) That the trial magistrate erred in law in not finding that the contract was frustrated from first January, 1998, for breach of fundamental terms of the contract by the respondents.

(2) That the trial magistrate erred in law and fact in not finding that the car was in the possession of the plaintiff through his agent and sub-agent.

(3) That the trial magistrate erred in law and fact in not finding that more then TZS. 350 000 was paid through the police to satisfy the debt.

(4) That the trial magistrate erred in law and fact in not giving weight to the fact that major repairs which are the responsibility of the car owner were paid by the hirer hence the need to set-off the costs thereof from the remainder of the debt.

Counsel for the appellant, Mr Mkonje, began with his first ground on the issue of fundamental breach, contending that having the car in good working condition and having it duly licenced and insured are pivotal to bringing a contract to fruition. He submitted that the vehicle had not had its road licence and vehicle insurance revalidated since December, 1996 and thus could not legally ply the road. He cited the Road Traffic Decree, Chapter 135, particularly sections 11, 12, 17, 24 and 34, and Motor Vehicle Insurance Third paty Risks, Chapter 136, Laws of Zanzibar, to support his contentions. The duty of renewal is the respondent's, he further contended.

"The car had no road licence, no insurance ... " he said, quoting from the testimony of Joseph Mniga, the appellant.

"The vehicle had no road licence nor insurance and hence it couldn't operate" he quoted Mniga further.

Further indications of this breach, according to Mkonje, was that the car was not roadworthy and needed major repairs, quoting the first defendant's testimony "the engine of its car also needed some services ... " and for any self-drive contract to be effective, operational, the vehicle must be in a moving condition.

His second ground of appeal was that the vehicle was in the possession of the plaintiff (and not the appellant) through his agents and sub-agents. Mkonje contended that perusing the testimony of Abass Fadhil Abass the plaintiff and first respondent here, from the Record of Proceedings. "Khamis was doing these on behalf of the first defendant. Mr Khatib Hassan was doing all these on my behalf because the said vehicle belonged to me". Further re-iterating this view was the testimony of Khamis Hassan Khatib on page 4 of the Record of Proceedings: " ... The second defendant told me that because he was busy, I had to find somebody who could service the car. I found the garage to service it. The car was welded and painted."

Mr Mkonje contended further that the magistrate's order that the car be immediately handed over to the first defendant could not be fulfilled because the car was taken to the mechanic by the defendant's (respondent herein) agent and the mechanic insisted that only the person who brought the car could collect it from him.

The third ground of appeal was to the effect that more than TZS. 350 000 was paid by the appellant to off-set the debt and the trial magistrate did not acknowledge and appropriately deduct same. Mr Mkonje's grouse here is that even though the magistrate in his judgment from the Record of Proceedings agreed that the sum of TZS. 900 000 and an additional sum of TZS. 100 000 was paid by the second defendant/appellant, he did not deduct the same from the total sum owed.

Mr Mkonje contended that his client also gave two tyres costing TZS. 90 000 to the plaintiff second respondent and this was duly admitted on page 3 of the Record of Proceedings. "Yes, the second defendant gave me 2 tyres costing about TZS. 90 000" by the plaintiff.

The appellant testified that he paid TZS. 250 000 and a further sum of TZS. 50 000 at the Madema Police Station, which Mr Mkonje contended was not controverted.

Relying on the evidence of police officer Kondo Hassan Kondo, " ... Mr Joseph came to me and accepted and admitted that he is indebted to Mr Khamis. He admitted to pay the amount. He came about four times, brought some money which I can't remember the exact amount. The paid money was given to Khamis Hassan", Mr Mkonje submitted that the trial magistrate should have made a finding on this, i.e. to state whether he believed or disbelieved this testimony.

Finally, Mr Mkonje contended that major repairs which are the responsibility of the car-owner were paid for by his client and this was not deducted from the balance of his client's indebtedness.

He therefore prayed the court that these costs which were not taken into consideration by the magistrate court be taken cognisance of. He noted that this contract being an oral one, most terms are implied with particular reference to the customs and usages governing vehicle hire and usages.

Mr Abass Fadhil Abass, the first respondent elected to represent himself. As far as he was concerned, he had stated all that he had to state at the Lower court and didn't have anything new to add. He had relied on the judgment of the Magistrate's Court which had ordered that he should be paid his entitlement and his car returned to him.

He said he received 2 tyres from the appellant whilst the money which the Anti-Corruption Unit of the police was supposed to give him hadn't been given to him. In addition, the money for the repairs of the car received by Khamis had not been given to him. He said the reason why the vehicle was being taken from one garage to the other was because the appellant wasn't willing to pay for the repairs. He insisted that the appeal was bad for effluxion of time.

Hassan Khatib Pandu, the second respondent, aligned himself with the testimony and arguments of the first respondent. He stated

that with his incapacitation (amputation) he left all the follow-up on this matter to Khamis. He was however, surprised to hear that he hired out a vehicle not in good condition. "How could I have hired out such a vehicle. The appellant used the vehicle for 3 months and paid for it. How could this have been possible if the vehicle was not in good condition?" He queried.

Responding to these, Mr Mkonje submitted that the appeal was not out of time, adding that Chapter 8 of Civil Procedure Decree stipulates a 90 day period for appeal. From the date of the pronouncement of the judgment, it ends on the 13 October, 1999 whilst if you count from the date of obtaining a copy of the judgment, it ends on the 13 November 1999.

On the issue of possession of the car, he re-emphasised that since the sub-agent draws his authority from the principal, the control of the vehicle was still with the Principal. He contended further that the car was initially in good condition but later on got grounded and thus couldn't be used and this, according to him, was further aggravated by the lack of licence and insurance.

I think it is only appropriate that I start with the issue of this appeal being bad for effluxion of time, being a preliminary and paramount issue upon which every other action of this court will be predicated. Mr Abass Fadhil Abass, the first respondent herein, has seriously contended that this appeal is out of time and should not be entertained by this court. As has been stated by counsel for the appellant, the schedule to Chapter 8 of the Civil Procedure Decree clearly stipulates that the period for an appeal to the High Court is 90 (ninety) days from the date of the order or decree. section 100(2) gives further clarification on how the computation should be done:

> In computing the period of limitations prescribed for an appeal, an application for leave to appeal and an application for a review of judgment, the day on which the judgment complained of was pronounced and the time requisite for obtaining a copy of the decree or order appealed from or sought to be reviewed, shall be excluded.

In the instant, case, as rightly canvassed by Mr Mkonje, if you count from the date of the pronouncement of the judgment, the 90 – day period ends on the 13 October 1999. Whilst if you count from the date of obtaining a copy of the judgment, the period ends on the 13 November 1999. This appeal is therefore clearly within time, and proceedings to enforce a right or claim damages or relief for the infringement of any right is procedurally right. Next is the equally important issue canvassed by the appellant that the trial magistrate erred in law by not finding that the contract was frustrated for breach of "fundamental terms" of the contract by the respondents.

A fundamental term is a term of even greater importance than a condition. It can be described as a term which constitutes the main purpose of the contract and failure to comply with it, is equivalent to not performing the contract. It entitles the injured party to repudiate the contract. Significantly, a party in breach of a fundamental term cannot escape liability by reliance on an exclusion clause, even where this exists. It was so held in *Karsales (Harrow) Ltd v. Wallis* (1).

What it means is that as a consequence of the guilty party's breach, the innocent party is entitled to treat himself as discharged from further liability to perform his yet unperformed obligations towards the guilty party. In the case *Photo Productions Ltd v. Securicor Transport Ltd* (2), Lord Diplock defined Fundamental Breach of Contract as "an event resulting from the failure of one party to perform a primary obligation which has the effect of depriving the other party of substantially the whole benefit which it was the intentions of the parties that he should obtain from the contract".

I would at this juncture like to adopt what I feel is a very apposite illustration of a fundamental term as espoused in the case, *Karsales (Harrow) Ltd v. Wallis* (*supra*), in which "W" agreed to buy a car under a hire-purchase agreement which included a clause "No condition or warranty that the vehicle is roadworthy or as to its age, condition or fitness for any purpose is given by the owner or implied herein". One night, the car was towed to W's house by the agent of the finance company and when W found it the next morning, parts of the car were missing, others were broken and it was incapable of self propulsion.

"W" refused to pay the instalments and was sued by the plaintiffs who relied on the exclusion clause to protect them from their obvious liability. It was held by the Court of Appeal that an exclusion clause could not protect them from a breach of the degree and gravity of a fundamental breach.

What this in essence means, is that where a breach is fundamental, even the existence of an exclusion clause that would normally or ordinarily exempt liability is inoperative.

Can it therefore be said in the instant case that there was a breach of fundamental terms consequencing in the frustration of the contract as claimed by the appellant here? In answer to this, I would ask further, was the vehicle supplied and was it self-propelling?

Mr Mkonje contended that "for a car to be fit for a self-drive contract, it must be in a moving condition. Such a car must move. The hirer's only obligation is for minor repairs. I strongly contend that this is a Fundamental Breach of Contract" he concluded.

In answer to the questions I posed earlier, I would be inclined to answer in the negative, ie that there was no fundamental breach consequenting in the frustration of the contract that would enable the appellant here discharge or be discharged of his contractual responsibility. The car was clearly fit for a "self drive contract" to borrow the appellant advocate's words. My view is borne out by the testimony of Hassan Khamis Pandu, the second respondent, when he said " ... I am surprised to hear today that I hired out a vehicle which was not in good condition. How could I have hired out such a vehicle? The appellant used the vehicle for 3 months and paid for it. How could this have been possible if the vehicle was not in good condition."

The appellant himself "corroborated" this in his testimony on page 6 of the Record of Proceedings where he said, " ... For the

first 3 months I paid the whole amount of money. The following two months, I had no work so it became hard for me to pay for the car ... " The reason he didn't/couldn't pay further was because he had no work and not because the vehicle didn't function. " ... because there was no work to do, I failed to pay even the office rent". The problem definitely was not the vehicle but the lack of work to do. Even on his subsequent assertion that the vehicle had mechanical problems, under cross-examination by the first defendant/second respondent here, Hassan Pandu, the appellant confirmed. " ... I never sent it back to you when it was grounded".

The second leg of his argument on breach of fundamental terms was that the vehicle was neither properly licenced nor did it have the Insurance Cover required by law. Mr Mkonje contended that by December, 1996, the road licence and insurance of the vehicle had expired and were not renewed and was thus not legally allowed to ply the roads. The duty of renewal of the insurance and licence lay on the respondent, he said, citing the Road Traffic Decree Chapter 135. He referred to the appellant's evidence on pages 6 and 11 where he said respectively "... the car had no road licence no insurance ... " And "the vehicle had no Road Licence nor Insurance and hence it couldn't operate."

Section 14 of the Road Traffic Decree Chapter 135 Laws of Zanzibar states that: "Any person who uses on a road a vehicle which does not comply with all the provisions of this part ... shall be guilty of an offence and shall be liable to a fine not exceeding five hundred shillings" While section 40 goes on to state "... and on each subsequent conviction, if the vehicle is a motor vehicle, to a fine not exceeding one thousand shillings".

These provisions generally refer to "any person" without categorising owner, hirer or driver. Section 5 of the Road Traffic (Subsidiary) regulations also puts it very clearly "No person shall use, or cause or permit to be used, on a road any vehicle to which these regulations apply unless there is in force in respect of that vehicle a valid licence

issued"; "if any person uses on a road, any motor vehicle or trailer for which a licence in not in force, he shall be guilty of an offence" states section 34(1) of the same regulations.

Similarly, the Motor Vehicle (Third paty Risks) Decree Chapter 136, talks of "any person." section 3(1) states that "Subject to the provisions of this Decree, it shall not be lawful for any person to use or to cause or permit any person to use a motor vehicle on a road unless there is in force in relation to the user of the vehicle by that person or that other person as the case may be, such a policy of insurance or such security in respect of third party risks as complies with the requirements of this Decree".

Section 3(2) states that "Any person who contravenes the provisions of this section shall be guilty of an offence and shall be liable to a fine not exceeding two thousand shillings or to an imprisonment for a term not exceeding six months or to both such fine and imprisonment".

The High Court of Tanzania in the case of *Republic v. Sebastian Ndomba* (3) dealt with this issue. The accused was convicted, *inter alia*, of causing a motor vehicle to be used on a road without a Certificate of Insurance and using a goods vehicle without Transport Licence. The trial magistrate, in a misrepresentation of a High Court decision, imposed lenient sentences and failed to comply with a mandatory requirement to disqualify the accused from holding or obtaining a driving licence for some period.

It was held:

(1) While the primary duty to have a policy of insurance for motor vehicles in respect of third parties lies with the owner of the motor vehicle, the law makes it unlawful for any body to use or to cause or permit any other person to use a motor vehicle on a road unless the motor vehicle has an Insurance or Third Party insurance cover.

(2) The consequence of driving a motor vehicle which has no Insurance Cover is equally borne by the owner or anybody in control of the

> motor vehicle and the driver of the motor vehicle irrespective of his status.

It therefore appears to me that the issue of licence and insurance does not afford the appellant a defence. At best, it is an "*in pari delicto*" situation i.e a situation of mutual fault or similar guilty by both parties.

The appellant's next ground of appeal was that the trial magistrate erred in law and fact in not finding that the car was in the plaintiff's (respondent herein) possession through his agent and sub-agent. Mr Mkonje referred to several testimonies in the Record of Proceedings to show that the vehicle was in the possession of the plaintiff. He quoted Mr Abass Fadil Abass, the plaintiff/respondent who said that "... Khamis was doing these on behalf of the first defendant. Mr Khatib Hassan was doing all these on my behalf because the said vehicle belonged to me" On page 3 of the Record of Proceedings. The statement of Mniga Joseph, the appellant/defendant was also quoted "... I instructed Khamis to service it and I would be responsible for the service charge. "Finally on page 7, Mr Mkonje referred to the testimony of DW2, Ramadhani Ahmed where he said " ... Mr Khamis told me to paint his car. I accepted it ... "

I have gone through the Record of Proceedings in my attempt to get who actually was in possession of the vehicle; the plaintiff (respondent) through his agents/sub-agents or the appellant. "Possession" ordinarily defined means "to have in one's actual and physical control; to detain and have exclusive control of; control, care and manage". Section 179 of Interpretations Section Chapter 149 Laws of Zanzibar, defines an agent as " ... a person employed to do any act for another or to represent another in dealings with third parties".

A sub-agent is defined by the same law as a person employed by and acting under the control of the original agent in the business of an agency.

Doubtlessly, Mr Hassan Khatib Pandu (the first defendant) appointed Mr Khamis to act on his behalf in this transaction as confirmed by

the testimony of the defendant appellant, Joseph Mniga "... He brought to me Mr Khamis to act on his behalf." He clearly introduced Mr Khamis as his agent. In the same vein, Mr Hassan Pandu second respondent herein was himself clearly an agent to the plaintiff/first respondent (herein) as confirmed by his testimony at page 3 of the Record of Proceedings, under cross-examination by Mr Mkonje;

> Mr Khatib Hassan was doing all these on my behalf because the said vehicle belonged to me.

Prior to this however, he said, in relationship to the car and the appellant herein:

> ... I refused to be given the said car for services. Mr Joseph gives that car to the mechanics to service. Mr Khamis took the said vehicle from Mkunazini garage ...

From this point, it appears the plaintiff/respondent had declined responsibility for servicing the vehicle and this had been passed over to Mr Joseph. This thinking is further re-inforced on page 4 of the Record of Proceeding I instructed the second defendant to service the motor car. The second defendant, (appellant herein) told me that because he was very busy, I had to find somebody who could service the car. I found the garage to service it. The car was welded and painted." This witness was clearly an agent of the second defendant, who was himself an agent of the plaintiff /respondent. On this particular assignment however, it appears as if Khamis Hassan was "assisting" (for want of a better word) the appellant, Mr Joseph to do what he (Hassan Khamis) thought/felt was Joseph's responsibility. Joseph himself (the appellant) confirms my thinking by his testimony on page 6 of the records "... I instructed Khamis to service it and I would be responsible for the service charge". Mr Khamis was now acting on the directions of Mr Joseph and it could be said that he was doing this in furtherance of the success of his own agency.

Learned advocate for the appellant recalled the testimony of Ramadhani Mohammed Ahmed, DW2, the mechanic, where he said "one day he came, Mr Khamis told me to paint his car. I took the said car from

Amani fresh to Amani Msikitini, he paid me the whole service price, I finished the work and informed him", and sought to conclude that Khamis being the plaintiff/respondent's sub-agent, the said Khamis was acting on his behalf.

I however tend to believe the appellant/defendant's direct testimony that "... I instructed Khamis to service it and I would be responsible for the service charge". In any event, the appellant/defendant's response under cross-examination by the second defendant said it all "I never sent it back to you when it was grounded".

The third ground canvassed by advocate Mkonje was that the trial magistrate erred in law and in fact in not finding that more than TZS. 350 000 were paid through the police to satisfy the debt whilst the fourth ground was to the effect that major repairs, which are the responsibility of the car owner were effected by the hirer and hence needs be off set from the remainder of the debt.I shall take both together because the prayer as a consequence of grounds 3 and 4 is for a declaration that the rental has been fully satisfied.

Going through the Record of Proceedings, it is incontrovertible and uncontroverted that some payments were effected/made by the appellant in the course of this transaction. Acknowledgement of this fact is recorded in the trial magistrates judgment, at page 10 of the Record of Proceedings. Mr Hassan Khatib's evidence as quoted by Mr Mkonje, confirmed receipt of TZS. 100 000 which he sent to the first defendant/second respondent " ... The second defendant managed to pay only TZS. 100 000 which I sent to the first defendant ... "

More significantly, the trial magistrate in his judgment on page 12 of the record of proceeding "...and paid only TZS. 900 000 (being the hire price from May, June and July. It was proved that he paid another TZS. 100 000 ... " Acceded to this contention. Additionally, the plaintiff/second respondent here agreed that he was given 2 tyres costing about TZS. 90 000 " ... yes, the second defendant gave me second tyres costing about TZS. 90 000 ...

Apart from these sums, the appellant contended that he paid a total of TZS. 250 000 to the respondent through the police at the Police Station and that the respondent was not averse to this arrangement. "I agreed with that idea of sending my money at Anti-Corruption ... " as stated in page 3 paragraph 1 of the Record of Proceedings.

Mr Mkonje contended that the trial magistrate made no finding on this, to state that he either believed or disbelieved. It is noteworthy that at page 10, of the Record of Proceedings, in his judgment, the trial magistrate noted the said payment of TZS. 250 000 at Anti-Corruption Unit, "the fact which was denied by the first defendant and the plaintiff," which apparently indicates his disbelief. From his judgment, "... It is not doubtful that the second defendant hired the said motor vehicle on May 1996 and paid only TZS. 900 000 being the hire-price from May, June and July, was proved that he paid another TZS. 1 million before the police station and never paid the remaining sum of money to-date". This, to me, indicates that he did not believe the alleged payment of the said sum and hence his non-reflection for reduction from whatever sum was owed by the appellant.

Similarly, it is contended that the cost of repairs paid for by the appellant ought be subtracted from debt owed by him as the responsibility for repairs was the owner's. It is the appellant's contention that these sums ought to be deducted from what ever sum the appellant is adjudged to be owing. It brings into focus the very important issue of the terms of the contract. It has been clearly stated that the only clear term of the agreement, which was itself oral, is the car rental which was an agreed sum of TZS. 10 000 per day. All other terms can only be inferred from the customs and laws governing vehicle hire, vehicle usage on the road, etc.

Unarguably, all contracts are entered into within the framework of established practices of a society. These practices are recognised as an integral part of a contract to which they relate without being specifically referred to as such; thus contract terms can be implied

JUDGMENT

(Delivered 25 January 2000)

Mackanja, J.: According to the general tenor of the evidence, it is common ground that the present geographical areas constituting Kyagala and Illopa Villages were at one time one village. The area now constituting the Kyangala village was largely pasture land and some parts were marshland. In those days, in the 1920's to be specific, only the Ilopa village was inhabited; its inhabitants were later allocated farms in Kyangala. With the passage of time Kyangala and Ilopa were created into two villages. The respondents inhabit Ilopa village while the plaintiff is the Chairman of the Kyangala Village Council.

The plaintiff lodged a civil action before the Mwaya Primary Court with a prayer that Ilopa villagers be declared to be trespassers in Kyangala Village and that they be evicted. Several witnesses were called by both sides but the truth seems to have emerged when the trial court visited the *locus in quo*.

The trial court observed that residents of the two villages had farms in Kyangala. It was further observed that the farm boundaries have been there for a long time. In fact the land is basically under paddy, with permanent crops such as palm trees and old mango which spot the various farms.

The findings of the trial court find favour with the testimony of Gasswell Mwakalukwa (SU3) who is the District Chairman of the Chama cha Mapinduzi in Kyela District. He got wind of a violent incident involving the warring villagers after some Kyangala villagers had accosted Ilopa villagers who have farms in Kyangala. The assailants having been reported to the hounds of justice, the matter was taken to court where they stood trial. He testified that people from Ilopa as well as those from Kyangala had long established land titles in Kyangala village, rights which they had inherited from their forefathers. He testified further that the area, the centre of the controversy, was once marshaland which had long since been reclaimed. Because he

knew the land well he called a joint meeting of the inhabitants of the two villages at which their differences were ironed out. As a result Kyangala villagers dropped the claim for exclusive rights over the land in their village; on their part Ilopa villagers dropped criminal charges against some Kyangala villagers after their land rights were recognized. It was after this reconciliation, and in disregard of what had been agreed upon, that the plaintiff brought this suit on behalf of the Kyangala Village Government against twenty-one Ilopa villagers who were alleged trespassers in his village. He lost the case in a unanimous decision of the trial court. He went on to lose the first appeal before the District Court of Kyela District. Undaunted he has preferred this appeal. Mr Naali, learned counsel, acts for him and Mr Mushokorwa, learned advocate, represents the respondents.

Mr Naali contends that the respondents trespassed on the suit land in abrogation of the vested interests enjoyed by the Kyangala villagers. It seems to be in that connection that learned counsel argues that the appellate District Court slipped into error when it upheld the finding of the trial court that the appellant had failed to prove his case. For it is learned counsel's view that there was sufficient preponderant evidence upon which the suit was proved. The invasion of the suit land, therefore disturbed well established rights which had been enjoyed by the Kyangala by the Kyangala villagers from 1965 until 1996 when the respondents trespassed on their land.

Mr Naali takes exception with the defence case which was based on the testimony of what he says was a single witness. Obviously there is no reason why time should be spent on this part of the argument because the Record of Proceedings shows clearly that three witnesses were called by the defence.

There is the issue of legal representation. Learned counsel contends that one of the most absurd situations in this case which the first appellate court overlooked is the order regarding a representative suit, especially the defence. He argues that it is not established that Donald Mwakalinga (SU1) obtained the consent of his co-defendants to be their legal representative, nor was there any application that

was filed and was allowed in that behalf. For 21 of the defendants offered no defence so that the testimony of SU1, standing alone, offended the law the consequence of which nullifies the proceedings before the two subordinate courts.

Mr Mushokorwa has also strenuously argued his case, citing several authorities in support of his submissions. By and large, he introduces no new ground. I will, therefore, cover his submissions as I consider the issues that Mr Naali raises in the Memorandum of Appeal. The first issue is whether the respondents are trespassers. It is my considered view, and I so hold, that this contention is untenable. For all indications are that it has been propagated without serious consideration of the evidence on record. I am sure the appellant would have achieved his mission in his attack on the defence if he had advanced grounds at the trial upon which the testimony of (SU3), the CCM District Chairman, could have been impeached. He never attempted it at the trial nor did he do so before the first appellate court. My examination of the record leaves no doubts that the findings of the trial, as well as the first appellate court are founded on strong evidence. It can be said that is is beyond reasonable controversy that indeed it was proved that the rights in the suit land date as far back as the forerunners of the residents of Kyangala and Ilopa villages, all of whom lived in one village. It was also established that Kyangala villagers and Ilopa villagers have their shambas with common borders. That this is so is clearly shown in the trial court's observations as contained in its report of what it saw when it visited the *locus in quo*. The two Lower courts were, therefore, correct in holdings that the respondents had good title to their parcels of land in Kyangala village. As such, a claim by which it is sought to extinguish such rights cannot find favour with the law.

Now Mr Naali submits as if Order 1, rules 8 and 12 of the Civil Procedure Code applied to the defence. That contention is untenable for the reason that the Civil Procedure Code, 1966, is not applicable to proceedings of a civil nature prosecuted in Primary Courts. As Mr Mushokorwa contents Order 1, rules 8 and 12 were cited out of

context. Such proceedings are governed by the Primary Courts Civil Procedure Rules which were made under section 65 of the Magistrate's Courts Act 1963, and which were published as Government Notice Number 310 of 1964. These rules do not make provision for a representative suit. However, where a plaintiff impleads more defendants than one as is the case here, rule 26(1) of those rules provides that:

> (1) Where there are more defendants than one who have been duly served, and one or more of them appear, the hearing shall proceed and the court shall, at the time of giving its decision, make such order as it thinks fit to the defendant who did not appear...

The law is quite clear. It follows that even if SU1 alone had testified, no law would have been breached as contended by Mr Naali. Instead the contrary would have applied if, without sufficient cause, the trial Primary Court had failed to proceed with the trial once it was satisfied that, although only one of the defendants appeared, all of them were duly served. Again this contention would fail. Upon the above considerations the appeal fails and it is dismissed with costs.

LAMSHORE LIMITED AND J.S. KINYANJUI v. K.U.D.K.

HIGH COURT OF ZANZIBAR
AT VUGA

(Kannonyele, J.)

CIVIL CASE No. 13 OF 1994

Contract – Privity of contract – Second plaintiff a shareholder and signatory for and on behalf of first plaintiff company – Whether second plaintiff can sue on the contract in his own name.

International trade – Letters of credit – Opening letters of credit by buyer a condition precedent to seller's taking any step – International sales law.

International sales law – Letters of credit – Opening letters of credit by buyer a condition precedent to seller's taking any step.

International sales law – Proforma invoice – Whether proforma invoice is evidence of purchase of goods.

Arbitration – Arbitration instigated by defendant – Arbitration aborts – Plaintiff incurs costs on the abortive arbitration – Whether such costs recoverable from defendant.

Contract – Damages – Expectation loss – Whether expectation loss is recoverable.

The plaintiff and the defendant entered into an agreement under which the plaintiff was to supply 5 000 metric tons of wheat flour and 3 000 metric tons of sugar. Clause 5.1 of the agreement required the defendant to open letters of credit with the central bank or any internationally recognized bank. The defendant did not open the letters of credit as required. Consequently the sales transaction aborted. However, the plaintiff argued that he had bought the subject goods and produced a *pro forma* invoice as evidence. The plaintiff sued the defendant for breach of contract and claimed damages in the sum of USD 700 000. The agreement contained an Arbitration Clause and the defendant insisted on referring the matter. However, the arbitration aborted after the plaintiff had incurred KSH 767 196-95 for it. The plaintiff claimed recovery of the money incurred on the abortive arbitration from the defendant. The first plaintiff, an offshore company, was all the time acting through one Kinyanjui, who appeared as the second plaintiff. The court considered, *inter alia*, whether Kinyanjui could sue on the contract in his own name, whether there was a breach of the international contract of sale of goods, and damages the innocent party was entitled.

Held: (i) Since it is the first plaintiff company, a legal entity, that entered into the contract with the defendant, the second plaintiff, notwithstanding that he was the sole signatory for and behalf of the first plaintiff, cannot in his own personal capacity sue on the contract in his own name because in that capacity he has no cause of action against the defendant;

(ii) The plaintiff had not actually secured or purchased the foodstuffs but that they had made advanced preparations towards their purchase and that these preparations were necessary;

(iii) Since the defendant had not opened letters of credit, the plaintiffs need not have purchased the commodities;

(iv) Following the defendant's breach and non-performance of an essential part of the agreement, the plaintiff company with its agents would under the circumstances be entitled to a fair compensatory amount of damages;

(v) The plaintiff is entitled to expectation loss of profit amounting to USD 430 000 in addition to overhead costs incurred in the course of fulfilling the contract; Since, but for the defendant's instigation, the plaintiff would not have paid fees for the abortive arbitration; the plaintiff is entitled to recover this loss to be embodied in the Principal Decree of the court.

Order accordingly

Cases referred to:

(1) *Solomon v. A. Solomon and Company Ltd* [1897] AC 22

(2) *W J Allan and Company Ltd v. El Nasr Export and Import Company* [1972] 2 QB 189; [1972] 2 All ER 122

(3) *Hadley v. Baxendale* (1854) 9 Exch 341

(4) *Victoria Laundry (Windsor) Ltd v. Newman Industries Ltd* [1949] 2 KB 540

Dr Lamwai, for the Plaintiffs

Mr Saleh, for the Defendant

JUDGMENT

(Delivered 31 January 2000)

Kannonyele, J.: The first plaintiff, a limited liability company, and a natural person (second plaintiff) filed the suit claiming a principal

amount of USD 700 000 being damages for breach of contract by the defendant, a public corporation operating as a trading company. The plaintiffs have also claimed interest at the bank rate on the principal amount from the date of the contract up to date of judgment and also interest at the court's rate on the decretal amount from date of judgment up to full payment. There is also the usual prayers for costs of the suit and any other relief's as the court may deem proper.

The defendant Bizanje KUDK, initially came up with four Preliminary Objections to the said. However, three of these were latter withdrawn and the fourth one, otherwise the first in the series which alleged that the plaintiff company was fictitious to render the contract void *ab initio* and therefore unsustainable, was overruled by the court.

In its written statement of defence, the defendant contests the claim first on the basis that the plaintiff company was fictitious thereby rendering the contract void and therefore unsustainable *ab initio*. The claim is also contested on the contention that the plaintiff had incurred no expenses in honour of the contract when and if the same is held sustainable. Also the claim is challenged on account of non-compliance of other terms of the contract which article 2.3 is prominent which provides that commodities must be inspected at the port of loading by one SGS who will then issue a certificate as to quality and quantity of goods apparently before they are loaded.

When the matter first came up for hearing, five of what would otherwise have been issues were set up as unopposed. They are as follows:

1. That, the contract existed between the parties under which the plaintiffs, would have supplied to the defendant some 3 000 metric tonnes of standard sugar and 5 000 metric tonnes of wheat backing flour.
2. That, terms of the contract were as per Memorandum of Agreement annexed to the plaint (Exhibit D at stage of application for stap of suit in preference for arbitration alias exhibit P1 at the stage of the trial itself).

3. That the foodstuffs as per contract were not delivered by the plaintiffs to the defendant.
4. That, upon filing the suit the defendant moved the court to order reference of the to submit to arbitration as provided under the contract (article 9.).
5. That, the original consensus by the parties on reference of the matter for arbitration notwithstanding, the defendant subsequently backed down due to lack of funds with which to pay arbitration fees.

This virtually left us with four contested issues re-numbered from the original three as follows:

1. Whether the plaintiffs secured the foodstuffs in honour of the contract and, if so, at what expense.
2. Whether it was necessary for the plaintiff to comply with article 2.3 of the contract before letters of credit were opened in their favour by the defendant.
3. Whether letters of credit were opened by the defendant.
4. To what reliefs are the parties entitled?

As I have hinted above, the issues have been re-numbered so that the present third issue is supplementary and is what was originally the third of the proposed unopposed issues, so re-numbered after the defendant's counsel expressed his resistence to it. Hence what was originally agreed as the third issue is now the fourth in the list above.

In the final submissions, however, the defendant's attorney has categorically stated that after examining the evidence, the defendant will only address the first and the (original) third (now re-numbered fourth) issue, finding that the second issue and, by inference, the re-numbered third issue (*supra*) as well (as to whether letters of credit were opened) to be inconsequental. By the same force of logic, this judgment is written with the court addressing its mind only to the first and the original third (now re-numbered fourth)

by practices and usages of a trade. Consequently, a contract may be subject to terms that are sanctioned by custom although such terms have not been expressly mentioned in the contract.

The appellant is contending under this principle. How does it operate? This principle and its *modus operandi* were enunciated in the case, *Hutton v. Warren* (4) at 475 by Park B:

> It has long been settled, that in Commercial Transactions, extrinsic evidence of custom and usage is admissible to annex incidents to written contracts, in matters with respect to which they are silent. The same rule has been applied to contracts in other transactions of life, in which known usages have been established and prevailed; and this has been done upon the principle of presumption that in such transactions the parties did not mean to express in writing the whole of the contract by which they intended to be bound, but to contract with reference to those known usages.

The usage or custom however must be so well established and notorious that both parties to the contract are either familiar with it or must be presumed to be familiar with it. It is therefore, trite law that in the instant case, implied terms and more particularly, trade usages, must govern the transaction, being an unwritten one.

What then are the trade usages in the instant case? What repairs were undertaken by the appellant? Does servicing of a vehicle amount to "repairing" it for the purposes of this kind of contract? The appellant clearly testified that "I instructed Khamis to service it and I would be responsible for the service charge" on page 6 of the record of Proceedings.

On page 3 of the records, the first respondent/plaintiff stated that "... The second defendant (appellant here) supposed to service the said vehicle. I refused to be given the said car for service. Mr Joseph (appellant) has given that car to the mechanic to service".

More illuminating to me on this issue is the testimony of Khamis Hassan (DW2) on page 4 of the Record of Proceedings "... I instructed the second defendant to service the motor car. The second defendant

told me that because he was very busy I had to find somebody who could service the car. I found the garage to service it. The car was welded and painted". Even under cross-examination by the appellant's counsel; while conceding that he was not present when the agreement was entered into by the parties, he was emphatic in his testimony, "... Yes the second defendant agreed to pay for the service. No, the service charge was not part of the car hire price". It would appear to me that the responsibility for servicing the vehicle was that of the appellant herein (i.e. the hirer of the vehicle) from the aforestated testimonies.

Apart from the issue of servicing the vehicle, which on the preponderance of evidence and custom of the profession the burden is laid on the appellant, I see no clear evidence of expenses for repairs undertaken by the appellant which ought to have been borne by the respondents. That may account for the trial magistrate not dwelling on the issue.

I hold that no evidence of the purported payment made by the appellant has been manifested and thus the issue of an off-set from debt of the appellant does not arise. As I earlier stated, I would take grounds 3 and 4 together, since the intended effect is to reduce the appellants expenses from his indebtedness to the respondents. I agree with the appellant that the sums adjudged to have been paid by him ought to be subtracted from what he is owing.

From the Record of Proceedings and particularly from the trial magistrate's judgment on page 12, where it is stated:

> therefore it is not doubtful that the second defendant hired the said motor vehicle on May 1996 and paid only TZS. 900 000 (being the hire price from May, June and July). It was proved that he paid another TZS. 100 000 before the Police Station and never paid the remaining sum of money to date.

These sums should necessarily have been subtracted by the trial magistrate after the afore-quoted finding.

Additionally, the plaintiff/second respondent here agreed that he was given 2 tyres costing about TZS. 90 000, "... Yes the second defendant gave me 2 tyres costing about TZS. 90 000." I hold that these sums TZS. 100 000 + 90,000 TZS. (190 000) be substrated from the total sum owed by the appellant.

Save this, I see no grounds to tamper with the judgment of the trial magistrate and I consequently uphold the judgment of the trial magistrate

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CHAIRMAN OF KYANGALA VILLAGE *v.* MOSES S/O MWAMALALA AND 21 OTHERS

HIGH COURT OF TANZANIA
AT MBEYA

(Mackanja, J.)

(PC) CIVIL APPEAL No. 8 OF 1999

Civil Practice and Procedure – Representative suit – Whether the statutory provisions for a representative suit apply to the defence – Order I rules 8 and 12 of the Civil Procedure Code 1966.

Civil Practice and Procedure – Representative suit – Law governing proceedings of a civil nature in Primary Courts – Whether that law makes provision for representative suits – Primary Courts Civil Procedure Rules 1964, Government Notice Number 310 of 1964.

Civil Practice and Procedure – Primary Courts – Civil proceedings in Primary Courts – Non-appearance by co-defendants at the hearing – Consequences of such non appearance – Rule 26(1) of the Primary Courts Civil Procedure Rules G.N. 310 of 1964.

The appellant instituted a suit in the Primary Court and lost. His appeal to the District Court was also unsuccessful and he appealed further to the High Court. At the trial, only one out of the 22 defendants gave evidence and on appeal to the High Court it was argued for the appellant that the courts below were wrong to find for the 22 defendants while 21 of them had offered no defence and the first defendant who gave evidence had not obtained or applied for an order to act as legal representative of his co-defendants.

Held: (i) The provisions of Order I, rules 8 and 12 of the Civil Procedure Code 1966 relating to representative suits do not apply to the defence and the Civil Procedure Code 1966 does not apply to proceedings in Primary Courts;

(ii) Civil proceedings in Primary Courts are governed by the Primary Courts Civil Procedure Rules 1964, G.N. 310 of 1964 which make no provision for representative suits;

(iii) According to rule 26(1) of the Primary Courts Civil Procedure Rules 1964, when only one or some of many co-defendants appear at the hearing, the case may proceed to conclusion and the court shall make such order as it thinks fit, provided that all the defendants were served;

(iv) As all the defendants had been served in this case, the trial court committed no error.

Appeal dismissed

Statutory provisions referred to:

(1) Civil Procedure Code 1966, Order I, rules 8 and 12

(2) Primary Courts Civil Procedure Rules 1964, rule 26(1)

Mr Naali, for the Appellant

Mr Mushokorwa, for the Respondents:

issue in that by inference, the re-numbered third issue is apparently abandoned also as of no consequence or else now also conceded by the defence. This is notwithstanding that in his submissions, Dr Lamwai for the plaintiff has, on the other hand, insisted that "the second issue as reproduced ... is the most crucial issue as this will enlighten the court as to the question of breach and the parties' responsibility thereto".

James Samwel Kinyanjui (PW1) was the sole witness for the plaintiffs in this case. As ably submitted, facts of the suit are well articulated in the pleadings and evidence of both parties. Briefly stated, the pleadings and the evidence indicated that Lamshore Ltd, the first plaintiff, is a company which, according to Kinyanjui the second plaintiff, is registered in England with offices at Geneva in Switzerland and at Nairobi, Kenya. Bizanje K.U.D.K., the defendant, is a public corporation established under the Public Corporation Decree 1978. Lamshore and Bizanje entered into contract Exhibit PI (*supra*) on 6 January 1993. James Samwel Kinyanjui the second plaintiff was signatory to the said agreement for and on behalf of Lamshore Ltd He and another anonymous person had interests (holding shares) in the said company. He also attended to the affairs of the company in East Africa conducting its business from Tubman Road, PO Box 48349, Nairobi.

Under the agreement, Lamshore Ltd, the first plaintiff, was to supply to the defendant some 5 000 metric tonnes of wheat flour and 3 000 metric tonnes of sugar. Article 2.3 of the memorandum of agreement provided that consignment of both commodities must be inspected by one SGS at the port of loading and a certificate issued as to quality and quantity. On the other hand, article 5.1 provided that the defendant was to open with the Central Bank, or any internationally recognized bank, Letters of Credit in favour of the plaintiff guaranteeing payment in full within 60 days after the date of the Bill of Lading. The defendant never opened the Letters of Credit despite constant reminders from the plaintiffs. Exhibits P2 through 6 and P9 are testimony

to this. However, Kinyanjui claimed that he had since obtained credit facility for supply of the commodities and that he had duly purchased the foodstuffs and that same were ready for loading and delivery to the defendants but for the failure by the latter to open the Letters of credit as provided under the agreement. PWI produced *pro forma* invoices NR 673 and 674 (Exhibit P11) as evidence of purchase of the commodities. Under the circumstances, Kinyanjui PW1 claimed he has suffered loss both in the form of "interest accruing" from the credit facility which carried interest with it and also loss of expected profit from the business and other collateral expenses attendant in servicing the credit facility including business trips to and from abroad and Zanzibar respectively, all this due to the defendant's breach of the contract. He has therefore filed the suit claiming damages for the loss suffered with interest plus costs of the suit. The total principal amount claimed is USD 700 000.

Apart from the credit facility and the collateral expenses as stated above, the plaintiffs have, during the proceedings, also asked the court to order for reimbursement to them of the sum of TZS. 5 894 123-05 being an amount paid to an arbitrator at the instance of the defendant who had asked the court to refer the matter to an arbitrator as provided under the agreement. That is TZS. 5 8944 123-05 being half of the total fees payable to the arbitrator, the other half supposed to have been the liability of the other party to the suit, the defendant that is, which, however, the latter never paid. Hence the collapse of the proposed arbitration proceedings, also at the non-performance by the defendant of his legal obligation in accordance with the agreement. The plaintiffs through their sole witness claim for a refund to them of what they paid to the arbitrator.

Except for the actual expenditure of cash in purchasing the commodities which the defence contend was not actually incurred, the rest of the case for the plaintiffs is not disputed by the defence. Hence the contract is acknowledged just as is conceded that the defence were required to open Letters of Credit with the People's

Bank of Zanzibar (PBZ) which, however, was not complied with, allegedly because nor permission was obtained so to do from the parent Ministry namely, the Ministry of Trade, Industry and Marketing. It seemed apparent that there was change of heart by the Government by which it was no longer willing to involve itself in business credit transactions.

Salum Khamis Nassor (DW1) who was the defendants Acting General Manager during the material time (between August 1992 and May 1994) denied having been notified of the plaintiffs having duly purchased the commodities and of their being ready for delivery. As for the *pro forma* invoices Exhibit PH, Salum DWI contended they are no evidence of sale and delivery of the goods stated but a mere offer of a proposed sale and terms therefor. He contended that a party issued with a *pro forma* invoice is not bound to purchase the goods therein. The defence witness stated that they duly warned the plaintiffs that the contract could be frustrated because of the Government's new stand refusing credit transactions and they had proposed that in such event the contract be discharged. However, Salum DWI acknowledged the existence of a letter from the Ministry of Finance granting them leave to order wheat flour from the Ministry undertaking there through to pay in foreign currency. Refer annexe K2 to the written statement of the defence. The witness stated that the Ministry of Finance is final in respect of foreign exchange but that foreign trade finality was vested in the Ministry of Trade *et al.* (*supra*).

In his evidence, Salum DW1 admitted that in the circumstances as they obtained, it was not only possible but also reasonable that a dealer, the plaintiffs that is, should ensure not only ready availability but also keep an adequate stock of the goods ready for supply and delivery as and when required. Hence existence of another contract with a third party (for supply of the goods) was conceded to be not a remote possibility. The witness concluded his evidence with a strange statement in re-examination by his attorney that, in actual fact, it

was the Ministry of Trade, the parent Ministry of the defendant which negotiated the contract and that the defendant was only required to sign a ready - made contract, which they obliged, to buy the goods from abroad for on behalf of the Ministry.

The defendant's attorney who is the Deputy Attorney General had intimated the intention to call as a witness the Principal Secretary of the parent Ministry to strengthen their case. They latter forewent the intention so to do when it became apparent that the witness was not going to appear even after protracted adjournments to ensure his attendance.

I begin with the second defendant's connection in this matter. James Samwel Kinyanjui is not party to the contract Exhibit PI which gives rise to the contractual relations the subject of these proceedings. He was a mere signatory for and on behalf of Lamshore Ltd., the I SI plaintiff company who is the other sole party to the contract other than the defendant. In his evidence, James PWI stated that he was involved in the contract and in the subsequent transactions the subject of the proceedings being a minority shareholder of Lamshore Ltd., who, a part from his proprietary interests as such, he was also the one attending to the affairs of Lamshore in East Africa. James was neither an employee, say a director or anything of the like in the first plaintiff company. Nor was he an appointed agent of the company as such except for his stated proprietary interests therein. But for the fact that James second defendant was the sole signatory for and on behalf of Lamshore Ltd., therefore, then in relation to the contract, James would have been a non-entity therein. For, being a registered company which at this stage is no longer an issue, the first plaintiff company is a legal personality with its own entity apart from its owners, say its shareholders. In this respect it is said that:

> The company attains maturity on its birth. There is no period of minority - no interval of incapacity ... *The company is at law a different person altogether from the subscribers to the memorandum;* and, although it may be that after incorporation the business is precisely the same as it

> was before, and the same persons are managers, and the same hands receive the profits, the company is not in law the agent of the subscribers or trustee for them. Nor are the subscribers as members liable, in any shape of form, except to the extent and in the manner provided by the Act. *Solomon v. A Solomon and Company Ltd* [1897] AC 22. [emphasis supplied]

The law being thus stated as in *Solomon's case (1)*, it is evident that James, the second plaintiff cannot, in his own personal capacity, sue on the contract because in that capacity he has no cause of action against the defendant, the fact that he was the sole signatory for and on behalf of Lamshore Ltd., notwithstanding. If at all, he could succeed in an action against Lamshore in whose interests he acted as its agent to the extent he claims that he did. But he personally cannot succeed against the defendant in that as between the, there simply is no contractual relation and, therefore, no cause of action. *Solomon's case* is applied *mutatis mutandis* here.

I quite realise that the foregoing holding is somewhat a departure from what I earlier observed in passing when I made my ruling on the Preliminary Objection alleging that the first plaintiff was legally non-existent. It will be recalled that the objection as to that effect was based on an implied misrepresentation or non-disclosure of proper address of the company's registered office abroad in England and or Switzerland. With regard to England, the basis of the objection was an alleged failure by the defendants to confirm the company's registration there. The court held that the defendants who alleged non-registration of the company in England had failed to discharge their burden duty of certification *pro tanto* from the home office or any other competent legal authority in the United Kingdom. As for Switzerland, the court held first, that there was no intentional and, therefore, fraudulent withholding, concealment and or misrepresentation of the proper address of the plaintiff company in Geneva simply on ground of an omission of the street number in the address as provided in the agreement itself whereas in subsequent

letters addressed by the plaintiff to the defendant (vide Exhibits P5 and 6) they were stamped at the bottom the plaintiffs full address in general which included also the street number "12 Chemin Rev" which was omitted in the address given in the agreement itself. Had the omission been calculated, the plaintiff would not have subsequently stamped the full address in those subsequent correspondence receipt of which the defendant acknowledged. Yes there was the omission but an inadvertent one and therefore incapable of invalidating the agreement by itself alone. It was the street number which was omitted in the plaintiff letter to Geneva which is alleged to have been returned. Dr Lamwai argued that it was because of that omission of the street number in Geneva that the letter was returned undelivered. Secondly, it was held that non-delivery and return of the letter as alleged was not, legally, proved by any admissible evidence where only photocopies of the envelope of the allegedly returned letter was produced in court without any satisfactory explanation the failure to produce the original envelope itself.

All in all it will be seen evident that the observation in passing that the second plaintiff was competent to sue in his own merit was cursorily made upon consideration only of whether the first plaintiff company, Lamshore Ltd., was or was not legally existent; a hoax or fictitious company. It was a decision in passing not based on whether or not there were contractual relations and a cause of action between the defendant and the second plaintiff, Kinyanjui. Now, after proper reflection of the law, I am satisfied that there existed no contractual relations between the two and, therefore no cause of action and *Solomon v. Solomon Ltd (1)* is here applied *mutatis mutandis*. Hence Kinyanjui could not sue on his own as such an individual and if he were the only party to the suit, the same would and now be dismissed as incompetent for want of a cause of action.

I will now consider the issue as re-numbered (*supra*). I will, for the sake of convenience, begin with the third of the issues as re-numbered. That is whether letters of credit were opened by the defendant.

As indicated earlier, this was retained as such as issue after a proposal by the plaintiffs counsel that the same be treated as unopposed was met with resistence by the defendant's attorney. Although the attorney had thus resisted the plaintiffs' counsel's proposal, he, the defendant's attorney, must latter have realised the weakness of his resistence as to that effect. There is clear admission by the defence that no letters of credit were opened by them at any bank allegedly because the Ministry of Trade *et al* had not permitted it, although the Ministry of Finance did so. I need not waste more time on this which is established by admission and conceded by both parties. The third of the re-numbered issues is therefore answered in the affirmative.

The first issue is whether (Kinyanjui) for the first plaintiff company secured the foodstuffs and if so, at what price. James, PW1, claimed that he purchased the foodstuffs by credit facility with one CFCF and he produced two *pro forma* invoices Exhibit PII for wheat flour (5000 MT (hope fully for metric tonnes) and sugar (3 000 MT) respectively at USD 1 300 000 and 1035 000 (thus to a total of USD 2 335 million. He claimed he would have sold the commodities at a total profit of USD 430 000. He denied having obtained or arranged for any other credit facility say, for example, the obligation to open Letter of Credit in favour of the creditors. He stated however, that the creditors were to charge him interest in the event of delayed payment for the order. Accordingly, he admitted there having been opened no letter of credit in that regard.

In the *pro forma* invoices (Exhibit PII) at the bottom thereof, there is entry to the effect that "Payment by Letter of Credit Irrevocable and Confirmed by a first class bank in Switzerland at 360 Days B/L. The Letter of Credit must be opened at latest 15 February 1993."

Kinyanjui claimed that he had duly paid for the consignment but, as stated earlier, there is no evidence of there having been opened any letter of credit in that regard. There is indeed no evidence of payment for the consignment other than the *pro forma* invoices. But Kinyanjui claimed that the creditors always telephoned him demanding

payment of the principal amount with interest for goods secured and that he had since paid therefore only to be let down by the defendant's breach of the agreement.

Against that background, however, the defendant's attorney has, in his written submission, argued with force that there is not only no evidence of payment made for the goods delivered but that evidence of delivery itself is also lacking. It is therefore contended by the defence that in fact no purchase of goods was made at all and that the plaintiff only wants to take unjustified advantage of the defendant's breach of the agreement. It is therefore the defence contention that if any damages at all, it is only nominal damages only. No more. Defence counsel also hinted that as proof that the claim is unjustifiably inflated is the difference between what is listed and hinted as a fair claim as per Exhibit P6 and the alleged credit which is finally claimed in the suit. The defence counsel queries why if it is true that there was a genuine claim for the credit facility then why the same was not mentioned in Exhibit P6.

In this case there is no doubt that the defendant indeed breached the contract which they entered with the plaintiff. Other than their failure to open the letter of credit, the defence have not advanced any good evidence to justify the breach. Under these circumstances, a claim placed at the door of the defendant would be quite justified subject to the proof of the damages or actual loss suffered by the plaintiff. In this case, however the only evidence to support this is only the *pro forma* invoices apart from Kinyanjui's word of mouth. There is no other evidence to prove delivery of the goods from CFCF to the plaintiff nor do we have evidence of payment of cash to the suppliers (CFCF) in settlement of the consignment. I have been invited by the plaintiffs to accept that the *pro forma* invoice is sufficient evidence of payment and discharge of expenditure on their part but the defence have asked me to hold the contrary view.

On my part, I would have been willing to accept that the *pro forma* invoices constituted evidence of incurring the expenses by the plaintiff

but for the fact that there is indeed lacking evidence to support this view. For the *pro forma* invoice is indeed no such evidence of payment or any form of actually incurring the expenses. Rather, it is a mere offer only and no more. It is a matter of meaning and usage of words as I know and understand them. Unfortunately I have failed to get an adequate legal interpretation of what a "*pro forma* invoice" actually means. However, **A Concise Law Dictionary.** (5 ed) (1964) by PG Osborn gives the phrase *"pro forma"* to mean "as a matter of form" whereas "*pro forma* invoice" or simply "*pro forma*" under **The Chambers 21 Century Dictionary** 1997 means "An Invoice sent in advance of goods ordered; an official form for completion"; another author A.S. Hornby in **Oxford Advanced Learner's Dictionary,** (5 ed) (tenth Impression (1997) provides "pro forma" as to mean "An invoice that gives details of goods being sent and is usually sent to the customer in advance of the goods themselves, characteristic of all these definitions is an element of future delivery of the goods after notification of the consignment with the *pro forma* invoice being sort of the notification itself or sort of an offer to sell the specified goods at a stated price. I loath to take this much less to accept it as evidence of actual payment or the incurring of expenses in settlement of the stated price of the goods by the offence who in this case would be the plaintiffs. If that it be then I would expect more evidence to support or prove the payment, say by production of receipts or bank statement or any other form of such proof to confirm the expenditure. Evidence of having opened Letters of Credit as per exhibits PII would also suffice to provide such evidence. In the absence of such evidence I hesitate to accept there was actual expenditure of the amount as stated by the plaintiff. This is not to say that in the process the party will have suffered no expenses at all in the pursuance of necessary preparations to secure the goods and keep them ready for the actual purchase including collection and their delivery as and when required and due. However, in the absence of further and additional evidence to prove actual expenditure of such enormous amount as alleged by the plaintiffs, I really hesitate to accept there was indeed such staggering expenditure.

Here it is said that only demands and reminders were being made by telephone without any further material evidence to prove the alleged expenditure. I loath to base a finding against the defendant for such a colossal amount on such flimsy evidence as I consider it to be. I must emphasize that I concede the plaintiffs must and will definitely have incurred some expenses in the preparatory transactions for the purchase. What I do not accept as true is that such preparations will have costed as much money as is claimed by the plaintiffs nor did such preparatory expenses amount to full payment of the stated purchase price of the good as invoiced in the *pro forma.* I therefore respectfully concur with the defendant's attorney that the question is how nominal will such expenses have been but definitely not as much as claimed. I will answer this latter question when I deal with the last of the issues as re-numbered (*supra*). For an answer to the first of the issues on the series however, it can only be briefly stated that the plaintiffs had not actually secured or purchased the food stuff but that they had made advanced preparations towards their purchase and that these preparations will necessarily.

The second of the issues as re-numbered asks whether it was necessary for the plaintiff to comply with article 2.3 of the contract before letters of credit were opened in their favour by the defendant. I will try to be brief on this, going straight into principles of law as the authorities have held it hitherto. Before I do so, however, it is important to internalise what the said article 2.3 of the agreement itself provides. The article provides as follows namely, that:

> 2.3 Consignment of both commodities must be inspected by SGS at the port of loading and certificate issues as to quality and quantity.

Apparently this presupposes prior purchase of the commodities by the supplier unless he was growing them himself. In evidence, it was stated that the plaintiff does not produce the commodities himself. It is therefore definite that he had to purchase them from another source before hand so as to be able to supply them in time when required to do so. At least he had to make prior arrangements to

ensure their availability when due for delivery. So the issue and the question to ask here was actually whether it was necessary for the plaintiffs to purchase the commodities before letters of credit were opened in their favour by the defendant, for unless the commodities were duly purchased and available for delivery as and when required, the question of their inspection and certification as to quality and quantity at port of loading did not arise.

As to order of performance under the law however, the authorities have held that:

> In international sales (such as is the case here), buyers often commercial credit and here it is clear that the seller need take no steps until the buyer has arranged for the opening of credit in conformity with the contract. See *WJ Alan and Company Ltd v. El Nasr Export and Import Company* [1972] 2 QB 189; [1972] 2 All ER 122; Cheshire Fifoot and Furmston: **Law of Contract**, (2 ed) (1995 Reprint) at page 528. See also Avtar Singh: **Law of Contract,** (3 ed) (1980) illustrations (b) and (c) at pages 227 and 228 respectively. Finally, see also the Contract Decree (Chapter149) section 52.

In the instant case, the defendant had not opened the Letter of Credit. Hence according to the principle as enunciated by the authorities, the plaintiffs need not have purchased the commodities as alleged in view of the fact that the defendant had not opened the Letter of Credit. The second of the issues in the series as re-numbered is therefore answered in the negative.

Now the reliefs. James Samwel Kinyanjui, the second plaintiff, has since been eliminated to claim any relief in his' own personal capacity in this suit. He was not nor is he now a party to the agreement which gives rise to the contractual relations the subject of the proceedings except for the fact that he was the sole signatory natural person who signed for Lamshore Ltd., the first plaintiff company in this case. This representative position does not, without more qualify him in his own personal capacity to claim anything on the agreement to which he was not a party. He cannot, therefore, in that personal

capacity, recover anything under the contract to which he was not a party with the defendant on the other side. He is a non-entity under the contract in his own individual capacity as such. He may, if he wants, recover from Lamshore the first plaintiff company which he represented at the signing of the contract and for which he had incurred what ever expenses as he asserts in conformity with the contract. Indeed, I need not overstretch on this having conclusively dealt with it earlier in this judgment. Suffices only to state here briefly that in his own individual capacity, James Samwel Kinyanjui is not entitled to recover anything under the contract. *Solomon v. A Solomon and Company Ltd* (*1*) followed *mutatis mutandis*.

The position is different in relation to Lamshore Ltd., the first plaintiff company. The company is the other party to the agreement with the defendant. James Samwel Kinyanjui represented the company at the signing of the agreement and has testified as the sole witness for the plaintiffs at the hearing of this proceeding. His position may not have been clarified at the signing of the contract. In his evidence at the hearing of the suit, however, James said that he is a minority shareholder in the company Lamshore Ltd as well as being its sole representative and attendant of company's affairs in East Africa. Kinyanjui, PW1, is therefore an interested person in the company's affairs both as a minority shareholder as well as being its agent albeit informally so as it seems to be. In that position his interest is unquestionable.

In his evidence, Kinyanjui testified that he had made advanced preparations in conformity with the contract. He said this included securing *pro forma* invoices for the goods as well as arranging for credit facilities with a financier including, further arrangements for the opening of letters of credit with the later. Some of these arrangements and transactions included and necessitated traveling, making errands abroad. They are, therefore, transactions which necessarily involved some and actual financial expenditure notwithstanding that he fell short of proving the actual expenses, expenditure in such administrative preparatory transactions in conformity with a signed agreement cannot be again said to have been remote nor unreasonable and the expenses

unjustified in the circumstances as they obtained. Emphasize: but for the non-proof of the actual expenses. And, except for the actual incurring of expenses for, and the actual purchase of the commodities as alleged, the evidence as to that effect was not actually contested by the defence.

I need not at this juncture have to repeat how the witness claimed he had actually incurred some expenses in the purchase of or securing the commodities through *pro forma* invoices Exhibit PII and also in servicing the credit facility. Also in his evidence, PW1 stated that his company expected to make a total profit of USD 430 000 after selling the commodities had the contract materialised. Not an unreasonable estimation in my view. On my part indeed, I believed the plaintiff in the entire materiality of his evidence except for the alleged incurring of actual expenses in purchasing the commodities and in servicing an allegedly secured credit facility (opening of letter of credit) in which I hesitated to believe him mainly due to lack of adequate evidence to support those allegations, but believed the witness on the greater part of his evidence. In the event therefore the court is satisfied that PW1 on behalf of the plaintiff company must have been greatly but quite reasonably inconvenienced through necessary preparatory transactions in conformity with the signed agreement of which the defendant was the other party. And we have seen how the defendant breached that contract. The law apart, I think the plaintiff company with its agents would, under the circumstances, be entitled to a fair compensatory amount of damages following the defendant's breach and non-performance of an assential part of the agreement.

Now, under the law, it is said that:

> The question of what exactly is it that the plaintiff has lost is often a subtle one and for this purpose it is useful to use the terminology ... and distinguish between *expectation* loss and *reliance* loss. Expectation loss is the loss of that which the plaintiff would have received if the contract had been properly *performed. Of course in a sense the plaintiff has not lost this because he never had it but he expected to have it and the reports are full of statements that the plaintiff is entitled to be put into the position he would have been in if the contract had been performed. The most obvious expectation loss is the profit the plaintiff would have made on the contract. But the contract may be so speculative that it is unclear what, if any, profit it would have made. This does not mean that the plaintiff has suffered no loss since he* may have relied upon the defendant honouring his contract and incurred expenditure *which was wasted as a result.* (See: **Cheshire Fifoot and Furmston,** *op. cit.,* at page 596 but. [emphasis supplied]

On the next page the author goes on to state, in part, that:

> ... It seems that the plaintiff has a free choice whether to quantify his loss on an expectation or a reliance basis ... . The amount of money adjudged to be due to the plaintiff has usually been assessed as at the time when the contract was broken ... (*op. cit.*, at page 597).

The author cites a hoard of authorities (reported cases) to support the validity of his text *pro tanto.* However, the land mark case is *Hadley v. Baxendale* [1854] 9 Exch. 341 at 354 where Alderson B. said:

> Where two parties have made a contract which one of them has broken, the damages which the other party ought to receive in respect of such breach of contract should be such as may fairly and reasonably be considered either arising naturally, i.e. according to the usual course of things, from such breach of contract itself, or such as may reasonably be supposed to have been in the contemplation of both parties at the tune they made the contract, as the possible result of the breach of the contract.

This case was cited with approval in *Victoria Laundry (Windsor) Ltd Newman Industried Ltd* (4) [1949] 2 KB at page 540 as cited in Cheshire of. cit at page 601 where Lord Asquith, J. is quoted as having said:

> In order to make the contract - breaker liable under [*Haddley v. Baxendale*] it is not necessary that he should have actually asked himself what loss is liable to result from the breach ... It sufficies that, if he had considered the question, he would as a reasonable man have concluded that the loss in

> question is liable to result ... Nor to make a particular loss recoverable, need it be proved that upon a given state of knowledge the defendant could, as a reasonable man, foresee that a breach must necessarily result in that loss. It is enough if he could foresee it was likely so to result. It is indeed enough ... if the loss (or some factor without which it would not have occurred) is a 'serious possibility' or a real danger'. For short, we have used the word 'liable' to result. Possibly the colloquialism 'on the cards' indicates the shade of meaning with some approach to accuracy.

It is abundantly clear from the authorities and the text as cited here that the defendant company is liable to the plaintiff for its breach of the contract in this case. The plaintiff is entitled at least to what has been stated as expectation loss. Kinyanjui testified for and on behalf of the plaintiff company that had the contract been performed, they expected to make profit of USD 430 000. That is in addition to expectation to recover their overhead costs attendant in confirmity with contract. I have held above, showing why I think such "expectation" loss is in the circumstances as they obtained here, are not remote nor unreasonable. On the other hand, it is naïve to suggest that the defendant did not and could not foresee that the loss was likely to result. I am fortified in this view by the principal actor's (The Principal Secretary to the Ministry of Trade *et al*) failure to appear in court and testify for the defence. I infer guilty conscience from the failure. section Chapter 5 the Learned Deputy Attorney General submitted with force that Mr Kinyanjui should at least have mitigated the expected loss, I respectfully concur. However, in my opinion, the mitigation is in this case found in Kinyanjui's failure to particularize his overhead costs in servicing the agreement. But, as observed in Cheshire (*supra*), this is not to say that the plaintiff suffered no loss since he had relied upon the defendant honouring his contract. Hence, Kinyanjui had, as he testified in his evidence, incurred some loss in the form of overhead costs in preparatory transaction in conformity with the agreement hoping that he would ultimately recover and make good of such cost as and when the defendant ultimately honoured his part of the agreement. The breach has not rendered such normal recoverability

of the losses incurred an impossibility. The defendant cannot, through the judicial process, avoid this liability.

Although actually a litigation cost, and, therefore, not among the pleaded reliefs in the pleadings, but special mention must be made here of arbitration costs which Kinyanjui incurred for the plaintiff company on the defendant's instigation. Kinyanjui produced receipts and other supporting documents showing that he spent at least some TZS. 767 196-95 in Kenyan currency paid to Judge Mapigano of the Mainland Tanzania being the plaintiffs share of fees due for arbitration proceedings which, however, did not take place. It is true that but for the defendant's instigation, the plaintiff would not have paid this fee for the botive arbitration proceedings. But it is true also that the arbitration proceedings were arborted for no other reason but the defendants non-performance of the bargain. The defendant is not justified to complain when the plaintiff asks, as he does, to be indemnified for all these losses which he would not but for the defendant's own initiatives alternated by breaches. The plaintiff is entitled to recover this loss to be embodied in the principal decree of the court.

In the upshort, this court awards judgment to the first plaintiff Lamshore Ltd but the suit is dismissed in so far as James Samwel Kinyanjui is concerned in his own personal capacity. Whereupon, it is now decreed as follows hereunder:

1. Judgment for the first plaintiff Lamshore Ltd.
2. The defendant is condemned to pay to the plaintiff Lamshore Ltd' sum of USD 500 000 (say five hundred thousand United States Dollars) or its current equivalent in Tanzanian shillings on the date of payment being expected loss of profit (USD 430 000) for the breached contract and unliquidated costs incurred in preparatory transactions in conformity with the contract.
3. The defendant is also condemned to indemnify the plaintiff in the sum of KSH 767 196-95 (say Kenyan Shillings seven hundred sixty seven thousand, one hundred and ninety six and ninety five cents) or its equivalent in Tanzania currency obtaining on the date of such

payment to the plaintiff) being arbitration fees paid by the plaintiffs as arbitration fees.

4. Defendant shall also pay to the first plaintiff ten percent (10%) interest on the decretal amount from the date of judgment to full payment.

5. The defendant also to pay the plaintiff's costs of and incidental to the suit.

6. Suit by James Samwel Kinyanjui (second plaintiff) in his own personal capacity is dismissed.

7. Interest on the principal amount at the bank rate from date of contract to date of judgment rejected.

8. No other relief awarded.

REPUBLIC *v.* JOHN MTUNGWA

HIGH COURT OF TANZANIA
AT TABORA
(Mwita, J.)

CRIMINAL REVISION No. 2 OF 2000

Criminal Practice and Procedure – Economic and organized crime – Jurisdiction to try economic and organized crimes – Subordinate Courts have no jurisdiction except by an order of the Director of Public Prosecutions or authorized state attorney – Section 3 of the Economic and Organised Crime Control Act 1984.

The applicant was tried and convicted of unlawful possession of arms contrary to sections 13 and 31 of the Arms and Ammunition Ordinance and sentenced to 7 years imprisonment by a District Court. The High Court called up the case for revision.

Held: (i) In terms of paragraph 21 of the first Schedule to the Economic and Organised Crime Control Act 1984, unauthorized possession of arms contrary to the Arms and Ammunition Ordinance is an offence under the Economic and Organised Crime Control Act 1984, not triable by a District Court save where the Director of Public Prosecution or a state attorney authorized by him so directs;

(ii) As per section 26 of the Economic and Organised Crime Control Act 1984 no trial for an economic offence may be commenced save with the consent of the Director of Public Prosecutions;

(iii) As in this case, there was no consent of the Director of Public Prosecutions to commence the trial and no order of the said director or of any state attorney to have the case tried by a subordinate court, the proceedings were null an. void

Conviction quashed; sentence set aside

No order for retrial

Statutory provisions referred to:

(1) Economic and Organised Crime Control Act 1984, sections 3, 26, 30

(2) Arms and Ammunition Ordinance, sections 13 and 31

(3) Criminal Procedure Code, Order 21, rule 30(2)

(4) Crime Control Act 1984

(5) Security of Employment Act, section 50

Mr Ndunguru Senior State Attorney, for the Republic

REVISIONAL ORDER

(Delivered 31 Januaray 2000)

Mwita, J.: In exercise of its powers under section 30 of the Magistrate's Courts Act 1984, this court called up the case file relating to Meatu Criminal Case Number 71 of 1998, *Republic v. John Ntungwa,* for inspection. On perusal of the record there appeared to be grounds for the exercise of this court's revisional jurisdiction under section 31

of the said Act in this matter. John Ntungwa stood trial at Meatu District Court for the offence of being in unlawful possession of arms contrary to sections 13 and 31 of the Arms and Ammunition Ordinance in that on 3 June 1998 at Paji Village, Meatu District, he was found in possession of one loading muzzle gun (*gobore*) without a licence. John Ntungwa was convicted as charged and sentenced to seven years imprisonment.

In terms of paragraph 21 of the First Schedule to the Economic and Organised Crime Control Act 1984, as amended by Act Number 10 of 1989 a person found in unauthorised possession of arms and ammunition contrary to the provisions of the Arms and Ammunition Ordinance Chapter 322 is guilty of an offence under the Economic and Organised Crime Control Act 1984. Offence under the Economic and Organised Crime Control Act are triable by the High Court sitting as an Economic Crimes court; See section 3 of the Economic and Organised Crime Control Act. The Director of Public Prosecutions or any state attorney authorised by him may, by a certificate under his hand, order that any case involving an offence triable by the Economic Crimes court be tried by such court subordinate to the High Court as he may direct: See section 12 of the said Act as amended by Act Number 12 of 1987. By virtue of section 26 of the Economic and Organised Crime Control Act 1984, no trial of an economic offence may be commenced save with the consent of the Director of Public Prosecutions.

On perusal of the record, there does not appear to be a certificate of the D.P.P or any state attorney ordering the trial magistrate in this case to try the offence charged. Nor is there consent by the D.P.P. to commence trial of the offence charged. Hence the trial magistrate had no jurisdiction to try this case. The proceedings are, therefore, null and void. The conviction is quashed and the sentence set aside. John Ntungwa is to be released unless otherwise lawfully detained.

J S MUTUNGI *v.* UNIVERSITY OF DAR ES SALAAM

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Kalegeya, J.)

MISCELLANEOUS CIVIL APPLICATION
No. 17 OF 1994

Labour Law – Minister's order of reinstatement – Whether employer can pay statutory compensation and a sum equal to 12 months' salary in lieu of reinstatement – Sections 27 and 40A(5) Security of Employment Act 1964.

On 17 November 1981 the applicant's employment with the respondent was terminated allegedly because of the former's negligence leading to theft of a cheque worth USD 52 260 issued as a grant and later found to have been cashed in Geneva. He challenged the termination before the Conciliation Board which upheld his complaint, and ordered his reinstatement. The Conciliation Board's decision was upheld by the Minister, to whom the respondent had appealed. Instead of reinstatement, the respondent paid him terminal benefits and an amount equal to 12 months' salaries. Amongst his prayers now before the court was that the respondent should comply with the Minister's order of reinstatement.

Held: The respondent was under no obligation to reinstate the applicant and properly exercised its right under section 40A(5) of the Security of Employment Act by opting to pay statutory compensation and twelve months' salary.

Order accordingly

Cases referred to:

(1) *Stephen Nyigango v. Tanzania Electric Supply Company Ltd*, HC – DSM – Miscellaneous Civil Cause Number 15 of 1986 (unreported)

(2) *Juma Ally Kaziyabure v. Tanzania Posts and Telecommunications* [1994] T.L.R. 1

(3) *Augustine Masatu v. Mwanza Textiles Ltd.*, HC – MZA – Civil Case Number 3 of 1986 (unreported)

(4) *General Marketing Company Ltd v. AA Sharif* [1980]TLR 61

(5) *D.A.N Kavishe v. Arusha International Conference Centre,* CAT – ARS – Civil Application Number 1 of 1987 (unreported)

(6) *Timothy Kaare v. Mara Cooperative Union,* CAT – MZA – [1998] T.L.R. 77

(7) *Zuberi Augustino v. Anicet Mugabe,* CAT – Civil Appeal Number 10 of 1992 (unreported)

(8) *Kihamira Kalunge Kibaya v. United Africa Company,* CAT – DSM – Civil Appeal Number 36 of 1987 (unreported)

(9) *I.M. Mahona v. University of Dar es Salaam*, Civil Case Number 83 of 1977 HC - DSM [1981] T.L.R. 55

(10) *Re: Industrial Court Uganda Union and Clerical, Commercial Technical Employers'* [1967] ALR 119

(11) *Republic v. Oscar Mwabola* [1967] H.CD. n. 441

Statutory provisions referred to:

(1) Security of Employment Act sections 40A(5), 27, 41 and 50

(2) Constitution vide Act Number 15 of 1984

(3) Criminal Procedure Code, Order 21, rule 30(2)

RULING

(Dated 15 February 2000)

Kalegeya, J.: The applicant, JS Mutungi, is before this court armed with a chamber application which contains a number of prayers. In order to grasp the substance contained therein I find it necessary that the prayers should be quoted in full as hereunder:

1. That Professor D.J. Mkude the Chief Administrative Officer and Hashim Hamza Mtanga, the Principal Officers of the University of Dar es Salaam, Judgment Debtor, be called upon to show cause why they should not be detained as civil prisoners for refusing to comply with the decision of the Minister for Labour dated 5 May 1993.

2. That in addition, or in the alternative the applicant be awarded damages for failure of the Judgment Debtor to carry out the Minister's decision dated 5 May 1995 and

3. That the applicant be paid TZS. 2 524 275 the aggregate of statutory compensation computed in accordance with section 35 and a sum equal to twelve months wages amounting to TZS. 2 019 420 in terms of section 40A(5) of the Security of Employment Act leave pay of TZS. 929 871. Senior Staff Superannuation TZS. 1 097 076. Transport of personal effects TZS. 339 300, transport of family TZS. 213 955. Housing allowance of TZS. 1005 720, (apart from the damages).

4. That upon failure to show cause the two said officers, Professor D.J. Mkude and Hashim Hamza Mtanga be detained as civil prisoners.

5. That the first respondent/judgment debtor, be prosecuted of the offence prescribed under section 50 of the Security Employment Act.

6. That the costs of this application be paid by the respondents to the applicant.

7. That interest be ordered on each payment requested above.

8. Any other relief be granted in favour of the applicant as may to the court appear just and equitable.

The background to this application is as follows. On 17 November 1981, the applicants' employment with respondent was terminated by the latter allegedly because the former's negligence had led to theft of a cheque worth USD 52 260 issued as a grant and later found to have been cashed in Geneva. The applicant had been employed as an accounts clerk on 27 February 1970 and by the time of his termination

he had been promoted to an accountant grade 1. He challenged the termination before the Conciliation Board which upheld his complaint. The Conciliation Board decision was upheld by the Minister responsible for labour matters to whom the respondent had appealed. The Minister ordered the applicant's reinstatement. Instead of reinstating him, the respondent paid him terminal benefits amounting to TZS. 1 183 320-35. That, sum was made up of 12 months' salary (November 1981 – October 1993) TZS. 1 043 517-05; TZS. 97 500 being travelling/ baggage allowance and TZS. 70 864-85 leave allowance for 330 days less TZS. 28 561-55 being deduction for a loan and imprest.

According to the supporting affidavit and submissions the applicant citing a number of decided cases, insists that the Minister's decision is a decree which should be enforced by the court (sections 27 and 41 of the Security of Employment Act) and that reinstatement is not a matter of discretion (cited *Stephen Nyigongo v. Tanzania Electric Supply Company Ltd* (1), *Kyando J Juma Ally Kaziyabure v. Tanzania Posts and Telecommunications Corp.* (2), Msumi J., as he then was; *Augustine Masatu v. Mwanza Textiles Ltd* (3), Mwalusanya, J., and *General Marketing Company Ltd v. AA Sharif* (4).

In his written submission, the applicant argues and claims payment of an amount somehow different from the one contained in paragraph 3 of his chamber summons. While the amounts claimed in the said paragraph (already quoted above) total to TZS. 8 129 617, in the submission he claims a total of TZS. 19 269 398 made up of 1981–1995 salary arrears pegged on USD rate, baggage, and transport allowance for himself and his family less TZS. 1 183 320 which was paid to him. Not only that, he also claims TZS. 50 000 000 as general damages for his wrongful termination. Insisting on the entitlement to TZS. 18 086 078, the applicant argued that he should be taken to have been in continuous employment as his termination was found to have been wrongfully made; no fare was paid for his five children, and that he was denied full benefits payable under superannuation scheme as he was paid just a surrender value which is one third of the full value.

As to the imprisonment of the Principal Officers of the respondent, he argued that they are liable to imprisonment as civil prisoners under Order 21, rule 30(2) of the Criminal Procedure Code because they have refused to obey the order - his reinstatement. On prosecution under section 50 of the Security of Employment Act the applicant states that he will not insist for its taking place if other prayers are honoured and so also is his reinstatement.

In response, the respondent brushed aside all the applications as being legally untenable. To start with, citing *D.A.N. Kavishe v. Arusha International Conference Centre* (5), and (CAT) *Timothy Kaare v. Cooperative Union* (6) the respondent vehemently argued that under section 40A(5) of the Security of Employment Act the Employer is not bound to reinstate employee as there is an option of paying a statutory compensation instead. Regarding pegging the salary on hard currency, the respondent argued that applicant had all along been receiving his salaries in local currency, and thus failed to see the basis of this change into foreign currency. As to damages, the respondent argued that that cannot be awarded as there is no court order which has declared that applicant's endowment was unlawfully terminated and that no order so far has been made for implantation of the Ministers' decision. The cases cited were attacked as being distinguished and more specifically that the *Masatu* case was overruled by the *Kavishe* case.

In a bold reply, the applicant reiterated the substance of Order 21, rule 30 CPC adding that his application is clear: that the respondent's principal officers should be imprisoned if they fail to show cause for their failure to comply with Minister's order that pegging the computation on a dollar aims at cushioning the inflationary rate of the shilling which factor is approved by courts as was done in (CAT) Civil Case Number 10 of 1992. *Zuberi Augustino v. Anicet Mugabe* (7) where "50% rate" of devaluation was found "reasonable"; that until the Minister's order of reinstatement is complied with an employee is taken to be in continuous employment of the employer – cited (CAT) Civil Appeal Number 36 of 1987, *Kihamira Kulunge Kibaya*

v. United African Company of Tanzania (8). Finally, as to damages, he argued that general damages need not be proved, and as for his being entitled to the same, let his own words paint the picture: "Every body has been looking down upon me as a person who was dismissed from employment. I have been unable to feed or educate my children. My family has been condemned to live as destitute".

Now, to the analysis of the arguments and the law. The main issue which controls this controversy is whether the respondent was mandatorily required to reinstate the applicant into employment. In order to have full appreciation of the matter, the two controlling provisions of the law, sections 27 and 40A(5) of the Security of Employment Act should be quoted in full. They provide as under.

> Section 27 – (1) The decision of the Minister on a reference to him under section 26 and subject to any decision on a reference to the Minister therefrom the decision of a board on a reference to it under this part:
>
> (a) shall be final and conclusive; and
>
> (b) shall be binding on the parties to the reference, and the relationship between the parties in consequence of the matters in respect of which the reference was made shall be determined accordingly; and
>
> (c) may be enforced in any court of competent jurisdiction as if it were a decree.
>
> (2) In addition to its powers to execute any decision which requires the refund of any wages deducted or, expressly or by implication, the payment of any sum to an employee where a dismissal is ordered to take effect as the termination of employment, a court in which it is sought to enforce a decision of the Minister or a Board may make and enforce such orders as are necessary for the specific performance of any decision for the re-instatement of any employee (notwith standing that the court would not have power apart from this subsection to make or enforce such orders) and may award damages for the failure of the employer to carry out any such decision as if he had dismissed the employee concerned wrongfully (and if Part IV of this Act is in operation in relation to the employee concerned, such damages shall include the statutory compensation provided for in that part).

While section 50A(5) states:

> (5) Where a re-instatement or re-engagement has been ordered under this section and the employer refuses or fails to comply with the order
>
> (a) in the case of an order made by a Board against which no reference has been made to the Minister, within twenty-eight days of the order being made: or
>
> (b) in the case of an order made by the Minister on a further reference to him, within fourteen days of the order being made by the Minister,
>
> (c) the employer shall be liable to pay the employee compensation of an amount equal to the aggregate of:
>
> (i) the statutory compensation computed in accordance with section 35; and
>
> (ii) a sum equal to twelve months' wages at the rate of wages to which the employee was entitled immediately before the termination of his employment or, as the case may be, his dismissal.
>
> and such compensation shall be recoverable in the same manner as statutory compensation the payment of which has been ordered under section 39".

As was clearly pointed out by the parties in their submissions, we have conflicting decisions on the matter. In *kaziyabure* case (2) Msumi, J. (as he then was) held that deciding on whether to be reinstated or be paid statutory compensation was at the discretion of the employee and not employer. Even at the danger of making this ruling unnecessarily long let an excerpt from the judgment speak for itself:

The learned counsel for respondent is of the view that an employer can legitimately ignore the order of the Minister of Board for re-instatement or re-engagement provided he pays the aggrieved employee statutory compensation plus twelve month's salary. With respect, I can find no legal backing for such argument. My understanding of section 27 and 40A(5) of the Act is that where the Minister of Board has ordered for reinstatement or re-engagement, the complainant employee may opt for one of the two alternatives. He may either apply to the court under section 27(1) of the Act to have the Order executed as if it was a decree, or he can claim for payment of statutory compensation and twelve months salary as provided under section 40A(5) of the Act. Either of these alternatives can only be initiated at the instance of the aggrieved employee and not the offending employer. An employer who refuses to reinstate his employee in contravention of the decision of the Minister or Board, he does so at the risk of having such decision executed against him by way of specific performance with or without payment of damages: or on the application the aggrieved employee, he may be ordered to pay the employee statutory compensation plus twelve months' salary. An employer cannot, at his own initiative, choose to pay his aggrieved employee statutory compensation and twelve months' salary as alternative to complying with the Minister's or Board's decision of reinstatement.

This decision was in direct conflict with the decision handed down by Kisanga, J. (as he then was) some years back in *IM Mahona v. University of Dar es Salaam* (9).

A year later (1987), Mwalusanya, J. cited the *Kaziyabure* case with approval in a well researched decision regarding a worker's plight on "a Right to work" principle in *Masatu* case (3). Again, let Mwalusanya, J.'s very wording, *in extenso*, take up the floor:

> Now what about on the question of an order of reinstatement by the Minister for Labour? Is the employer free to refuse to obey it? The High Court of Tanzania is divided on this issue as there are two schools of thought.
>
> One school of thought maintains that there is no right to work in Tanzania as it has been taken away by section 40A(5) of the Security of Employment Act as amended by Act Number 1 of 1975. That section states that where a reinstatement has been ordered by the Minister for Labour and the employer refuses to comply with the order, the said employer may terminate the services of his employee by payment of a statutory compensation as well as a sum equal to 12 months wages so that view holds that an employer has got the right to terminate the services of his employee. That is what transpired here. The employer purported to terminate the services of his employee the present plaintiff by using that section. The plaintiff has filed this case arguing that the purported termination is null and void. And counsel for the employer Mr Rugarabamu referred to the case of *IM Mahona v. University of Dar es Salaam* (9) where Kisanga, J. (as he then was) held that an employer has a right to refuse to reinstate an employee and instead terminate his service with full terminal benefits.

However the other school of thought, to which I subscribe, holds that the employer has no right to terminate the services of an employee under section 40A(5) of the Security of Employment Act (as amended) when where there is an order of reinstatement. The plaintiff referred me to the case of *Juma Ally Kaziyabure v. Tanzania Post and Tel. Corporation* (2). Accordingly, in that case an order of specific performance was granted i.e. the employee was re-engaged. That view also finds support in the decision of Biron, J. in the case of *General Marketing Company Ltd v. AA Shariff* (4) where he held that when the Minister for Labour has ordered a reinstatement, then the same has to be effected and not terminating the employee or re-employing him as if he was a fresh employee.

The second school of thought is to be preferred for a number of grounds. First it should be borne in mind that it is a basic rule of statutory interpretation that all sections of a statute must be given meaning. To do otherwise is to engaged in the untenable assumption that the legislature did a meaningless act by the insertion of a superfluous section in the statute see Mustafa J. (as he then was) in *R v. Oscar Mwambola* (1967) HCD n. 441 (11). So it is a rule that a construction must be made upon the entire instrument and not merely disjointed parts of it (*ex antecedentibuset* ... consequent bus fit optima interpretation).

Now section 27 of the Act compels the courts to make sure that an order of reinstatement by the Minister is implemented; while section 40A(5) states that the employer may refuse to reinstate the employee and instead terminate him. Now in the case at hand it would appear the first school of thought interpret section 40A(5) of the Act in isolation and/or oblivious to the existence of section 27 of the same Act. If we interpret that section 27 of the same Act and interpret that section 40A(5) of the Act entitles the employer to terminate an employee at will then section 27 is rendered superfluous. So the interpretation by the second school of thought which takes both sections into account is to be preferred.

Second, the cardinal precept of statutory interpretation is to search for the intention of the legislature. To be sure, the best place to look for that intention is in the words used in Act but the courts have time and again reiterated the principle:

> ... that the expression of the will of the legislature must be considered not only by it self, but with the natural consequences flowing from it.

For that view see Professor Allen in his book **'Law in the Making'** (1927) Clarendon Press, Oxford at page 491. In the case at hand it will be recalled, the intention of the Security of Employment Act was to create job security for employee and therefore it is very unlikely that the same legislature decided to take away that tenet of job security by section 40A(5) of the Act.

Thirdly, I entirely agree that any interpretation ought not to induce the court to do violence to well settled rules of construction, but it may properly lead to the selection of one rather than the other of two reasonable interpretations. Whenever the language of the legislature admits of two constructions (as in here) and if construed in one way would lead to obvious injustice, the courts act upon the view that such a result could not have been intended, unless the intention had been manifested in express words. In other words, the most favourable construction is to be placed on doubtful expressions. And so in here, the most favourable construction in favour of the doctrine of right

to work for an individual is to be preferred to that canvassed by the employer.

And finally, I have mentioned previously the introduction of the fundamental right of right to work in our Constitution vide Act Number 15 of 1984. The rules of construction hold that statutes which encroach on the ordinary rights of the subject should be interpreted if possible so as to respect such rights. The language of the statute shall be so construed that it will preserve the subject's rights unless express words or clear implication require the opposite result. The law regards with care the right of individuals and unless a statute restricts those rights by language beyond any reasonable doubt, they should be left untouched by the court. In the case at hand, the Security of Employment Act has not in a clear language conferred upon an employer the right to terminate the services of an employee in the face of an order of reinstatement. There is section 27 of the Act which is a cog in the wheel held by the employer".

The court, in that case did also consider the common law stand that specific performance in personal services contract cannot be ordered by courts. It stated:

> Then the ... counsel argued that it is the law that specific performance cannot be ordered in the case of personal services contracts. The common law holds that the court will not grant specific performance of a contract of personal services because this would entail forcing an unwilling person to continue a person's employment against the employer's wishes-see the case of *In Re Industrial Court Uganda Union and Clerical, Commercial Technical Employers* (10) (African Law Reports, Commercial Service). However I find that the defendant's contention cannot succeed. This is because the common law doctrine that specific performance cannot be granted for contracts of personal services has been superseded by legislation i.e. section 27 of the Security of Employment Act. The section clearly compels the court to implement specific performance and that is the law. The remedy of reinstatement was adopted apparently because it was recognized that financial compensation alone might not be adequate for a dismissed worker. Professor W. Szubert speaking of a similar Polish legislation which introduced the remedy of

reinstatement in Poland in 1956 in his work, "**Contract of Employment in Polish Labour Law**" (1962) 25 **Modern Law Review** 36 at page 43 state that:

> An employee may have a particular interest in keeping his former job on account of training facilities, opportunities for promotion, housing amenities or many other important reasons ... security of employment in the same undertaking is also in principle, generally speaking, preferable to a change of a job, which contributes to increased labour turnover.
>
> The same applies to an employee of this country. Therefore there is a good case for remedy of reinstatement rather that of financial compensation.

I have quoted the court's observation at length in order to lay bare the basis behind the stand of the other school of thought.

Again, a year later (1988) Kyando. J., in *Nyigongo* case, held the same: That once ordered by Minister, reinstatement should be complied with by Employer.

However, unknown to the court then, (Mwalusanya, J. 10 July 1987, and Kyando, J. September 1988) earlier on, in the *Kavishe case (*citation already provided) the Court of Appeal (Omar, J.A.) had on 9 April 1987, found as follows:

> Looking at Labour Laws (Miscellaneous Amendments) Act 1 of 1975 which amends Employment Ordinance Chapter 366, there is section 40A which says that where a reinstatement or re-engagement has been ordered under the section and employer refuses or fails to comply with the order, the employer shall be liable to pay the employee compensation as contained in section 40A(5). So according to this section, the employer is not bound to receive the applicant back, even if the Permanent Labour Tribunal or Minister orders his reinstatement.

Of course reference was not made to section 27 as well hence we do not know what the court (Court of Appeal) would have said if it had so acted. Likewise we do not know what Mwalusanya, J. and Kyando, J., would have said if they had come across *Kavishe's* case.

Indeed, as pointed out by Mwalusanya, J., all the above point to the obvious: that there are two schools of thought on the matter. In my considered opinion, apart from the court of appeal decision, by which I am bound, I subscribe to the school of thought which holds that section 40A(5) removes the otherwise mandatory element contained in section 27 of the Security of Employment Act. I fully associated myself with the considerations analyzed by Justice Mwalusanya, J., regarding the **plight of a worker** but, with respect, my reading of sections 27 and 40A(5) convinces me that the legislature did not intend to make reinstatement mandatory. We can rightly challenge that the framers of section 40A(5) ought to have formulated it better, especially regard being had to the provisions of section 27 of the same Act was mainly to protect the workers against the notorious wrath of their employers. But this does not mean that the Employer's interests were not considered at all. I would think that the legislature, noting that section 27 was leaning unjustly on one side by not providing any breathing valve to an employer, decided to balance the interests of both employer and employee by giving the former an option **but in a punitive way**. I do appreciate that the statutory compensation and twelve month's salary prescribed , by all standards, is not enough, and more specifically, at this point in time, when it is not easy to get an employment nor to have any mark able utility for ones sustenance with a twelve month's salary. Neither can it act as a sufficient control on ruthless and uncompromising employers imbued in "fire and hire" doctrine, for, they would obviously go for statutory compensation and 12 month's salary. Also, as rightly argued by Mwalusanya, J., an employee may have other important considerations for keeping his job instead of monetary compensation.

All the above said however, with all respect to the other school of thought, I find nothing in the wordings of sections 27 and 40A(5) which support the view that reinstatement or statutory compensation is in the option of the Employee only. I gather support of my views from the opening words to section 40A(5), which run as follows:

"Where a reinstatement or re-engagement has been ordered under this section and employer refuses or fails to comply with the order"

This words clearly show that the framer of this subsequent section (inserted into the Act vide a 1975 Amendment) was fully aware and conscious of section 27. The words "refuses" or "fails" clearly show that there are no mandatory elements implanted. What section 40A(5) simply says is that in the event of the employer "refusing" or "failing" to reinstate or re-engage he would be liable to pay statutory compensation and twelve months salary.

Further, my views are reinforced by yet another factor. I looked at the objects and reasons advanced in the Bill which inserted section 40A(5) in the Security of Employment Act but could find no support to the interpretation fronted by the other school of thought. The Bill gives object and reason for the amendment [The Labour Laws (Miscellaneous Amendments) Act 1975 – Act Number 1 of 1975) including insertion of section 40A(5). It states,

The new section 40A gives the Conciliation Board power to order re-instatement or re-employment of an employee whose employment has been terminated on an unreasonable ground. If the employer refuses or fails to re-instate the employee, the employee will be entitled to an additional statutory compensation of an amount equal to twelve months' wages. A decision on reference under the proposed new section 40A may be appealed against to the Minister in the same manner as other decisions of a Conciliation Board.

I find no suggestion in the quoted words, that the legislature intended to prove what the other school of thought advances as being the true interpretation of section 40A(5). Apart from the above stand on the interpretation of the relevant section I have the following observations to make. While aware of the precarious position held by employees when dealing with the employers who obviously are of unequal muscle; and being appreciative of an individual's right to work, and the need to have a water-tight system in place to protect the weaker (employee), in my view, here, we should tread carefully and deal with the all round picture of the problem lest we set into motion elements that will bring the system unto a knot and for no one's benefit including those who are supposedly intended to be served by the same.

Would the law make sense, for example, by mandatory ordering reinstatement, in a firm or corporation where the existing establishment no longer has a vacancy originally occupied by the litigating employee, good examples being where restructuring including redundancy, has taken place between the dismissal and Minister's order for reinstatement?

In my view, in its wisdom, the legislature, envisaging such and the like situations, where reinstatement would be meaningless not only to the employer but in some situations to the employee as well, in order to rhyme with common sense and avoid absurdity, inserted into the Security of Employment Act section 40A(5), to give an employer an option of paying the statutory compensation and twelve months salary as opposed to reinstatement.

The only quarrel one can justifiably launch against this provision is the inadequacy of the compensation. Twenty four months salaries instead of 12 would have been reasonable as this would enable a litigating employee enough financial cushioning while he is adjusting himself to new environment seeking an alternative life sustenance activity. With those observations, I hold that the respondent, the University of Dar es Salaam, was under no obligation to reinstate applicant, Mutungi. The respondent properly exercised its right under section 40A(5) of the Security of Employment Act by opting to pay just a statutory compensation and twelve months salary, although, I will shortly after, make further observation regarding the manner and style employed by respondent in meeting that obligation.

The above finding knocks off forthwith grounds 1, 2, 4 and 5 of the prayers contained in the chamber summons quoted in full at the beginning of this ruling.

Next we turn to prayer 3. I have already indicated that the prayer in this paragraph and the main submissions contradict each other. The figures indicated in paragraph 3 total up to TZS. 8 129 617 while

the main submission shows TZS. 19 269 398 less TZS. 1 183 320 already paid.

I agree to say that, it would seem, the applicant's subsequent act of dropping the services of a counsel has led to his failure to prosecute properly his grievances as portrayed by the jumbled up chamber application and submissions. Clearly, the applicant has mixed and confused up what he believes he is entitled to. He mixes up what he believes he is entitled to as a compensation under section 40A(5) and what he believes he should be paid as arrears of his salary for the period between 1981, when he was dismissed, and when the employer decided not to honour the Minister's order. At the same time the respondent also mixed up the issue. It mixed up salary arrears and the compensation under section 40A(5). On page 2 of the respondent's submission we find the following:

"...the applicant was paid his terminal benefits as follow:

1.	Net salary from November 1981 – October 1993	1 043 517-05
2.	Add Travelling Allowance, must Baggage –	97 500-00
3.	Add 330 days leave	70 864-85
4.	LESS special loan (code A. 1912) TZS. 22 961-55 minus	28 516-50
	Imprest (1166/034)	TZS. 5 600-00
		TZS. 28 561-55
	NET PAY	TZS. 1 183 320-35

What do we gather from the above? The respondent paid salary arrears but did not pay the 12 months salary as per provisions of section 40A(5). The 12 months' salary under that provision is not for any particular period. The period indicated above (November 1981 – October 1993) is part of the period when applicant's services were

terminated and when he was still challenging the action at various levels and not the 12 months salary prescribed under section 40A(5). The Minister gave his decision on 5 May 1993. The respondent officially declared that it was not reinstating the applicant but would instead pay him the compensation, on 6 August 1993, vide its letter Ref. CP.ADM/2/95 whose part of the contents run as under:

KUH: Karatasi ya 8 ya uamuzi wa waziri wa kazi katika shauri lako.

Tafadhali rejea mazungumzo yetu Mkude/Mutungi ya tarehe 6 August 1993 kuhusu suala la uamuzi wa Waziri wa Kazi.

Napenda kuthibitisha na kukuarifu kuwa hutarudishwa kazini na badala yake utalipwa mshahara wako kwa muda wote uliokuwa nje ya kazi yaani kuanzia tarehe 17 November 1981 hadi 9 October 1992 siku ambayo uamuzi wa kukurudisha kazini ulitolewa na mshahara wa mwaka mmoja kuanzia tarehe 10 October 1992 mpaka tarehe 10 October 1993, pamoja na marupurupu mengine unayostahili kwa mujibu wa masharti ya ajira.

Sgd

Professor DJ Mkude

Afisa Mkuu Tawala

The letter points out three salient features: first, the applicant would not be reinstated; second, he would be paid his salary arrears since termination, and thirdly, he would be paid twelve months salary including other terminal benefits.

It is obvious that although the letter does not say so in so many words, the third feature falls under the compensation prescribed under section 40A(5) of the Security of Employment Act. Again, it is clear however that indicating that the twelve months' salary was for the period "10 October 1992 to 10 October 1993" is a misnomer; for as indicated earlier on, the twelve months' salary under section 40A(5) is pegged to no particular period. It is just a penalty to an employer for refusing to reinstate an employee. Again, the letter contains another error. The decision to have applicant reinstated was finally made by the Minister on 5 May 1993 and not 9 October 1992.

The latter date is when the Conciliation Board made the decision which was finally approved by the Minister. The controlling date therefore is the one when the controversy was finally decided and this was sealed off by the Minister's decision and not before. Again, it is obvious that an employee would still be counted to be in employer's employment for all the period since he was terminated till reinstatement on Minister's order or when the employer decides to exercise the option under section 40A(5). On the facts of this case therefore, the applicant would still be counted as respondent's employee till 6 August 1993 when it (respondent) officially informed him that he would be treated under the said section 40A(5) instead of reinstatement.

Now, if the applicant had been properly advised, instead of the jumbled up chamber summons and submission he should have launched his prayers by zeroing on the prayer to be paid, the statutory compensation and twelve months salary as provided under section 40A(5) and possibly, interest. He could not be heard to claim for salary arrears for which he concedes to have been paid as vividly proved unless he quarreled with the computation. He has not raised anything on that. He has not complained that the salaries for November 1981 to October 1993 did not total up to the figure stated. He only prayed to peg it to a US dollar. This however, is untenable because, he has already been paid. Allowing parties to file ancillary actions regarding claims they pocketed years back would be opening up the pandora's box from where all types of creatures, tempests and unquantifiable characteristics would creep and suffocate to death the fountains of justice. In any case, though included in the submission it does not form part of the prayers as per the chamber summons. On the facts of this case, what the applicant is justifiably entitled to is statutory compensation and twelve months salary as provided under section 40A(5) read together with section 35 of the Act. Section 35 provides:

> 35. The statutory compensation shall be:
>
> (a) such sum of money as shall be equal to the severance allowance due and payable to the employee on the termination of his employment; or

> (b) the sum of five hundred shillings, whichever is the greater:
>
> Provided that where, by reason of the provisions of subsection (2) of section 4, section 6 or section 7 of the Severance Allowance Act 1962, the employer is exempt from liability to pay severance allowance or the amount of severance allowance is reduced, there shall be substituted for the sum prescribed in paragraph (a) of this section such sum as shall be equal to the severance allowance that, but for the provisions of those sections or any of them, would have been payable to the employee on the termination of his employment.

(I should however observe that this law, as is the case with most of our laws, is very far behind times and needs to be rectified soonest. To what marketable use can TZS. 5 000 be put in modern times?)

What the parties are required to do it to look at the said provisions of the law, ascertain what guidelines are used in the computation thereunder, gauge the same to the amount which was paid to the applicant apart from the salary arrears and come up with a sum to which the applicant is now entitled. I shall also be categorical that the argument of pegging whatever sum that would be arrived at to the USD is again unsupportable because the cited provisions of the law do not make an allowance for such consideration.

I do appreciate that the statutory compensation and the twelve months salary under section 40A(5) was supposed to be paid to the applicant in a lumpsum in 1993. It was not paid in full. In fact, if anything, just very little sum was paid leaving out the major component; the twelve months' salary. While the respondent remained with that sum and obviously put it at its full utility, the applicant has missed enjoying his entitlement for years. This factor leans in favour of the applicant regarding his prayer for interest on the sum still due.

In conclusion, therefore, for reasons discussed, I find as under. The respondent was not obliged to reinstate the applicant. It rightly exercised the option provided under section 40A(5) of the Security

of Employments Act by deciding to pay the compensation instead. The prayer for payment of salary arrears and pegged on US dollar fronted in the main submission did not from part of the prayers in the chamber application, hence can not be decided upon by this court. However, in passing as already indicated, I should observe that the said salary arrears was fully paid by the respondent as per its main submission and as conceded to by the applicant himself. At the same time, though opting to pay the same in compliance with section 40A(5), read together with section 35 the respondent did not pay in full the compensation to which applicant was entitled. Flowing from the latter, it is ordered that computation of the balance (which obviously include the twelve months salary) of the applicant's entitlement be made by the respondent in conjunction with the applicant, and the same be paid forthwith. As the respondent unjustifiably sat on applicant's entitlement for years it is condemned to pay interest on the unpaid sum at the rate of 10% per annum since 1993 till final payment. For the same reason, and also because the applicant has substantially succeeded in his prayers the respondent is condemned in costs. Application succeeds to the extent indicated

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MOSOUD MOH'D MASOUD *v.* HASHIM AYOUB JAKU, EXECUTIVE SECRETARY COMMISSION FOR LAND AND ENVIRONMENT AND DIRECTOR GENERAL STONE TOWN CONSERVATION AND DEVELOPMENT AUTHORITY

HIGH COURT OF ZANZIBAR
AT ZANZIBAR

(Hamid M. Hamid, C.J.)

CIVIL APPEAL No. 22 OF 1999

(From the Regional Magistrate's Court, in Original Decree in Case No. 34 of 1995)

Civil Practice and Procedure – Judgment – Default judgment in a suit with several defendants – One defendant fails to file defence and trial court pronounces judgment in favour of plaintiff – Then court proceeds to hear suit against the other defendant – Whether the proper procedure is complied with – Order XI, rule 12 Civil Procedure Decree Chapter 8.

Civil Practice and Procedure – Judgment – Same court pronounces two judgments in the same case –Whether trial was regular and valid.

This appeal comes from the decision of the Regional Magistrate's Court which was in favour of the first respondent, Hashim Ayoub Jaku, who had sued the second and third respondents disputing the reallocation of a piece of land to the appellant. The second respondent appeared in the trial court but failed to file a written statement of defence and the court pronounced judgment in favour of the first respondent who was then the plaintiff. Thereafter the suit proceeded against the third respondent who was then the second defendant. Before the hearing proceeded the appellant, Masoud Moh'd Masoud, applied to the same court to be joined as the third defendant since he had interest in the land in dispute. His application was granted and he filed a cross suit asking the court to pronounce him the legal owner of the land in dispute. The appellant's claims were rejected and the Lower court went on to confirm the first respondent as the lawful owner of the disputed land, hence, this appeal.

Held: (i) The act pronouncing judgment in favour of the first respondent when the first defendant in the original suit did not appear in a suit with more than one defendant was improper.

(ii) It was improper to allow an additional defendant with different claims after a judgment had already been pronounced as to do so led the court to ultimately pronounce another judgment altogether, an act which had no basis in law;

(iii) The whole trial is a nullity.

Trial in the Regional Magistrate's Court judged a nullity

Statutory provision referred to:

(1) Civil Procedure Decree Chapter 8, Order XI, rule 12

JUDGMENT

(Dated 16 February 2000)

Hamid M Hamid, C.J.: This is an appeal filed by Mr Masoud Moh'd Masoud, hereinafter referred to as the appellant, on the one part, and Mr Hashim Ayoub Jaku, the Executive Secretary, Commission of Land and Environment, Zanzibar and Director General Stone Town Conservation Development Authority, Zanzibar, hereinafter referred to as the first, second and third respondents respectively, on the other part.

The appeal comes from the decision of Abraham Mwampashi, Esq., Regional Magistrate, given on 8 of February 1999 whereby he decided in favour of the first respondent. The bone of contention in the Lower court was a parcel of land plot number 3 situate at Darajani within the Municipality of Zanzibar. The plot was first issued to the first respondent by the second respondent being the government organ responsible for allocation of public land to those who request land within the Urban area for building purposes. It appears that as the first respondent was in the process of erecting of a residential house, then at the request of the appellant the said allocation of the said

plot to the first respondent was revoked and the same land with the unfinished structure erected by the first respondent was re-allocated to the appellant.

The first respondent instituted a suit in the Regional Magistrate Court against the second and third respondents, praying, among other things, that the court nullify the revocation of the offer of land which was done by the second respondent. He also prayed that the court nullify the offer of the said plot made to the appellant by the second respondent and confirm the validity of the earlier offer made to him by the second respondent.

The proceedings show that when the first came to court, his action was against the second and the third respondents only. It is also on record that the second respondent appeared in court but failed to file a Written Statement of Defence when he was ordered by the court to do so. Consequently, wrongly though, the court pronounced judgment in favour to the first respondent who was then the plaintiff. After the judgment was given in favour of the first respondent the court ordered the suit to proceed against the third respondent who was then the second defendant in the original suit. Before the hearing proceeded the appellant, Masoud Moh'd, applied to the same court to be joined as the third respondent since he had interest in the land which was the subject matter of the adjudication. His application having been granted, he was allowed to file a cross-suit, praying the Regional Court to issue orders to the effect that he be pronounced the legal owner of the disputed land and also the first respondent be ordered to compensate him for the destruction of his garden which stood on the disputed land prior to the commencement of the construction of the building erected by the first respondent as well as the resultant loss of profits emanating from the proceeds of the said garden.

After hearing the evidence of the appellant, the Regional Court rejected the appellant's claim to the title of the disputed land and confirmed the title to the first respondent, Hashim Ayoub Jaku, and also ordered him to pay compensation to the appellant the sum of TZS. 200 000 for the destruction of his garden.

Aggrieved by that decision, the appellant now appeals to this court with prayers that it set aside the decision of the Lower court and to confirm his as the legal owner of the disputed land and also to order him pay compensation for the destruction of his garden as prayed in his cross-suit.

This case was heard by more than three magistrates. With due respect, the procedure adopted by these trial magistrates in this suit leaves much to be desired. In the first place, the original suit had more than one defendant. It is beyond doubt that the second respondent (first defendant in the original suit) did not file his written statement when he was required/ordered to do so by the court, and neither did he appear in all subsequent dates, dates set for hearing the suit. In such a case a proper cause of action pursue should have been in line with rule12 of Order XI of Civil Procedure Decree Chapter 8, the Laws of Zanzibar, which stipulates:

> Rule 12: Where there are more defendants than one and one or more of them appear and the others do not appear, the suit shall proceed, and the court shall, at the time of pronouncing the judgment, make such order as it thinks fit with respect to the defendant who do not appear.

In this case after the second respondent failed to appear in court, the court went on to pronounce judgment against him and in favour of the first respondent. That was wrong since that could only have been done had this suit been with one defendant only pursuant to Order VIII, rule 10. This case had more than one defendant therefore the proper course of action should have been that as outlined in Order XI, rule 12 of Chapter 8 of the Civil Procedure Decree, the Laws of Zanzibar (reproduced above).

But even if we were to over look that normally where as in this case the Regional Court pronounces a judgment and subsequently allows an additional defendant who files a cross suit with prayers that requires the court to nullify its earlier judgment *in toto*, where on earth would the same court get (legal) power to quash its own judgment? That would surely have been the case had the Regional

Court after hearing the evidence in the cross-suit decided in favour of the appellant!

In the ultimate analysis, I find the act of pronouncing judgment in favour of the first respondent when the first defendant in the original suit did not appear in a suit which had more than one defendant was procedurally improper. Likewise, it was improper to allow an additional defendant with a totally different claim after a judgment had already been pronounced, something which would have rendered the court to ultimately pronounce another judgment altogether, an act which has no basis in law.

As this case now stands, we already have two judgments by the same Regional Court in favour of the same party, namely the one entered by Is-haq Ismail Shariff, R.M., on the 30 August 1995 at the request of Mr Awadh, advocate then acting on behalf of the first respondent after the second respondent failed to appear in court, and the other one of Mr A. Mwampashi delivered on 8 February 1999 after hearing the evidence of the appellant. It should be noted that there can never be two judgments by the same case.

By having two judgments, there has been an obvious contravention of the procedural law in this case, and where the procedure in a trial has been compromised the whole trial becomes a nullity. Therefore, from the circumstances enumerated above, this trial is thus declared a nullity.

ORDER

1. The trial in the Regional Court is adjudged a nullity.
2. Both judgments pronounced in the Regional Court are set aside.
3. Fresh trial is ordered to start *de-novo* at the instance of any of the parties.
4. Each party to bear its own cost.

DR. MWIKWABEH H. MAGERE *v.* ATTORNEY GENERAL

HIGH COURT OF TANZANIA
AT TABORA
(Mwita, J.)

CIVIL CASE No. 10 OF 1998

Civil Practice and Procedure – Res judicata – Whether claims for transfer allowance and wrongful dismissal may give rise to a plea of res judicata – Section 9, Explanation III of the Civil Procedure Code 1966.

The plaintiff was employed by the Ministry of Health and stationed at Mugumu. By a letter dated 16 June 1993, he was transferred to Shinyanga Government Hospital. On arrival, he found that his employer had not provided him with accommodation, and was not paid transfer allowance. He was forced to stay at a guest house but his employer refused to pay for him. So he retuned to Mugumu where he found his family had been evicted from the premises he occupied before the transfer. As a result, he returned to his home village to await a solution. However, by a letter dated 26 November 1993 his employer summarily terminated his Contract of Employment. The plaintiff filed this suit seeking a declaration that his dismissal was unlawful, reinstatement and payment of all the resultant benefits and general damages. Before the hearing commenced, the defendant raised a Preliminary Objection on two grounds: firstly, that the suit is premature as the defendant had not been served with Statutory Notice and secondly, the suit was *res judicata* as the matter had already been heard and finally determined by the High Court at Mwanza in which he had sued to recover the balance of under paid transfer allowance.

Held (i) The issue of whether or not the respondent was served is a matter of evidence in the event the suit proceeds to trial since the first page of the copy of the Statutory Notice is annexed to the plaint.

(ii) In the earlier case, the plaintiff had sued for balance of underpaid transfer allowance while in the instant matter he has sued for wrongful dismissal and relief arising therefrom; these two constitute different causes of action.

Preliminary Objection overruled

Statutory provisions referred to:

(1) Government Proceedings Act 1967, section 6

(2) Civil Procedure Code, section 9

RULING

(Delivered 17 February 2000)

Mwita J.: Dr Mwikwabe H Magere was a medical doctor grade II employed by the Ministry of Health and stationed at Mugumu. By letter no. HEC 71/1/VolumeII/306 dated 16 June 1993, he was transferred to Shinyanga Government Regional Hospital. On arrival at Shinyanga, Dr Mwikwabe encountered problems which he had not anticipated. His employer did not provide him with accommodation nor pay him transfer allowance. He stayed at a guest house. His employer refused to pay for such accommodation. Dr Mwikwabe decided to return to Mugumu. On arrival at Mugumu, it transpired that his family had been evicted from the residential premises they were occupying before the transfer to Shinyanga. In such circumstances, Dr Mwikwabe had to return to his home village to await a solution of his predicament by his employer.

By letter no PF 8437/12 dated 26 November 1993, Dr Mwikwabe's Contract of Employment was summarily terminated.

Dr Mwikwabe has instituted a suit against the Attorney General for:

(a) A declaration that his dismissal was unlawful.

(b) Reinstatement and payment of all benefits from the date of the purported dismissal.

(c) General damages for breach of Contract of Employment

When the matter came up for hearing on 17 December 1999, the plaintiff was represented by Mr Boaz, learned advocate.

The defendant Attorney General had the services of Mr Mwampoma, learned Senior state attorney.

Before trial of the suit on the merits could take place, a Preliminary Objection lodged by the defendant had to be dealt with.

The Preliminary Objection was based on two grounds, namely:

(a) That the suit is premature in that the defendant was not served with the notice as required by law.

(b) That the suit is res judicata in that the same was heard and finally determined by the High Court at Mwanza.

I will start with the first ground of objection. section 6 of the Government Proceedings Act 1967 as amended by Act Number 30 of 1994 provides; *inter alia:*

(1) Notwithstanding any other provisions of this Act Civil Proceedings may be instituted against the Government subject to the provisions of this section.

(2) No suit against the Government shall be instituted, and heard unless the claimant previously submits to the Government Ministry, Department or Officer concerned a notice of not less than ninety days of his intention to sue the Government, specifying the basis of his claim against the Government, and he shall send a copy of his claim to the Attorney General.

It is clear from the above provisions that no suit can be instituted against the Government until 90 days' notice has been submitted to the Government Ministry, Department or officer concerned specifying the basis of the claim. It is mandatory that copy of the notice should be sent to the Attorney General.

Paragraph 5 of the plaint reads:

5. That the plaintiff gave the defendant the requisite notice. The defendant did not respond. A photocopy of the said notice is annexed herewith and marked page 5.

annexure P5 is a copy of a letter number TLC/MZ/Miscellaneous/Volume IV dated 12 November 1996 addressed to the Prime Minister's Office, Dar es Salaam. It reads as follows:

The Prime Minister's office,

PO Box

Dar es Salaam.

Re: Notice of Intention to Commence a Suit against the Government

Take Notice that our client Dr MH Magere is intending to commence a suit for damages against you after 90 days from to-day when this letter is sent to you in respect of the following:

(i) For unlawful dismissal from employment.

(ii) For recovery of his subsistence allowances of which he was supposed to be paid when he was transferred from Mugumu to Shinyanga.

(iii) For a claim of his three months salaries of November, December and January 1994 which he was not paid before he was dismissed and any other legal dues which he is supposed to have received.

Name and address of the intended plaintiff/claimant will be:

Dr MH Magere,

PO Box 256,

Musoma.

It appears that annexure P5 was written by the Mwanza Branch of the Tanzania Legal Corporation. It has page 2 missing. Hence it is not possible to tell whether or not it was copied to the Attorney General. The fact that annexure P5 has page 2 missing does not conclusively indicate that it was not copied to the Attorney General.

In such circumstances, the issue relating to notice will be determined after hearing evidence to be adduced at the trial, if such trial takes place. I now turn to consider the second ground of the Preliminary Objection. section 9 of the Civil Procedure Code, 1966 provides:

> "9. No court shall try any suit or issue in which the matter directly and substantially in issue in a former suit between the same parties or between parties under whom they or any of them claim litigating under the same title in a court competent to try such subsequent suit or the suit in which such issue have been subsequently raised and has been heard and finally decided by such court."

Explanation III of section 9 reads:

> The matter above referred to must in the former suit have been alleged by one party and either denied or admitted, expressly or impliedly by the other.

The suit which is alleged to give rise to the defense of *res-judicata* is Mwanza High Court Civil Case Number 34 of 1993. That suit was between the same parties to the instant suit. In the former suit the plaintiff, Dr Mwikwabe Magere, was claiming allowances underpaid to him when he was transferred to Shinyanga. In the former suit the issues for decision, as shown at page 3 of the typed judgement, were:

1. Whether the plaintiff was transferred from Mugumu to Shinyanga.
2. Whether he was entitled to payment of any monies as a result of such transfer;
3. Was he paid?
4. Any other relief?

In the instant case the plaintiff is claiming for.

(a) A declaration that the plaintiff's dismissal from employment by the Government is unlawful;

(b) Reinstatement and payment of all benefits from the date of the purported dismissal.

It is clear that explanation III of section 9 is not applicable. The real contentious matter is the point of law stipulated by Explanation IV, which is as follows:

> Any matter which might and ought to have been made ground of defiance or attack in such former suit shall be deemed to have been a matter directly and substantially in issue in such suit.

At the time the former suit was instituted, the plaintiff's Contract of Employment with the Government had already been terminated. The judgment in Civil Case Number 34 of 1993, Masanche, J. says:

> The plaintiff got instantly dismissed by his employer. He got dismissed for both absconding from work and insubordination. Indeed, at the time of this case, the plaintiff was jobless.

The issue then is whether the instant suit is *res judicata* because the plaintiff should have claimed what he is claiming in the instant suit in Civil Case Number 34 of 1993. In other words, whether issues raised in the instant suit are matters which might and ought to have been made ground of attack in Civil Case Number 34 of 1993.

Mulla on the Code of Civil Procedure, (13 ed) at page 62 states:

> A matter which might and ought to have been made a ground of attack or defence is a matter which is constructively in issue. It often happens that a matter which might and ought to have been made a ground of attack by the plaintiff to substantiate the relief claimed by him in the suit is not alleged by him as a ground of attack; and also that a matter which might and ought to have been made a ground of defence by the defendant is not set up as a ground of defence. A matter, which might and out to have been made a ground of attack or defense in the former suit, but which has not been alleged as a ground of attack or defense, will be deemed to have been a matter directly and substantially in issue in such suit; that is to say, though it has not been actually in issue directly and substantially, it will be regarded as having been constructively in issue directly and substantially.

Mulla, at pages 66 to 70 puts forward 4 rules for determining the question whether a matter might have been made a ground of attack of defense in the former suit. [rule III reads:]

> Rule III: Where the right claimed in the subsequent suit is different from that in the former suit, and it is claimed under a different title, the subsequent suit is not barred as *res judicata.*

The instant suit falls under that rule. The right claimed in the instant suit is quite different from that claimed in the former suit. It was not necessary to plead wrongful termination of the Contract of Employment in order to substantiate the relief claimed in the former suit, which was the underpayment of transfer allowances.

Halsbury's Laws of England (3 ed), Volume 15 at page 191 it is stated:

> A plaintiff is allowed to bring successive actions in respect of the very same circumstances, provided those circumstances give rise to two different causes of action [*Brunsden v. Humphrey* (1884)14 QBD 41]. So an action for false imprisonment is no bar to a subsequent action for a malicious prosecution following on the same arrest, even though the jury improperly gave damages in the first action for imprisonment consequential on the prosecution: *Guest v. Warren* (1854) 9 Each 379.

In the instant matter, the plaintiff had two distinct causes of action. The first cause of action is based on the fact of having been transferred to Shinyanga by letter dated 16 June 1993 and being underpaid transfer allowances. In a bid to recover the amount underpaid he instituted Civil Case Number 34 of 1993. Judgment was entered in his favor. The second cause of action is based on termination of his Contract of Employment. He sought redress by instituting this suit. The Contract of Employment was terminated by letter dated 26 November 1993. The two incidents related to different periods and constitute two distant causes of action. It was not necessary that they should be dealt with in the first suit. It is also clear that it was not necessary to plead termination of employment in the first suit to substantiate

his claim for payment of transfer allowances. In other words the decision in the first suit did not depend on the issue of termination of employment contract. The claim in the former suit was for payment of transfer allowances, while in the subsequent suit the plaintiff is seeking a declaration that the plaintiff's dismissal from employment was unlawful, reinstatement and payment of all benefits since the date of the purported dismissal. It is clear that the previous suit did not cover the subject matter in the subsequent suit. Accordingly issues raised in the subsequent suit are not matters, which might and ought to have been made ground of attack in Manza High Court Civil Case Number 34 of 1993. For the above reasons *rest judicator* does not apply. The second ground of the Preliminary Objection is accordingly overruled.

EMBASSY MABEJA *v.* LUGODEJA LUGUSHWA

HIGH COURT OF TANZANIA
AT TABORA
(Mwita, J.)

(PC) CIVIL APPEAL No. 51 OF 1998

Civil Practice and Procedure – Maintenance of infant children – Claim for arrears of maintenance of infant children – Whether it is a claim for damages for a civil wrong under customary law.

Family Law – Limitation of Actions – Claim for arrears of maintenance of infant children – Claim instituted in December 1997 for 12 year's maintenance from 1982 to 1992 – Whether the claim is time-barred – Section 135 of the Law of Marriage Act 1971.

In December 1997 the appellant instituted a claim for arrears of maintenance of 4 children of his sister, who was separated and later divorced from her husband, from

1982 to 1995. The Primary Court granted the claim. The District Court revised the proceedings and declared the grant null and void on the ground that the claim was time-barred under the Customary Law (Limitation of Proceedings) Rules 1963 (G.N. 311/1964). On appeal to the High Court:

Held: (i) A claim for maintenance of infant children is not a claim under customary law but a claim based on section 29 of the Law of Marriage Act 1971.

(ii) As the appellant maintained the children from 1982 to 1995 and instituted proceedings for recovery of arrears of maintenance in December 1997, and section 135 provides for a three years limitation period for the same, the arrears of maintenance for the year 1995 are not time-barred;

Appeal allowed in part

Statutory provisions referred to:

(1) Law of Marriage Act 1971, sections 29 and 135

JUDGMENT

(Delivered 17 February 2000)

Mwita, J.: Lugodeja Lugushwa was married to Embassy Mabeja's sister, Juliana. The marriage was blessed with 4 children. In 1982 Juliana and Ludogeja Lugushwa became separated. Juliana together with her 4 children went to live with her brother, Embassy Mabeja. A year after separation the marriage was dissolved by the court. In 1995, with the assistance of Sungusungu, Lugodeja Lugushwa regained custody of the 4 children. In 1997 Embassy Mabeja instituted a suit against Lugodeja Lugushwa at Ukune Primary Court, Kahama District, claiming 22 cattle (valued at TZS. 200 000) being cost of maintenance of the 4 children for 12 years when they were under Embassy Mabeja's custody. The Primary Court entered judgment in favour of Embassy Mabeja as prayed. There was no appeal from the decision. However, it appears that Lugodeja Lugushwa did in May 1998 write a letter to the District Court, Kahama complaining about the Primary Court's decision. As a result of such complaint, the Kahama District Court

called up the Primary Court's record. On perusal of the record the District Court made a revisional order to the effect that the Primary Court Proceedings were null and void as the claim was time-barred by virtue of the Customary Law (Limitation of Proceedings) Rules 1963 (G.N. Number 311 of 1964).

Aggrieved by the District Court's decision Embassy Mabeja (appellant) has appealed to this court. At the hearing of this appeal both parties appeared in person; neither was represented by counsel.

The issue for determination in this appeal is whether or not Embassy Mabeja's claim is time barred. The learned District Magistrate was of the view that this is a claim for damages for a civil wrong the limitation period of which, in terms of the Customary Law (Limitation of Proceedings) Rules 1963, is three years. With due respect, I do not think such a view is correct. In my opinion a claim for arrears of maintenance is not a claim for damages for a civil wrong. A claim of this nature could have been covered under rule 5 of the Customary Law (Limitation of Proceedings) Rules 1963, which provides:

> where any proceeding is brought for the enforcement of a claim under customary law for which no period of limitation is prescribed by these rules, the court may reject the claim if it is of the opinion that there has been unwarrantable delay in bringing the proceeding and that the just determination of the claim may have been prejudiced by the delay.

In any case, I am of the view that a claim for maintenance of infant children is not a claim under customary law. Such a claim is provided for under the Law of Marriage Act 1971. section 29(1) of the Act provides:

> Save where an agreement or order of court otherwise provides, it shall be the duty of a man to maintain his infant children, whether they are in his custody or the custody of any other person, either by providing them with such accommodation, clothing, food and education as may be reasonable having regard to his means and station in life or by paying the cost thereof

section 130 empowers the court to order a man to pay maintenance for the benefit of his infant child if he has deserted his wife and the infant is in her charge; or during the pendency of any matrimonial proceedings. Such order may direct payment to the person having custody or care and control of the infant.

Section 135 provides for recovery of arrears of maintenance less than three years before the institution of the suit.

In the instant appeal the appellant maintained the 4 children for the period 1982 to 1995. He instituted proceedings for recovery of arrears of maintenance in December 1997. Hence arrears of maintenance for the year 1995 are not time-barred. They are recoverable. The appellant had claimed 22 heads of cattle (valued at TZS. 200 000) as arrears of maintenance for 12 years. Based on that figure it would appear that one year's maintenance would be about TZS. 20 000. It is so ordered. The appeal is thus allowed in part. Each party to bear his own costs.

REGISTERED TRUSTEES OF MABINTI WA MARIA *v.* NBC HOLDING CORPORATION

HIGH COURT OF TANZANIA
AT TABORA
(Mwita, J.)

CIVIL CASE No. 7 OF 1999

Limitation of actions – Set off or counter-claim from consequences of a mistake – Counter-claim presented nearly eight years after discovery of mistake – Whether the counter claim is maintainable – section 41 of the Law of Limitation Act 1971.

Banking – Vesting of liabilities after re-organization of NBC in 1997 – The NBC (Re-organization and Vesting of Assets and Liabilities) Act 1997.

The Mihayo Branch of the NBC wrongly credited the account of the plaintiff in the sum of USD 649 364-44 equivalent to TZS. 98 225 073. The amount credited purported to have been remitted by Lyonnais Bank. Believing the money was a donation the plaintiff spent part of it to the tune of TZS. 45 857 790-95. Later it came to be known that the money remitted to the plaintiff was USD 9364-44 and not USD 649 364-44. On 22 May 1991 the bank informed the plaintiff about the wrong credit entry and blocked all 17 accounts held by the plaintiff at the said bank. The bank's claim against Lyonnais Bank to recover the over credited amount of USD 640 000 was rejected.

In January 1996 at the plaintiff's request the bank unblocked 15 out of the 17 accounts. During the period the accounts were blocked they earned no interest. In 1999, the plaintiff filed a suit against NBC Holding Corporation claiming, *inter alia*, that the bank should credit the plaintiff's accounts all accrued interest at the existing rate for all the period they were blocked and general damages and exemplary damages for breach of contract. In its Written Statement of Defence, the defendant counter-claimed against the plaintiff TZS. 114 098 217-55. By then, because of the re-organization of NBC, Mihayo Branch fell under the National Microfinance Bank.

Before trial of the case on merit, Preliminary Objections were raised by both sides. The defendant's Preliminary Objection was that the plaintiff had sued the wrong party and the plaintiff was that the defendant's counter claim was time barred.

Held: (i) The provisions of paragraph (e) of sub-section (1) of section 10 of NBC (Re-organization and Vesting of Assets and Liabilities) Act 1997 as amended by Act Number 2 of 1998 indicate clearly that all liabilities of the defunct National Bank of Commerce dissolved under section 9 of Act Number 23 of 1997 were vested in the NBC Holding Corporation, the defendant in this suit; the plaintiff was, therefore, entitled to institute this suit against NBC Holding Corporation;

(ii) According to section 26 of the Law of Limitation Act 1971, where in the case of any proceedings for which a period of limitation is prescribed, the proceeding is for relief from the consequences of a mistake, the period of limitation shall not begin to run until the plaintiff has discovered the fraud or the mistake or could with reasonable diligence, have discovered it; the defendant can reasonably be taken to have discovered

the mistake on 28 June 1991, the date when the defendant informed the plaintiff that it had wrongly credited the plaintiff with the said amount;

(iii) In terms of section 41 of the Law of Limitation Act any claim by way of set-off or counter-claim is deemed to be a separate action and to have been commenced on the same date as the suit in which the set-off or counter-claim is pleaded; the instant suit was presented for filing on 11 June 99, that is nearly eight years since the defendant discovered the mistake. The counter-claim was time-barred.

Defendant's preliminary overruled and plaintiff's Preliminary Objection upheld

Case referred to:

(1) *Foley v. Hill* (1843–60) All ER Rep. 16

Statutory provisions referred to:

(1) NBC (Re-organization and Vesting of Assets and Liabilities) Act 1997, section 10

(2) Law of Limitation Act 1971, sections 41, 7 and 26

(3) National Microfinance Bank Limited Incorporation Act 1997, section 4

Mr Boaz, for the Plaintiff

Mr Mtaki, holding brief for Mr *Mihayo* for the Defendant

RULING

(Delivered 17 February 2000)

Mwita, J.: The registered Trustees of Mabinti wa Maria (Daughters of Mary), the plaintiff, had their bank accounts at the then National Bank of Commerce, Mihayo Branch, Tabora. By credit advice dated 17 November 1989, the said Mihayo Branch of NBC informed the plaintiff that it had received from Lyonnais Bank USD 649 364-44 equivalent to TZS. 98 225 073 being held by the said bank at the disposal of the plaintiff. The said bank advised the plaintiff to open a short term deposit account, which the plaintiff did on 23 November

1989. The plaintiff, apparently believing the said money to be a donation to it, spent part of it to the extent of TZS. 45 857 790-95.

It afterwards transpired that M/s Stg. Missie Commis had in fact remitted only USD 9 364-44 and not USD 649 364-44 as the bank advice dated 17 November 1989 indicated.

On 22 May 1991, the bank informed the plaintiff that the said money was wrongly credited to it and blocked all 17 bank accounts held by the plaintiff at the said bank.

NBC then instituted proceedings in Europe against Credit Lyonnais Bank Nederland NV (CLBN) claiming USD 640 000 the amount over-credited to the Registered Trustees of Mabinti wa Maria as a result of negligent and inaccurate information by CLBN. NBC's claim was rejected on 7 September 1995. At the plaintiff's request, in January 1996, 15 out of 17 accounts were unblocked by the said bank.

During the period the said accounts were blocked no interest was credited to them.

The plaintiff has instituted a suit against NBC Holding Corporation (the defendant) claiming, *inter alia:*

(a) A declaration that the plaintiff is not responsible in any way for the negligent transfer and loss of funds between NBC and CLBN.

(b) Specific performance of the contract of banking by the defendant by crediting the plaintiff s accounts all the accrued interest at the existing rate.

(c) General and exemplary damages for breach of contract by the defendant.

In their Written Statement of Defence the defendant has counter-claimed against the plaintiff TZS. 114 098 217-55. Taking into account the amount of TZS. 74 000 000 in respect of the blocked accounts, the amount to be recovered is alleged to be TZS. 40 098 217-55.

At the hearing of the matter on 25 November 1999 the plaintiff was represented by Mr Boaz, learned advocate, and the defendant

was represented by Mr Mtaki, learned advocate, who was holding the brief for Mr Mihayo, learned advocate for the defendant.

Before trial of the matter on the merits, Preliminary Objections were raised by both sides. The defendant's Preliminary Objection was to the effect that the plaintiff had sued a wrong party. The plaintiff objected to the counter-claim by the defendant on the ground that the said counter-claim is time-barred.

I will start with the Preliminary Objection by the defendant. It appears that between the time when the cause of action arose and the time when this suit was instituted, the National Bank of Commerce established in 1967, the Mihayo Branch of which blocked the plaintiff's accounts, was dissolved and its assets and liabilities vested in three new financial institutions. In terms of section 9 of the National Bank of Commerce (Re-organization and Vesting of Assets) Act Number 23 of 1997, the National Bank of Commerce established in 1967 was dissolved with effect from 15 October 1997. In its place three institutions were established: The NBC (1997) Limited Incorporation Act Number 21 of 1997 authorised the Minister responsible for finance to cause to be incorporated a company to be known as the National Bank of Commerce (1997) Limited or NBC (1997) Limited. Such company was to be incorporated by 25 September 1997 and to be licensed as a bank by 30 September 1997.

The National Microfinance Bank was incorporated pursuant to the provisions of the National Microfinance Bank Limited Incorporation Act 1997. The NBC Holding Corporation was established under section 4 of the National Bank of Commerce (Re-Organization and Vesting of Assets and Liabilities) Act Number 23 of 1997.

The first schedule to Act Number 23 of 1997 indicated which branches of the former National Bank of Commerce established in 1967 (which is dissolved) constitute NBC (1997) Limited and which constitutes NMB Limited.

The former NBC Mihayo Branch is now NMB Mihayo Branch. It is Mr Mtaki's contention that since the plaintiff is suing the defendant

for purported breach of a contract of banking which had existed between the plaintiff and the then Mihayo Branch of the defunct NBC at Tabora, the right institution which ought to be sued by the plaintiff is the National Microfinance Bank, Mihayo Branch, Tabora, and not the NBC Holding Corporation.

Subsection (4) of section 4 of the National Microfinance Bank Limited Incorporation Act 1997 as amended by Act Number 2 of 1998 reads:

> The assets and rights in respect of the banking business of the specified branches to which the former bank was entitled immediately before the vesting date shall be vested in the Bank in accordance with the provisions of the National Bank of Commerce (Re-organization and Vesting of Assets and Liabilities) Act 1997.

Similarly, subsection (4) of section 3 of the NBC (1997) Limited Incorporation Act 1997 as amended by Act Number 2 of 1998 provides:

> The assets and rights in respect of the banking business of the specified branches to which the former bank was entitled immediately before the vesting date shall be vested into the company in accordance with the provisions of the National Bank of Commerce (Re-Organization and Vesting of Assets and Liabilities) Act 1977.

It is clear from the above provisions that neither the NBC (1997) Limited nor the National Microfinance Bank Limited was vested with any liabilities of any branch of the defunct NBC. Paragraph (e) of subsection (1) of section 10 of the National Bank of Commerce (Re-organization and Vesting of Assets and Liabilities) Act 1997 as amended by Act Number 2 of 1998 reads:

> (e) in respect of non-banking assets, all other residual assets and all liabilities, whether arising from banking or non-banking assets, and business of the former bank not transferred and vested by paragraphs (a), (b), (c) or (d) of this subsection, be transferred to and vest in the corporation.

In terms of section 2 of Act Number 21 of 1997, section 3 of Act Number 22 of 1997 and section 3 of Act Number 23 the term "Corporation" means the NBC Holding Corporation established under section 4 of Act Number 23 of 1997.

The above provisions indicate clearly that all liabilities of the defunct National Bank of Commerce dissolved under section 9 of Act Number 23 of 1997 were vested in the NBC Holding Corporation, the defendant in this suit. The plaintiff was, therefore, entitled to institute this suit against NBC Holding Corporation. The Preliminary Objection is accordingly overruled.

I must now consider the Preliminary Objection in relation to the counter-claim. In the reply to the written statement of defence, the plaintiff had put forward Preliminary Objection to the counter-claim on three grounds, namely:

(a) That the counter-claim has been raised against a wrong party,

(b) That the counter-claim is time barred,

(c) That the defendant is estopped from claiming the money in question.

At the hearing Mr Boaz elected to argue only the issue of limitation. Mr Boaz argued that since the wrongful transfer was effected on 17 November 1989, and the counter-claim was lodged on 17 September 1999, and since the cause of action is alleged to be founded on tort, the counter-claim is time barred because under item 6 of the first schedule to the Law of Limitation Act 1971, the period of limitation for a tort is three years. Mr Boaz went on to argue that even if the defendant was suing on contract, the period of limitation would be six years. He argued that the defendant was aware of the alleged wrongful transfer of funds since 1989 according to paragraphs 10 and 11 of the counter-claim but never claimed the money at all instead it opted to sue the foreign bank which sent the money. Mr Boaz contends that since the case in Europe was decided against NBC in September, 1995, by the time the counter-claim was filed the claim was time-barred.

Mr Mtaki's reply was to the effect that the counter-claim is not time barred as the plaintiff was committing continuous wrongs when upon demand by the defendant the plaintiff was refusing to surrender the amount over-credited to their account in 1985, that in terms of section 7 of the Law of Limitation Act 1971 the cause of action by the defendant against the plaintiff accrued when the plaintiff filed this suit on 11 June 1999.

Section 7 of the Law of Limitation Act 1971 provides:

> Where there is a continuing breach of contract or a continuing wrong independent of contract a fresh period of limitation shall begin to run at every moment of the time during which the breach or the wrong, as the case may be, continues.

In the instant case, what appears to have happened is that the plaintiff was wrongly credited with a certain amount of money. The defendant, on realising the mistake, so informed the plaintiff, blocked the plaintiff's accounts then instituted a suit against the bank that gave a wrong communication which led to the wrong crediting of the plaintiff with the said money.

In *Foley v. Hill* (1) the House of Lords said:

> The relation between a banker and a customer, who pays money in the Bank is the Ordinary relation of debtor and creditor, with the superadded obligation arising out of the custom of bankers to honour the customer's drafts and that relation is not altered by an agreement by the banker to allow interest on the balances in the Bank.

Hence, in the instant case, the relationship between the parties is that between debtor and creditor. The defendant was claiming the amount wrongly credited to the account of the plaintiff and the plaintiff might have resisted. I do not see how refusal, negligence or inability to pay a debt can amount to continuous acts of wrong-doing or breach of contract in terms of section 7 of the Law of Limitation Act. I also do not see how filing of a suit in the circumstances of this case can give rise to a cause of action.

From the pleadings, it is clear that the defendant, by its counter-claim, is seeking relief from the consequences of a mistake. The mistake being crediting the plaintiff with USD 649 364-44 instead of USD 9 364-44.

Section 26 of the Law of Limitation Act 1971 provides:

> Where in the case of any proceedings for which a period of limitation is prescribed:
>
> (a) ...
>
> (b) ...
>
> (c) The proceeding is for relief from the consequences of a mistake, the period of limitation shall not begin to run until the plaintiff has discovered the fraud or the mistake, or could, with reasonable diligence, have discovered it.

In the instant case, the defendant can reasonably be taken to have discovered the mistake on 28 June 1991, the date when the defendant informed the plaintiff that it had wrongly credited the plaintiff with the said amount. Refusal, neglect or inability to refund the amount wrongly credited by a banker to a customer being breach of contract the period of limitation, by virtue of item 7 of the first schedule to the Law of limitation Act is six years. In terms of section 41 of the Law of Limitation Act any claim by way of set-off of counter-claim is deemed to be a separate action and to have been commenced on the same date as the suit in which the set-off or counter claim is pleaded. The instant suit was presented for filing on 11 June 1999, that is nearly eight years since the defendant discovered the mistake.

The counter-claim would, therefore, appear to be time barred.

The end result is that the Preliminary Objection by the defendant to the effect that the suit has been instituted against a wrong party is overruled. The plaintiff's Preliminary Objection to the counter-claim to the effect that the counter-claim is time barred is upheld. Costs to abide the result of the main suit.

PRINCIPAL LABOUR OFFICER ON BEHALF OF LADZABIHO MWAMLWILO *v.* ZONAL DIRECTOR: SOUTH WEST ZONE TANESCO LTD, MBEYA

HIGH COURT OF TANZANIA
AT MBEYA

(Mackanja, J.)

DC. CIVIL APPEAL No. 19 OF 1999

(From Original Mbeya District Court Employment Cause No. 2 of 1998)

Labour Law – Contract of employment – Letter of offer setting conditions to be fulfilled by employee – Conditions not fulfilled – Whether there was a valid and enforceable Contract of Employment.

The Principal Labour Officer on behalf of one Ludzabiho Mwamlwilo instituted a suit against the respondent. It was claimed in the Lower court that the claimant was at first employed as a labourer but later employed on permanent terms as evidenced by the letter of employment which stated, *inter alia*, that the "offer is ... subject to your being medically fit" and that "the offer is also subject to the approval of the Board of Directors." The claimant never produced any evidence of medical fitness and neither was the approval by the Board obtained. Later, he was suspended from employment resulting in the suit filed in the lower, court which he lost. On appeal.

Held: (i) The two conditions set in the letter of employment constitute express terms of the contract; so the Contract of Employment remained inchoate to the day the appellant was discharged;

(ii) The letter of employment did not constitute a contract; it merely communicated the offer of employment to the appellant and could only be converted into a contract upon fulfilling the conditions set out therein.

Appeal dismissed

Cases referred to:

(1) *Ready Mixed Concrete (South East) Ltd v. Minister of Pensions and National Insurance* [1968] 2 QB 497

(2) *Short v. J and W. Henderson Ltd* (1946) 62 T.L.R. 427

Mr Jones Labour Officer, for the Appellant

Mr Mbise/Mr Mwakolo, for the Respondent

JUDGMENT

(Delivered 18 February 2000)

Mackanja, J.: The Principal Labour Officer instituted a suit on behalf of one Ludzabiho Mwamlwilo against the Zonal Director of the South West Zone of the Tanzania Electric Supply Company Limited, popularly known by its acronym Tanesco. It was averred in the claim that the claimant was employed by Tanesco as a labourer from 21 March 1993 to 31 November 1995. It was further alleged that on 1 December, 1995 the respondent employed the claimant on permanent terms as evidenced by a Contract of Employment in terms of annexure "B" to the plaint. By that contract, the claimant was to receive a basic salary of TZS. 41 000 per annum. It is the claimant's case that he performed his function from the date of employment until 15 July 1996 when he was verbally suspended from employment. It is averred that because he was not paid his salary as agreed in the Contract of Employment, he claimed a commuted amount of TZS. 1 271 000, thereafter, he be paid his monthly salary until the respondent formally terminates the Contract of Employment, less TZS. 62 810-50 he received as wages in his capacity as a casual labourer.

The respondent denied liability, contending that the letter on which the claimant relied was no more than a letter of offer which set down conditions which had to be fulfilled before the contract became enforceable. Paragraph 9 of the said letter states that:

> 9. The offer is also subject to your being medically fit.

Paragraph 10 states thus:

> 10. The offer is also subject to the approval of the Board of Directors.

Indeed the opening part of that letter states that:

> With reference to your recent interview, we have pleasure in offering you an appointment with this company as Electrical Technician on senior terms and conditions of employment as follows...

The respondent maintains, therefore, that the letter communicated nothing more than an offer of employment. The claim was, in the end, dismissed after a full trial. Hence this appeal.

Mr Geoffrey Jonas, a Labour Officer who prosecuted the claim before the District Court, has lodged a Memorandum of Appeal that contains four grounds, namely:

1. that the trial magistrate erred both in law and in fact when he believed that the claimant had been employed as a casual labourer despite a duly signed contract;
2. that the learned magistrate erred when he believed that it was necessary for he claimant to produce documentary evidence showing that he was medically fit despite the fact that the respondent never informed the claimant that he terminated the Contract of Employment due to the non-production of a medical report as required by the contract;
3. that the learned trial magistrate erred when he held that Exhibit "P1" was not a Contract of Employment despite the fact that the claimant continued to work with the respondent without the contract being revoked; and
4. that the decision of the trial court was not supported by the weight of the evidence on record.

The appellant prays, therefore, that the appeal be allowed. Thus the issue that flows from the appeal is whether there existed an enforceable Contract of Employment between the litigants.

Now in order for a Contract of Employment or call it a contract of service, to be binding there are pre-requisites and pre-conditions that must be fulfilled. In particular, and as it was held in the English case of *Ready Mixed Concrete (South East) Ltd v. Minister of Pensions and National Insurance* (1) per Mackenna, J.:

> ... A contract of service exists if these ... conditions are fulfilled. (i) The servant agrees that, in consideration of a wage or other remuneration, he will provide his own work and skill in the performance of some service for his master, (ii) He agrees expressly or impliedly, that in the performance of that service he will be subject to the other's control in a sufficient degree to make that other master ...

Those are but the most important conditions which, when applied, may lead to the conclusion that indeed a contract of service or employment does exist. There is yet another matter which must be considered, and that is the employer's right of the selection of his servant as was pointed out by Lord Thankerton in *Short v. J and W Hendrson Ltd* (2) at page 429.

The selection of an employee is not one transaction. It is a process of several stages. There will be an advertisement of the existence of the job; the interview of those contesting to get it; and the choice of one of them. Ordinarily after the choice is made the successful candidate will be given pre-conditions to fulfill, including production of a report for medical fitness. And where the interviewer is not the employer, recruitment may be subject to approval by the employer. Finally the successful candidate must communicate his acceptance of the offer to the prospective employer.

In the instant case, having succeeded the interview, the appellant was offered employment in terms of exhibit page L. In paragraph 9 of the letter of offer the appellant was informed thus:

> 9. The offer is also subject to your being medically fit.

Necessarily, this implied that he had to undergo medical examination and he was required to pass that examination. It is abundantly clear that the appellant never produced any evidence for medical fitness. In paragraph 10, it is stated that the offer was subject to approval by the Board of Directors. No such approval was ever obtained. The two conditions constitute express terms of the contract. So the Contract of Employment remained inchoate to the day the appellant was discharged on 15 July 1996.

There is, of course, the appellant's argument that he was employed as a technician and that medical examination was meant not for new employment but for continuation of it. He insists that the document he relies on is a contract of service. I think such an argument cannot be tenable because the evidence clearly shows that all along, including the time when he was interviewed, the appellant was working as a labourer. His status would have changed if he had fulfilled the pre-conditions for his permanent employment. In tandem with this argument, there is the contention that Annexture "B" to the plaint is a Contract of Employment. The opening part of that letter reads that:

> With reference to your interview, we have pleasure in offering you an appointment with the company ...
>
> Then there follow the several paragraphs:
>
> 1. Basic Salary — Your basic salary will be ...
> 2. Probation — The period of probation will be ...
> 3. ...
> 4. Leave — The leave entitlement will be ... etc.

The letter looks into the future. It could be converted into a contract subject to fulfilling the several pre-conditions I have covered. It does only one thing; it communicates the offer of employment to the appellant. Finally, let me say that the appeal was heard *ex parte* because the appellant defaulted to appear even though learned counsel was aware.

I am satisfied, therefore, that the appeal is devoid any merit. It is dismissed with costs.

DAY AND NIGHT PHARMACY LTD *v.* TANZANIA SEWING MACHINE COMPANY LTD.

HIGH COURT OF TANZANIA AT ARUSHA

(Msoffe, J.)

CIVIL CASE No. 22 OF 1999

Landlord and Tenant – High Court – Jurisdiction of the High Court in disputes between landlord and tenant – High Court's jurisdiction impliedly barred – Rent Restriction Act 1984 and section 7(1) of the Civil Procedure Code 1966.

The plaintiff, a tenant, alleging breach of a tenancy agreement by the defendant landlord filed a case in the High Court. A Preliminary Objection was raised that the High Court should not try the case because its cognizance is impliedly barred by virtue of section 7(1) of the Civil Procedure Code 1966 and the Rent Restriction Act 1984.

Held: (i) Although there is no express provision ousting the High Court's jurisdiction to deal with landlord and tenant dispute, there is an implied bar by virtue of the Rent Restriction Act 1984 which establishes a specific body to deal with matters of this nature;

(ii) Where the legislature has established a special forum for dealing with a specific matter, the Civil courts will not normally entertain the matter unless the aggrieved party can satisfy the court that no appropriate remedy is available in the special forum.

Preliminary Objection upheld, suit struck out

Cases referred to:

(1) *Attorney-General v. Lohay Akonaay and another* [1995] TLR 80 (CA)

(2) *Asia J Mushi v. Daudi Bakari*, High Court (Arusha) Civil Case Number 57 of 1990

(3) *Dr section Mamuya v. J Lemunge*, High Court (Arusha) Civil Case Number 48 of 1996

(4) *Upendo Mjema v. Simon John Mapolu*, High Court (Arusha) Civil Case Number 88 of 1989

Statutory provisions referred to:

(1) Rent Restriction Act 1984

(2) Civil Procedure Code, 1966, section 7(1)

(3) Restriction Act Number 17 of 1984

(4) Regional Housing Tribunal Act section 12(1), (5)

Mr Colman Ngalo, for the Plaintiff

Mr Alute Mughwai, for the Defendant

RULING

(Delivered 28 February 2000)

Msoffe, J.: In the Written Statement of Defence the defendant company i.e. Tanzania Sewing Machine Company Limited, has raised Preliminary Objections regarding the competence of the suit. The objections are:

(a) That the suit is one cognizable by the Regional Housing Tribunal under the Rent Restriction Act 1984 and its cognizance by this Honourable Civil court is impliedly barred by section 7(1) of the Civil Procedure Code 1966.

(b) That in the alternative, the suit has been instituted in the wrong court, in that this Honourable court is not the court of the lowest grade competent to try it.

(c) That the plaint is bad in law in that it does not contain facts showing how the court has jurisdiction.

Messrs. Alute Mughwai and Colman Ngalo have appeared and filled written submissions in support of and in opposition to the Preliminary Objections respectively.

In the first ground of objection, Mr Alute Mughwai has taken the view that this court should not try the suit because its cognizance is implied barred by virtue of section 7(1) of The Civil Procedure Code, 1966. In his submission, since this is a simple landlord and tenant dispute it could as well be dealt with under the Rent Restriction Act Number 17 of 1984 by being filed at, and dealt with by, the Regional Housing Tribunal. He has urged that Parliament, after all, established the Rent Tribunal specifically to deal with all matters incidental to or connected with relationship of landlord and tenant. In support of the objection, he has cited the decision of the Court of Appeal of Tanzania is *Attorney General v. Lohay Akonaay and another* (1) to underscore the point that since there is a body specifically established to deal with disputes of the nature pleaded in this suit then it will be better that this matter be dealt with by the Rent Tribunal. In his view, that would be the appropriate cause to take for, after all, the tribunal's "rules of procedure and evidence are more flexible and the remedies quicker and just as effective. In any case, he went on to urge " ... the facts for preferring the High Court instead of the Housing Tribunal ought to have, but were not, pleaded in the Plaint itself."

In response, Mr Colman Ngalo learned advocate for the plaintiff, has argued that it is trite law that only clear and unambiguous words in a statute can oust the jurisdiction of the court. In his view, there is no clause in The Rent Restriction Act which specifically ousts the jurisdiction of this court. To this extent he has cited this court's decisions to demonstrate that the Act does not oust the jurisdiction of this court – *Asia J Mushi v. Daudi Bakari* (2) and Dr *S Mamuya v. J Lemunge* (3).

There is no serious dispute that this is a landlord and tenant dispute in which the plaintiff is alleging breach of a tenancy agreement by the defendant who is his landlord. At the centre of contention, at

this stage, is whether this court is barred from exercising jurisdiction over the matter. In my understanding of the submissions filed by learned counsel, it appears to me that both are agreed that there is no express bar ousting this court's jurisdiction. At stake, here, is the fact that Mr Alute Mughwai has gone further to say that this court's jurisdiction is impliedly barred in view of the enactment of The Rent Restriction Act Number 17 of 1984 read together with section 7(1) of The Civil Procedure Code 1966.

The Rent Restriction Act Number 17 of 1984 came into force in order to establish Regional Housing Tribunals and the Housing Appeals Tribunal and for matters incidental or connected with relationship of landlord and tenant. Under section 12(1)(5) of the said Act the Regional Housing Tribunal has power "to exercise jurisdiction in all civil matters on questions of this Act". It will be clear here that the tribunal is vested with the necessary jurisdiction to deal with all matters connected with landlord and tenant relationship. It will also be clear that there is no limit to the pecuniary jurisdiction of the rent tribunal in matters concerning landlord and tenant relationship. Indeed, there is sense in the unlimited jurisdiction of the tribunal because sometimes it may have to deal with premises worth millions of shillings.

In my judgment, I wholeheartedly agree with learned counsel that there is no express provision ousting this court's jurisdiction to deal with the matter at stake. However, I am inclined to believe and hold that there is an implied bar by virtue of The Rent Restriction Act 1984 which establishes a specific body to deal with matters of this nature. In my view, the legislature in its wisdom enacted The Rent Restriction Act 1984 so that landlord and tenant matters could best be dealt with there. Indeed, the legislature went on further to provide under section 43(1) thereof for second appeals from the Housing Appeals Tribunal to the High Court on matters of fact or both law and fact. Surely, under the scheme of the Act if the legislature had intended to confer concurrent jurisdiction over rent restriction matters to the High Court, the Act would have specifically stated

so. In the absence of such clear provision, it will be fair to say that this court's jurisdiction over such matters is only implied. This view finds the support of Munuo, J. in *Upendo Mjema v. Simon John Mapolu* (4), cited to me by Mr Alute Mahwai.

As correctly argued by Mr Alute Magwai, indeed the Court of Appeal of Tanzania has since given a useful guidance on cases of this nature. The guidance is to be found in the case of *Attorney General v. Lohay Akonaay and another* (1) (which has since been reported as 1995 – T.L.R. 80) that where the legislature has established a special forum for dealing with a specific matter, the Civil courts will not normally entertain the matter unless the aggrieved party can satisfy the court that no appropriate remedy is available in the special forums. In my reading and understanding of Mr Ngalo's submissions, I have not been able to discern any point showing that there is no appropriate remedy available for the plaintiff if the matter is filed in the Housing Tribunal. I appreciate that much was canvassed by him in answer to the alternative second point of objection that the plaintiff is claiming, *inter alia,* for general damages which are far in excess of the pecuniary jurisdiction of the Resident Magistrate's Court. However, the point would have relevance only if this was a matter concerning the Resident Magistrate's Court *vis a vis* this court's jurisdiction. The point has no relevance to this matter which can appropriately be dealt with by the Housing Tribunal as earlier stated.

In the light of what I have said and held above, there will be no need to discuss and rule on the other alternative points of objection. Accordingly, the first preliminary point of objection is upheld with the result that the suit is struck out with costs.

JONATHAN MGONJA v. MANAGER/HEADMASTER of TRUST JUNIOR ACADEMY (MR PATRICK KHANYA)

HIGH COURT OF TANZANIA AT ARUSHA

(Msoffe, J.)

CIVIL CASE No. 17 OF 1999

Civil Practice and Procedure – Withdrawal of suit without leave of court to file a fresh suit – No fresh suit in respect of same subject matter may be filed.

The plaintiff instituted Civil Case Number 42 of 1998 in the court of the Resident Magistrate in Arusha. On 20 April 1999 he applied to withdraw the suit. The application was granted and he withdrew the suit. Later the plaintiff filed a suit in respect of the same subject matter in the High Court as Civil Case Number 17 of 1999. At the instance of the defendant, a Preliminary Objection was raised that the plaintiff having withdrawn the previous suit without the court's permission to refile, was precluded from instituting a fresh suit in respect of the same subject matter. In reply, the plaintiff argued that he applied for and was granted leave to withdraw the case with liberty to file it afresh.

Held: (i) From the record of the proceedings there was no application by the plaintiff to withdraw the suit with liberty to refile; it was only fair and prudent that the learned Resident Magistrate make no order for liberty to the plaintiff to refile.

Preliminary Objection upheld; the suit is struck out

Statutory provision referred to:

(1) Civil Procedure Code 1966, Order 23, rule 10(2) and (3)

RULING

(Delivered 29 February 2000)

Msoffe, J.: A preliminary point of objection has been taken at the instance of the defendant that the plaintiff having withdrawn a previous suit without the court's permission to refile, is precluded from instituting any fresh suit in respect of the same subject matter. Apparently, it is common ground that the plaintiff instituted Civil Case Number 48 of 1998 in the Resident Magistrate's Court at Arusha in a claim that forms the same subject matter in this suit. On 20 April 1999 he withdrew it. In the defendant's view, he cannot institute this suit since the aforesaid order for withdrawal did not carry a further order that he could refile. In response, the plaintiff has admitted instituting and withdrawing the aforesaid suit. He has, however, maintained that his application for withdrawal was with liberty to refile. In other words, he is of the view that there was an improper recording of all that transpired in the proceedings of 20 April 1999. To emphasize the point he urged as follows:

> ... it is inconceivable that I would have voluntarily filed RM's court Civil Case Number 42 of 1998 and then on 20 April 1999 prayed to withdraw the same apparently without any reason whatsoever.

It is clear in my mind that both parties are very much alive to the fact that the law governing the issue at stake here is Order 23, rule 10(2) and (3) of the Civil Procedure Code 1966. Both parties are agreed that any refilling needed prior permission of the court. According to the defendant, no permission or leave was ever sought for and granted. The plaintiff maintains that his application for leave was with leave to refile.

It is fair and safe to say that this is a court of record. As such, it certainly bound to believe the record before it. In my research, I called for and perused the Record of Proceedings of 20 April 1999 in RM's court Arusha, Civil Case Number 42 of 1998. I take judicial notice of that court's day's typed proceedings which read as follows:

20 April 1999

Coram: H Shaidi – RM

Plaintiff: Present in person

Defendant: Lundu, for

Inter: Kessy

Mr Lundu – This matter is for hearing PO's but we have another matter proceeding before honourable Mushi no witnesses came from Kiteto. We pray for another mention date.

Plaintiff: My advocate is attending seminar at Esami. However, I pray to withdraw the case if your court will allow me.

Mr Lundu: We have no objection but since we prepared ourselves in the main suit in application we should be paid our costs.

Order: (1) The matter is hereby withdrawn by the plaintiff is allowed himself.

(2) The plaintiff should incur costs spent by the defendant.

Sgd. H. Shaidi – RM

20 April 1999

It will be clear from the above Record of Proceedings that there was no application by the plaintiff to withdraw with liberty to refile. Since there was no such application it was only fair and prudent that the learned Resident Magistrate made no order for liberty to the plaintiff to refile. I appreciate that the plaintiff has said and emphasized that the record is faulty in as much as it is not shown that his application was with liberty to refile. However, as earlier stated, this is a court of record. It is bound by the record before it. The record is against him.

The preliminary point of objection is accordingly upheld with the result that the suit is struck out with costs.

CECILIA MSHAMU *v.* DICK KAWOGO

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Kalegeya, J.)

(PC) CIVIL APPEAL No. 137 OF 1998

(From the judgment of the District Court at Kisarawe, Muya, DM, dated 30 June 1992)

Family Law – Marriage – Presumption of marriage – Both parties lacking capacity to marry.

Concubinage – Division of property on separation.

The respondent had petitioned for divorce and division of property before Kisarawe Primary Court. At the end of the trial the magistrate held that no marriage existed between the parties as the respondent had no capacity to marry since her monogamous marriage to Victoria Kagali contracted in 1970 had never been dissolved. The court however found that each of the parties was entitled to a share in the property acquired during their cohabitation and out of their joint ventures. The appellant, aggrieved by the holding that there was no marriage, appealed unsuccessfully to the District Court. Not being satisfied she appealed to the High Court, with six grounds of appeal. There was evidence at the trial from both the appellant and her sister that the respondent had a wife. The appellant further admitted that she had married one Hemed Mkulo in 1979. The first, second, fourth and six the grounds were either directed to the validity of the marriage certificate or failure by the District Court to hold that the appellant and respondent were husband and wife. The third and fifth grounds involved the division of property

Held: (i) So long as the marriage between the respondent and another woman remained undissolved, the respondent had no capacity to marry the appellant;

(ii) The respondent and the appellant lived in concubinage;

(iii) The division of the property as per concurrent findings of the two courts below cannot be faulted.

Appeal dismissed – No order as to costs

Case referred to:

(1) *Athumani Madenge v. Republic* EACA Criminal Appeal Number 29 (DSM)

Mr Ndyanabo, for the Appellant

Dr Lamwai, for the Respondent

JUDGMENT

(Dated 3 March 2000)

Kalegeya, J.: Cecilia Mshamu, appellant, represented by Mr Ndyanabo, advocate, is before this court challenging the decision of Kisarawe District Court in (PC) Civil Appeal Number 2 of 1992 on the following grounds:

1. That the Honourable District Court erred in law and in fact, in accepting the tendering of marriage certificate number 00638635 as additional evidence at the appeal level without recording the reasons thereof.
2. That the Honourable District Court erred in law and in fact, in accepting and having its decision on the above said additional adduced evidence, without demanding proof of the validity of the same.
3. That the Honourable District Court erred in law and in fact, in not evaluating the tendered evidence in totality and by not so doing reached at an erroneous conclusion depriving the appellant for her equal share of the properties jointly acquired.
4. That the Honourable District Court erred in law and in fact, in not taking cognizance of the fact that the appellant and respondent lived as husband and wife despite no evidence having been adduced to the contrary.
5. That the Honourable District Court erred in law and in fact, in holding that the farm at Kimani was a matrimonial property between the respondent and one Victoria Kagali.

6. That the Honourable District Court erred in law and in fact, in basing its decision on a forged marriage certificate".

The respondent, Dick Kawogo, is represented by Dr Lamwai, advocate.

The background to this controversy is as follows. The respondent petitioned before the Kisarawe Primary Court as follows:

> Madai haya ya talaka kwa sababu ya kutoelewana ndani ya nyumba ambayo yametolewa leo tarehe 29 April 1991 na mgawo wa mali yenye thamani ya shilingi laki tatu (TZS. 300 000) pamoja na vyombo mbali mbali ...

To prosecute his claims, he called 6 witnesses including himself while Appelant called 12 witnesses. This was during the hearing which had started *de novo* after the first trial magistrate, Chitembo PCM, had refused herself, after recording the evidence of 8 appellant's witnesses, following the appellant's expressed feelings of no confidence with the way the trial was being conducted.

At the end of the trial, Ligema, PCM, who had taken over the conduct of the case, concluded that no marriage existed between the two (appellant and respondent) save that they lived in concubinage and had joint business ventures through which they acquired various properties.

The trial court concluded that respondent had no capacity to marry as he was stillbound by a civil monogamous marriage contracted in 1970 between himself and Victoria Kagali. The court found however that each of the parties was entitled to a share in the properties acquired during their cohabitation and out of their joint business ventures.

The properties under controversy included development on plot numbers 29, 31, 34, 55, C.67; two farms, at Kimani and Mbise. Others are various household items, empty crates of soda, and liabilities of KC Enterprises joint venture. I should point out that some of these properties had amicably been divided among the parties before they knocked at the door of the court. The trial court respected this division. The division took the following direction. Developments on plots numbers 31 and 55 were awarded to appellant while those

on plots numbers 29 and 34 went to the respondent. The development on plot number C.67 was decreed to be a matrimonial property between respondent and Victoria Kagali, his wife, and so was the farm situated at Kimani.

The trial court also ordered for equal division of the empty soda crates and household items. It also ordered for equal sharing of liabilities of KC. Enterprises joint venture which an observation that the latter could be wound up or one of the partners could relinquish his/her share to the other.

The appellant being not appeased by the trial court's verdict tried her luck with the District Court complaining that the trial court erred in holding that there was no marriage between the two. She insisted that there was marriage and that being the case the property should be equally divided among them.

The District Court upheld the finding that no marriage existed. It also upheld the division of the property with one difference that although the developments on plot 67 were matrimonial property between respondent and Victoria Kagali, the appellant was entitled to half of the household items therein as she had contributed towards their acquisition. The appellant still dissatisfied is now before this court fronting challenges as already quoted at the beginning of this judgment.

I should point out at this point that although counsel applied and were allowed to effect their submission in writing, only Mr Ndyanabo for the appellant responded. Failure to act as directed by Dr Lamwai, however, has not deterred this court from composing judgment.

In his submission, Mr Ndyanabo, insisted, in support of grounds one and two, that in admitting marriage certificate number 00638635 as additional evidence on appeal the District Court violated section 21(1)(*a*) of the Magistrate's Court Act has no reason for the taking of such course was recorded; citing *Athumani Madenge v. Republic* (1) and **Phipson on Evidence**, by J H Buzzard, (12 ed), 1976 at 1703, argued that before admitting a documentary exhibit, the contents thereof

should have been established at the trial which is not the case here, and finally, that it was on the basis of this wrongly admitted evidence on appeal that influenced the District Court to hold that appellant and respondent were not wife and husband as the latter had no capacity to marry. On grounds three and four, Mr Ndyanabo insisted that the court erred in evaluating the evidence which clearly established that they were husband and wife, had engaged in businesses and jointly acquired properties.

With respect to Mr Ndyanabo, the Record of Proceedings of both courts below lay a formidable blow to grounds 1, 2, 4 and 6 of the petition of appeal. The centre-piece of these grounds is the alleged Marriage Certificate Number 00638635 in respect of a marriage between respondent and one Victoria Kagali.

I must confess that I have totally failed to find source of this alleged certificate which has set in confusion not only to the appellant's counsel but also to both the trial court and the District Court on appeal. I call it a confusion because they all make reference to this exhibit which is non-existent as far as the record goes. If anything this document should have been tendered by either Victoria Kagali who testified as second petitioner's witness or the petitioner himself. As the evidence goes however, none did so. Yet still you find the trial court, in its judgment, observing the following:

> SM2 Victoria Kagali baada ya kiapo ameeleza kuwa .... aliolewa na Mdai kwa ndoa ya Kiserikali. Shahidi ametoa cheti cha ndoa Na. 00638635 kama kielelezo "F" (see page 5 of the typed copy of judgment).

While analyzing the evidence, the trial court, again touched the matter in the following words:

> Katika kutafakari kwa makini katika ushahidi uliotolewa, na mdai, inaonyesha kuwa mdai kabla hajaishi na mdaiwa alikuwa bado anayo ndoa ambayo ipo hadi leo hii aliyokuwa amefunga na Victoria Kagali ambaye ni mke wa ndoa. Mdai alifunga ndoa na Victoria Kagali mnamo mwaka 1970 kwa ndoa ya Kiserikali naye SM2. Victoria Kagali akiunga mkono maelezo hayo ameithibitishia mahakama hii kwamba mdai ni mume wake wa ndoa, ameolewa mwaka huo huo wa 1970 kwa ndoa ya Kiserikali. Alidai ndoa yao imeandikishwa kuwa ya mke mmoja. SM2 Victoria Kagali ametoa cheti cha Ndoa Na E00638635 kama kielelezo cheti cha ndoa kimeonekana hapa Mahakamani kuwa kweli ndoa ya Dick Kawogo na Victoria Kagali ya mke mmoja na mume mmoja.

The above however is contrary to the evidence given by petitioner's witness number 2. At no point in her brief testimony does she make reference to any Marriage Certificate. The only statement leading to that direction, if at all, is the one appearing in the first sentence of her testimony in which she states:

> *Mdai ni mume wangu kuanzia mwaka 1970 alinioa kwa ndoa ya Kiserikali.* [emphasis supplied]

The District Court also falls in the same trap. At page 10 of the typed copy of judgment the said court states:

> Facts of the case showed that way back in 1973 the respondent married one Victoria Kagali at Njombe District before the Area Commissioner. The marriage which was registered vide Marriage Certificate Number E00638635 showed that it was a monogamous marriage see exhibit "F" filed herein.

I carefully scrutinized the proceedings of the District Court. At no point did any party apply to have additional evidence (which would have probably led to the production of that document as exhibit) adduced. Where then did the idea of the existence of such document spring from?

In the circumstances therefore I am surprised that counsel for the appellant had the audacity of taking up a complaint in respect of a matter which legally does not exist. Where did he get a motion that the District Court admitted additional evidence in a form of the alleged certificate? In any case, as I have shown, the idea regarding the existence of the alleged Marriage Certificate did not start with the District Court on appeal. The trial court itself orchestrates the idea long before the appeal found its way unto the doors of the District

Court. On this basis, grounds one, two, four and six stand dismissed as they are irrelevantly pegged.

The above leaves us with grounds 4 and 5. As they are intertwined I will deal with them at the same time and together. These two also should not detain us much. The evidence on record, supported by the appellant herself and her sister (DW6), leaves no one in doubt that long before the appellant and the respondent started their relationship and subsequent cohabitation, the respondent had a wife in the name of Victoria Kagali. The petitioner deposed unchallengly to the same effect, PW2, Victoria, uncontradictedly did the same. The appellant herself conceded as much in the following words during her deposition:

> ...Mke wake mdai ametoroka hapa siku nyingi hajakaa katika nyumba iliyojengwa hata siku moja.

while her sister (DW6) caps it all by testifying while responding to questions by the respondent during cross examination.

> Nafahamu anaye mke na watoto ambao tulikuwa tunakaa nao wakati mkewe hayupo.

The fact that, for one reason or another, for sometime, respondent decided to sideline Victoria whose position came to be filled by new blood in the form of the appellant, did not affect the obvious that until their marriage was dissolved, it reigned. It matters not how the two (appellant and respondent) behaved, enjoyed, collaborated or appeared before the general public. So long as the marriage between respondent and Victoria Kagali remained undissolved even if the parties (appellant and respondent) cohabited for a century their relationship would not attain a title of marriage because the respondent would not have the capacity to marry. Further to this, on the self-confession of the appellant, even herself seems to have had no capacity to marry because she had once been married, which marriage was not legally dissolved. During her cross-examination by the respondent the appellant is on record as having said,

> Hemed Mkulo alikuwa ni mume wangu nimeachana naye 1979 nimewahi kujenga naye nyumba na kununua radio moja na tape moja.

In the premises, I find nothing wrong with the Lower courts' concurrent findings that the parties lived in concubinage and that respondent and Victoria Kagali had a subsisting marriage between them.

Next is the question of division of property. The only disputed properties are the developments on the Kimani farm and plot number C67. On these also, the Lower courts amply analysed their acquisition and subsequent developments. I fully endorse the District Court finding regarding the distribution of the property on plot C67 and the farm. Why?

Regarding the plot, the respondent acquired it long before the relationship between the two was born. He has sufficiently proved that he was a TPDF worker; that he retired and was subsequently paid his pension benefits and started business before the appellant came in. His evidence that he effected the construction thereon using his own funds throughout remains unchallenged. On the same facts however, it stands undisputed that the flourishing of the business therein was as a result of joint efforts with appellant. The District Court decision that the household effects in the structure on plot C67, which include.

> ... one bed, one mattress, one dining table, four chairs, one table, twelve stools, five pails, six glass plates, six glass bowls, three dozen of glasses, one big jar, one big glass bowl, eight small plates, twelve spoons, one flask, 65 pieces of building material known as "*marumaru*", three ceiling boards, two pangas, five tea pots, one jerry-can, three trays and sixteen bed sheets.

Should be distributed equally between the parties is very sound. It is upheld.

As regards the farms, I also find nothing wrong with the distribution. The evidence, as analysed by the Lower courts, shows that the acquisition of the two farms was made by respondent but the developments thereon

were made jointly. The appellant has not proved that the developments made on the two farms are so different as to make the division so far made unfair to the appellant. She could have easily so indicated in her evidence. The respondent acquired the farm at Mwambise. He has a share therein. Notwithstanding the acquisition, the two courts have awarded ownership and the respondent's share therein to appellant as much as the appellant's share in Kimani farm has been awarded to respondent. In the absence of any revealed marked difference between the developments on the two farms common sense cannot fault the division.

In conclusion, as already indicated I uphold the decision of the District Court in entirety. Considering the long special relationship which existed between the parties and which unfortunately came to be segmented at the last minute I make no order as to costs.

ABDALLAH S MKUMBA *v.* MOHAMMED I LILAME

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Manento, J.)

(PC) CIVIL APPEAL No. 66 OF 1999

(From the decision of the Temeke District Court at Temeke)

Civil Practice and Procedure – Documents to accompany memorandum/petition of appeal to the High Court from Primary Court and Subordinate Courts – Order XXXIX, rule 1(1) of the Civil Procedure Code – Section 25(3) of the Magistrates' Courts Act 1984 – Rule 3(1) and (2) of the Magistrates' Courts (Primary Courts) (Judgment of Courts) Rules 1987 (G.N. Number 2 of 1988).

This was a second appeal by the appellant after being unsuccessful in the Primary Court as well as in the District Court. The appellant was claiming ownership of a

piece of land. The parties' advocates who appeared before the High Court also appeared for the parties in the District Court.

When the matter came for hearing, Mr Rweyemamu, the learned advocate for the respondent, raised a Preliminary Objection to the effect that the appeal was incompetent because the petition of appeal was not accompanied by a copy of the decree being appealed against. This, learned counsel submitted, was contrary to Order XXXIX, rule 1(1) of the Civil Procedure Code. Secondly, the same advocate, surprisingly, submitted that the judgment of the Primary Court (which he had defended in the District Court) offended rule 3 of the Magistrates' Courts (Primary Courts) (Judgment of Courts) Rules 1987 in that its judgment had been signed by the magistrate only. On the merits, learned counsel for the appellant submitted that the judgment of the District Court was based on hearsay evidence.

Held: (i) Appeals to the High Court in relation to matters originating from Primary Courts are governed by the provisions of section 25(3) of the Magistrates' Courts Act 1984 and are by way of a petition of appeal;

(ii) There is no legal requirement that a petition of appeal must be accompanied by a copy of the decree in appeals originating in Primary Courts.

(iii) The judgment of the court was signed by the Magistrate and one of the assessors and so formed the judgment of the court. Rule 3 of G.N. Number 2 of 1987 was, therefore, fully complied with.

Appeal dismissed

Case referred to:

(1) *HJ Stanley and Sons v. Ally Ramadhani Kunyamele* [1988] T.L.R. 250

Statutory provisions referred to:

(1) Civil Procedure Code, Order XXXIX, rule 1(1)

(2) Magistrates' Courts Act 1984, sections 25(3), 7(2), rule 3(1) and (2)

Mr Rutagitini, for the Appellants

Mr Rweiyimam, for the Respondent

JUDGMENT

(Dated 6 March 2000)

Maneneto, J.: This is a second appeal by the appellant, one Abdallah Mkumba. The appellant was the plaintiff at Temeke Primary Court where he filed a suit against the respondent, Mahamudu Issa Likame, in respect of a piece of land purported to be the property of the plaintiff. That was Civil suit Number 101 of 1997. Judgment was entered for the respondent and on appeal by the appellant, the Temeke District Court dismissed the appeal. The appellant being dissatisfied by the decisions of the Lower courts, he has filed this petition of appeal.

The appellant is represented by one city advocate known as Rutagitina while the respondent is represented by another city advocate, and Rweyimam. The same advocates had represented the respective parties at the District Court.

The basis of the judgments of the Temeke Primary Court and that of the District Court was that, the piece of land in dispute belonged to the respondent after he had purchased it from one Alli Mohamed Mketto, the owner of the said piece of land, which the respondent had developed by building a house. The house was built even before the suit was filed at the Temeke Primary Court. It is situated at a place called Yombo, in the city of Dar es Salaam.

After the petitioner had filed the petition of appeal, Mr Rweyemamu, learned counsel for the respondent, strongly and confidently raised two points of law, and warned the court not to ignore the irregularity in the appeal by the following words:

> This is an issue which this Honourable court will ignore only at the risk of playing havoc to the court of justice.

The irregularity is that the petition of appeal is not accompanied by a copy of the decree being appealed against. This is fatal under Order

39, rule 1(1) of the Civil Procedure Code 1966 which provides in part that:

> Every Memorandum of Appeal shall be preferred in the form of a memorandum ... and shall be accompanied by a copy of the decree.

The learned counsel fortified his argument by citing the case of *HJ Stanley and Sons Ltd v. Ally Ramadhani Kunyamele* (1) where it was held that:

> It is mandatory that a Memorandum of Appeal be accompanied by a copy of the decree. Under Order 39, rule 1(1) of the CPC, 1966 where a Memorandum of Appeal is not accompanied by a copy of the decree, there is no legal presentation of the appeal at all and so the appeal is incompetent.

The learned counsel for the appellant, also conceded to the submission on this point of law, and went on to give excusable reasons as to why he did not accompany his petition of appeal with a copy of the decree. He said that when he filed the petition of appeal at the District Court, he thought and believed that the District Court would attach the copy of the decree to the petition of appeal as it was in their possession, before the file could be forwarded to the High Court. In short, both the learned counsel believed that the submission on this legal point is correct. I am afraid, I differ with them, in that there is no legal requirement in appeals originating from Primary Courts to be accompanied with a decree. To differ with two other lawyers, one must have strong and legal reasons for that.

If this appeal had originated from the District Court or a court of Resident Magistrate as a court of original jurisdiction, then Order 39, rule 1(1) of the Civil Procedure Code 1966, would apply and the case of Stanley and Sons quoted above would be relevant. But this appeal originated from a decision of a Primary Court of Temeke. The law applicable is therefore the Magistrates' Courts Act Number 2 of 1984. There is a big difference between these two legislations in matters relating to appeals to the High Court. Whereas appeals against decisions of cases originating from a District Court or a

court of a Resident Magistrate the appeal is by way of a Memorandum of Appeal accompanied by a decree (see Order 39, rule 1(1) of CPC 1966), the appeals to the High Court in relation to matters originating in Primary Courts are by way of a petition of appeal under section 25(3) of the Magistrates' Courts Act 1984. Secondly, that whereas a Memorandum of Appeal and a copy of the decree under the CPC, 1966 order 39 (rule 1(1) is presented to the High Court, the petition of appeal is filed in the District Court, which, upon receipt of the petition, the District Court forthwith dispatches the petition, together with the record of the proceedings in the Primary Court and the District Court to the High Court. No where in the Magistrate Courts Act 1984, under which appeals originating from decisions of the Primary Court is the word decree mentioned or any other document to be accompanied to the petition of appeal. I would therefore conclude this issue by saying that both learned counsel, the one for the appellant and the other for the respondent, were equally harbouring on ignorance of the law applicable in this appeal. Therefore, though in ignorance, yet the learned counsel for the appellant was not wrong in not accompanying to the petition a copy of the decree and this Preliminary Objection on point of law is dismissed.

Having dismissed that preliminary point of law, I now turn to the second objection, that is to say non-compliance of the Magistrates' Courts (Primary Courts) Judgment of Courts Rules 1987 G.N. Number 2 of 1988. Mr Rweyemamu submitted that the said judgment offended rule 3 of the rules as it is not signed by the all members of the court, that is to say, the magistrate and assessors. However, this is the very judgment Mr Rweyemamu, learned counsel for the respondent supported at the District Court and a judgment entered in the favour of his client. He is now asking this court to quash the Primary Court judgment on the ground that it is a nullity. Like the first preliminary point of law, the learned counsel for the appellant conceded and requested this court to state the position and direct the litigants to be at liberty to institute the proceedings afresh. Now, are the learned counsel correct on this issue? My answer to the question is that

they are not right. They are wrong. They never bothered to peruse the handwritten judgment of the Primary Court.

On my perusal of the record, it shows that the judgment was signed by the trial Primary Court magistrate one Order C Mwandiko and one assessor in the name of Lisasi who was present at the time the judgment was read. It is the certified copy of judgment which is signed by the magistrate alone. Besides that, the magistrate was very clear in his mind as to the requirement of rule 3 of G.N. 2 of 1988 when he said that the judgment was reached by two persons majority.

Under rule 3(1) of G.N. 2 of 1988 the magistrate is required to consult with the assessors present, with a view to reaching to a decision of the court. Secondly, under rule 3(2) of the same, after the assessors present and agreed with the magistrate on the decision of the court, the magistrate proceeded to record the decision or judgment of the court which was signed by all the members, that is to say, the magistrate and one assessor, Mr Lisasi. Hence, it was a majority judgment as required by section 7(2) of the Magistrate Court Act 1984. For the reasons stated above, the judgment of the Primary Court did comply with the rules and it was very proper, contrary to what the learned counsels had submitted that it is a nullity. Finally then, all of the two preliminary legal points raised and supported by the counsel for the appellant are dismissed for being unfounded in law.

Having discharged the legal issues, I now turn to the petition of appeal itself. The District Court had dismissed the appeal and affirmed the decision of the Temeke Primary Court. The District Court magistrate is accused of basing her judgment on a hearsay evidence, a fact which is not true. Both the Primary Court and the District Court decided to believe the evidence of DW2 on Mketto and ignored that of PW2 Hassan. I have no reason to fault them. This finding answers ground number one, two and three of the petition. There is no where to show that there was any exhibit which was not admitted. The proceeding of the Primary Court is very clear and properly recorded. In the circumstances, I uphold the decision of the Principal Resident Magistrate

of Temeke District Court as a well considered judgment and that there is nothing I can fault. For those reasons therefore, the appeal is dismissed with costs and the decision of the District Court is affirmed.

TANZANIA UNION OF INDUSTRIAL AND COMMERCIAL WORKERS (TUICO-OTTU UNION) AND ANOTHER *v.* TANZANIA AND ITALIAN PETROLEUM REFINING COMPANY LTD (TIPER)

IN THE COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Ramadhani, J.A.)

CIVIL APPLICATION No. 110 OF 1999

(From the Decision of the High Court of Tanzania at Dar es Salaam, Manento, J., dated 16 December 1999, in Civil Case No. 422 of 1999)

Civil Practice and Procedure – Temporary injunction – Whether an appeal lies against an order granting or refusing to grant.

Civil Practice and Procedure – Statutory requirement to consult with workers on intended redundancy – Whether an application for temporary injunction may be granted before consultation takes place.

The High Court dismissed an application made by the applicants for interim injunction restraining the respondent from terminating their employment on redundancy. The applicants appealed against that decision and then made a similar application to the Court of Appeal, namely, that pending the hearing of the appeal, the respondent be restrained from declaring them redundant. The court had to consider whether an appeal may lie against an order granting or refusing to grant interim or temporary injunction. There is a statutory provision requiring an employer to consult with his employees before carrying out redundancy, but no such consultation had taken place

in this case. Accordingly, the court had also to consider whether, in case of an intended redundancy, an application for temporary or interim injunction may be granted before consultation has taken place.

Held: (i) An appeal may lie from an order granting or refusing to grant temporary or interim injunction;

(ii) Where there is a statutory requirement to consult with workers on redundancy, an application for temporary or interim injunction may be granted before such consultation takes place.

Application granted

Cases referred to:

(1) *Wilson v. Church* [Number 2] (1879) 12 ChD 454 CA

(2) *Polin v. Gray* [1879] 12 ChD 438 CA

(3) *Erinford Properties Ltd v. Cheshire County Council* [1974] 261 at 268

(4) *Hamisi Ally Ruhondo v. Tanzania – Zambia Railway Authority*, CA, Civil Appeal Number 1 of 1986 (unreported)

(5) *George Barabara v. Minister of Labour*, HC Miscellaneous Civil Cause Number 30 of 1995 (unreported)

(6) *Cresswell v. Board of Inland Revenue*, [1954] 2 All ER 713 at 719

Professor Shivji, for the Applicants

Mr Kilindu, for the Respondent

RULING

(Dated 6 March 2000)

Ramadhani, J.A.: The applicants filed a suit in the High Court asking for declaratory orders on a number of matters. However, pending the disposal of that suit, they applied for a temporary injunction to restrain the respondent from terminating their employment on redundancy.

On 16 December 1999 Manento, J. dismissed the application for temporary injunction. The applicants have appealed against that refusal. Pending the hearing of that appeal, the applicants have come before me for a temporary injunction.

Professor Shivji, learned counsel for the applicants, took some time showing that this court has powers to grant temporary injunctions pending appeals. However, Mr Kilindu, the learned advocate for the respondent, conceded that this court has such inherent powers. It is also my considered opinion that is so and thus the issue need not detain us. Prof. Shivji also, and rightly too, cited an authority to the effect that an appeal lies against an order granting or refusing an interim or interlocutory injunction (Richard Kuloba in **Principles of Injunctions,** Oxford University Press, Nairobi, 1987 page 70). Mr Kilindu, again, agreed with this. Therefore, the appeal against the ruling of Manento, J. is quite in order and so is this application.

Both learned counsel are again at one that there is abundant authority for the proposition that temporary injunction is granted in an application pending appeal where the appeal has chances of success. This is to avoid rendering the appeal nugatory. It follows then, that injunctions will not be granted in the case of a frivolous appeal. (See *Wilson v. Church* (Number 2) (1) and *Polin v. Gray* (2), and as propounded by authors like Kuloba at page 70 and David Bean in **Injunctions** (FT Law and Tax, (7 ed) 1996 page 119). Likewise, a temporary injunction will not be granted where it would inflict greater hardship than it would avoid. *Erinford Properties Ltd v. Cheshire Country Council* (3) at page 268.

Let us see how the established legal principles apply to the present application.

Proffessor Shivji submitted that the intended appeal has great chances of success because in dealing with that application for temporary injunction, the learned judge touched upon merits and demerits of the suit. So one of the grounds of appeal is that the learned trial judge took into account matters which he should not have taken into account.

Mr Kilindu, on the other hand, had four points in resisting the application. First, he argued that the applicants are merely apprehensive that they are going to be laid off because of redundancy and that is not a sufficient circumstance for ordering a temporary injunction. Second, and in the alternative, even if there is redundancy, the respondent is obliged by law to consult the applicants or else the exercise is going to be a nullity (*Hamisi Ally Ruhondo v. Tanzania-Zambia Railway Authority* (4) and *George Barabara v. Minister of Labour* (5). Therefore, this application is superfluous. Thirdly, the employer – employee relation is contractual and a remedy for breach of contract is damages and not a temporary injunction. He cited *Cresswell v. Board of Inland Revenue* (6) at page 719 and also David Bean at page 45. Lastly, if an injunction is ordered in the present case, the injury which is going to be caused will be greater than which is sought to be averted. The reason given is that, business on the part of the respondent is bad and if the company is prohibited from declaring the applicants redundant, then it will be forced to borrow money in order to pay them salaries.

Professor Shivji replied that the authorities which Mr Kilindu cited dealt with private law, contract, but in the present application the issue is a statutory provision requiring consultation with workers in the case of impending redundancy.

In this application, to deal with the issue of the success of the appeal will be skating on extremely thin ice and I might find myself dipping into the merits of the application just as the High Court did. And that is one of the reasons why there is an appeal pending in this court.

However, I think that I am in order to say that Mr Kilindu conceded that declaring the applicants redundant without consultation, has committed itself to negotiate with the applicants before declaring them redundant.

If that is so, I ask myself, what harm is there in backing up that commitment with a court order for temporary injunction? I cannot find any.

There is a passage in *Erinford Properties v. Cheshire County Council* (3) at page 268 which supports this inclination of mine in backing up this commitment:

> A judge who feels no doubt in dismissing a claim to an interlocutory injunction may, perfectly consistently with his decision, recognize that his decision might be reversed, and that the comparative effects of granting or refusing an injunction pending an appeal are such that it would be right to preserve the *status quo* pending the appeal. I cannot see that a decision that no injunction should be granted pending the trial is inconsistent, either logically or otherwise, with holding that an injunction should be granted pending an appeal against the decision not to grant the injunction, or that by refusing an injunction pending the trial the judge becomes functus officio quoad granting any injunction at all.

Here I am like a trial judge because whatever decision I make, it can be subjected to a reference before a full court and I think it may be right to preserve the *status quo*.

I agree with Professor Shivji that this matter is unlike the situations obtained in breaches of contracts. Here there is a statutory requirement. As to whether or not the applicants are apprehensive, I think, is an issue to be determined in the main application for a declaratory order that there should be consultation pending imminent redundancy.

For this reasons given above I grant the application. Costs to follow.

REPUBLIC *v.* USWEGE BUKUKU

HIGH COURT OF TANZANIA
AT MBEYA
(Mackanja, J.)

CRIMINAL REVISION No. 1 OF 2000

Criminal Practice and Procedure – Sentence – Juvenile convicts – Minimum sentences and juvenile convicts – Minimum Sentences Act 1972 not applicable to juveniles – Section 2 of the Minimum Sentences Act 1972.

Criminal Practice and Procedure – Sentence – Sentencing juvenile convicts – Convict an epileptic aged 16 years and having no parents – Whether a custodial sentence is appropriate –Factors to consider in sentencing a juvenile convict.

The convict, Uswege Bukuku, was an epileptic aged 16 years and had lost both parents. He was convicted, on his own plea of guilty, of burglary and stealing contrary to section 294(2) and 265 of the Penal Code. As the provisions of the Minimum Sentences Act 1972 do not apply to juveniles, the trial court decided to apply the provisions of the Children and Young Persons Ordinance Chapter 13, in sentencing the convict and sentenced him to one year and six months' imprisonment. The High Court called up the matter for revision.

Held: (i) The convict aged 16 years, was not a young person under the Children and Young Persons Ordinance, Chapter 13, he was nevertheless a juvenile for purposes of the Minimum Sentences Act 1972 whose section 2 defines a juvenile to be a person below the age of 18 years;

(ii) In sentencing juveniles, the objective should be rehabilitation, not punishment, and the court should take into account that those of tender age can be channeled away from long term criminal behaviour by not sending them to jail where they meet hardened criminals;

(iii) In considering an appropriate punishment for a juvenile the court should examine the personal characteristics of the accused, his age, health, prior criminality,

background and upbringing; as the convict in this case was an epileptic who had lost both parents, a custodial sentence was not the best punishment.

Sentence revised; convict discharged from prison

Cases referred to:

(1) *Thompson v. Oklahoma* 487 U.S. (1982) 835

(2) *Schall v. Martin* 467 U.S. 255 (1984).

Statutory provisions referred to:

(1) Minimum Sentences Act 1972, section 2

(2) Criminal Procedure Act, section 170(1)(a)

(3) Children and Young Persons Ordinance, sections 18, 21, 22, 23 and 24

Mr Boniface, for the Republic

REVISIONAL ORDER

(Delivered 13 March 2000)

Mackanja, J.: Uswege Bukuku was sixteen years when he was convicted of burglary contrary to section 294(2) and of stealing contrary to section 265. Both are Penal Code offences. The convictions are founded on the convict's own plea of guilty. The statutory minimum sentence for adult convicts for the offence charged in the first count is three years imprisonment. Because section 2 of the Minimum Sentences Act Number 1 of 1972, provides that the provisions of that Act do not apply to juveniles, the trial court decided to apply the provisions of the Children and Young Persons Ordinance Chapter 13, when sentencing the convict. He was sentenced to one year and six months imprisonment, respectively, in respect of the first and second counts. He did not appeal, but it occurred to me that the sentence needed a second look.

The Director of Public Prosecutions was invited to make his views known on this matter. Mr Boniface, learned state attorney,

appeared on his behalf. Learned state attorney submitted that the trial court erred when it treated the convict as a juvenile under Chapter 13 because section 12 of that Ordinance defines a young person to be above 12 years but below 16 years of age. According to him the relevant law is section 170(1)(a) of the Criminal Procedure Act which creates the penal jurisdiction of subordinate courts. Since the sentence is within the jurisdiction of the trial court, he says, if revision be necessary the court may only consider the fact that Chapter 13 was misapplied.

I have considered learned counsel's views; I am of the settled view that his contribution to this judicial exercise is untenable. Although he is right in saying that the convict is not a young person under Chapter 13, he nevertheless is a juvenile for purposes of section 2 of the Minimum Sentences Act which defines a juvenile to be one who is below the age of 18 years. So the convict who was 16 years when convicted, was a juvenile. He still is a juvenile because he is yet to become 18 years.

What, really, may be a most appropriate sentence for a juvenile? When considering what sentence is the most appropriate courts should not lose sight of the very objective of juvenile justice. Our juvenile justice system should be guided by the idea that rehabilitation, not punishment, is the proper method of handling deviant behaviour among youths. This is based on the view that people in this group lack the moral and judgmental maturity of older people. Hence they should be considered to be less deserving of legal culpability. courts should take into account that those of tender age can yet be channeled away from long term criminal behaviour by not sending them to jail. As it was observed in the United States of America case of *Thompson v. Oklahoma* (1), at page 835 as quoted at page 685 of an American journal entitled **The Wake Forest Law Review,** Volume 33 Number 3, 1988 the courts should always bear in mind the fact that

> ... the proposition that less culpability should attach to a crime committed by a juvenile due to the relative inexperience, lesser education, and immaturity

> of youngsters, as well as their greater propensity to act as a result of 'peer pressure' and emotion ...

In another American case *Schall v. Martin* (2), it was held that:

> ... The state has a *parens patriae* interest in preserving and promoting the welfare of the child...

These ideals cannot be achieved if juveniles are consigned to prisons where they meet hardened criminals. In order to promote the welfare of juvenile delinquents, courts should first resort to non-custodial sentences such as those that one provided for under sections 18, 21, 22, 23 and 24 of the Children and Young Persons Ordinance, namely:

(1) a discharge of the child without making any order;

(2) conditional discharge of the offender on entering a recognizance with or without sureties;

(3) to bind him over to be of good behaviour and to appear for sentence when called upon at any time during such period, not exceeding three years;

(4) binding him over, and placing him under a fit person, usually a welfare officer, for supervision;

(5) to order his/her parent to pay a fine, compensation or costs on behalf of the child where there is evidence that the juvenile committed the offence as a result of being neglected by the parents;

(6) an order to commit the child to an approved school; and

(7) in the rarest of occasions; corporal punishment.

Indeed, in the course of discharging its task of considering a most appropriate punishment the court should not lose sight of the need to examine the personal characteristics of the accused including his age, health, prior criminality, the background of his upbringing and as in the instant case, the fact that the convict is a first offender. More gravely, he is an epileptic. What purpose then, can be served in sending a person of such health to prison? He will benefit from

neither corrective measure nor is he likely to be trainable by reason of his disease of the mind. These circumstances should be considered because, invariably, social background of a delinquent juvenile sometimes is influenced by the environment in which the child has grown. Lack of filial love, neglect and cruelty may account a lot in moulding behavioral inclination during this formative stage. So it is quite true, as one writer said, that :

> The commission of an offence is frequently a symptom of the delinquent's need of care and protection, and the moral danger of those brought before the courts as beyond control or in need of care and protection is often greater than those accused of some minor offence. While truancy might at first sight seem unconnected with juvenile crime, experienced magistrates have stressed the close relationship between it and delinquency. Truancy at the least gives the young child time to get into mischief; at the worst it is a sign that something is wrong, either with the child himself or with his home ... Fitzgerald, **Criminal Law and Punishment** 1962, pages 262 – 3.

It is reasonable, therefore, that such matters are taken into account when sentencing juvenile delinquents. Back to the present case the convict has lost both his parents; he is a truant and that kind of life may have contributed largely to the mischief that has landed him in jail. It is by reason of the foregoing considerations that a custodial sentence is not the best punishment in the circumstances of this case.

The convicted was sent to jail on 11 November 1999. He has only a day or so to complete four months the maximum time he is required to serve his sentence. The time he has been in jail satisfies the interest of justice. The sentence is so revised, therefore, so as to amount to his immediate discharge from prison. Unless he be further held on some other lawful excuse he is discharged from prison forthwith. This revisional order shall be delivered by prison forthwith. This revisional order shall be delivered by the District.

LABOUR COMMISSIONER FOR YUNUS ABDALLAH AND 38 OTHERS *v.* MANAGING DIRECTOR - KOKO BEACH RESORT LTD.

HIGH COURT OF ZANZIBAR
AT VUGA

(Garba Tumaka, DC.J.)

CIVIL CASE No. 36 OF 1998

Labour Law – Leave without pay – Employer sending employee on leave without pay – Procedural pre-requisite – Permission of Labour Commissioner is a pre-requisite – Section 72(2) of the Labour Act 1997 (Zanzibar).

The defendant company was a hotelier. Faced with a low season it sent its employees on leave without pay. A couple of months later it terminated their services. A suit against it was filed in the High Court by the Labour Commissioner on behalf of the employees. The court considered whether sending the employees on leave without pay was lawful.

Held: The mandatory provisions of section 72(2) of the Labour Act 1997, requiring the Labour Commissioner's permission for an employer to send his employees on leave without pay, were contravened.

Claims allowed

Statutory provisions referred to:

(1) Labour Act 1997 (Zanzibar), section 72(2)

(2) Civil Procedure Decree Chapter 8, Order 18, rule 3 and Order IX, rule 1

(3) Labour Decree, Chapter 61, section 71(1)

(4) Labour Act Number 3 of 1997, sections13(4), 72(2) and (3)

Mr Saleh, for the Plaintiff

Mr Nassor, for the Respondent

JUDGMENT

(Dated 14 March 2000)

Garba Tumaka, DC.J.: This is a civil suit brought by the Labour Commissioner representing 39 former employees of the defendant's company. It was contended that, between January and April 1998, the defendant unlawfully gave leave without pay, despite directives of the Labour Commissioner to the contrary.

The defendant then went further in July 1998, to terminate the plaintiff's employment unlawfully and consequently upon this, they were entitled to accumulated salaries, three months salaries *in lieu* of notice, gratuities and disturbance allowances totaling TZS. 18 834 250, in addition to 36% per annum interest until payment of same.

Thereafter, the defendant applied and was granted leave to file "a third party notice" on ZIPA (Zanzibar Investment Promotion Agency), under Order 18, rule 3 and Order IX, rule 1 of the Civil Procedure Decree, Chapter 8. On the ground that ZIPA's suspension and termination of its operations forced it to terminate the plaintiffs' Contract of Employment. It therefore sought to claim, contribution or indemnity against the plaintiff's claims, from ZIPA.

In the course of the proceedings, the defendant and ZIPA had a meeting with a view to resolving some of the issues and reported back to the court that they had reached an agreement on most of the issues. They had agreed that paragraphs B and D should be deleted from the plaint, which relate to the three months salary *in lieu* of notice to the sum of TZS. 4 311 000 million and disturbance allowance in the sum of TZS. 2 340 million. They had agreed that Paragraph 7C, relating to gratuity should without doubt remain but were yet to agree on quantum but were optimistic that they would. They were however not in agreement on paragraph 7(A), which was about accumulated salaries for the duration of the unlawful leave without pay, and decided to revert to the court for a resolution of the issue.

The defendants then produced some documents under Order 15, rule 1 of the Civil Procedure Decree Chapter 8, which included annexure D1, letter to the Labour Commissioner from Koko Beach; annexure D2, letter from the Labour Commissioner to Tamarind Beach Hotel; annexure D3, letter to the Labour Commissioner from Koko Beach and annexure D4, which was a letter to the employees of Tamarind Beach Hotel from Koko Beach Ltd.

Mr Said Saleh for the plaintiff's submitted that the leave without pay which the defendant gave the plaintiff's was contrary to section 27 of the Employment (Private Enterprises) Regulations 1990, made under section 71(1) of the Labour Decree, Chapter 61 and section 72(2) and (3) of the Labour Act 1977 (Number 3). He said, in spite of directives of the Labour Commissioner to the contrary, the defendant not only persisted in this illegality but went ahead on or about the first of July 1998 to unlawfully terminate their employment.

He submitted that for the first period of January to March 1998, the procedure to be followed is provided by section 27 of Employment Regulations 1990 whilst that of the second period of April to June 1998 is governed by section 72 of the Labour Act 1997 and required the seeking of the Labour Commissioners permission and this was not done in this case.

Mr Nassor agreed that the two aforementioned enactments govern the issue in question. He said Mr Said Saleh submitted only on sub(2) which talks of the approval of the Director of Labour without making reference to sub(1) which specifies the conditions under which the permission can be granted; 1(a) where there is redundancy of workers occasioned by either lack of raw materials; breakdown of the plant; destruction of the plant by fire or any other inherent or natural hazards, (b) where it is likely that the enterprise will by reason of circumstances prescribed under (a) herein or by any good reason, collapse if it continues with existing workmen. Specific mention is not made of hoteliers by the Regulations whilst section 72(2) specifically makes provision for Hotels.

It is therefore the more appropriate provision as it talks of "low season" being a good ground or reason for the Labour Commissioner's permission to be sought to grant leave without pay for a period of no more than 6 months.

I have gone through the provisions of both legislations Employment (Private Enterprises) Regulations 1990, made under section 71(a) Labour Decree Chapter 61, Laws of Zanzibar, and the Labour Act 1997. I am in agreement with Khamis Nassor that the Labour Act 1997 is much more opposite in relationship with this case as it makes reference to hotel business.

Section 72(2) Labour Act 1997 is very explicit:

> when an enterprise ceases to operate following shortage of raw materials, low season in respect of Hotel or any other reason thereof, the employer may, with permission from the Commissioner grant one or more employees with leave without pay for a period not exceeding six months.

Doubtlessly therefore, the defendant was entitled by this provision to grant leave without pay to its workers if it was faced with a "low season" situation, provided it sought and got the permission of the Labour Commissioner.

It is however not mandatory that the Commissioner must grant his permission as section 72(4) states that the Commissioner has the power to refuse approval of such leave if he is not satisfied with any reason referred to in sub-section (2).

In order not to make the Commissioner totalitarian, the Act in section 72(5) entitles the employer to a right of appeal to the Minister, against the Commissioner's decision, in exercise of subsection (2). I think Mr Nassor himself is guilty of what he earlier accused Mr Saleh of as he did not for apparent reasons, refer the court to section 72(8) which I believe resolves the issue very succinctly, and it states:

> Every employer shall observe the following procedures in granting leave without pay in accordance with subsection (2) of this section;

(a) the employer shall communicate in writing with the branch leadership level of the Trade Union concerned, stating reasons for the intended leave, in a period of not less than three months before the intended date of granting such leave;

(b) the employer shall, in a period of three months before the intended date of granting leave without pay, submit an application in writing to the commissioner stating reasons for the intended leave and the written comment of the trade union branch leadership on such leave;

(c) the trade union branch leadership shall in a period not exceeding one month from the date of receiving the communication, submit its reply to the employer giving their comments on granting such leave. A copy of the said reply shall be sent to the Commissioner;

(d) the Commissioner shall consider the application, and in a period of one month from the date he received that application, shall give or withhold his approval after considering the reasons adduced by the employer and the trade union, provided that the copy of the decision of the Commissioner shall be delivered to the employer and trade union branch leadership;

(e) within thirty days of delivery of Commissioner's decision, any party aggrieved by such decision may appeal to the Minister who shall hear and determine the appeal within 30 days from the date on which the appeal was submitted to the Minister;

(f) in the event one month elapses from the date the Commissioner received an application from the employer to grant leave without pay without giving reply, the employer shall have the right to grant the said leave without pay;

(g) In the event one month elapses from the date the Minster received an appeal from the aggrieved party against the decision of the Commissioner without giving his decision, the decision of the Commissioner shall be binding on both parties.

The employer, to take benefit of "low season" shall, i.e. mandatory, follow this procedure. Clearly, the defendant was in breach and cannot

therefore avail itself of the provisions of section 72(2).

I have gone through annexures D1 to D4 produced by Mr Nassor to show that the labour department contributed to the situation that led to his clients taking the "complained actions". I can only come to the conclusion from the date of that letter and the opening sentence; "We would like to inform you that we have sent (*sic*) several staff of the Tamarind Beach Hotel on unpaid leave for not more than three months ... ", that the defendant merely presented the Labour Commissioner with action already taken the taking of which action was *ab initio* not in compliance with the law and hence illegal. Consequent upon the foregoing, it is ordered:

1. That the accumulated salaries for the period of the unlawful leave without pay as appropriately calculated in the sum of TZS. 4 230 000, be paid to the plaintiffs and that no court fees be paid, in compliance with the provisions of section 13(4) of the Labour Act Number 3 of 1997.

2. That interest at the rate of 36% per annum be paid by the defendant until the payment of the aforestated sum.

MITINGE MIHAMBO v. REPUBLIC

HIGH COURT OF TANZANIA
AT MBEYA
(Mackanja, J.)

CRIMINAL APPEAL No. 27 OF 1999

Criminal Practice and Procedure – Plea – Plea of Guilty – Unequivocal plea of guilty – Appellant pleaded guilty while still in a confused state of mind after severe beating – Whether the plea was unequivocal.

The appellant, alleged to have stolen two bulls was beaten so severely by his captors that they left him for dead. After regaining his senses and while still recovering and his mind was still confused, he was taken to court and pleaded guilty to cattle theft contrary to sections 268 and 265 of the Penal Code. On appeal, he contended that on account of his deteriorated state of health after being severely beaten he could not have understood the charge to which he pleaded.

Held: (i) An accused person is not to be taken to admit an offence unless he pleads guilty to it in unmistakable terms with appreciation of the essential elements of the offence he is charged with;

(ii) The appellant in this case was so severely beaten that he was in a state of confusion when he appeared before the court and could not understand the nature of the charge; his plea of guilty, therefore, was not unequivocal.

Appeal allowed

Case referred to:

1. *Republic v. Griffiths* (1932) 23 Cr. App. rule 153

Statutory provision referred to:

(1) Penal Code, sections 268 and 265

Mr Mbago Principal state attorney, for the Respondent

JUDGMENT

(Delivered 20 March 200)

Mackanja, J.: The appellant was convicted on his own plea of guilty in respect of cattle theft contrary to sections 268 and 265 of the Penal Code. He was awarded the statutory minimum custodial sentence of five years. He now appeals against both conviction and sentence because, as he complains, he was in such a deteriorated state of health after being severally beaten by villagers that he could not have understood the charge to which he was called upon to plead.

According to the facts as presented to the trial court by the Public Prosecutor, the appellant is alleged to have been intercepted driving two bulls which it was alleged he had stolen. His captors then set upon:

> ... and he was beaten almost to death. The villagers thought that they had killed the accused person ...

Mr Materu, learned counsel for the appellant submits that the accused was not in a proper frame of mind arising from the severe beating when he was asked to plead. Since he could not understand the world around him, the plea cannot be said to unequivocal. According to medical evidence which was produced when hearing the appeal, Exhibit P1, to which the appellant relies, Dr Yusufu Luwinga, ACP, the Officer-in-Charge of Ruanda Prison to which the appellant was admitted upon his conviction, it is recorded that the appellant:

> ... was admitted to Ruanda Prisons with multiple wounds on the scalp more so on the occiput part. He had a Police Form 3 which signified to our authorities that he was assaulted or beaten before coming to us. On examination he was mentally not very alert – he was in a rather confused status. We admitted him to our sick bay from 3 April 1999 up to 9 April 1999, when he was supposed to attend another court session..

The Record of Proceedings shows that the appellant was convicted on 1 April 1999, three days earlier than he was admitted to the sick bay in prison.

Mr Boniface learned state attorney opposed the appeal and the production of additional evidence in an alleged improper way. He did not say how else such evidence is receivable. He, however, withdrew his objection after he was informed that the Police Form Number 3, popularly known as PF3, was not produced in evidence at the trial.

The issue then, is whether the plea on which the appellant was convicted is unequivocal. In this behalf, it is the law of this country that an accused person is not to be taken to admit an offence unless he pleads guilty to it in unmistakable terms with appreciation of the essential elements of the offence for which he stands trial. This is even more important in trials in which the accused is undefended. It is always prudent in the case of an undefended accused person who pleads guilty that care should always be taken to see whether he understands the elements of the crime to which he is pleading guilty: *Republic v. Griffiths* (1). Another consideration which convicting courts must take into account is the accused person's presence of mind. He must be in full command of his faculties. A person such as the one described by the Prisons doctor, one who appears to be confused, cannot be said to be in a sufficiently lucid mental frame-work necessary for a sound decision. Indeed the doctor's findings accord to the facts as put forward by the Public Prosecutor who revealed that the appellant was so severely beaten that his assailants took him for dead.

I am satisfied, from the above observations that the appellant was in a state of confusion when he appeared before the trial court. He could not, therefore, understand the nature of the charge. It follows that his confession of having committed the crime does not amount to an unequivocal admission of guilt.

In the result the appeal is allowed. The conviction is quashed and the sentence and order for compensation are set aside. Unless he be further held on account of some other lawful matters, the appellant is set at liberty.

ATUGANILE MWAITEGE *v.* TIMOTHY MWAKALINGA

HIGH COURT OF TANZANIA AT DAR ES SALAAM

(Manento, J.)

CIVIL APPEAL No. 34 OF 1999

(From the decision of the District Court of Ilala, on appeal from original Buguruni Primary Court Civil Case No. 38 of 1998)

Civil Practice and Procedure – Proceedings before the Ward Tribunal – Appeal to the Primary Court – Section 20(1) of the Ward Tribunal Act 1985.

Civil Practice and Procedure – Appeals to District Court on points of law only – Final – Section 20(3) of the Ward Tribunal Act 1985.

Civil Practice and Procedure – Not appellable to the High Court – Revisional powers of the High Court.

Before the Kipawa Ward Tribunal, the respondent had sought to recover a plot on which the appellant was said to have built a house without the consent of his late brother, Asubisye Mwakalinga, whose estate he claimed he was the administrator. The tribunal found in favuor of the appellant and both parties were informed that any person who was dissatisfied with the decision had the right to appeal within thirty days. The Tribunal wrote to the Buguruni Primary Court on 27 May 1998 of the decision in the matter. Instead of appealing, the respondent filed a similar claim on 1 June 1998 in the Buguruni Primary Court which found in his favor. The appellant unsuccessfully appealed to the District Court and from that decision she appealed to the High Court.

Held: (i) The proceedings in the suit filed by the respondent in Buguruni Primary Court were a nullity and the decision of the Ward Tribunal remained intact

Proceedings revised

Statutory provision referred to:

(1) Ward Tribunal Act 1985, sections 20(1) and 20(3)

Mr Mchome, for the Appellant

Mr Mjindo, for the Respondent

JUDGMENT

(Dated 22 March 200)

Manento, J.: This is an appeal by Atuganile Mwaitege whose appearance is through the Legal Aid Committee, Faculty of Law, University of Dar es Salaam and the respondent's appearance is through a city based advocates in the name of Mjindo. This is a second appeal to this court, the first being at Ilala District Court, which was an appeal against the decision of the Buguruni Primary Court, Civil Case Number 38 of 1998.

There are four grounds of appeal which were preferred by Mr Mchome, learned counsel for the appellant, mainly based on the law of limitation and the law of contract that it is not necessary that any disposition of land under the customary law be in writing, and thirdly that the appellant had not been appointed administrator of the deceased's estate by a court of law. That was due to the fact that both the Primary Court and the District Court Magistrate entered judgment for the respondent Timothy Mwakalinga on the ground that the appellant Atuganile Mwaitege lacked documentary evidence to show that this piece of land in dispute was given to her by the late Asubisye Mwakalinga and thirdly that the appellant had no *locus standi* to pursue the suit, for the reason that, though he might have been appointed by the family to administer the estate of the late Asubisye Mwakalinga, yet, he was to be formally appointed by a court of competent jurisdiction to be the administrator of the deceased's estate.

Both counsel submitted written submissions for and against the appeal. In the course of writing this appeal, I discovered a serious legal issue which was not a subject matter of the appeal before the District Court or before this court. For that reason therefore, I shall

deal with that legal issue, which gives no jurisdiction to this court to determine this appeal as it is.

On admitting this appeal, the court was directed to make a ruling as to the time of limitation which, if ruled that the suit was time-barred, then the appeal could just be dismissed forthwith. But I have realized, from the proceedings of the Buguruni Primary Court that the suit had commenced at the Kipawa Ward Tribunal and a judgment was entered for the appellant and a typed copy of the judgment was signed by both the secretary and the chairman to the Ward Tribunal on 23 May 1998 and 27 May 1998 respectively. Thereafter, the respondent filed his complaint/plaint at Buguruni Primary Court on 1 June 1998.

The issue before the Kipawa Ward Tribunal and that before the Bururuni Primary Court was the same, that the respondent was claiming his plot which the appellant had built a house without the consent of his late brother Asubisye Mwakalinga whom he was administering his estate. This issue was determined by the Ward Tribunal which entered judgment for the appellant, Atuganile Mwaitege in that she lawfully occupied the piece of land where she had built the house, secondly that she had built her latrine on a wrongly issued place so she was to be compensated and thirdly that the boundaries were clearly stated in the judgment. Besides that, the tribunal informed the parties in uncertain terms that any aggrieved party should appeal within 30 days against the decision.

On 27 May 1998, the Executive Ward Secretary wrote a letter to Primary Court magistrate, informing him of their decision and the respondent proceeded to file a fresh suit on the same matter. That is clearly unprocedural. What he was to do was to file an appeal under the provisions of section 20(1) of The Ward Tribunals Act Number 7 of 1985. The said section is very clear and it states that:

> Subject to sub-section (2), a person aggrieved by a decision of the tribunal may appeal in writing to the Primary Court.

The respondent did not appeal against the decision of the Ward Tribunal, instead, he filed a fresh suit. The Primary Court Magistrate whether

in ignorance of the law or intentionally accepted a fresh case to be filed notwithstanding that the matter had been adjudicated by the tribunal with was competent so to do. Under the circumstances therefore, the Buguruni Civil Case Number 38 of 1998 could correctly be said to be *res judicata*. The matter between the same parties on the same issue had been determined by a competent tribunal.

Now that the Primary Court magistrate pretended not to know that the civil case was, but a nullity, yet he proceeded to hear it together with her assessors, they decided in favour of the respondent on the basis that there was no documentary evidence on the part of the appellant that she was given the piece of land by the deceased, one Asubisye Mwakalinga and built her house during the life time of Asubisye Mwakalinga. The court ignored the oral-evidence of the persons who were present when the respondent was given the piece of land, that is to say Benson Kipanya and Swedi Mwafongo.

That decision of the Primary Court was appealed by the appellant to the District Court, where the appeal was dismissed on the same reason that the appellant lacked documentary evidence. Thereafter, this appeal was lodged before this court, in the total ignorance that the High Court had no jurisdiction to hear appeals of cases originating from the Ward Tribunal. I cannot blame the learned counsels for lack of knowledge of the law because I do not know whether they were aware of such information, then they are advised to refresh their memories by reading section 20(3) of the Ward Tribunal Act Number 7 of 1985 which provides as follows:

> 20(3) Except on points as law where the final appeal lies to the District Court, a decision of the Primary Court on any appeal made to it shall be final and conclusive.

What this subsection (3) means in substance is that no appeal to the High Court from decisions of the District Court on matters originating from the Ward Tribunal. Appeals are restricted to the District Court and infact, it is only on matters on point of law which can reach the District Court or else, the appeals on points of fact should end at the Primary Court. This means that, as the present appeal is as a

result of decisions of the Primary Court and the District Court, whereby the issue had been competently been adjudicated by the Ward Tribunal, then this court lacks jurisdiction. Not only that, but even the Primary Court and the District Court lacked jurisdiction as there was no appeal by the respondent Timothy Mwakalinga to the Primary Court against the decision of the Kipawa Ward Tribunal and there was no appeal on a point of law to the District Court. For that matter therefore, the decision of the Kipawa Ward Tribunal is binding upon the parties unless it is varied by the Primary Court on Appeal.

In the circumstances, the proceedings in Buguruni Primary Court Civil Case Number 38 of 1998, the Ilala District Court Civil Appeal Number 42 of 1998 and the High Court Appeal Number 34 of 1999 are all declared to be a nullity for reasons stated above and the decision of the Kipawa Ward Tribunal is declared to be the right decision on the matter in issue. Though for different reasons, the court on its own motion, revises the proceedings and sets aside decisions of the District Court and the Primary Court and restores the decision of the Kipawa Ward Tribunal.

JUMA MGIKIRA *v.* REPUBLIC

HIGH COURT OF TANZANIA
AT MWANZA
(Mroso, J.)

CRIMINAL APPEAL No. 1 OF 1997

(From the District Court of Musoma District at Musoma, Mayaya, SDM in Criminal Case No. 522 of 1996)

Criminal Law – Theft – Whether an innocent purchaser of stolen property is guilty of theft.

On 30 June 1996, a wooden bed was stolen from a carpentry shop. On 19 July 1996 the stolen bed was found in the house of the appellant. The appellant testified at the trial that the bed was sold to him by the first accused, who was a watchman in the neighbourhood of the carpentry shop. Both were convicted, hence this appeal.

Held: The conviction of the appellant is unsustainable since he has given convincing explanation supported in material particulars on how he got possession of the bed.

Appeal allowed

Statutory provision referred to:

(1) Penal Code, sections 296(1) and 265

Mr Magongo, for the Appellant

Mr Feleshi, for the Respondent

JUDGMENT

(Dated 24 March 2000)

Mroso, J.: On 30 June 1996, a wooden bed was stolen from the carpentry shop of one Edwin (Edward?) Magoti (PW2). On 10 July 1996 the stolen bed was found in the house of the appellant. Magoti duly identified it as his stolen bed. The appellant explained to Magoti and the policeman (PW1) who searched the house that the bed had been sold to him on 30 June 1996 for TZS. 25 000 by Chacha Nyamhanga who was the first accused at the trial. Chacha Nyamhanga was a watchman in the neighborhood of Magoti's carpentry shop. The appellant told the policeman (PW1) that he paid TZS. 5 000 cash and pledged his Radio Cassette valued at TZS. 20 000 for the unpaid balance. The balance was to be paid in July 1996. The appellant showed to the police the radio cassette which was in Nyamhanga's house.

Nyamhanga (original first accused) denied that he sold the bed to the appellant. He explained that the appellant had come to ask for a loan of TZS. 8 000 but he (Nyamhanga) had only TZS. 6 000 which

he loaned to the appellant. The appellant then left the radio cassette with him as security for the loan.

The police arrested both Nyamhanga and the appellant and prosecuted them for store-breaking and stealing contrary to sections 296 and 265 of the Penal Code. At the trial, both were found guilty and convicted as charged for "the commission of both counts." They were each sentenced to five years imprisonment. Aggrieved, the appellant has come to the High Court in this appeal.

Let me first comment on the phrase in the Lower court judgment that the appellant and the original first accused Nyamhanga, were convicted for "the commission of both counts". The words "both counts" were either written inadvertently or as a result of a misapprehension on the part of the trial Senior District Magistrate. In the first place, there were no two counts on the charge sheet. There was only one count of storebreaking and stealing contrary to sections 296(1) and 265 of the Penal Code.

If it was thought that storebreaking and stealing were two separate offences that would be wrong. The offence under section 296 is what is sometimes known as a compound offence comprising the breaking into a building and committing a felony therein. The felony could be theft or arson, etc. The two have to go together to constitute the offence under the section. The offence under section 296 is different from the offence under section 294 – housebreaking or burglary. If a person breaks and enters any dwelling (house, tent, vessel, etc.) with intent to commit any felony therein, that is a complete criminal offence. The ingredients of the offence are (a) the breaking and entering a dwelling house and (b) the fact of having the intention to commit an offence therein. If, on entering the building, he commits any offence, say rape, theft, assault or arson that will constitute a complete separate offence. Those two would have to make separate counts on the charge sheet. Now, back to the appeal.

The trial magistrate, in his judgment, believed that the stolen bed was sold to the appellant by the original first accused. He said:

I hence believe that second accused person (now appellant) did get the bed from the first person and that the sale of the bed to the second accused by the first accused was treated as secret.

Mr Magongo, learned advocate for the appellant, wonders how the trial magistrate could then proceed to find the appellant guilty of storebreaking and stealing of that same bed. I share the surprise at the strange logic apparent from the trial magistrate's reasoning. Did the appellant become guilty of storebreaking and stealing merely because he bought the bed during a secret sale transaction? It would have been different if the magistrate had reasoned that the appellant was guilty of receiving stolen property. But even a conviction for such an offence would not stand because the available recorded evidence would not sustain it. Surely, if the appellant knew the bed he was buying was stolen he would not have taken the original first accused to the CCM paty Ward Secretary (DW4) to inform him about the sale.

Mr Feleshi, learned state attorney for the Respondent Republic, did not wish to support the conviction. I agree indeed that the conviction of the appellant is unsustainable. His explanation on how he got possession of the bed is convincing and he was supported in material particulars by DW3- Rahel Francis and DW4 Hamza Halfan. The trial court should have acquitted him.

I allow this appeal by quashing the conviction and setting aside the prison sentence of five years. If the appellant is still in prison he should be set free forthwith unless he is held for some other lawful cause.

KHOLE BINTI ALI AND FOUR OTHERS *v.* RAMADHAN MOHAMED ALI AND THREE OTHERS

HIGH COURT OF ZANZIBAR AT ZANZIBAR

(Garba Tumaka, DCJ)

CIVIL APPEAL No. 35 OF 1999

(From Resident Magistrate's Court Civil Case No. 23 of 1994)

Contract – Sale Agreement – Minor's Contract – Validity.

The respondent sued the appellant for a declaration that the sale of the suit premises which belonged to the late Mwashamba Ali was a survey and thus fraudulent. The Resident Magistrate found in their favour and the appellants being dissatisfied with the decision appealed on the following grounds, amongst others: (a) that the Magistrate erred in law and fact in finding that the sale agreement was void for lack of capacity to contract when the issue was not pleaded and argued ;and (b) that the Magistrate should have found that a minor's contract is voidable at the instance of the minor.

Held: (i) Minors are incapacitated to contract save if the contract is for the benefit of the minor and within the power of the guardian, and that the benefit contemplated must be lawful and must proceed from a lawful contract.

(ii) The deed of safe of immovable property to which minors were parties was valid.

Appeal allowed

Cases referred to:

(1) *Ulfat Rai v. Gauri Shaller* (1911) All 657

(2) *Goode v. Harrison* (1821) 5B Ald 147

(3) *Srikakulam v. Rao* (1948) 75 IA; ILR 1949 MAD 141 PE.

(4) *Gujaba v. Nikanth* (1958) 59 BMLR 1123

(5) *Great America Insurance Company Ltd v. Madanlal Sovulal* (1935) 59 BOM 656

(6) *Chappel v. Cooper* (1844) 13 M&W 252

(7) *Nash v. Inman* [1908] 2 KB 1, 12

(8) *Ulfat Rai v. Gauri Shanker* (1911) 33, 657

Statutory provisions referred to:

(1) Evidence Decree, section 91(1)

(2) Penal Decree, Chapter 13, section 306

(3) Civil Procedure Decree, Chapter 8, Order XLVI, rule 2

Mr Mnkonje, for the Appellants

Dr. Lamwai, for the first and second Respondents

Mr Samai, for the fourth Respondent

JUDGMENT

(Dated 27 March 2000)

Garba Tumaka DC.J.: This is an appeal against the judgement of the RM's court in Civil Case Number 23 of 1994, where the respondents sued the appellants for a declaration that the sale of the suit premises, which belonged to the late Mwashamba Ali was a forgery and thus fraudulent. The RM found in their favour and the appellant being dissatisfied with the decision have now filed this Appeal on the following grounds;

(a) That the learned RM erred in law and in fact in finding that the sale agreement was void for lack of capacity to contract, when the issue was not pleaded and argued.

(b) That the learned RM erred in law in not finding that a minor's contract is voidable at the instance of the minor.

(c) That the learned RM erred in law and in fact in not deciding the issues which were before the court.

(d) That the learned RM erred in law in not finding that the plaintiffs had no locus to sue, or in the alternative;

(e) That the learned RM erred in law in not finding that in the absence of fraud, the conveyance was proper;

And prayed that:

(a) Their appeal be allowed

(b) The house be declared the property of the second, third, fourth and fifth appellant

(c) Costs and other matters below be provided

(d) Any other order deemed fit to be issued.

The appellants were here represented by Mr Salum Mkonje, Dr M Lamwai was for the first and second respondents while Mr Samai was for the fourth respondent.

The counsel, with the courts consent, elected to make written representations and consequently filed their submissions. Mkonje, in his submissions, dwelt more considerably on grounds A and B.

On ground A, on the issue of capacity though by minor, the contract was not void for capacity as it was beneficial to the minors and hence fell into the exception to the general rule that minor cannot contract; this general principle is "confined to cases where a minor is charged (*sic*) with obligations and the other contracting party seeks to enforce these obligations against the minor, 'he said, quoting **Artar Singh's Law of Contract,** (2 ed), Eastern Books Company at page 133. He cited other authorities including *Raghava Chariar v. Srinivasa* where the Madras High Court held to the effect that the provision of this law is basically for the minor's protection. In conclusion, he cited Cheshire and Fifoots' **Law of Contract** (8 ed) wherein it is stated that contracts beneficial to minors and contracts for necessaries

are among the exceptions and are thus valid contracts. Things necessary are those without which an individual cannot reasonably exist. In the first place, food, garments, lodging and the like about these, there is no doubt".

There is nothing in the Transfer of Property Act which makes a minor incapable of being the transferee of immovable property. He cannot transfer immovable property it is true, but that is a different thing from recovering as transferee", he said, quoting *Ulfat Rai v. Gauri Shanller* (1). I observed at this point that he did not make any submission on the second leg of this ground, to the effect that the issue was not pleaded and canvassed before the RM.

On the second ground, to the effect that a minor's contract is voidable at this instance, he said these are contracts in which a minor acquires an interest in some subject matter to which continuous or recurring obligations are incidental. The principle, he said, quoting *Goode v. Harrison* (2) at page 169, is that if a minor undertakes such a contractual obligation, "it remains valid until he thinks proper to put an end to it" and gave examples as purchase of land, leases, purchase of shares.

On the third ground that the RM did not decide issues before it, Mkonje did not dwell and on the fourth ground of locus, he said the plaintiffs failed to prove that they were related by blood to the deceased and the only heirs or that they take precedence over other heirs and thus did not have the *locus* to sue.

On the final ground, he contended that the RM erred by not finding that in the absence of fraud, the conveyance to the minor was valid.

He contended that fraud was not proved as the plaintiff's exhibits were merely copies of the fingerprint expert's report and hence of no help to the court.

Dr Lamwai, responding on the first ground of appeal, on the issue of lack of capacity to contract when the same was not pleaded and argued, said all the appellant tried to do was to show that though the

instant contract was made by minors, it fell within the exception to the rule that minors cannot contract. The appellant did not submit on the complaint that the court adjudicated on a matter not pleaded and should consequently be struck out. He was relying on Order XLVI, rule 2 of the Civil Procedure Decree, Chapter 8.

In the alternative, he said the RM was right in finding that the sale deed was a forgery considering the testimony of PW1, Hassan Ramadhan and PW2, Ahmed Abubakar, a police fingerpoint expert both to the effect that an analysis of the fingerpoints of Mwashamba Ali was not genuine.

The appellants did not object to the production of evidence on forgery and even cross-examined on it. On capacity, Dr Lamwai was of the view that since it wasn't raised in the Memorandum of Appeal, additionally, since fraud was proved, the minors could not benefit to the detriment of the lawful heirs.

He contended further that since fraud had been proved, it was not necessary for the RM to find on any other issue, the Sale or Deed having been forged. He said the issue of *locus* was not raised at the appropriate time as per Order 1, rule 13, the appellants were now estopped from raising it and in any event the RM in his judgment had ordered that the said premises, House Number 22/235 being subject to probate proceedings which is where the third respondent will have the right and power to decide the rightful heirs to the disputed estate. In his response to Dr Lamwai submissions, Mkonje sought to re-iterate his earlier submissions.

He stated that his first ground Appeal had been pleaded in paragraphs (A) and (B) of his Memorandum of Appeal hence Order XLVI, rule 2 was inapplicable. On ground 2, he felt that the dispute centred upon the issue of fraud whilst the RM erroneously felt that the issue of capacity was pivotal. He stated that fraud was not proved as exhibit B, whose original was not tendered (only a copy was and PW2 was supposed to have tendered the original and failed to do so) was not compared with any other independent document to confirm its authencity.

As far as he was concerned, the testimonies of the second to the sixth defendants were clear on the intention of the late Bi Mwashamba and how she fulfilled that intention.

Locus, he said, was a very important issue which the RM ought to have made a pronouncement on, as he did on the issue of capacity and since it arose in the course of the proceedings, it was not affected by the provisions of Order 1, rule 13, of Chapter 8.

I would like to start with the issues which were framed before the RM's court for determination as a way of getting a proper understanding of rationale for his findings. The issues were:

(1) Whether the plaintiffs were the only legal heirs of the deceased, Mwashamba Bint Ali

(2) Whether the deceased sold the suit premises to defendants 3, 4, 5 and 6.

(3) Whether there was fraud in the sale of the suit premises

(4) Who had better title to the suit premises

(5) Whether defendants 1 and 2 owed a fiduciary duty to the deceased Mwashamba Bint Ali

(6) Whether there was any claim for compensation or profit which was sustainable; and he found, as per his judgment on pages. 26 and 27 of the Record of Proceedings, *inter alia*, that:

"From the testimonies of the defendants' witnesses, it can be summed up that their testimonies failed to prove that the late Mwashamba Ali did sell her house on her *own volition* as per evidence of DW2, DW3, DD7 and DW8 ... ." Going further he said Mr Mkonje in his submissions laboured on "two main points, which I think were correctly perceived as key in the determination of this suit. The first aspect is on the genuiness of Exhibit D1. The second aspect is on the position of the law as far as minors' contracts as are concerned. I have decided to deal with the question of minors' contracts *as I am of the view that the dispute primarily lies on that aspect...;"* and summed up

Mkonje's argument that specific classes of contracts such as one for necessaries and one for things beneficial to a minor form exceptions to the general rule that minors cannot contract, as in the instant case. He then went on to consider "whether the contract between the deceased Mwashamba Bin Ali and defendants 2-6, who were minors, is valid and binding *inter-partes*" and having gone through the sale agreement "purported" to have been executed between the deceased and the minors, didn't "see anywhere where the minors signed nor was there any signature of any person who would have acted as their representatives.... Now should we not conclude that the agreement was not executed lawfully?" and in consequence found "that the sale agreement was void *ab-initio* for lack of capacity to contract." Because of the foregoing, he did not 'see any need to deal with other issues but order that as no sale had been executed, the disputed house remains the estate of the deceased .... my grouse at this point is with the rather ambiguous " ... I accordingly find that the sale agreement was void *ab-initio* for lack of capacity to contract" when he made no pronouncement on the issue of capacity to contract in the body of his judgement. On the face of the judgement, he didn't see where the minors signed nor signature of any person who acted as their representative, and saw no reason not to conclude that the contract was not executed lawfully.

I would prefer to proceed from the question of capacity to contract and subsequently examine if there was actually any contract (enforceable) entered into or if the contract was vitiated by fraud.

It is a well known principle of law that minors are incapacitated to contract save in exceptional cases. Mr Mkonje gave a plethora of authorities in support of this position. Basically, "if the contract is for the benefit of the minor and within the power of the guardian, then it is binding" according to the Privy Council in the case *Srikakulam v. Rao* (3) and this position was replicated in the case of *Gujaba v. Nikanth* (4).

As earlier stated, the general rule is as provided by Sect II of the Contract Decree Chapter 149, Laws of Zanzibar:

> Every person is competent to contract who is of age of majority according to the law to which he is subject, and who is of sound mind, and is not disqualified from contracting by any law to which he is subject.

Contracts for the benefit of minors is one of the exceptions to the aforestated general rule and it was well espoused by Beamont CJ of the Bombay High Court in the *Great America Insurance Company Ltd v. Madanlal Sovulal* (5) thus:

> The provisions of the law which make a contract by a minor not binding were no doubt intended for the benefit of the minor, and the courts in this country when faced with a contract which has been carried performance of which by the other party is then resisted on the ground of minority, have struggled hard to avoid holding the contract void to the detriment of the minor.

Similarly are contracts for necessaries. A judicial exposition of "necessaries" was given by Alderson B. in *Chappel v. Cooper* (6).

> Things necessary are those without which an individual cannot reasonably exist. In the first place food, garments, lodging and the like. About these, there is no doubt.

Buckley LJ was also explicit in *Nash v. Inman* (7) "A contract for necessaries is just one of those categories of contracts which an infant is permitted to make.

Most opposite, in my thinking, is the case *Ulfat Rai v. Gauri Shanller* (1); where it was stated that:

> There is nothing in the Transfer of Property Act which makes a minor incapable of being a transferee of immovable property. He cannot transfer immovable property it is true, but that is a different thing from recovering as a transferee" and this was clearly conceded by Dr Lamwai "I concede that under section 13 of the Transfer of Property Decree, Chapter 150, a transfer can be made even to an unborn child".

Furthermore, where an infant acquires an interest in some subject matter of a permanent nature, i.e. a subject matter to which continuous or recurring obligations are incidental, it is voidable at his instance.

The principle is that if an infant undertakes such a contractual obligation, it "remains valid until he thinks it proper to put an end to it" and examples of this include purchase of land, purchase of shares and leases.

Since the laws on infants contracts are designed to protect him against unscrupulous adults, infants are in effect in a privileged position in contractual transactions *vis-á-vis* adults. I therefore disagree with the RM that in the instant case, the contract was "*void ab-initio*" for lack of capacity to contract. I however agree completely with the respondents herein that the benefit contemplated must be lawful and must proceed from a lawful contract and this leads me to the next issue, which is if there was actually any contract legally entered into or if the "contract" was vitiated by fraud.

The position of the courts is epitomised by the maxim "*Ex dolo vhala non oritur actio*" i.e. no court will lend its aid to a man who found his cause of action upon an illegal act if the cause of action appears to arise "*ex turpi causa*" or the transgression of a positive law; there the court says he has no right to be assisted.

Was the Deed of Sale, Exhibit D1 herein genuine or a forgery and hence fraudulent? Fraud is defined by section 17, of the Contract Decree Chapter 149, Laws of Zanzibar, and commences thus:

> ... means and includes any of the following acts committed by a party to a contract or with his connivance, or by his agent, with intent to deceive another party thereto or his agent or to induce him to enter into a contract ...

and goes on to enumerate the acts so constituting in paragraphs (a) to (e) of the section. In concise terms, fraud is, by this definition intentional misrepresentation of facts. The form of fraud alleged to have been perpetrated here was forgery, which section 306, Penal Decree Chapter 13, defines as follows:

> Forgery is the making of a false document with intent to defraud or to deceive and the maker of a false document is one who:

(a) makes a document purporting to be what in fact it is not

(b) alters a document without authority in such a manner that if the alteration had been authorised, it would have altered the effect of the document

(c) Introduces into a document without authority whilst it is being drawn, a matter which if it had been authorised, it would have altered the effect of the document; or

(d) Signs a document:

(i) In the name of any person without his authority whether such name is or is not the same as that of the person signing.

(ii) In the name of any fictitious person alleged to exist, whether the judictions person is or is not alleged to be the same name as the person signing.

(iii) In the name represented as being the name of a different person from that of the person signing it and intended to be mistaken for the name of that person, or

(iv) In the name of the person personated by the person signing the document, and provided that the effect of instrument depends on the identity between the person signing the document and the person whom he professes to be.

For a thing to be forgery, it must have been so arranged in such a manner as to create an erroneous or false inference in the minds of those who may observe them or can be more defined as "the false making of an instrument, which purports on the face of it, to be good and valid for purposes which it was created, with a design to defraud any person or persons".

The appellant's contention is that, there was no forgery or fraud proved before the RM and sought relief on the provision of section 91(1) of the Evidence Decree which precludes proof by evidence of any contract, grant or any other disposition of property if the same has been reduced into the form of a document. This, taken

together with section 79(1) of the same enactment, make Exhibit D1, the sale contract, a genuine document, being as it is, a public document. The presumption of genuineness afforded by this section is definitely rebuttable where it is shown that the document is vitiated in anyone of general circumstances including fraud, illegality, want of due execution, lack of capacity to contract etc. The RM "probably" concluded that the Sales Deed was a forgery because, as earlier stated, he did not "See anywhere where the minors signed nor was there any signature of any person who would have acted as their representatives," and thus" ... should we not conclude that the agreement was not executed lawfully?" The document was not attested to and on the strength of sections 68 and 73(1), independent evidence can be adduced to prove the legality or otherwise of the document.

Section 73(1) and (3) says the signature, finger and thumb impressions in contention can be compared with any other which has been proved to the courts satisfaction to have been made by the same person.

From the Record of Proceedings, Ahmed Abubakar, a fingerprints expert testified and gave his opinion. I went through the testimonies of Def 2 (Khole Ali); DW2, Haji Kheir in whose custody the sale deed was (having been given by the deceased herself); DW3; Mohammed Mussa, a relation who was a confidant of the deceased whose testimony showed that he was fully possessed of the facts and circumstances of the case; Assa Jaffar; representing the Wakf and Trust Property Commission; and Khamis Pandu, called on behalf of the office of the Registrar of Documents, from whose testimony it could be seen that the Sale Deed, D1, was registered in their office following due application and payment of requisite fees. It showed also from their file records that Bi Mwashamba was present in their office and made the thumb impression there at.

His testimony also showed that, the Sales Deed was witnessed by the late Khalfan Ali Khalfan, a *de facto* official of the registration office. He further testified that the application to register a sale, (Ardhilhali) which has Bi Mwashamba thumbprint was filed between

27 November 1985 and 30 November 1985 from the dates on the records. The thumbprint on this application, Exhibit P4, in his opinion, tallied with the one on the sales agreement D1. He conceded that their office is more usually concerned with the signature of the seller than the buyer as any anticipated problem would most likely come from the seller than the buyer.

I am tempted to go back to the evidence of DW3, Assistant Commissioner of Police, Mohammed Mussa, a relation and ward of the late Bi Mwashamba. He testified that Seif Ali, defendant I and himself were brought up by Bi Mwashamba, who approached him with the idea of bequeathing her house to both of them as her only sons, which idea he rejected and advised that it be given to Seif Ali who had no house of his even though he had children. After a while, she came back to him to inform him that though she intended to sell the house to Seif Ali, her intention was to help Seif's children and being a drunkard, Seif may sell off the property and to preclude the children. Subsequently he said, she informed him that she had sold the house to Seif's children and given the Sale Deed to Haji Kheir for safe keeping, which fact he confirmed from Haji Kheir.

As far as he was concerned, there was not any fraud or forgery in the transaction and the sale was carried out by Bi Mwashamba on her own volition. The totality of the evidence, in my opinion, was more in favour of a finding that there was no forgery or fraud.

Additionally, annextures B, C and D which were only provisionally admitted in evidence, being mere copies, didn't have their originals presented as promised. Dr Lamwai in his joint respondent's reply at page 2 said:

> It is, therefore, not surprising that the learned RM found that on the balance of probabilities the Sale Deed was forged.

The learned RM, on perusal of his judgement did not say so nor can it be inferred therefrom and as aforesaid, the preponderance of evidence is in tilted to the contrary.

From the foregoing, I find that the defendant 3, 4, 5 and 6, though minors, had capacity in the instant case to contract, I also find that no fraud or forgery was proved against the said defendants and hold that the Sales Deed, Exhibit D1, was no forgery .

I will at this point comment briefly on both counsel's submissions before me.

Mr Mkonje reiterated his submission before the RM on his clients capacity to contract and gave decided authorities to better his position. He also submitted on his contention that fraud was not proved before the RM against his clients. Dr Lamwai on the other hand contended that Mr Mkonje introduced issues which were not raised at the RM's court and should thus be struck out.

The issue of capacity which he said was not raised in the respondent's Memorandum of Appeal was clearly raised, so I will not go further on it, as Order XLVI, rule 2 of the Civil Procedure Decree, he cited is manifestly inapplicable. The other contentious issue in their submissions was the issue of *locus standi*. Dr Lamwai was of the view that since it was not specifically raised at the appropriate time and are thus now estopped from raising it; as provided by Order I, rule 13 of the Civil Procedure Decree. Mr Mkonje responded that the issue had arisen in the course of the proceeding and was entitled to take it up. On this issue, I am mindful "that the decision of a case cannot be based on grounds outside the pleadings of the parties and it is the case pleaded that has to be found" on the authority of AIR 1953, SC 235 and also "that the court cannot grant relief to the plaintiff for which there is no foundation in the pleading and which the other side was not called upon or had no opportunity to meet" - AIR 1957, 177.

I, on the other hand, also know that "it is trite law that a court can decide on a matter which though not pleaded, was clearly addressed by the Parties". Among the issues framed for determination at the Regional Magistrate's Court, were (1) whether the plaintiffs are the only heirs of the deceased Mwashamba Bint Ali and (2) who had a

better title to the suit premises. Do these not have to do with *locus?* In any event, these issues as earlier stated were not dealt with by the RM.

For the aforestated reasons, I hold that the appeal succeeds and declare the house the property of the second, third, fourth and fifth appellants.

SHILALO MASANJE *v.* LOBULU NGATEYA

HIGH COURT OF TANZANIA
AT ARUSHA
(Msoffe, J.)

CIVIL APPEALS Nos. 42 AND 47 OF 1997

(From Arusha District Court, Civil Appeals Nos. 42 and 47 of 1997, from original Civil Case No. 58 of 1997 in Enaboishu Primary Court)

Land Law – Disputed land ownership – Appellant's case partially established – Respondent never counter claimed for portion of disputed land – Trial court pronounced judgment aimed at bringing harmony between the parties – Whether judgment valid.

Civil Procedure and Practice – Limitation – Point of law raised at appellate level – Whether appellate court competent to determine it.

In the Primary Court at Enaboishu, Arusha, the appellant sued the respondent on claim of a five-acre piece of land. After the trial, the court found that the appellant's case was established only partially. However, during the trial the respondent had not counter-claimed for any portion of the land in dispute. The trial court decreed that both parties were each entitled to half of the land in dispute. Dissatisfied, the appellant appealed to the District Court. The latter court faulted the trial court's decision in as much as it only aimed at bringing harmony between the parties instead of deciding

exactly as to who between the parties was entitled to the disputed land. It accordingly nullified the proceedings in the Primary Court and ordered a retrial. The appellant was dissatisfied, hence, this second appeal.

Held: (i) In the circumstances of this case the proper forum for canvassing the point of limitation was at the Primary Court.

(ii) It was upon the trial court to rule affirmatively as to whether or not the appellant had a valid claim over the whole disputed piece of land.

(iii) It was not upon the Primary Court to decide that each party was entitled to half of the land in issue when it was quite clear that the respondent had not even counter-claimed for a portion of the land.

Appeal dismissed. Retrial ordered

Statutory provision referred to:

(1) The Magistrates' Courts Act, section 25(3)

JUDGMENT

(Dated 29 March 2000)

Msoffe, J.: In the Primary Court at Enaboishu, Arusha, the appellant filed a suit against the respondent in a claim of a five acre piece of land. After hearing the parties and their witnesses, and also after visiting the *locus in quo*, the trial Primary Court was of the unanimous view, and so accordingly held, that the appellant's case was established only partially. It therefore decreed that both parties were each entitled to half of the land in issue. The material part of that court's judgment read as follows:

> Hivyo basi kutokana na ushahidi huu, mahakama inamwona mdai ushahidi wake ni mzito/mwingi kuliko wa mdaiwa kwani wote walikiuka sheria za ardhi na kufanya mauziano yao kwenye bar na bila ushahidi wowote. (Kienyeji) na kwa vile ni ndugu moja wagawane eneo la daawa.
>
> Mahakama kwa kauli ya pamoja inatamka kuwa mdai ni mshindi wa madai yake nusu mdaiwa achukue sehemu ya chini toka Korongoni hadi nyumba

zake zilizopo na sehemu inayobaki ni ya mdaiwa na mdaiwa amlipe mdai gharama nusu za shauri hili.

Dissatisfied, the appellant appealed to the District Court at Arusha. The latter court took the view that the decision of the Primary Court was faulty in as much as it only aimed at bringing harmony between the parties instead of deciding exactly as to who between the parties was entitled to the disputed five-acre piece of land. It accordingly nullified the proceedings and decision of the trial Primary Court and ordered a fresh trial before a different Magistrate sitting with a different set of assessors. The appellant is dissatisfied and hence this second appeal.

In the petition of appeal, there are five grounds of complaint. All the grounds, however, crystallize or actually amount to one general point only i.e. that instead of ordering a trial *de novo* the appellate District Court could have easily evaluated the evidence and made its own decision on the basis of the available evidence.

On the other hand, the respondent has filed a reply to the petition of appeal challenging the competency of the appeal. In the respondent's view, the decision of the District Court could not be disputed in as much as there was no proof that the appellant was the lawful owner of the land in issue. Further, according to the respondent, the evidence established that he was the lawful owner of the disputed piece of land. At the same time, the respondent has raised a Preliminary Objection to the appeal arguing in effect that it contravened the provisions of section 25(3) of the Magistrates' Courts Act 1984 for being filed in the High Court instead of the District Court.

I propose to deal with the preliminary point of objection first. A look at the record will show that this point has no merit. The petition was filed in the District Court on 28 July 1999 as evidenced by that court's stamp of that date and also as per that court's ERV Number 08682247 of that same date. It cannot therefore be true that the petition of appeal was filed at the High Court instead of being filed at the District Court as the Law requires.

I also notice that under paragraph 3 of the reply to the petition of appeal, the respondent has argued that in fact the matter before the Primary Court was time-barred for being brought after 12 years from the date of occupation of the land in question. This may certainly be a very fine point to make. However, I am at a loss as to why the respondent did not raise this point at the very early opportune time i.e. before the Primary Court, so that it would be considered and a Ruling made accordingly. I am very much alive to the principle that in law a point of law could be raised at any stage of the proceedings but in the circumstances of this case and for reasons that will emerge hereunder, I still think that the proper forum for canvassing the point was at the Primary Court.

Turning to this second appeal, I am of the considered view that it has no merit. As correctly observed by the District Court, it was the duty of the trial Primary Court to decide exactly whether or not the appellant had a valid claim over the disputed piece of land. After all, the crucial issue was who between the parties had better title over the land and not whether or not either party had some right over a portion of the land. As observed by the District Court, the spirit behind the decision of the Primary Court was to bring harmony between the parties. However, that spirit was not achieved and hence the appellant's appeal to the District Court.

Perhaps, the trial Primary Court should also have appreciated that in a civil trial, the court has to confine itself to the pleadings and the issues before it only. Here it was very clear that the issue was only one i.e. whether or not the appellant had a valid claim over the five acre piece of land. The trial Primary Court ought to have confined itself to this crucial issue only. It was not upon the Primary Court to say that each party was entitled to half of the land in issue when it was quite clear that the respondent had not even counter claimed for a portion of the land. The respondent's case, just as the appellant's case, was that he was equally entitled to the whole land. It was therefore upon the trial court to rule affirmatively as to whether or not the appellant had a valid claim over the whole disputed piece

of land. In the absence of such decision, it was clear that there was no valid judgment upon which the Appellate District Court could uphold or reject. In the circumstances, it was logical for the District Court to nullify the decision of the Primary Court and make an order for a retrial.

For the above reasons, the appeal is dismissed with costs. As ordered by the District Court, there will be a fresh trial before the same Primary Court but before a different Magistrate sitting with a different set of assessors. In the retrial, the respondent should feel free to canvass the point mentioned above i.e. whether or not the suit is time-barred. The advantage for raising that point at that very early stage will be that the aggrieved party will have the added advantage and/or opportunity for more avenues of challenging a decision on the point on appeal to the District Court or even to the High Court and eventually, even to the Court of Appeal for that matter. If I may further reiterate the order made by the District Court, in the trial *de novo* no fresh fees shall be paid. It is so ordered accordingly

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MKONO AND COMPANY ADVOCATE (A FIRM) *v.* JW LADWA (1977)

HIGH COURT OF TANZANIA
(COMMERCIAL DIVISION)
AT DAR ES SALAAM
(Kalegeya, J.)

CIVIL CASE No. 3 OF 2000

Contract – Illegal contracts – Contingency fees for advocates – Whether legal – section 59 of the Advocates Act and section 23 of the Law of Contract Act.

Advocate fees – Champerty – Basis for condemning champerty – Public policy.

Advocates – Professional conduct – Rules of professional conduct and etiquette of the Tanganyika Law Society – Professional misconduct – Consequences thereof.

The plaintiff's suit was based on an agreement between the parties, namely, a lawyer (the plaintiff) practicing law and a business contractor (the defendant). The agreement contained the following terms, *inter alia:*

1. The plaintiff was to act for the defendant in the defendant's claim against the Government.
2. Fees:
   (a) a retainer fee of TZS. 5 000 000 simultaneously with the execution of the agreement.
   (b) A success fee of 7% on the amount of debt recovered from the Government; "Provided that should the debt for any reason be rendered wholly extinguished or reduced, the success fee payable shall nonetheless remain payable without demand".

The defendant signed the agreement on 27 April 1998 and paid the TZS. 5 000 000 to the plaintiff. Thereafter the plaintiff issued to the Ministry of Works a Notice of Intention to sue the Ministry if the Ministry failed to pay the debt amounting to USD 1 413 232 and TZS. 531 464-60; and that the plaintiff had instructions to institute proceedings against the Ministry if the debt was not paid within 90 days. The Notice was followed by the drafting of a Plaint which was sent to the defendant for signature pending its being filed in court. For one reason or another, the defendant did not sign or return the plaint to the plaintiff. But between February and June 1999, the defendant was duly paid all the sums due to him from the Government. The plaintiff then called upon the defendant to honour their agreement and pay the "success" amount of 7%. The defendant refused to pay; and so the plaintiff filed the suit against the defendant.

The defendant's advocate raised two Preliminary Objections, namely,

(a) that the plaint did not disclose a cause of action in so far as the claim was founded on an agreement based on an aggravated form of maintenance, namely, champerty; and

(b) that the plaint did not disclose a cause of action in so far as it was founded on an agreement the consideration and/or object of which was manifestly illegal for being against statutes governing contractual relations and those providing for the office of practicing legal professionals.

Held: (i) A contingency fee for conducting litigation is by the law of England champerty and, as such, contrary to public policy.

(ii) The doctrines of maintenance/champerty apply in Tanzania by value of section 2(2) of the Judicature and Application of Laws Ordinance, with only a qualification provided under paragraph 8 of the Schedule to the Advocates Remuneration and Taxation of Costs Rules; that is, that in a non-contentious debt collection matter where the demand letter has been followed by institution of proceedings by the same advocate, the latter can charge 5% of the debt collected.

(iii) In the case at hand, the champerty element does not start at the point when the matter is filed in court but at the time the client instructs the advocate – the time of entering into the agreement, and it is the machinery for remuneration agreed upon between the advocate and his client that will concern the court.

(iv) As to whether the matter is contentious or not it is obvious that the moment a client instructs an advocate to take any legal step, including filing of a suit against an adversary, the matter would no longer be said to be non-contentious.

(v) The agreement in this case concerned contentious proceedings, and the contentious proceedings commence from the stage where a client gives instructions to an advocate and, for champerty, the moment an agreement for contingency fees is struck; the contents of the agreement in this case were clearly champertous as they provided for a success fee of 7% on the amount of the debt recovered from the Government.

(vi) The proviso to the agreement, which refers to a situation where there is compromise with the debtor, makes no difference; the proviso is like a shrewd protection by the plaintiff of the contingency fee, and is designed to discourage the defendant from compromising the debt, which is one of the many reasons behind the policy controlling the champerty doctrine.

(vii) The agreement stated section 23 Law of Contract Ordinance and section 59 of the Advocates Ordinance; it was illegal and unenforceable.

Suit dismissed

Cases referred to:

(1) *Re: Trepca Mines Ltd.* (1962) 3 All ER 351

(2) *Trendex Trading Corp. v. Credit Swisse* (1981) 3 All ER 520

(3) *Giles v. Thomson and Related Appeals* [1993] All ER 320

(4) *Thai Trading Company (a firm) v. Taylor* [1998] 3 All ER 651

(5) *In The Matter of 'G' a Senior Advocate of the Supreme Court* AIR 1954 SC 557

(6) *Keeka v. Damji* (1968) EA 1

(7) *Hutley v. Hutley* (1873) LR 8 QB 112

(8) *Stanley v. Jones* (1831) 7 Bing 369

(9) *Strange v. Brennan* (1746) 2 Coop

(10) *Earle v. Hopwood* (1861) 9 CBNS 566

(11) *Rees v. Bernardy* (1896) 2 CH 437

(13) *Cole v. Booker* [1913] 29 T.L.R. 295

(14) *Wild v. Simson* [1919] 2 KB 544

(15) *Geraghty and Company v. Award Awwad and another* (1999) EWJ Number 6188

(16) *Reyned v. Sprye* (1852) 1 De GM and G 660

(17) *Mkono and Company Advocate (a firm) v. J.W. Ladwa* (1977)

(18) *Wallersteiner v. Moir* (Number 2) 1975 QB 373

Statutory provisions referred to:

(1) Advocates Act, section 59

(2) Judicature and Application of Laws Ordinance, section 2(2)

(3) Law of Contract Ordinance, section 23

(3) Government Proceedings Act Number 16 of 1967, section 6(2)

(4) Government Proceedings (Amendment) Act Number 30 of 1994, section 2

(5) Advocates Ordinance, sections 59, 59(a) and (b)

(6) Law of Contract Act, section 23

Mr Mponda, for the Plaintiff

Dr. Tenga, for the Defendant

RULING

(Dated 3 April 2000)

Kalegeya, J.: Responding to an action filed by the plaintiff, the defendant has raised, among others, Preliminary Objections as follows:

> The following Preliminary Objections ... are without prejudice to and in the alternative of one another:
>
> (a) That the Plaint does not disclose a cause of action against the defendants in so far as the claim therein is found on an Agreement that is based on an aggravated form of maintenance to wit, champerty.
>
> (b) That the Plaint does not disclose a cause of action against the defendants in so far as it is found on an agreement the consideration and or object of which is manifestly illegal for being against statutes governing contractual relations and those providing for the offices of practicing legal professionals.

Mr Mponda, advocate, represented the plaintiff, a firm of advocates, while Dr Tenga of Law Associates (Advocates), represented the defendant.

The action by the plaintiff is based on an agreement entered into by the parties. I should pose and state from the outset that for clarity, even at the danger of making this ruling unnecessarily long, I will quote at length all relevant documents. To start with the Agreement, the same runs as follows:

"Mr JW Ladwa

Managing Director

JW Ladwa (1977) Limited

PO Box 20200

Dar es Salaam

Dear Mr Ladwa,

Re: Amended Terms of Business

As all the arrangements for the lodgement of your claim to the authorities are now in place, the purpose of this letter is to record the main terms of the retainer. Many of the points made in this letter of course have already been agreed but it is this firm's policy to make them clear to you at the outset.

1. The Work

The work in which we are instructed relates to acting for you in the contractor's claim against the Ministry of Works in the aggregate sum of USD 1 413 232 and TZS. 531 4646 (together the debt) as set out in our letter dated 3 March 1998 addressed to the Principal Secretary, Ministry of Works.

2. Responsibility for Work

I will have overall conduct and responsibility of this matter on your behalf although I will of course, as and when necessary, call upon the assistance of other staff in the office.

3. Fees

As remuneration for the services to be rendered pursuant to the instructions you will pay us:

(a) retainer fees of TZS. 5 000 000 simultaneously with the execution of this agreement; and

(b) a success fee of 7% on the amount of the debt recovered from the Government: Provided that should you for any reason compromise with the debtor so as to render the debt wholly extinguished or reduced

the success payable hereunder shall nonetheless remain payable to us without demand.

4. Refund

No amount advanced hereunder is refundable; client waives any such right for refund.

5. Disbursements

You agreed to meet the incidental costs and expenses relating to these proceedings as and when they fall due.

6.1 Termination

We reserve the right to stop acting for you as advocates if:

(i) You do not pay our costs or money on account of costs in accordance with these terms of business, or

(ii) We cannot continue to act without being in breach of rules of professional conduct; or

(iii) We are unable to obtain clear instructions from you; or

(iv) For any reason there has been a serious breakdown in confidence between us.

6.2 Subject to paragraph 5 above, you have the right, upon reasonable notice being given and upon payment of the success fee on a quantum merit basis being made to terminate.

7. Conclusion

Please review the foregoing and, if it meets with your approval, sign the enclosed copy of this letter and return it to the undersigned. If you have any question, please feel free to call me.

I look forward to working with you.

Yours sincerely

Sgd.

Nimrod E Mkono"

Acknowledgement

I agree to the terms of engagement as spelt out herein above.

Dated at Dar es Salaam 24 April 1998.

Sgd:

JW Ladwa

For: JW Ladwa (1977) Limited

Following the signing of the said Agreement the plaintiff was duly paid the sum of TZS. 5 million. The plaintiff then proceeded to issue a notice to sue to the Principal Secretary, Ministry of Works. The contents thereof, among others, state as follows:

"Dear Sir,

Re: Notice of Intention to sue the Government under section 6(2) of the Government Proceedings Act Number 16 of 1967 as Amended by section 2 of the Government Proceedings (Amendment) Act Number 30 of 1994

We act for JW Ladwa (1977) Limited of PO Box 20200, Dar es Salaam, ("our client"), in relation to their outstanding debt as is shown hereunder and more particularly described in the schedule of computation and the copies of interim payment certificates appended hereto as Volume 1 and 2.

DESCRIPTION	FOREX IN USD	LOCAL IN TZS.
Outstanding Certificate payment IPC 35.36 and 37 total.	1 105 490-5	-
Release of Outstanding Amount in Respect of Preliminary items:	26 737	4 444 842
HOUSES TYPE 1	60 354	10 033 511
HOUSES TYPE 2	6 644	1 104 480
RE's OFFICE	9 467	1 573 200
RE's EQUIPMENT		
Add Release of Retention Money Forex 73.930.169 x 53.98%/195 Local 73.920.169 x 46.02%	204 626	34 018 777
Add Accrued Interest on Outstanding and Delayed Payments	-	480 294 836
TOTAL	**1 413 233**	**531 469 646**

Despite several demands for payment and threat to sue no payment has been forthcoming.

Take Notice that unless payment of the outstanding sums aforesaid is made to our clients or to us for and on account of our clients, within Ninety (90) days counting from the date of service hereof our instructions

are to institute proceedings against you for its immediate recovery at your sole risk as to costs and other consequences.

Yours faithfully,

Mkono and Company

Copy to Be Served Upon:

1. The Attorney General

   Attorney General's Chambers

   P O Box 9050

   Dar es Salaam

2. Honourable Minister of Works

   Ministry of Works

   PO Box 9423

   Dar es Salaam

3. Clients

   Encls."

The notice was followed by drafting a plaint which was sent to the defendant, who, for one reason or another, did not sign or return it to the plaintiff for further action.

However, between February and June 1999 the defendant was duly paid the whole sum that was being claimed from the Government of Tanzania. Subsequent thereto, naturally, the plaintiff called upon the defendant to honour the Agreement. The defendant refused to pay the "seven percent success". The plaintiff could not stomach this hence the suit which triggered on the Preliminary Objection, the subject of this ruling.

In support of the Preliminary Objections, Dr Tenga submitted that there is no cause of action as the claim is founded on illegality because "it flies against statutory provisions, to wit, on section 23

of the Law of Contracts Ordinance and section 59 of the Advocates Ordinance, Chapter 341". He insisted that due to policy considerations, agreements that are based on contingent fees are against the statutes, as much as under common law, applicable in Tanzania, champerty, an aggravated form of maintenance, is illegal. He made reference to a treatise by Dutt on **Indian Law of Contract** (8 ed) [Eastern Law House, 1994]; Re: *Trepca Mines Ltd* (1), *Trendtex Trading Corporation v. Credit Suisse* (2); *Giles v. Thompson and related Appeals* (3). Elaborating further, Dr Tenga, argued that even if it were to be maintained that the agreement between the parties was that for debt collection, which however, according to him, is not, the remuneration of TZS. 5 000 000 and 7% success fee charged is against the Advocate's Remuneration Regulations and therefore illegal. That apart, he argued, "in a period spanning about 2 years the plaintiffs did very little on the task they were engaged to perform except to put the Government on notice about the pending and to draft a set of pleadings".

In response in an equally strongly argued submission, the plaintiff submitted "the said agreement is neither champertous" nor founded on illegal consideration under section 23 of the Law of Contract Order (Chapter 433) as the Advocate's Ordinance does not prohibit such type of agreement and that therefore the defendant's Preliminary Objections are flawed.

The plaintiff argued that the agreement between the parties was that of negotiating for a settlement of the sum owed to the defendants by the Government of Tanzania and did "not provide for litigation of any nature"; that it provided for a "quality" of work to be done and not "quantity" as suggested by defendants; that contrary to the alleged period of 2 years their work gave fruits within a year as the first installment was paid therein displaying (plaintiffs') perseverance, persistence and hardwork.

Detailing the arguments, the plaintiffs fronted that the English common law doctrines of maintenance and champerty do not apply

in Tanzania. In support thereof they insisted that even in their country of origin (England) due to changing moral and financial climate and consequently change in public policy, **maintenance** including **champerty** are no longer punishable as a crime or actionable as a tort following the 1967 amendments [Criminal Law Act 1967 – (UK)] while certain champertous agreement are enforceable [*Thai Trading Company (a firm) v. Taylor* (4)]. Comparing with our situation they state that none of the Tanzanian statutes, including the Law of Contract Ordinance, makes maintenance a crime. Making reference to an Indian case of *In the Matter* of *"G", a Senior Advocate of the Supreme Court* AIR 1954 SC 557 (5) quoted in DUTT's treatise, the plaintiff argues that even in India (which equally inherited English common law like ourselves) maintenance and champerty do not make an agreement illegal save making the advocate concerned disciplinarily liable.

The plaintiff's called upon this court to differentiate professional legal standards applicable in India from those reigning in Tanzania. They insisted "In India, professional conduct requires an advocate never to take a share in the proceeds of any matter in litigation" while in Tanzania, "an advocate may charge a fee for the said litigation and a success fee of 5% on the sums collected as a result of the said litigation" *as per rule 21 of the Rules of Professional Conduct and Etiquette of the Tanganyika Law Society*. In this case however, plaintiff's challenged that their conduct does not fall under the said rule because their debt collection exercise "was never litigated, and there was no intention to litigate the said matter".

Making further reference to **Halsbury's Laws of England**, Re *Trepca case* (also referred to by defendants) *Keeka v. Damji* (6), the plaintiffs argued that for an agreement to be champertous, it should concern contentious proceedings which should have already began before a court or before an arbitrator, and a party should have contracted to support/maintain the proceedings in consideration for a share in the proceeds/subject matter of the action. Treading on that, the plaintiff insisted that no proceedings were even commenced

let alone envisaged; that a mere notice to sue accompanied by a drafting of plaint are not commencement of litigation but were mere strategies for negotiation as per the nature of agreement.

As regards the alleged illegality under section 59(a) and (b) of the Advocates Ordinance let the plaintiffs' wording substantially paint the picture. The submission in part runs as follows:

> For section 59(a) of the Advocates' Ordinance to apply an advocate must do the following:
>
> (i) he must purchase an interest or any part of this interest of his client; and in any action, suit or other contentious proceeding.
>
> (ii) in any action, suit or other contentious proceeding.
>
> Section 59(a) ... Does not apply to the present case because the agreement in dispute was not one in which the plaintiffs purchased the interest or any part of the interest, of the defendants in any action, suit or other contentious proceedings.
>
> For section 59 (b) of the Advocates' Ordinance to apply, an advocate must
>
> (i) be employed or retained to prosecute any action suit or other contentious proceedings and
>
> (ii) have an agreement with the client which stipulates that the advocate *only receives payment in the event of success* of that action suit or contentious proceedings.
>
> Section 59(b) ... does not apply to the present case because the plaintiffs were not employed or retained by the defendants to prosecute any action, suit or contentious litigation. They ... were retained ... to recover debt ... "Even assuming that the Agreement is caught by section 59(b) there is no stipulation... that the plaintiff would only revive payment in the event of success of the legal proceedings".

As to the debt collection principle, the plaintiff's argues that under rule 17, schedule VIII, paragraph 8 of the Advocates Remuneration

Rules, in non-contentious business like debt collection, where a letter of demand was not followed by litigation, an advocate is allowed to enter an agreement as the present one.

In reply Dr Tenga insisted there is no evidence in support of plaintiffs' claim that they researched, considered, opinied on relevant laws let alone attending several conferences; that they cannot be heard to say that litigation was not envisaged when they wrote two letters to defendants calling upon them to sign the Draft plaint ready for filing in court; that in determining the correct remuneration of counsel, the work done should be looked at both quantitatively and qualitatively and that for that matter common law looks down on unconscionable remuneration.

Regarding applicability or otherwise of the English common law doctrines of maintenance and champerty, Dr Tenga insisted that they are, because of the Reception clause. He then referred to various cases which decided, before the reception date, on the unenforceability of a maintenance/champertous agreements. These include *Hutley v. Hutley* (7); *Stanley v. Jones* (8); *Strange v. Brennan* (9), CA: *Earle v. Hopwood* (10); *Rees v. De Bernardy* (11); *Cole v. Booker* (12) and *Wild v. Simpson* (13).

He went further to state that, although in Britain maintenance and champerty are no longer crimes or tortuous they are still "illegal" on policy consideration – referred to *Thai case* also referred to by the plaintiff with an addition that case was overruled by a subsequent decision in *Geraghty and Company v. Award Awwad and another* (14). As to the Indian case of *Re "G" Advocates* cited in Dutt treatise, Dr Tenga insisted that the fact that an advocate can attract disciplinary action against him due to being a party to champetous agreement establishes that even in India they are still illegal. On rule 21(2) of The Professional Conduct and Etiquette of Tanganyika Law Society Rules, he urged that an absurd interpretation by which an advocate would charge a fee for litigation, and then another fee called "success fee" if he won advocated by plaintiff should not be entertained as it

would be *ultra vires* the statutes, in that the law provides a clear distinction between "debt collection, a non-contentious process par excellence, and litigation in an action for debt, a contentious process par excellence". He reiterated that a notice to sue is an invitation of contentious proceedings because a non-contentious negotiation strategy is originated by just a demand letter. He concluded by calling upon the court to note that the plaintiff did not respond to section 23 of the Law of Contract Ordinance which declares illegal agreements that the contrary to public policy.

I should start by commending both counsel for the gallant fight exhibited by each of them in their respective submissions in support of their attacks and counter attacks and also their assistance in making available copies of literature they referred to.

Now for the analysis of the arguments. I should pause and put it clearly at this point that I will deal with only the salient issues which form the basis of the dispute.

I should state from the outset that it is a naked fact that under the english common law, doctrines of maintenance, under which champerty, its aggravated form falls, till 1967, (were) both criminal and tortuous as they (were) illegal and unenforceable. The **Halsbury's Laws of England,** Volume 9. has the following to say:

> Maintenance was a misdemeanour at common law and was also punishable by various statutes. Further, a person who was a common mover, exciter or maintainer of suits or quarrels was guilty of the offence of barratry, but this offence has been abolished by *ibid* section 13(1). (The Criminal Law Act 1967 of UK). Maintenance gave rise to liability in tort at the suit of the person injured as a result of the action (though the tort was not actionable *per se*: *Neville v. London Express Newspaper Ltd* (1919) AC 368 at 382. Any agreement constituting or savouring of maintenance was illegal and unenforceable: *Reyned v. Sprye* (15).

As to the illegality and unenforceability I will detailedly later return. The same volume of **Halsbury's Laws of England** defines maintenance as follows:

> Maintenance may be defined as the giving of assistance or encouragement to one of the parties to litigation by a person who has neither an interest in the litigation nor other motive recognized by the law as justifying his interference. Champerty is a particular kind of maintenance, namely maintenance of an action in consideration of a promise to give the maintainer a share in the proceeds or subject matter of the action.

Under the above principle, any agreement by which a lawyer contracted to be remunerated by way of "contingency fee" (was) illegal and unenforceable. Why such protection? What (was) the basis of this doctrine? The same authors of **Halsbury's Laws of England**, same volume, have the following general synopsis of decisions on the matter:

> The doctrine of maintenance is based upon considerations of public policy, and is directed against wanton and officious intermeddling with the disputes of others in which the maintainer has no interest whatsoever, and where the assistance he renders to the one or the other party is without justification.

The history and public policy behind this doctrine, particulary the contingency fee aspect, was subject of detailed discussion in *Geraghty and Company v. Awward* (14) case cited by the defendant and which indeed, I should point out at this juncture, overruled the *Thai* case, referred to by the plaintiff. The Lord Chief Justice (with approval) quoting extensively from the earlier case of *Wallersteiner v. Moir (Number 2)* (16) where judges pronounced the position of the law and policy behind, made reference to the following speeches: Scarman, LJ is quoted as saying:

> A contingency fee for conducting litigation is by the law of England champerty and, as such, contrary to public policy. This is law of longstanding. It has been frequently declared by the courts.

Lord Denning had stated:

> English Law has never sanctioned an agreement by which a lawyer is remunerated on the basis of a contingency fee, that is that he gets paid the fee if he wins, but not if he loses. Such an agreement was illegal on

> the ground that it was the offence of champerty. In its origin champerty was a division of the proceeds ... An agreement by which a lawyer, if he won, was to receive a share of the proceeds was pure champerty. Even if he was not to receive an actual share, but payment of a commission on a sum proportioned to the amount recovered – only if he won – it was also regarded as champerty: see *Re Attorneys and Solicitors Act* 1870 (1875) 1 Ch D 573 at 575) by Jessel MR; *Re A Solicitor*. Even if the sum was not a proportion of the amount recovered, but a specific sum or advantage which was to be received if he won but not if he lost, that, too, was unlawful: see *Pitman v. Prudential Deposit Bank Ltd* by Lord Esher Mr It mattered not whether the sum to be received was to be his sole remuneration, or to be an added remuneration (above his normal fee), in any case it was unlawful if it was to be paid only if he won, and not if the lost.

And this was a further elaboration of statement he had earlier provided in *Trepca case* (1) where he said.

> The reason why the common law condemns champerty is because of the abuses to which it may give rise. The common law fears that the Champertous Maintainer might be tempted, for his own personal gain, to inflame the damages, to suppress evidence, or even to suborn witnesses.

Not only the above, the court in *Geraghty case* (14) pointed out with approval yet another statement by Lord Buckley LJ in *Wallerstein case* (16) where he stated:

> It may, however, be worthwhile to indicate briefly the nature of the public policy question. It can, I think, be summarized in two statements. First, in litigation, a professional lawyer's role is to advise his client with a clear eye and an unbiased judgement. Secondly, a solicitor retained to conduct litigation is not merely the agent and adviser to his client but also an officer of the court with a duty to the court to ensure that his client's case, which he must, of course, present and conduct with the utmost care of his client's interests, is also presented and conducted with scrupulous fairness and integrity. A barrister owes similar obligations. A legal adviser who acquires a personal financial interest in the outcome of the litigation may obviously find himself in a situation in which that interest conflicts

> with these obligations. See in this connection *Neville v. London Express* (1919) AC 368 at 382 et seq and *Re Trepca Mines Ltd (Application of Radonir Nicola Pachtch* (Pasic) 1963) Ch 199 at 219, 255.

I should hurriedly add at this point that the position of the law in England to date regarding "contingency fee" vice, notwithstanding the fact that, now, champerty has been decriminalized, has not changed. It is still illegal. The court, in this latest decision (Geraghty) observed:

> It was suggested to us that the only reason why 'contingency fees' were not allowed in England was because they offended against the criminal law as to champerty: and that, now that criminal liability is abolished, the courts were free to hold that contingency fees were lawful. I cannot accept the contention. The reason why contingency fees are in general unlawful is that they are contrary to public policy as we understand it in England.

What is the position in India? Both parties made reference to a Supreme Court decision in In *the matter of "G" a Senior Advocate of the Supreme Court*, (5) though with opposing views of what was decided. In that case, the advocate had entered into an agreement with his client in the following wording:

> I hereby engage you with regard to my claim against the Baroda Theatres Ltd for a sum of Rs.9400 (Balance due to me). Out of the recoveries you make take 50 per cent of the amount recovered. I will by Wednesday deposit Rs.200 in your account or give personally towards expenses.

The defendant urge that kind of agreement is illegal in India while the plaintiff insist that it is not, save calling for disciplinary action to the advocate. The latter relies on Dutt's commentary on the matter where he stated:

> It was held that a contract of this kind could be legally unobjectionable if no lawyer was involved, since the rigid English rules of champerty and maintenance did not apply in India. But as G, was an advocate such an engagement on his part amounted to professional misconduct and called disciplinary action.

What is clear from the decision of the court is that although champerty maintenance doctrine is not strictly enforced in India as it is in Britain, in that such agreements are proper between other parties, they are not, where an advocate is involved. The plaintiffs, however, rely on following excerpt from the decision to front an argument that in India "contingency fee" agreement are illegal:

> Now it can be accepted at once a contract of this kind would be legally unobjectionable if no lawyer was involved. The rigid English rules of champerty and maintenance do not apply in India, so if this agreement had been between what we might term third parties, it would have been legally enforceable. It may even be that it is good in law and enforceable as it stands though we do not so decide because the question does not arise: but that was argued and for the sake of argument even that can be conceded.

I should, with respect, state that the plaintiffs are not supported in that observation: The "G" Senior Advocate case was dealing with disciplinary proceedings and not the issue before us. The court was categorical on this although one may be led to read the opposite from the last ten words in the quotation above. I am saying so because in the next paragraph, following the quoted excerpt, the court states clearly that the issue of unenforceability of that contract is not before it. It states:

> But that is not the question we have to consider.

In paragraph16 that follows next in the report, the court reiterates this by referring in passing, to three other earlier decisions thus:

> The question there was whether an agreement which might be objectionable on the ground of professional misconduct could be enforced by suit ... whether these cases were rightly decided or whether they would also be hit on the ground of public policy as Chitly, J. thought of a similar matter in the *Punjab Record* case, is something which does not arise for decision here.

It would therefore be wrong to say that this case decided that in India, a "contingent fee" agreement with an advocate is not illegal.

Although unfortunately, I did not get access to the three cases referred to or any other latest report on the matter, treading by the conflicting decisions referred to by the court, and the court's pronouncement that an advocate who involves himself in such agreement commits a professional misconduct (for which, in this case, Mr G Senior advocate was so condemned) one can safely say that such agreements, where advocates are involved, are illegal. This is so because I cannot see how else a counsel can be condemned for professional misconduct on something which is lawful.

The degree of condemnation in which courts in India hold such champerty agreements involving advocates can be fully appreciated by looking at what was stated in another Indian case "*In re Bhandara*" case, cited with approval in *Re "G" Senior Advocate* (5), where in it was stated:

> I consider that for an advocate of this court to stipulate for, or receive, a remuneration proportioned to the result of litigation or a claim whether in the form of a share in the subject matter, a percentage, or otherwise, is highly reprehensible, and I think it should be clearly understood that whether his practice be here or in the mofussil he will by so acting offend the rules of his profession and so render himself liable to the disciplinary jurisdiction of this court.

Can this kind of condemnation be said to be limited at just punishing the advocate for impropriety and yet leave the perpetrated act lawful? My reaction is negative. Would the law condemn such counsel and at the same time leave him to enforce and enjoy the earnings that may have accrued from a transaction for which he has already been punished? That would defeat common sense in all aspects.

From the foregoing I hold that in India, agreements by advocates involving "contingent fees" are also illegal.

Coming to our Tanzanian situation the defendant urged that the doctrines should be taken to be applicable due to the Reception Clause under the *Judicature and Application of Laws,* Ordinance Chapter 453, section 2 of the said Ordinance provides.

Section 2(1) Save as hereinafter, or in any other written law, expressed, the High Court shall have full jurisdiction, civil and criminal.

(2) Subject to the provisions of this Ordinance, the jurisdiction of the High Court shall be exercised in conformity with the written laws which are in force in Tanganyika on the date on which this Ordinance comes into operation (including the laws applied by this Ordinance) or which may hereafter be applied or enacted and subject thereto and so far as the same shall not extend or apply, shall be exercised in conformity with the substance of the common law, the doctrines of equity and the statutes of general application in force in England on the 22 July 1920, and with the powers vested in and according to the procedure and practice observed by and before courts of Justice and Justices of the Peace in England according to their respective jurisdictions and of the of the authorities at that date, save in so far as the said common law, doctrines of equity and statutes of general application and the said powers, procedure and practice may, at any time before the date on which this Ordinance comes into operation, have been modified, amended or replaced by other provision *in lieu* thereof by or under the authority of any Order of Her Majesty in Council, or by any Proclamation issued, or any Ordinance or Ordinances passed in and for Tanganyika, or any hereafter be modified, amended or replaced by other provision *in lieu* thereof by or under any such Ordinance or Ordinances or any act or Acts of the Parliament of Tanganyika:

Provided always that the said common law, doctrines of equity and statutes of general application shall be in force in Tanganyika only so far as the circumstances of Tanganyika and its inhabitants permit, and subject to such qualifications as local circumstances may render necessary."

However, we have to subject this to two considerations – first, whether circumstances pertaining to our local environment call for change, modification of their applicability as compared to their country of origin and, secondly, whether there is any statute which has modified or scrapped off the same. As to local environment dictating otherwise, I find no element suggesting the same. In my opinion, the reasons for their applicability in England where the general level of education

and awareness of people's rights is on the higher scale become even more important and necessary in our land where ignorance and illiteracy are rife. What about the other element?

The plaintiff, for obvious reasons (he can hardly get support) did not put up much fight against the applicability of the doctrines under the Reception Clause except urging that it is archaic and that the Rules under The Advocates Ordinance have modified it. The plaintiffs' feelings can best be understood by reproducing two paragraphs of their submission:

> 3.15 Despite, the change that has taken place in England and Wales as a reflection of the changing face of public policy, the defendants are asking this Honourable Court to impose upon us a doctrine of law, that of maintenance and champerty, which has never been accepted in India; and has never been regarded as a criminal offence under our law; and which paragraph 21(d) of the TLS Rules specifically permits in cases of debt collection; and in addition a doctrine which in recent times has seen fundamental modifications as a result of a change in the moral and financial climate in England and Wales...
>
> 3.16 ...
>
> 3.17 In the alternative, if your Lordship holds that maintenance and champerty are doctrines which are applicable in Tanzania, the plaintiffs humbly submit that their application has been limited by the TLS Rules and the Advocates' Remunerations Rules, because paragraph 21(d) and Schedule VIII paragraph 8 respectively, clearly permit an advocate to enter into contingency fee arrangements with clients. These statutory inroads to champerty cannot in our respectful submission be ignored.

Tanganyika Law Society Rules were influenced by the wording of paragraph 8 of the Advocate's Remuneration Rules quoted above. I am saying so because, apart from the common entitlement "Debt Collection", the body thereto contain, substantively, similar wording, which, with respect to the framers, is full of ambiguity if not confusion. Let me support my observations with the following: paragraph 8

provides, among others, that an advocate may, in non-contentious debt collection matter, enter into a general agreement with a client. It then prescribes what seems to be a minimum scale if the demand is followed by one letter. Then, in a surprising u-turn the paragraph provides:

> Where the letter of demand is followed by the institution of proceedings at the instance of the same advocate, the scale for debt collection shall be 5% of the total debt to be collected!

What I gather from the above is that if an advocate fails to collect the debt by way of demand letters he can proceed to institute "proceedings" (I take it that these are court proceedings in a form of an action) in which case he would reap more fees – 5% of the collection! This prompts many questions. Will that matter, at the stage, be considered any longer as being non-contentious? Wouldn't this encourage an unprincipled advocate to discourage settlement of debt so that he be able to institute proceedings so as to enable him pocket more fees? What would be the rationale of giving an advocate in this matter such latitude of fee collection, but peg another advocate who is retained in another contentious matter whose subject matter is a liquidated sum of above TZS. 3 Million or in summary suit to just 3%? Doesn't this foster and encourage the evils which are fought against by the doctrines of maintenance and champerty?

In the same light, again, let us have a look at rule 21(d) of the TLS Rules. "In addition to the fees charged for litigation, an advocate may charge a collection fee of a reasonable percentage of the amount collected and received by him from the debtor, but not exceeding 5%"! What does this mean? Would it be within the precincts of public policy to allow double charges of a client by an advocate in such manner? My unreserved answer is obviously negative. Fortunately, as I have already held, these rules have no force of law and hence will not have a bearing in my decision when considering the agreement before us. I can only hope, however, that the Tanganyika Law Society would find time and necessity to revisit the rules, make necessary

amendments, and also arrange to have the same accorded a force of law if they have to exalt their full usefulness in the society. This rule has not therefore punctured the efficacy of the doctrines of maintenance/champerty as received through the reception clause as contended by the plaintiff.

Regarding paragraph 8 of Schedule VIII of The Advocate's Remuneration Rules, one may rightly say that it somehow punctures into the doctrines in that it allows a 5% charge as a "contingent fee" on the spoils of a client, but, as I have said, there is something very wanting with the rule and I can only optimistically hope that the authority concerned will look into it for necessary amendment to remove ambiguity, create certainty and tread by the unquestionable public policy on the principle of law concerned. This observation apart, even giving allowance for this seemingly perforation of the doctrines, on the fact at hand, and as conceded by plaintiffs, this paragraph is not applicable because whatever they did was not followed by institution of proceedings, although, even if they did, they would still be caught in the web of illegality for charging above the 5% prescribed.

In conclusion therefore, I hold that the doctrines of maintenance and champerty apply in Tanzania with only a qualification provided under paragraph 8 of the VIII of the Schedule to the Advocate's Remuneration and Costs Rules: that in a non-contentions debt collection matter where the demand letter has been followed by institution of proceedings by the same advocate the latter can charge 5% of the debt collected.

With the above, let us go back to the Agreement and subject it to the two remaining core arguments. The plaintiffs vehemently argue that the agreement concerned a non-contentious matter: merely collection of debt and that champertry can only come in where there is litigation in existence thus providing for its continuity. They categorize the notice to sue and draft plaint as mere strategies of debt collection. The defendants argue the opposite, calling to their aid two letters

written by the plaintiffs to them. I must confess that these issues have exercised my mind. However, upon going through the arguments and various literature, I have settled on the view that the definition of "contentious proceedings" given by Hamlyn in *Keeka v. Damji* (6) at page 92 (cited by the plaintiff) where he adopted the definition of the words "contentious business" provided in the Supreme Court Costs Rules 1959 of England, in the following wording:

> 'Contentious business' means business done, whether as solicitor or advocate, in or for the purposes of proceedings begun before a court or before an arbitrator appointed under the Arbitration Act 1950, not being business which falls within the definition of non-contentious or common form probate business contained in subsection (1) of section one hundred and seventy five of the Supreme Court of Judicature (Consolidation) Act 1925.

is so narrow and restrictive so as render useless other legal instances where the terminology is applicable. As will be noted, the English definition falls under costs and it should be taken to have been intended to have a restrictive meaning to the situation alone.

Thus, it refers to costs after parties had tussled before the court, tribunal or Arbitrator. In our situation however, when looking at the doctrine of maintenance we cannot start, logically, at the point when the matter is filed in court so as to adopt a restrictive meaning proposed by plaintiff regarding the words "contentions proceedings". In my view, it starts at the time a client instructs an advocate, at the time of entering into an agreement. The champerty element originates at this point and this is what is fought against – the agreement. It is not the way or manner the litigation is conducted. It is the machinery of remuneration agreed upon between the advocate and the client that concerns us. The term maintenance in this case should not be looked at superficially, according it a narrow definition to mean continuation. It should be taken to mean and include instructions to sue. As stated in **Black's Law Dictionary,** (6 ed) page 953.

> To maintain an action is to uphold, continue on foot, and keep from collapse a suit already begun, or to prosecute a suit with effect .... *To maintain an action or suit may mean to commence or institute it* ... [emphasis supplied]

As to whether the matter is contentious or not, it is obvious that the moment a client instructs and advocate to take any legal step, including filing of a suit against an adversary, the matter would no longer be said to be non-contentious.

Turning to our agreement, what did the defendants instruct plaintiff's to do? Just to collect debts? Is debt collection *per se* a non-contentious matter? While, on the facts of this case, it is unnecessary to go into the analysis concerning the last question, I should observe in passing that it would seem the law appreciates that there are contentious debt collection matters. Even paragraph 8 of Schedule 8 already referred to, in its opening statement seems to so envisage as it provides;

> In respect of non-contentious debt collection matter ... If it were otherwise there would be no need of including the words underlined.

Looking at the agreement, the notice issued, the draft plaint and the two letters wrote to the defendants by plaintiffs leaves no one in doubt that instructions included filing of a suit in the event the Government refused to pay. While the other documents have already been reproduced, the two letters referred to should also be put on record for clarity even if this entails making this ruling exceptionally long. The letter date 15 September 1998 runs as under:

> "Our ref 697-NEM-098
>
> The Managing Director,
>
> J W Ladwa (1977)
>
> Dear Sir,
>
> **Re: Court Action-Rehabilitation of Babati Area Roads**
>
> We wish to inform you that documents for the proposed court action regarding the subject captioned above have been ready for sometime now, and have only been waiting for your signature. To expedite the matter, we forward

them to you herewith this letter and ask you to put your signature in the appropriate places and the necessary number of copies, and then return them to us for taking to court.

When returning the copies, kindly attach hereto a copy of a letter dated 21 January 1997, from the Ministry (the employer) in which the Ministry acknowledged being indebted to your company. We need to attach a copy of that letter to the papers to court but presently we do not have a copy of the same among the various documents we received from you.

Yours faithfully,

Mkono and Company"

While that of 29 October 1998 has the following:

"Our Ref:

697-NEM-098

The Managing Director,

J. W. Ladwa (1977) Ltd.,

PO Box 20200,

DAR ES SALAAM

Dear Sir,

Re: Court Action on Rehabilitation of Babati Area Road

We wish to refer to our letter to you, dated 15 September 1998, concerning the subject captioned above and note that you are yet to sign and return to us the copies of the Plaint which were for that purpose forwarded to you with the letter aforesaid.

On that account the proposed court action has not been instituted in court. It will be instituted immediately on return to us of the signed papers as we asked: We do hope that there will be no further delay.

When returning the signed papers, kindly remember to attach thereto a copy of the letter of 21 January 1997, from the Ministry of Works (the employer) as we requested in our earlier letter aforesaid.

Yours faithfully,

Mkono and Company"

Would the plaintiff's have the audacity, in view of the above, of saying that there were no instructions to sue? The answer needs pronouncement.

Thus the agreement before us concerned contentious proceedings and as we have already indicated, the contentions proceedings commence from the state where instructions are given by a client to an advocate, and for champerty, the moment an agreement for contingent fees is struck. What about the contents? The agreement clearly was champertous. In very certain terms it provides:

> a success fee of 7% on the amount of the debt recovered from the Government

In their plain meaning, it needs no magic to note that this is contracting to share in the spoils of the client. The plaintiff's argue that the fee indicated in the agreement was not contingental upon success. Possibly they front that argument basing on the proviso to sub (6), which states:

> provided that should you for any reason compromise with the debtor so as to render the debt wholly extinguished or reduced the success payable shall nonetheless remain payable to us without demand.

In my considered view, the proviso makes very little difference. The controlling part is the one contained in the first statement. In fact, one reading the proviso gets a feeling of a shrewd protection by the plaintiff's of their contingency fee. The proviso is designed in a manner which discourages the defendant from compromising the debt, for, who would be naïve as to undertake to pay a percentage of what does not earn. This precisely is one of the many reasons behind the policy controlling the champerty doctrine.

With the above exposition, it stands out established that the agreement between the parties was champertous hence illegal and unenforceable as much it violated section 23 of the Law of Contract Ordinance and section 59 of the Advocates Ordinance. The said laws entertain

no such agreements in very clear terms as follows:

Section 23 of the Contract Ordinance. Provides:

> Section 23(1) The consideration or object of an agreement is lawful unless:
>
> (a) it is forbidden by law, or
>
> (b) it is such a nature that, if permitted, it would defeat the provisions of any law or
>
> (c) ...
>
> (d) ... or
>
> (e) ...
>
> (2) In each of these cases, the consideration or object of an agreement is said to be unlawful. Every agreement of which the object or consideration is unlawful is void; and no suit shall be brought for the recovery of any money paid or thing delivered, or for compensation for anything done, under any such agreement, unless:
>
> (a) the court is satisfied that the plaintiff was ignorant of the illegality of the consideration or object of the agreement at the time he paid the money or delivered the thing thought to be recovered or did the thing in respect of which compensation is sought, and that the illegal consideration or object had not been effected at the time when the plaintiff became aware of the illegality and repudiated the agreement; or
>
> (b) the court is satisfied that the consent of the plaintiff to the agreement was induced by fraud, misrepresentation, coercion or undue influence, or
>
> (c) the agreement is declared to be illegal by any written law with the object of protecting a particular class of persons of which the plaintiff is one.

While section 59(a) and (b) of the Advocate's Ordinance runs as under:

> Section 59 nothing is sections 54, 55, 56, 57 or 58 shall give validity to:
>
> (a) any purchase by an advocate of the interest of any part of the interest, of his client in any action, suit or other contentious proceedings; or
>
> (b) any agreement by which an advocate retained or employed to prosecute any action, suit or other employed to contentious proceedings stipulates for payment only in the event of success of that action, suit or proceeding.
>
> (c) ...

Plaintiffs' arguments regarding non-applicability of section 59(a) and (b) of the Advocates Ordinance have sufficiently been covered.

For the reasons discussed, the Preliminary Objections are upheld and the suit is dismissed accordingly.

MANAGING DIRECTOR, SOUZA MOTORS LTD *v.* RIAZ GULAMANI AND ANOTHER

HIGH COURT OF TANZANIA
(COMMERCIAL DIVISION) AT DAR ES SALAAM

(Bwana, J.)

COMMERCIAL CIVIL CASE No. 3 OF 1999

Civil Practice and Procedure – Interlocutory orders – Whether appellable – section 5(2)(d) of the Appellate Jurisdiction Act 1979 as amended by Written Laws (Miscellaneous Amendment) Act 1999.

Appeals – Appeals against interlocutory orders – No appeals against interlocutory orders where the order does not finally determine the suit – section 5(2)(d) of the Appellate Jurisdiction Act 1979 as amended by Written Laws (Miscellaneous Amendment) Act 1999.

The respondents unsuccessfully had, by chamber application, sought the attachment of a motor vehicle and the furnishing of security. The learned counsel for the respondents then filed a Notice of Appeal against the interlocutory decision to which the learned counsel for the applicant objected. In support of the objection he cited an amendment to section 5 of the Appellate Jurisdiction Act 1979 which provides that an appeal from an interlocutory matter can only be made if the order appealed from had the effect of finally determining the suit. On checking the law, the learned counsel for the respondents conceded the point but both counsel sought a ruling as future guidance.

Held: (i) A decision or order of preliminary or interlocutory nature is not appellable unless it has the effect of finally determining the suit.

Application dismissed

Cases referred to:

(1) *Benoy Krisla v. Satisha Gari* (55) IA 131

(2) *Sajjad Alkhan v. Ishaq Khan* (1919) ILR 42 A11 174

(3) *Bhagwati Dayal v. Dhan Khanwar* (1925) ILR 48 A11. 324

(4) *Mangur v. Mangur* (1965) MR 22

(5) *Ratnamn v. Cumarsamy* [1964] 2 All ER 933

Statutory provision reffered to:

(1) Appellate Jurisdiction Act 1979, section 5(2)(d)

Mr Mwengela, for the Applicant

Mr Chandoo, for the Respondent

RULING

(Delivered April 7 2000)

Bwana, J.: On 22 February 2000, this court dismissed an earlier chamber application for the attachment of a motor vehicle and the furnishing of security. No order as to costs was awarded. Aggrieved

by that decision of this court, Mr Chandoo filed a Notice of Appeal against that Interlocutory Ruling of this court and applied for leave to appeal to the Court of Appeal. Mr Mwengela controverted that application for leave to appeal that in view of the clear provisions of the Written Laws (Miscellanous Amendments) Act 10 of 1999, which amended section 5(2) of the Appellate Jurisdiction Act 1979. When both counsel appeared before me this morning Mr Chandoo did concede that he was not aware of those provisions. However, he requested the court to make a Ruling so that some guidelines are established. Mr Mwengela, on his part, while opposing the application, he as well, requested the court to make a Ruling.

It is the settled province of the law that the right to an appeal is an absolute one. There can be no legal *cul-de-sac* this principle unless a given law provides otherwise. In the instant matter the said law is Act 10 of 1999, which stated *inter alia* as follows:

> Section 5(2)(*d*):
>
> No appeals shall lie against any preliminary or interlocutory decision or order of the Commercial Division of the High Court unless such decision or order has the effect of finally determining the suit.

The Ruling of this court, dated 22 February 2000 as referred to above, did not have the effect of finally determining the suit. What it did was to determine matters of a subsidiary/secondary nature. The main issue is yet to be determined by way of trial, should mediation fail. Neither can it be said, it is my opinion, that accepting Mr Chandoo's application may lead to a subsequent disposal of the case, should the Court of Appeal agree with him. The intention of the Legislature is and appears to have taken into account the needs for the speedy disposal of case of significant commercial nature without undue delay. There is no death of authorities on this approach to speedy disposal of cases. A few, if I may cite them, are very relevant to the instant issue. In *Benoy Krishn v. Satisla Chandra Gari* (1), the court while dismissing the application, stated *inter alia*:

> the delay occasioned by taking an appeal (against an interlocutory ruling) adds to the procrastination which is the bane of litigation...

In an earlier case of *Sajjad Alkhan v. Ishaq Khan* (2) it was stated thus:

> ... Appeals on matters of interlocutory in nature should be allowed ... only when their decision will practically put an end to the litigation and "finally" decide the rights of the parties.

The word "finally" was subsequently interpreted (in the case of *Bhagwati Dayal v. Dhan Kanwar* (1925) ILR 48, All 324) to mean:

> an order which puts to an end litigation between parties, or at all events, disposes so substantially the matter in issue between them as to leave only subordinate or ancillary matters for decision.

The foregoing principles in the *Sajjad (2) and Bhagwat (3)* cases seem to have been adopted in subsequent cases. In fact in *Mangur v. Mangur* (4) at sec, a Mauritian case, the court stated:

> the party so wishing to appeal against an interlocutory judgment could still do so as of right from the final judgment and question at same time, the decision in the interlocutory judgment... entertaining an appeal against an interlocutory judgment may entail unnecessary delay and expenses prejudicial to all parties...

Therefore it is my considered view that appeals on matters of interlocutory in nature should be allowed to be preferred to an appellate court only when the decision practically puts an end to the litigation and finally decides the rights and or liabilities of the parties. In the absence of that, then such intended appeal should await the final judgment of the trial court.

If I may add, in conclusion, that the granting of leave to appeal is not a mere mechanical process. Rather, and especially before this court, it is a procedural bar to prevent frivolous and vexatious matters not only intended to obfuscate but also causing prejudice and delay to those who would otherwise benefit by the decision sought to be canvassed in appeal. The amendment contained in Act 10 of 1999,

was intended to check on that abuse, by denying parties the right of appeal as a matter of course. In *Ratnamn v. Cumarsamy* (5), Lord Guest stated:

> Rules of court must *prima facie*, be obeyed ... if the law were otherwise, a party in breach would have an unqualified right to extension of time which would defeat the purposes of the Rules which is to provide a time table for the conduct of litigation ...

Therefore, for reasons stated here in the application by M Chandoo for leave to appeal to the Court of Appeal. No order as to costs.

HARBAN HAJI MOSI AND ANOTHER *v.* OMARI HILAL SEIF AND ANOTHER

COURT OF APPEAL OF TANZANIA
AT ZANZIBAR

(Kisanga, Lubuva and Lugakingira, JJ.A.)

CIVIL REFERENCE No. 19 OF 1997

(From the ruling of a single Judge of the Court of Appeal of Tanzania at Zanzibar, Ramadhani, JA dated 1 July 1997)

Civil Practice and Procedure – Appeals to the Court of Appeal from District Courts in Zanzibar – Whether point of law should be certified for determination by the Court of Appeal – Section 5 of the Appellate Jurisdiction Act 1979.

The applicants had unsuccessful sued the respondent for specific performance of a contract of sale of a hut in a Zanzibar District Court. Appeals to the Resident Magistrate's Court and the High Court were dismissed. Dourado, Ag. J. refused an application for leave to appeal to the Court of Appeal, holding that the intended appeal

did not disclose a point of law, and that for that reason, he could not certify such point. The applicants then applied to the single judge of the Court of Appeal who also found that there was no point of law involved.

Held: (i) An appeal originating from a District Court in Zanzibar to the Court of Appeal of Tanzania requires leave of the High Court but does not need a point of law to be certified for determination by the Court of Appeal.

(ii) The intended appeal does not involve any point of law.

Application dismissed

Case referred to:

(1) *Mohammed Idrissa Mohammed v. Hashim Ayoub Jaku* [1993] T.L.R. 280

Statutory provisions referred to:

(1) Court of Appeal Rules 1979, rule 89(2)

(2) Appellate Jurisdiction Act 1979, section 5

RULING

(Dated 11 April 2000)

Lukangira, J.A.: This reference comes from the decision of single Judge dismissing an application for leave to appeal. Briefly, the applicants sued the respondents in a Zanzibar District Court to secure specific performance of a contract for the sale of a hut. The suit was dismissed for want of merit, as were the applicant's first and second appeals to the Resident Magistrate's Court and the High Court respectively. Their application to the High Court for leave to appeal to this court was refused by Dourado, Ag.J., who held that the intended appeal did not disclose a point of law. The applicants then made the application to the single judge (Ramadhani, J.A.) and his refusal to grant leave on the same ground prompted this reference.

Before us, the applicants who appeared on their own had nothing useful to say, but the issue, as we see it, has throughout been whether the intended appeal required leave only of the High Court whether,

additionally, it required a certificate on a point of law. This is discernible from paragraph 9 of the applicant's affidavit before the single judge which reads: That as this appeal originates from the District Court case, there is no need to certify a point of law, and this statement is, in turn, a response to the ruling a Dourado, AgJ where he actually said:

> In order to grant leave, I have to be satisfied that a point of law is involved. Only then can I issue a certificate that a point of law is involved as required by rule 89(2) of the Court of Appeal Rules 1979.

It is at once apparent from this passage that two distinct requirements are mixed up in relation to appeals that only lie with leave. Since the mix-up or confusion frequently recurs and in view of the added difficulty in the context of Zanzibar, it is proposed to devote some attention on the subject.

The circumstances in which appeals in civil cases may lie from decisions of the High Court to the Court of Appeal are set out in section 5 of the Appellate Jurisdiction Act 1979. For the problem at hand, subsections (1)(c) and 2(c) of are relevant. Subsection (1)(c) requires leave of the High Court or the Court of Appeal to be obtained in all appeals not covered under subsection (1)(a) and (b), that is, appeals from decisions of the High Court in the exercise of its original jurisdiction. In this context, there is no requirement for certification on a point of law. Leave may be granted or refused without the necessity of a reasoned decision, and when it is granted, it is assumed that the intended appeal has reasonable prospects of success. Where leave is couched in a reasoned ruling, the judge may allude to the merits of the intended appeal or the necessity of having another decision on the subject-matter, but he does not frame and certify any points of law. Subsection (2), on the other hand, in essence creates provisos to the whole of subsection (1), and according to paragraph (c) thereof, appeal would not lie from a decision of the High Court in proceedings under Head (c) of Part 111 of the Magistrates' Court Act 1984, unless the High Court certifies a point of law. In other words, with that sort of appeal, it is not enough to obtain leave to appeal under subsection

(1)(c), but one has to go further and obtain a certificate of the High Court on a point or points of law. The Magistrates Courts Act 1984, is a Mainland enactment which creates and establishes a hierarchy of courts subordinate to the High Court and defines their Constitution, jurisdiction and powers. The Primary Court is the lowest court and exercises jurisdiction within the district in which it is established. Head (c) of Part 111 of the Act deals with the appellate and revisional jurisdiction of the High Court in relation to matters originating in Primary Courts.

Therefore, according to subsection (2)(c), a certificate on a point of law is necessary with appeals relating to matters originating in Primary Court. The practice of the High Court is to frame such a point or to approve and adopt one framed by the intending appellant to certify it to the Court of Appeal. Not infrequently also, an intending appellant would simply apply for a certificate under subsection (2)(c), and when granted, it also serves as leave to appeal under subsection (1)(c). There is no provision under the Appellate Jurisdiction Act or else where requiring a certificate on a point of law in addition to leave to appeal as regards appeals relating to matters originating in District or Resident Magistrate's Courts.

The Magistrate's Courts Act 1984, does not apply in Zanzibar, yet the applicants are correct in their contention that their appeal did not require a certificate on a point of law, it having arisen from proceedings commenced in a District Court. Indeed, this court had occasion to hold so in *Mohammed Idrissa Mohammed v. Hashim Ayoub Jaku* [1993] T.L.R. 280, a case who facts are strikingly similar to the fact in the instant case. The vital link between the Mainland and Zanzibar is supplied by the Appellate Jurisdiction Act as amended by the Constitution (Consequential, Transitional and Temporary Provision) Act 1984, which came into operation on first March, 1985. In the first place, the Act was declared applicable throughout the United Republic. The definition of "High Court" was amended to mean "the High Court of the United Republic of Tanzania or the High Court of Zanzibar, as the case may be", which means wherever reference is

made to the High Court, it is to be construed to mean the High Court of Zanzibar in the Zanzibar context. section 3(2) next provides:(2) For the purpose of this Act reference to any provision of any procedural or substantive enactment applicable to Mainland Tanzania shall be construed to include reference to a like or similar provision of a corresponding procedural or substantive enactment of the House of Representatives applicable to Zanzibar in relation to the matters to which the former enactment relates.

In Zanzibar the House of Representatives enacted the Magistrate's Courts Act 1984, which like the Mainland Act created a hierarchy of Magistrates Courts subordinate to the High Court. At the bottom is the Primary Court which is vested with jurisdiction within the district in which it is established. The only significant structural difference between the set up on the Mainland and the set up in Zanzibar is that where as appeals from the District Court on the Mainland lie direct to the High Court, in Zanzibar they lie to the Resident Magistrate's Court. In the light of the provision cited above, therefore, reference to any provision of the Mainland Magistrates' Courts Act is to be construed to include reference to alike or similar provision of the Zanzibar Magistrate's Court Act in relation to the matters to which the Mainland Act relates. Moreover, section 3(3) of the Appellate Jurisdiction Act also provides:

> (3) For the purpose of this Act reference to a court subordinate to the High Court shall be construed to include a court subordinate to the High Court of Zanzibar corresponding to the court referred to in this Act.

As stated earlier, on the Mainland the Primary Court is the lowest court with jurisdiction in the district within which it is established and, as just seen, the Primary Court in Zanzibar occupies the same position and enjoys equal territorial jurisdiction. The two courts, therefore, correspond to each other within the meaning of section 3(3). It therefore follows that reference to the Primary Court on the Mainland has to be construed to include reference to the Primary Court in Zanzibar.

Section 5(2)(c) of the Appellate Jurisdiction Act has reference to appeals relating to matters originating in Primary Courts on the Mainland and by parity of reasoning it has to include reference to appeals relating to matters originating in Primary Courts in Zanzibar. This is notwithstanding rule 89(2), to which Dourado, Ag.J. referred, which list among the essential documents to accompany an appeal, a certificate on a point of law when the appeal is a third appeal. On the Mainland a third appeal is with reference to an appeal in matters originating in a Primary Court, but with Zanzibar a third appeal arises from matters originating in a District Court while an appeal from matters originating in a Primary Court would be a fourth appeal. But in view of section 3(2), providing for correspondence of provisions, and view also of subsection (3), providing for correspondence of subordinate courts, reference to a third appeal in the context of the Mainland is reference to a fourth appeal in the context of Zanzibar. The discrepancy stems from the fact that amendments to the Appellate Jurisdiction Act were effected a year before the enactment of the Zanzibar Magistrates' court Act and could not have foreseen the set up which the latter act came to institute. There is therefore need, for modifying rule 89(2) to accommodate the Zanzibar position. To sum up then, a certificate on a point of law is required in matters originating from a Primary Court in Zanzibar but, as with the Mainland, no such certificate is required in matters originating District and Resident Magistrate's Courts, but leave only.

The discussion does not necessarily benefit the applicants. Going back, it will be noted that Justice Dourado's ruling falls into two parts: the first is to effect that the intended appeal did not involve a point of law; the second, that the he could not for that reason certify any such point. In view of what has transpired, the first part was sufficient to dispose of the application before him and the second was superfluous. However, that does not mean that leave to appeal would defeat the whole purpose of section 5(1)(c). Leave is grantable where the proposed appeal stands reasonable chances of success or where, but not necessarily, the proceeding as a whole reveal such

disturbing features as to require the guidance of the Court of Appeal. The purpose of the provision is therefore, to spare the court the specter of unmeriting matters and to enable it to give adequate attention to cases of true public importance. For that reason the court would not, when dealing with these appeals, interfere with concurrent findings except where there are such misdirections or no or non-directions as could have resulted in a miscarriage of justice. In the instant case, Dourado, Ag. J. in effect, found no merit in the intended appeal for the matters at issue entirely factual on which concurrent findings had been reached throughout, and his further reference to a certificate on a point of law did not detract from that finding. Ramadhani, J.A. on the other hand, was well alert and made no reference to certification but simply said: "... I concur with Dourado, Ag. J. that there is no point of law involved to entitle a third appeal." In fact were the issue of a certificate relevant in this case, he would not have troubled to consider the application before him, but would have struck it out, because such certificates are grantable by the High Court only.

Having carefully considered the nature of this case, we are unable to fault the decisions already reached. The agreed price for the hut was TZS. 170 000 of which the applicants paid TZS. 100 000 in installments of TZS. 70 000 and TZS. 30 000. The respondents' case was that the applicants were to pay the remaining TZS. 70 000 within one and a half months of the second installment, but they defaulted in doing so, and still defaulted with a further extension of one month. The applicants claimed that there was no time limit for the final payment and that when they sought to pay, the respondents refused to accept the money. Whether there was a time limit, whether payment was not made within that time, or whether payment was offered but refused, all these question were considered by the three Lower courts and answered in the respondents' favour. Although the applicants submitted before us that the Lower courts did not properly address the evidence, we can find no basis for the argument, and they did not suggest any. The reference thus fails and is dismissed with costs.

SMILE STORE *v.* CHIEF OF J.K.U

HIGH COURT OF ZANZIBAR
AT VUGA
(Farouk Lawan, J.)

CIVIL APPEAL No. 38 OF 1999

(Appeal from the Judgment of the Regional Magistrate's Court in Civil Case No. 10 of 1999, dated 1 September 1999)

Civil Practice and Procedure – Notice to Sue Government – Requirement of Notice – Whether may be waived.

Civil Practice and Procedure - Notice to Sue Government – Requirement of Notice – Whether there was non-compliance with section 60 of Civil Procedure Decree Chapter 8.

Evidence – Estoppel – Application of Estoppels rule–Suit for declaration of proper landlord – Whether estoppel may be invoked under section 110 of Evidence Decree Chapter 5.

The appellant appealed against a judgment of the Regional Magistrate's Court which had upheld preliminary point of law raised by the respondent, when the case was filed therein by the appellant. The preliminary point was that the appellant filed Civil Suit Number 10 of 1999 to sue the Government without complying with the provision of section 60 Civil Procedure Decree Chapter 8 and that the appellant was estopped by section 110 of Evidence Decree Chapter 5, from denying the respondent as the proper landlord. The appellant, on appeal, contended that, (i) the trial magistrate erred in law and fact in holding that requirement of section 60 of Civil Procedure Decree had not been complied with, (ii) the trial magistrate erred in law in turning the requirement of 60 days notice to sue Government into a sword, (iii) the trial magistrate erred in law in invoking estoppel when the suit was for declaring who was the proper landlord.

Held: (i) The issue of compliance with the notice requirement is a matter of practice.

(ii) There was substantial compliance with section 60(5) of the Civil Procedure Decree Chapter 8 by the appellant and the fact of receipt of notice had not been contradicted by the respondent.

(iii) The appellant cannot deny the landlord is title unless he has handed over possession in terms of section 116 of the Evidence Decree Chapter 5.

Appeal allowed

Cases referred to:

(1) *Kanhayalal v. Government of India* (1974) A G UC 37

(2) *Patel Kilabaiv v. Hargaban* - 19 B 133

(3) *Ekoba v. Dayaran* (1919) 22 BOM.LR

(4) *Basheshaer North v. I.T. Commissioner* A.I.R. 1956 SC 149

001312

Statutory provisions referred to:

(1) Civil Procedure Decree Chapter 8, sections 60 and 60(5)

(2) Evidence Decree Chapter 5, sections 110 and 116

JUDGMENT

(Delivered 17 April 2000)

Farouk Lawan, J.: This is an appeal by the appellant against the Judgment or the RM delivered on the 1 September 1999 in RM Civil Case Number 10 of 1999 on the following grounds among others:

(a) that the learned trial magistrate erred in law and fact in holding that requirements of section 60 of the Civil Procedure Decree Chapter 8 have not been complied with, when there was a fulfilled promise and waiver.

(b) that the learned trial magistrate erred in law in turning the requirement of 60 days notice to the Government into a sword, contrary to the of enacting the same.

(c) that the learned Regional Magistrate erred in law invoking estoppels when the suit was for declaring the proper landlord.

WHERE OF the appellant prays that:

A - the appeal be allowed

B - dismiss suit or be heard on merit

C - costs to follow the event

D - any other order deemed fit be issued.

The summary of the facts of the case is follows:

The appellant filed suit Number 10 of 1999 against the respondents as defendants in the same suit before commencement of hearing, the respondent/defendant advocate raised a preliminary point of law that:

(a) there was no compliance with the provisions of section 60 of Chapter 8, as the parties involve Government defendants.

(b) the plaintiff (appellant) is estopped by section 110 of the Evidence Decree Chapter 5 from denying that the first defendant is the landlord.

After arguing these points, the learned Magistrate ended in upholding the two (2) objections and dismissed that the suit, hence this appeal.

Under ground I of the appeal, the advocate to the appellant contended that the promise under section 60 which was amended by Act 5 of 1995 gives the plaintiffs the right to file an application before the expiration of 60 days on condition that they have issued a notice or a promise within 3 days of filling the suit.

He contended that the promise was fulfilled and notice prepared on the first of February, 1999 and served on the secretary to the Rev, Council, the AG, Ministry of Land, Water and Chief of JKU.

He further contended that on the suit, he showed the court their office dispatch book that the notice was served to those offices and the Chief of JKU confirmed this.

He submitted that at that time interlocutory applications always go with the main suit, while the argument of the respondent was the there must be notice for the both the interlocutory and the main suit.

On the same ground of appeal, the advocate contended that there was a waiver of the said notice by the respondents. He pointed out that, after issuance of the interim order, the main suit was first mentioned on the 23 February 1999, hearing of the suit commenced in May 1999.

Therefore, the act of the state attorney, their request to the court before filling WSD to put their house in order is taken as waiver of the notice. If the respondents have any objections, they could have raised before asking for the time to put their house in order.

The advocate referred to **Mulla on Code of Civil Procedure** 1925 Edition pg 502 and section 80 of Indian Code which is paragraph *Mattria* with section 60 of Chapter 8.

Therefore the conduct of the state attorney is sufficient to amount to a waiver of the notice.

On the second ground of appeal, the advocate contended that the rationale behind enacting section 60 of Chapter 8 is to give the Government enough time to see the possibility of settling matters out of court and not to bar person from suing the Government when there is a cause of action.

It was therefore wrong for the RM to turn the requirement into a sword to strike down the plaintiff's case in matters involving Governments.

On the third ground of appeal, the advocate contended that the suit against the defendants was for declaration of the proper landlord. The appellant did not deny any of the respondents to be the landlord. The section (section 116 of the Evidence Decree) applies where two (2) people, one claiming being landlord, therefore the section was improperly invoked.

He finally prayed that the matter be allowed to be heard by the RM *inter-partes* on his reply, advocate to the respondent submitted that, with regard to the first ground of appeal, the RM is correct in holding that the appellant did not comply with section 60 of Chapter 8.

The section concerned suits other than interlocutory applications and the appellants admitted that the suit was not an interlocutory one.

He submitted further that sub-section 5 of Chapter 8 section 60 should be read together with sub-section 1 of the same provision which allow a party to obtain an urgent or immediate relief.

And on the issue of waiver that because a party asks for enough time to put his house in order cannot amount to waiver of notice and this ground can only be raised at the first trial and not on appeal (the counsel cited **Sakar on the Law of Civil Procedure,** (5 ed) addition page 171.

The advocate further contended on the second ground that the word used in section 60 of Chapter 8 "shall"- connotes mandatory action, therefore according to **Mulla on the Code of Civil Procedure** (11 ed) page 200 and 201 explains section 50 of the Indian Code which is in paragraph *mattria* with Chapter 8 (section 60) is not a procedural provision but a substantive one.

He cited the case of *Kanhayalal v. Government of India* (1) at page 37 where it was held that if not complied with, the suit must be rejected. Therefore, it is mandatory to comply with the provision.

On the third ground, the advocate contended that the trial magistrate was correct in determining the issue of estoppels. He submitted that the appellant has been the tenant of the first defendant/respondent for several years, but after being requested to vacate the premises, the plaintiff/appellant contracted and entered into another Tenancy Agreement with Ministry of Land, Water Construction in respect of the same premises. This means he is denying his first landlord right to the title which the plaintiff/appellant is estopped by section 116 of the Evidence Act.

He relied on the case of *Patel Kilabai v. Hargaban* (2) and **Sarkar Law of Evidence** (10 ed) page 1029 and page 1024.

Therefore, if the plaintiff/appellant wishes to question the title of the first/defendant/ respondent who is his landlord he must first surrender the premises back to first defendant/respondent. section 116 bars the plaintiff/appellant from questioning the title of the landlord.

He submitted that the second defendant who deems to be the lawful owner of the premises seems to have no interest in the proceedings; although served with notice to appear, they never appeared before the trial court and before this court. He lamented that even the A.G. failed to appear before the court. The advocate finally submitted that the appeal lacks any merit and should be dismissed with costs and the court should order the appellant to vacate the premises forthwith.

The appellant's advocate further in his reply contended that the second defendant has interest because up to this moment there is a subsisting lease between him and the plaintiff/ appellant; this shows the second defendant has an interest in the premises.

He further submitted that, this court cannot order vacant possession since there was no counterclaim before the RM's Court. And also, the case of "*Dayalal*" does not apply because the facts are not similar therefore the appeal is not vexatious or frivolous and the issue as to who is the landlord cannot be determined without properly hearing the suit inter parties.

On the second ground, he contended that the section (section 60) is mandatory and they complied with it by way of promise which was actually fulfilled. The section simply provides that case of non-compliance the court should reject the plaint and not dismiss it. He submitted that it is trite law that all objections are to be raised at the trial court unless the objection is to do with the appeal. The fact that the plaintiff did not bring notice for the main suit cannot hold water; application and main suit go together therefore one notice suffices. The notice was properly given. He prayed for their earlier prayers be granted and the appeal be allowed.

In my opinion grounds numbers 1 and 2 of the appeal could be considered together.

The counsel for the appellant contended that by virtue of section 60(5) as amended by Act no 5 of 1995, they have fulfilled the requirement of the section as notice was served on the respondents and on the hearing date, a copy of the notice was shown to the court and quoted the reference number of the letters to respondent is enough, and receipt of the said letter was even acknowledged by the respondents.

Even if that has not been fulfilled, the appearance of the counsel to the respondent waived the issue of the notice, and the conduct of the Attorney is sufficient to amount to a waiver.

In the same vein, the counsel contended, that the learned Magistrate turned the requirement of 60 days notice into a sword contrary to the rationale of enacting the same; which is to give the Government time to settle a matter if possible out of court and not to bar person from suing the Government when these is a cause of action.

What is the effect of the section 60(5) of Chapter 8 as amended? The section provides that.

> ... Nothing in the section SHALL be deemed to bar application in interlocutory order against the Government without expiry of 60 days from the date of notice under section 60, Chapter 8 save that no such application shall be entertained without proof of or a promise that notice require under section 60 Chapter 8 have been issued or will be so issued within not less than three days from the date of that application...

From the record annexed to the ground of appeal page 7, Mr Mkonje submitted that:

> ... in appeal Number 17 of 1999, we had clearly given a promise that will give a notice to the government within 3 days and we did so by our letter ref. Number MISC/Volume. DOT 1/99/03 of 1 February 1999 addressed to the Secretary Rev. Government and copied to AG, J.K.U and Ministry of Construction

Must the notice be given for each application in a suit? It is quite clear that the suit which gave rise to this appeal, suit Number 10 of 1999 is quite distinct from the Misc. Application Number 17 of 1999; does the notice in the letter application suffice?

In my opinion, the issue of complying with the notice requirement is a matter of practice.

The section is explicit and mandatory and admits no implications or exception as the notice is intended to alert the state as I stated earlier and to negotiate a first settlement or a least to have the courtesy to tell the potential outsider why the claim is being instituted, therefore in my view notice is sufficient if it substantially fulfills its objective in informing the parties concerned of the notice of the suit to be filed.

The fact that letters or notice issued was not annexed to the plaint is not enough reason to refuse accepting on the ground that notice was not issued; these facts have not been contradicted by the respondents that they have not received any notice front the appellant.

Accordingly, I am of the view that there is substantial compliance with the requirement of section 60(5) of Chapter 8 by the appellants and find grounds 1 and 2 succeed.

On the issue of waiver of the said notice by the conduct of the attorney, I must point out there that the requirement of section 60(5) is mandatory, and the generally accepted connotation of waiver is that "to constitute waiver there must be an intentional relinquishment or abandonment of a known existing legal right or conduct such as warrants an inference of a known right or privilege" see the case of *Basheshaer North v. I.T. Commissioner* (4).

Therefore the fact that the Attorney appeared in court, requested for an adjournment cannot be said to amount to a waiver of the requirement of section 60(5) of Chapter 8. Waiver of right cannot be lightly inferred.

On the appellant's counsel while arguing ground 3 contended that the Magistrate erred in invoking estoppel when the suit was before declaring the proper landlord. He contended that the appellant did not deny any of the respondents to be the landlord; their prayer is only to declare the proper landlord. Therefore, the Magistrate should not have applied section 116 of the Evidence Decree.

While the respondent's counsel concluded that the Hon Magistrate cited the section 116 of the Evidence Decree correctly.

He cited **Sarkar on Evidence** (10 ed) page 1029 and the case of *Patel Kilabai v. Hangaram* (2).

The appellant cannot deny the landlord title unless after handing over possession.

In my opinion, even if the issue of who is the landlord is to be determined there is no two way about the provision of section 116 of the Evidence Decree, that the tenant (appellant) must hand over possession first to the landlord no matter how defective the landlord title is. So the issue of the court determining who the landlord is does not arise until after the handing over. The equitable maxim that where there are equal equities the first in time prevails even though one may say that this is not a court of equity. It is a well known fact that the appellant was a tenant of the first defendant, the second defendant came into the picture after the expiration of the tenancy. How did the second landlord come into the scene? This could only be determined after hearing evidence.

As rightly stated by counsel to the respondent in his submission on the conduct of the second defendant who never appeared in the trial court below and on appeal after being summoned, shows lack of the interest on his part and if he is really the actual landlord he would have definitely appeared.

Tenant who holds over. Therefore as a general principle of law as decided in the case of *Ekoba v. Dayaran* (3), a tenant who wishes to dispute his landlord's title must not only see that the tenancy has

come to an end, but also possession which was in him as a tenant has been surrendered. Therefore, a tenant who holds over and remains in possession cannot be allowed to use that possession as a lever to support a case in which he denies the landlord has title.

In the final analysis, I allow this appeal in part. I hereby order for the dismissed suit (Civil case Number 10 of 1999) to be heard and determined on merit.

MTUMWA SAID HAJI AND 49 OTHERS *v.* ATTORNEY GENERAL

HIGH COURT OF TANZANIA
AT DAR ES SALAAM

(Mapigano, Mackanja and Bubeshi,. .JJ)

CIVIL CASE No. 2 OF 1995

Constitutional Law – Constitution of the United Republic of Tanzania 1977 – Article 126 – Petition for a declaratory order to summon a Special Constitutional Court – Whether members of a registered political party have legal personality to seek the order.

Constitutional Law – Articles of the Union – Whether validity expired upon promulgation of the Union Constitution.

Constitutional Law – Articles of the Union – Whether unalterable.

Constitutional Law – Constitutional amendment – Enactment of the 11 Amendment to the Constitution of the United Republic of Tanzania 1977 – Whether made unilaterally.

Constitutional Law – Interpretation of Constitution – Ordinary prescriptions not appropriate.

International Law – Law of Treaties – Whether Tanzania Mainland and the Revolutionary Government of Zanzibar have legal capacity to enter into a treaty.

International Law – Law of Treaties – Treaty between Tanganyika and Zanzibar creating the United Republic of Tanzania – Doctrine of fundamental change of circumstances – Whether applicable.

The petitioners were members of a registered political party in Tanzania. In their petition to the High Court, they challenged the validity and legality of the 11th Amendment to the Constitution of the United Republic of Tanzania 1977, which had been made pursuant to article 98(1)(a) of that Constitution. Their main contentions were that the Amendment was made unilaterally; that the Amendment violated the Articles of Union, Schedule to Chapter 557; that the articles are unalterable; that the procedure for making the Amendment was not followed; and that circumstances called for a declaratory order that there existed a Constitutional dispute between the United Republic of Tanzania and the Revolutionary Government of Zanzibar that warranted the summoning of the Special Constitutional Court ander article 126. The respondent resisted the petition, and counsel who appeared for him expressed the opinion that the validity of the Articles of Union expired upon the promulgation of the Union Constitution in 1977.

Held: (i) The validity of the Articles of the Union did not expire when the Union Constitution was promulgated; the Articles of Union are part of the Constitutional Law of the United Republic.

(ii) The Articles of Union do not override the Union Constitution;

(iii) The Articles of Union being part and parcel of the Acts of Union may be amended or altered to meet new needs and challenges;

(iv) Since the Articles of Union form the Schedule to Chapter 557, and as Chapter 557 falls under List One in the Second Schedule to the Constitution to which article 98(i)(a) applies, the procedure laid down in the Constitution, by which Chapter 557 may be altered, equally applies to the articles;

(v) The 11th Constitutional Amendment that was made under Article 98(1)(a) of the Constitution was procedurally correct;

(vi) There was no evidence of a conflict between the Union Government and the Zanzibar Revolutionary Government; thus there existed no circumstance to warrant the summoning of a Special Constitutional Court;

(vii) The constituent states of Tanganyika now Tanzania Mainland and Zanzibar have long since lost their legal personality; they cannot negotiate a treaty nor can they negotiate to amend the Treaty of Union.

Petition dismissed

Cases referred to:

(1) *Thabit Ngaka v. Regional Planning Officer, Morogoro Region* [1973] LRT n. 24

(2) *Mac Comick v. The Lord Advocate* [1953] Scot Law Times 22 at 262

(3) *Bribery Commissioner v. Ramasinge* [1965] AC 172

(4) *Hunter v. Southern Inc.* (1985) II DLR (4) 641 (5CC)

Statutory provisions referred to:

(1) Act of Union Chapter 557, section 5(c)

(2) Interim Constitution, article 53(2)

(3) Judicial Service Act 1962 (Chapter 508), sections 22, 23 and 24

(4) Civil Service Act 1962 (Chapter 509), sections 22, 23 and 24

(5) The Constitution, articles 98(1)(a), 98(1)(b), 26(1) and (2)

Dr. Mvungi, for the Petitioners

Mr Mwidunda, for the Respondent

RULING

(Dated 20 April 2000)

Mackanja, J.: Mtumwa Saidi Haji and 49 others have brought this petition for declaratory orders under article 26(1) and (2) of the Constitution of the United Republic of Tanzania and section 6 of the Basic Rights and Duties Enforcement Act 1994 and any other enabling legal provisions. All the petitioners are members of the Civic United Front, one of several political parties that enjoy permanent registration. The petition is supported by a tri-pronged ground as follows:

(i) that the Union Parliament erred in procedure by enacting the 11th Amendment pursuant to article 98(1)(a) instead of article 98(1)(b) of the Union Constitution;

(ii) that the Union Parliament acted *ultra vires* the Articles of Union in effecting amendments to articles 37, 47, 48, 49 and 50 of the Union Constitution, 1977 in the absence of a renegotiated Treaty between Tanganyika and Zanzibar;

(iii) that the aforementioned violations of the basic Constitutional norms of the Tanzania State are in conflict with the basic doctrines of Customary International Law and the National Law, the consequences of which endanger generally the Constitutional order, and the legality of the Union.

It is alleged that in making the 11th Amendment, the Union Parliament as an organ of state was bound and obliged to comply with the Constitution, in particular, Article 26(1) of the Constitution of the United Republic. It is contended by the petitioners that the alleged violation of the Constitution, and the alleged illegality that has been occasioned by the 11th Amendment have aggrieved them; they, therefore, feel duty bound and entitled to the right to protect the Constitution and legality through this petition in accordance with Article 26(2) of the Constitution which provides that:

26(2) Every person has the right, in accordance with the procedure provided by law, to take legal action to ensure the protection of this Constitution and the laws of the land.

We would say that the institution of this petition may be evidence that the petitioners are among civil spirited individuals who, through their collaborative effort, have decided to fight for a Constitutional order that guarantees compliance with the source of legality for all laws, the Constitution.

The petition is based on facts which are particularized as hereunder:

(1) that on the 26 April 1964, the People's Republic of Zanzibar, of which the petitioners were citizens, and the Republic of Tanganyika concluded a Bilateral International Treaty that united the two States into one sovereign Republic;

(2) that the instruments of ratification exchanged on the 27 April 1964 at the Karimjee Hall in Dar es Salaam are matters which this court can take judicial notice of;

(3) that on the 26 April 1977, the Union Parliament enacted the Constitution of the United Republic of Tanzania, without specifically providing for the juridical existence of Tanganyika and providing as was provided for in the articles of the Union for the Administration of Tanganyika's non-union matters by the Government of the United Republic of Tanzania;

(4) that in view of what is averred in paragraph 8, that derogation constituted a breach of the Articles of Union;

(5) that on the 17 January 1995, the President of the United Republic gave his assent to the 11th Amendment passed by the Union Parliament in December 1994;

(6) that the 11th Amendment amends, *inter alia*, articles 37, 47, 48, 49 and 50 of the Constitution of the United Republic of Tanzania in a manner which substantially and fundamentally violates the Articles of Union in that:

(i) article 37 is amended to remove the President of Zanzibar from the list of persons to whom the powers of the President of the United Republic may devolve. This violates article (iii)(b) of the articles of Union that provided that the President of Zanzibar shall be the principal assistant to the President of the United Republic;

(ii) that articles 47, 48, 49 and 50 deny the President of Zanzibar his right to become the First Vice President of the Union when the President of the Union hails from Tanganyika and the Second Vice President of the Union when the Union President hails from Zanzibar;

(7) that insofar as the Articles of Union envisaged that the President of Zanzibar and not any other Zanzibar, to be the Union Vice President, the amendment of articles 37, 48, 49 and 50 are in conflict with the Articles of Union and, therefore, unConstitutional;

(8) that what is averred in paragraph 7, was fatal to the validity and legality of the instrument in so far as it denied the National Assembly the right to exercise its voting power according to the procedure laid down under article 98(1)(b) in a matter which affects the Executive Authority of the President of Zanzibar and the Executive Authority of the United Republic.

In the penultimate, the petitioners submit that the 11th Amendment fatally violates the Articles of Union and pray for the following declaratory orders:

(i) that the 11th Amendment in so far as it is averred in this petition is unConstitutional and therefore null and void;

(ii) that there exists a Constitutional dispute between the United Republic of Tanzania and the Revolutionary Government of Zanzibar that warrants the summoning of the Special Constitutional Court;

(iii) that the costs of this petition be born by the respondent; and

(iv) any other orders and remedies that this court may deem fit to grant in the circumstances of this petition.

The petition has been argued by way of written submissions. Dr Sengondo Mvungi, learned advocate, represents the petitioners while Mr Fidel Mwidunda, learned state attorney, advocates for the respondent. Both have made fairly lucid arguments for which we feel we should commend them.

Dr Mvungi set the ball rolling. He concedes the Constitutional powers of the Union Parliament to sit as a Constituent Assembly. By reason of that concession the petitioners do not oppose the legislative power of the Union Parliament to pass and to adopt the Constituent Acts. Later in this ruling these acts will also be cited as the Acts of Union. As indeed it is plain in the Constitution, learned counsel points out that those powers reside in article 98(1)(a) and (b). He goes on to argue, however, that this article does more than merely vesting powers of Constitutional making upon the Union Parliament. It spells out the procedure and conditions for the exercise of such powers. The dispute in this petition, he says, centres on allegations made by the petitioners that the procedure laid down by the Constitution was not followed by Parliament when it passed and adopted the 11th Amendment on 2 December 1994 in Dodoma. So from the petitioners' pleading four issues cry for determination, that is to say:

(i) whether there are sufficient facts proving that there was violation of the procedure laid down by article 98(1)(b) of the Constitution of the United Republic of Tanzania 1977;

(ii) whether the contravention, if any, of article 98(1)(b) invalidates the purported 11th Amendment;

(iii) whether the Union Parliament enjoys powers to effect Constitutional amendments in conflict with the Articles of Union; and

(iv) whether the two state parties to the Treaty of Union between Tanganyika and Zanzibar are entitled to rely upon the doctrine of fundamental change of circumstances in the case of unilateral amendment of the basic terms of the Articles of Union.

The four issues were argued *seriatim*. After repeating the first issue learned counsel pointed out ground 4(i) of the petition in which he alleges that the Union Parliament erred in procedure by enacting the 11th Amendment pursuant to article 98(1)(a) instead of article 98(1)(b) of the Union Constitution. As proof for this contention the petitioners rely on the Hansard Report for the Seventeenth Session relating to the Bill that introduced the Eleventh Amendment. The undisputed extract is reproduced below:

> Matokeo Ya Kura
>
> Katibu wa Bunge: Mheshimiwa Spika, naomba kutoa matokeo ya kura rasmi kama ifuatavyo:
>
> Waliosema hapana ni 5
>
> Waliosema ndiyo ni 186
>
> Spika: Maana yake ni kwamba waliobaki hawapo, kwa hiyo idadi ya theluthi mbili ya Wabunge wote idadi inayotakiwa kukamilisha matakwa ya Katiba ni Wabunge 167, ndio lazima waafiki, sasa walioafiki wameshinda na muswada umepitishwa kwa mujibu wa Katiba (Vifijo/Makofi).

Dr Mvungi contends that there is hardly any need to belabour this point. It is an indisputable fAct he says, which the Attorney General admits in paragraph 3 of his amended reply to the petition that the Eleventh Amendment was effected in accordance with the provisions of article 98(1)(a), even though the Attorney General makes an alternative argument in the same paragraph 3 that even if the said votes were counted in accordance with the provisions of article 98(1)(b), the votes cast by Zanzibar Members of Parliament were more than half the majority, therefore within the requirements of the article. Learned counsel finds the second leg of the Attorney General's argument to be totally wrong in that the requirement under article 98(1)(b) is two-thirds majority of votes of Mainland Members of Parliament and an identical majority of Zanzibar Members of Parliament, each block voting separately. More than half majority of Zanzibar Members of Parliament is not equivalent to two-thirds majority of Zanzibar

Members of Parliament and, moreover, nothing is said of the Mainland Members of Parliament. In any event, the respondent having admitted that the procedure adopted was that provided for under article 98(1)(a), learned counsel finds it rather superfluous to consider the theoretical argument that the results can be calculated artificially in order to comply with the requirements of article 98(1)(a). In his opinion what the Constitutional makers intended is that each time Parliament votes on a Constituent Bill it should do so consciously, taking into account the serious consequences of its act.

The only important question to be answered in relation to the procedure employed by Parliament in effecting the Eleventh Amendments is why these amendments should have been effected in accordance with the provisions of article 98(1)(b) as contended by the petitioners and not under article 98(1)(a) as contended by the respondent. Learned counsel then elaborates on what Parliament should do when applying paragraph (a) or paragraph (b) of sub-article (1) of article 98. Dr Sengondo Mvungi observes that the Acts of Union contain the Articles of Union as their schedule. That it is an accepted position in common law that schedules to acts are part and parcel of such acts. He cites the case of *Thabit Ngaka v. Regional Fisheries Officer, Morogoro Region,* (1) in support of his proposition. The question then is whether the Union Parliament has powers to effect amendment of the entire Acts of Union, including the Schedules to them. To him the answer is no, for the Schedule to the Acts of Union is a treaty between two states and as such it can only be amended by invoking the proper procedure for amendment of treaties in international law. He cites article 39 of the Vienna Convention on the Law of Treaties which provides that:

> A treaty may be amended by agreement between the parties. The rules laid down in Part II apply to such an agreement except in so far as the treaty may otherwise provide.

Part II of the Vienna Convention on the Law of Treaties sets out the procedure for concluding treaties and their entry into force. Therefore,

a National Parliament is devoid of powers to effect amendment to treaties. He makes the observation that even if one were to blindfold one's mind to the requirements of law in international law as pointed out above, the argument that the inclusion of the whole of Chapter 557 in list one entitles the Union Parliament to effect any changes and/or amendments to that act in accordance with the provisions of article 98(1)(a) without paying regard to other provisions of the Constitution is futile and absurd. List Two of the Second Schedule clearly singles out matters that are provided for by Chapter 557 but which can only be amended in accordance with the provisions of article 98(1)(b). He contends, after quoting paragraph (b) of sub-article (1) of article 98, that it is clear from that list that the Eleventh Amendment effected changes touching upon the authority of the Government of the United Republic and the authority of the Revolutionary Government of Zanzibar. That as set out in paragraph 7(1) of the petition, the Eleventh Amendment amended, *inter alia,* article 37 of the Constitution by removing the President of Zanzibar from the list of persons to whom the powers of President of the United Republic may devolve. For Article 37(3)(a) casts the First Vice President as the first person and the Second Vice President as the second person in the devolution list. Both the Articles of Union (article (iii)(b)) and the Acts of Union (section 5(c)) specifically provided that the person who is President of Zanzibar shall be the very person who shall be the First Vice President of the Union Government in the case where the President hails from the Mainland. And, further as set out in paragraph 7(ii) of the petition, the Eleventh Amendment made changes to articles 47, 48, 49 and 50 of the Constitution in a manner which made it possible to have a Vice President of the Union hailing from Zanzibar who is not at the same time President of Zanzibar. Both the Treaty of Union (article iii)(b)(and Acts of Union (section 5(c)) provide that the President of Zanzibar shall automatically be Vice President of the Union. Thus it is argued that these facts indicate clearly that the changes brought by the Eleventh Amendment affected both the executive authority of the United Republic since the Vice President of the Union is part and parcel of that authority, and the

executive authority of the Government of Zanzibar since the President of Zanzibar is also part and parcel of that authority.

Learned counsel having traced the historical development of our Constitution making procedures, submits that at no point in time were the Articles of Union superseded. They constitute the basic norm reflecting the birth of what he terms the grand norm of the Tanzanian nation. That both the Acts of Union and the subsequent Constitutions derive their legality and validity from this basic norm. He cites a book entitled **The Legal Foundations of the Union in Tanzania's Union and Zanzibar Constitutions** (DUP. 1990) at page 64 paragraph 3.3 in elaboration of his submissions. He also contends that the Articles of Union are unalterable, citing the British case of *MacComic v. The Lord Advocate* (2) at Page 262.

Learned counsel has drawn our attention to the doctrine of fundamental change of circumstances as it applies to the Law of Treaties in International Law. He argues that change of circumstances prohibits parties to a treaty from changing the treaty without the consent of the other; and that breach of this doctrine discharges the other party from its contractual obligations under the treaty. Since the Union Parliament is not a party to the Treaty of Union, it had no power to enact the Eleventh Amendment without allowing room for the parties to re-negotiate that treaty and that the changes created a situation of conflict between the Union Government and the Revolutionary Government of Zanzibar. It is in these circumstances that the petitioners argue that the situation warrants summoning a Special Constitutional Court.

On his part, Mr Mwidunda, learned state attorney appearing for the respondent contends that the Eleventh Amendment was legally enacted by the Union Parliament in full compliance with article 98(1)(a) of the Constitution. It is his submission that as provided by article 98(1) the Union Parliament has Constitutional mandate to enact law for the purpose of effecting changes in the Constitution. In doing so, Parliament is bound by Constitutional procedure as laid down in articles 98(1)(a) and 98(1)(b). He argues that in enacting the Eleventh

Amendment Parliament was not bound to comply with article 98(1)(a). This article, he says, provides for a procedure for effecting changes in respect of matters listed in *'Nyongeza ya Pili' – Orodha ya Pili.* For Parliament to change those eight listed matters, he says, the enactment must be approved by two quarters (*sic*) of the counted votes of Members of Parliament from the Mainland and the same number of counted votes of Members of Parliament from the Isles. It is his contention that the contested amendment effected changes in the following matters:

(i) one Vice President who will be Principal Assistant to the President in Union matters;

(ii) period which the Vice President assumes the mandate of the Vice President;

(iii) oath of the Vice President; and

(iv) tenure of office of the Vice President.

He submits that changes effected in articles 47, 48, 49 and 50 are not among the eight matters listed in *Nyongeza ya Pili, Orodha ya Pili* as provided in the Constitution. In view of this fact, Parliament in enacting Act Number 34 of 1994 was not bound to comply with provisions of article 98(1)(b) as the petitioners contend. Hence he submits that by adopting the procedure provided for in article 98(1)(a) in enacting Act Number 34 of 1994 Parliament acted properly and legally in terms of article 98(1)(a) of the Constitution of the United Republic. The respondent, therefore, submits that Parliament did not violate any article of the Constitution and that there was no procedural error.

It is the further contention of the respondent that, even if the votes were to be counted, the number of Members of Parliament from Zanzibar supporting the Bill for Act Number 34 of 1994 was more than two quarters (*sic*) of total votes from Members of Parliament hailing from Zanzibar and more than two quarters (*sic*) votes of the Members of Parliament from Mainland. We believe it to be a *lapsus linguae* when Mr Mwidunda says two quarters instead as two-thirds. Be that as it may; he submits that even if the enactment of Act Number 34 of 1994 was supposed to be done under article 98(1)(b) then Parliament, as a matter of fAct complied with article 98(1)(b) of the Constitution. According to learned counsel compliance with article 98(1)(b) is supported by the **Hansard Report** contained in the supplementary list of documents forming part of the petition. In the **Hansard Report** only five Members of Parliament opposed the Bill. These Members of Parliament are listed in Hansard Report as Number 73, 80, 93, 102 and 137. He submits that out of the five Members of Parliament who voted to oppose the Bill three of them were from the Isles. The Members of Parliament who opposed the Bill from the Isles are listed as 73, 80 and 93. The two Members of Parliament from Tanzania Mainland who opposed the Bill are listed in the **Hansard Report** as numbers 102 and 137.

Regarding whether the amendment violated the Treaty of Union when the legislation was passed in the absence of a renegotiated Treaty between Tanganyika and Zanzibar, Mr Mwidunda submits that article 98(1) and (2) of the Constitution gives Parliament mandate to effect any change to the Constitution subject to procedure provided therein. In article 98(2) of the Constitution, it is provided that:

> Kwa madhumuni ya ufafanuzi wa masharti ya ibara ndogo ya kubadilisha Katiba au masharti ya sheria maana yake ifahamike kuwa ni pamoja na kurekebisha na kusahihisha masharti haya au kufuta na kuweka masharti mengine badala yake au kusisitiza au kubadilisha matumizi ya masharti hayo.

So Parliament by enacting Act Number 34 of 1994 was repealing and replacing articles 47, 48, 49 and 50 of the Constitution in view of the mandate provided by article 98(2). Thus the averment in paragraph 3(ii) of the petition that Parliament acted *ultra vires* in enacting Act Number 34 of 1994 in the absence of a renegotiated Treaty between Tanganyika and Zanzibar has no legal basis in the Constitution or in any other law.

The learned state attorney contends that the Articles of Union were meant to subsist with legal force until the enactment of the Union Constitution. He cites Roman (ii) of the Schedule to the Articles of Union which provides that:

> During the period from commencement the Union until the Constituent Assembly provided for in article (vii) shall have met and adopted a Constitution for the United Republic (hereinafter referred to as the Interim Period) the United Republic shall be governed in accordance with the provisions of articles (iii) to (iv).

It is the respondent's submission that the Articles of Union ceased to have legal force upon adoption of the Union Constitution in 1977.

The respondent denies that the amendment of articles 47, 48, 49 and 50 of the Constitution violated basic Constitutional norms of the Tanzania State. Nor does the amendment conflict with the basic doctrine of customary international law and the national law as to endanger the Constitutional order and legality of the Union. It is the respondent's submission that Act Number 34 of 1994 now forms part of our Constitution. Therefore, Act Number 34 of 1994 being part of the Constitution cannot be validly challenged on grounds of unConstitutionality. As part of the Constitution the provisions of the Eleventh Amendment are not in any way inconsistent or incompatible with any other part of the Constitution. On the position of the President of Zanzibar as per Articles of Union, the respondent submits that Articles of Union were only a temporary legal arrangement which provided governance during the transitional period pending enactment of the Constitution. He concludes his submissions with the contention that whether or not a conflict exists between the United Republic of Tanzania and the Revolutionary Government of Zanzibar is a question of fact and there is no evidence to that effect. It is also part of respondent's submission that there is no conflict between the two governments to warrant the summoning of the Special Constitutional Court for the purpose of interpreting or execution of any Constitutional matter in dispute between the two governments. In view of the existing

circumstances it is the respondent's submission that there is no legal justification for issuing such an order.

We now turn to consider the grounds upon which the petition is founded. We propose to determine them *seriatim*.

It is contended in the first ground that the Eleventh Amendment is null and void and that as a result it has no legal force at all. This ground is based on the contention that when enacting the amendment, the Union Parliament erred in procedure. According to counsel the amendment ought to have been made pursuant to article 98(1)(b) of the Constitution instead of under paragraph (a) of article 98(1).

It is common ground that the procedure that must be followed when altering any provision of the Constitution is provided for under article 98(1). It provides:

> 98(1) Parliament may enact legislation for altering any provision of this Constitution in accordance with the following principles:
>
> (a) A Bill for an act to alter any provision of this Constitution (other than those relating to paragraph (b) of this sub-article or any provision of any law specified in List One of the Second Schedule to this Constitution) shall be supported by the votes of not less than two-thirds of all the Members of Parliament;
>
> (b) A Bill for an act to alter the provisions of this Constitution or any provision of any law relating to any of the matters specified in List Two of the Second Schedule to this Constitution shall be passed only if it is supported by the votes of not less than two-thirds of all Members of Parliament from Mainland Tanzania and not less than two-thirds of all Members of Parliament from Tanzania/Zanzibar.

According to list one of the second Schedule, the following are the matters that may be altered with the support of at least two-thirds of all Members of Parliament:

1. the Republic of Tanganyika (Consequential, Transitional and Temporary Provisions) Act 1962, (Chapter 500) sections 3, 17, 18, 23 and 26;
2. the Civil Service Act 1962 (Chapter 509), sections 22, 23 and 24;
3. the Judicial Service Act 1962 (Chapter 508), sections 22, 23 and 24; and
4. the whole Act of Union between Tanganyika and Zanzibar (Chapter 557).

Matters in List Two, the amendment of which requires to be supported by votes of two-thirds of all Members of Parliament from Mainland Tanzania and a like number of votes of all Members of Parliament from Tanzania Zanzibar, are the following:

1. the existence of the United Republic;
2. the existence of the Office of President of the United Republic;
3. the authority of the Government of the United Republic;
4. the existence of the Parliament of the United Republic;
5. the authority of the Government of Zanzibar;
6. the High Court of Zanzibar;
7. the list of Union matters; and
8. the number of Members of Parliament from Zanzibar.

There is no controversy whatever that Parliament adopted the procedure under article 98(1)(a) when passing the Bill that ultimately enacted the Eleventh Amendment. Learned counsel for the petitioners argues that Parliament went wrong in so doing. Mr Fidel Mwidunda, learned state attorney, appearing for the respondent, advances a rival proposition. He would have us say that the contentious enactment was procedurally proper. Now whether or not Parliament slipped into error, the petitioners must prove that the matters that were legislated on are covered in List Two of the Second Schedule. This, then, brings us to matters that were legislated on in the Eleventh Amendment which covers

articles 47, 48, 49, 50 and 102. articles 47, 48, 49 relate to the office of the Vice President of the United Republic. Before the contested amendment the Office of Vice President was provided for under Chapter IV of the Interim Constitution and was adopted in the 1977 Constitution. article 53(2) of the Interim Constitution provides that:

> (2) The head of the Executive for Zanzibar shall be the Vice- President of the United Republic appointed for such purpose, and he shall be styled the President of Zanzibar.

The foregoing provisions trace their origin from article (iii)(b) of the Articles of Union between the Republic of Tanganyika and the Peoples Republic of Zanzibar. The Articles of Union are a Schedule to the Union of Tanganyika and Zanzibar Act Chapter 557. They provide:

> (i) ...
>
> (ii) ...
>
> (iii) During the interim period the Constitution of the United Republic shall be the Constitution of Tanganyika so modified at to provide for:
>
> (a) ...
>
> (b) the offices of two Vice-Presidents one of whom (being a person normally resident in Zanzibar) shall be the head of the aforesaid executive in and for Zanzibar and shall be the principal assistant of the President of the United Republic in the discharge of his executive functions in relation to Zanzibar ...

The Eleventh Amendment has introduced an entirely new procedure for the accession to the office of Vice President. In difference with the appointive nature in the accession to that office before the Amendment, the Vice Presidency is now an elective office. There is no longer a requirement for two Vice Presidents, one of whom should have come from Zanzibar. The current position as provided for under article 47(1) is this:

(1) There shall be a Vice President, who shall be the principal assistant to the President in respect of all the matters in the United Republic generally and, in particular, shall:

(a) assist the President in making a follow-up on the day-to-day implementation of Union matters ...

We are of the view that the present office of Vice-President has wider powers than the position was before the enactment of the Eleventh Amendment. Whatever powers that may be enjoyed in the portifolio of Vice-President, it is the contention of learned counsel for the petitioners that the procedure through which the Amendment was passed does not conform to the letter and spirit of the Articles of Union.

At this stage it is opportune to say that we are at one with learned counsel that any legislation, including Constitutional amendments, may be enacted only in such manner and form as is prescribed by the law. If, therefore, an act including the Constitution itself, lays down a specific procedure to be followed before it may be altered, a legislative exercise that will ignore it will not have been passed in the manner and form prescribed by that law. It follows that such legislation cannot be said to be an Act of Parliament. We may draw some authority for this proposition of law, though of a persuasive nature, from the decision of the Privy Council in *Bribery Commissioner v. Ranasinghe* (3). Lord Pearce said this at page 197:

> A Legislature has no power to ignore the conditions of law making that are imposed by the instrument which itself regulates its power to make law. This restriction exists independently of the question whether the legislature is sovereign ...

Whether or not Parliament erred in procedure or that it ignored its own legislative practice will largely depend on the construction of article 98(1)(a) and (b). It will also depend in part on whether there is evidence that Parliament erred in what transpired during the Parliamentary deliberations as reported in the Hansard. Indeed, *in tandem* with rules of construction, particular respect must be paid

to the language that has been employed and the historical background from which the conventional Amendment originates.

In this regard it seems to us to be quite clear that the architects of the Union and the framers of the Constitution did not intend that certain provisions be amended as easily as other provisions. That explains why article 98 has been made amenable to amendment only by special procedures imposing more difficult and heavier majorities of Members of Parliament who must support any alteration. By the nature of these provisions, ordinary prescriptions of statutory construction would not be the most appropriate. As Dickson, J., aptly put it in the Canadian case of *Hunter v. Southern Inc* (4) at page 649:

> The task of expounding a Constitution is crucially different from that of construing a statute. A statute defines present rights and obligations. It is easily enacted and easily repealed. A Constitution, by contrast, is drafted with an eye to the future. Its function is to provide a continuing framework for the legitimate exercise of governmental power and ... Once enacted, its provisions cannot easily be repealed and amended. It must, therefore, be capable of growth and development over time to meet new social, political and historical realities often unimagined by its framers. The Judiciary is the guardian of the Constitution and must, in interpreting its provisions, bear these conditions in mind.

So the interpretation of article 98(1) should be such as it will meet the just demands and aspirations of the people who seek protection under the Constitution. The interpretation, therefore should be a broad one and not narrow and pedantic, so as to give full effect to its spirit. That this should be so is fairly obvious, for as we all know the Constitution is the supreme law of the land. The people own and retain it without forfeiture when electing a new government.

At this stage, and applying the above principles of Constitutional interpretation, we pause to ask ourselves this question: did Parliament error as alleged by the petitioners? The answer resides in article 98(1). The petitioners contend that the correct provisions are those contained in paragraph (b) of sub-article (1) of that article which

relates to a list of matters as they appear in the Second Schedule. There are eight matters that appear in that schedule. Learned counsel for the petitioners, nor do the petitioners themselves, point out which item has been the subject of amendment that has been altered contrary to procedure. As it is plain in the arguments by counsel, the contentious amendment relates to the Articles of Union under which the offices of Vice-Presidents of the United Republic are provided for. The Articles of Union form the Schedule to the Union of Tanganyika and Zanzibar Act Chapter 557. This legislation falls under List One in the Second Schedule to which article 98(1)(a) applies. As Dr Mvungi correctly points out, it is one of the established principles that in construing statutory provisions schedules to Acts are part and parcel of such Acts. It follows, therefore, that the procedure by which the Union of Tanganyika and Zanzibar Act may be altered equally applies to the Articles of Union. In that circumstance we now hold that Parliament acted procedurally correct when it enacted the Eleventh Amendment by which the articles of Union as regards the Offices of Vice-Presidents were altered by abolishing the two Vice-Presidencies and establishing one Vice President in terms of article 47(1) of the Constitution. The first ground would fail as a result.

It is alleged in the second ground, that the Union Parliament acted outside of its legislative powers in terms of the Articles of Union in effecting amendments to articles 37, 47, 48, 49, 50 and 102 of our Constitution in the absence of a re-negotiated treaty. It is argued in that connection that the Eleventh Amendment effected changes touching upon the authority of the Union Government and that of Zanzibar. In particular, it is contended that the amendment of article 37 was erroneous by removing the President of Zanzibar from the list of persons to whom the powers of President of the United Republic may devolve. That that is so because article 37 casts the First Vice-President as the first person and the Second Vice-President as he second person in the devolution list. True, as learned counsel for the petitioners submits, both article (iii)(b) of the Articles of Union and section 5(c) of the Act of Union, Chapter 557, specifically

provide that the Vice President hailing from Zanzibar shall also be styled as the President of Zanzibar.

On his part Mr Mwidunda, learned state attorney, contends that Parliament acted *intra vires* its powers when it enacted the Eleventh Amendment because article 98(1) and (2) gives it the mandate to do so. Thus it had authority to repeal and to re-enact articles 47, 48, 49 and 50.

Whether or not Parliament acted *ultra vires,* its legislative authority lies in the construction of article 98. We have already held that Parliament had authority to do so. We think Parliament was right because our Constitution, like any other, is an organic document. It must adopt to the times; it must go abreast of the political reality. When the Articles of Union were put in place, the architects of our Union had only a one-party state in mind. So irrespective of whoever was to be in the saddle in Zanzibar, he or she had to be a member of the monolithic party government. We take judicial notice of the introduction of the political multipartism which has long since ushered in plural politics. There is now a real possibility that the political party that may form the Union Government may not necessary get enough electoral support to form the Zanzibar Government. We cannot assume that always one political party will be returned to power in the United Republic and in Zanzibar. If that occurs, and if the Eleventh Amendment was not in place, then we would have the President of the United Republic belonging to one political party while the Vice-President from Zanzibar belong to another political party. We have yet as a nation to undergo some experiment to establish if such an arrangement could be the right Constitutional mechanism through which the national inheritence of state power could devolve to a Vice President who has formed a Government upon his own political platform. So, although the language of the Constitution does not change, changing circumstances of a dynamic society for which it was designed may give rise to new and fuller import to its meaning. And if we are to give effect to the spirit and purpose of our Constitution, the initial arrangement was to ensure that no one particular part of the United Republic shall

monopolise state power. Thus the Constitutional requirement that the President and the Vice President shall not come from one of the constituent parts of the Union. For these reasons the second ground would fail as well because the changes, if any, did not, affect the executive authority of either the United Republic or of the Zanzibar Revolutionary Government. In reaching this decision we have considered the scholarly opinion of Professor Issa G. Shivji. We are at one with him to the extent that indeed :

> ... the adoption of the 1977 Constitution did not mark a break in legal continuity in Tanzania ...

For it owes its legal force from the Articles of Union which are part and parcel of the Acts of Union.

Dr Mvungi contends, with nerve and clarity, that the Articles of Union form the treaty that gave birth to the Union. They are, therefore, unalterable. They are immutable, so to speak. He cites the English case of *MacComock v. The Lord Advocate* (2), particularly the following excerpt that appears at page 11 of his written submission:

> ... An Act of Parliament which was inconsistent with the unalterable provisions of the Articles of Union would be not only unlawful but also probably unjustifiable ...

It is learned counsel's submission that where conflict arises as is the case in this petition, then the Articles of Union should prevail.

Mr Mwidunda has made very brief submissions regarding the inalterability of the Articles of Union. He contends that they were meant to subsist with legal force until the enactment of the Union Constitution was put in place. He relies on article (iii) of the Articles of Union, appended as a schedule to Chapter 557, which provides that:

> During the period from the commencement of the union until the Constituent Assembly provided for in article (iv) shall have met and adopted a Constitution for the United Republic (hereinafter referred to as the interim period) the United Republic shall be governed in accordance with the provisions of articles (iii) to (vi).

We will reproduce articles (iii) to (v) for ease of reference:

(iii) During the interim period the Constitution of the United Republic shall be the Constitution of Tanganyika so modified as to provide for:

(a) a separate legislature and executive in and for Zanzibar as from time to time constituted in accordance with the existing law of Zanzibar and having exclusive authority within Zanzibar for matters other than those reserved to the Parliament and Executive of the United Republic;

(b) the offices of two Vice-Presidents one of whom (being a person normally resident in Zanzibar) shall be the head of the aforesaid executive in and for Zanzibar and shall be the principal assistant of the President for his executive functions in relation to Zanzibar;

(c) the representation of Zanzibar in the Parliament of the United Republic;

(d) such other matters as may be expedient or desirable to give effect to the United Republic and to these articles.

(iv) There shall be reserved to the Parliament and Executive of the United Republic the following matters-

(a) The Constitution and Government of the United Republic;

(b) External Affairs;

(c) Defence;

(d) Police;

(e) Emergency Powers;

(f) Citizenship;

(g) Immigration;

(h) External trade and borrowing;

(i) The Public Service of the United Republic;

(k) Harbours, Civil Aviation, Posts and Telegraphs.

And the said Parliament and Executive shall have exclusive authority in such matters throughout and for the purposes of the United Republic and in addition exclusive authority in respect of all other matters in and for Tanganyika.

(v) The existing laws of Tanganyika and of Zanzibar shall remain in force in their respective territories subject:

(a) to any provision made hereafter by a competent legislature;

(b) to such provision as may be made by order by the President of the United Republic for the extension to Zanzibar of any law relating to any of the matters set out in article (iv), and the revocation of any corresponding Law of Zanzibar;

(c) to such amendments as may be expedient or desirable to give effect to the Union and to these articles.

We have, after hearing both learned counsel, formed the view that Mr Mwidunda's views on the efficacy of the articles of Union are not only untenable, they also lack persuasion. It does not seem to us to be correct to say that validity of the Articles of Union expired upon the promulgation of a Union Constitution. Were it so the framers should have said so quite clearly. We hold, therefore, that the articles of Union are part of the Constitutional Law of the United Republic. In this context we find some logic in Professor Issa G. Shivji's commentary in his book entitled **The Legal Foundations of the Union in Tanzania's Union and Zanzibar**, DUP, 1990, paragraph 3.3 at page 64 where he states that:

... The true legal position is that the 1977 Constitution derives its force from the pre-existing Acts of Union which continue to operate ...

We, however, do not think that they override the Union Constitution as asserts Professor Shivji. The issue here, then, is whether the Articles of Union are unalterable. It is at this stage that we will consider the extent to which *MacComick's case* (2) is relevant to our circumstances.

MacComick's case traces its origin from 1707 when the Parliaments of England and Scotland passed Acts of Union ratifying the Treaty

of Union and creating the new Parliament of Great Britain. Scholars of English jurisprudence argue that the Acts of Union, also referred to as the constituent Acts, brought into being a new state and a new Parliament: (see Mitchell, **Constitutional Law,** (2 ed) 1968). In Great Britain certain provisions of the Treaty of Union were declared to be fundamental and unalterable. Whether or not such provisions were alterable was one of the main issues in the *MacComic case (2)*. After considering the supremacy of Parliament as it applies in Great Britain, Lord Cooper went straight to the legal force in the provisions of the Treaty that brought about their Union. He said that:

...the Treaty and the associated legislation, by which the Parliament of Great Britain was brought into being as the successor to the separate Parliaments of Scotland and England, contain some clauses which expressly reserve to the Parliament of Great Britain powers of subsequent modification, and other clauses which neither contain no such power or emphatically exclude subsequent alteration by declarations that the provisions shall be fundamental and unalterable in all time coming...

We have read that judgment quite carefully but we have not been able to see the sentence appearing in quotes at the bottom of page 11 of the submissions by Dr Mvungi. In fact the English Court did not make any opinion in the manner cited by learned counsel, instead it said this:

... Accepting it that there are provisions in the Treaty of Union and associated legislation which are 'fundamental law', and assuming for the moment that something is alleged to have been done – it matters not whether with legislative authority or not – in breach of that fundamental law, the question remains whether such a question is determinable as a justifiable issue in the courts of either Scotland or England, in the same fashion as an issue of Constitutional vires would be cognisable by the Supreme Courts of the United States or South Africa or Australia ... On these matters I express no view ...

He expressed no view because courts in England declared from long ago that their role is to enforce legislation as they find it, hence the

latin maxim: *lex Angliae sine Parliamento mutari non potest.* This approach is based on the Diceian theories of the supremacy of Parliament. The position in the United States, South Africa, India and here at home is different. Any legislation may be challenged in courts of law in these countries if it is unConstitutional.

What comes out quite vividly from the British Treaty of Union, unlike our Articles of Union, is that the former contained provisions which were declared to be fundamental and unalterable. We do not have such clauses in our Treaty of Union. To that extent we find nothing in the English case which can assist counsel in his argument that our Articles of Union are unalterable. In any case, since the Articles of Union are, as conceded by both learned counsel, part and parcel of the Acts of Union, they may be amended or altered to meet new needs and challenges of a changing and fast growing society which they were intended to serve.

Thus, in order to meet the needs of a dynamic society such as ours, it is vital that the Articles of Union be modified from time to time by the Union Parliament which took over the functions of the Legislatures of Tanganyika and Zanzibar in the context, scene and setting that exists at the time, and not when they were promulgated otherwise they will cease to be abreast of the Constitutional developments which they heralded. In fact this is what has come to be done in Britain where subsequent history has revealed that provisions that were declared to be unalterable have long since been altered or repealed, for instance the Universities (Scotland) Act 1853 and the Irish Church Act 1869, which have amended or repealed clauses which had been declared fundamental and unalterable.

We now come to the last issue, and that is the doctrine of fundamental change of circumstance. In this behalf Dr Sengondo Mvungi poses the issue whether what he calls the unilateral amendment of the basic terms of the Articles of Union entitles the two state parties to rely upon the doctrine of fundamental change of circumstances. He argues that that doctrine prohibits state parties to a treaty from changing that treaty in a substantive or fundamental way without the consent

of the other. That breach of this doctrine discharges the other party from its treaty obligations. In our case the parties to the Treaty of Union are Tanganyika and Zanzibar. It is his submission, therefore, that the changes to the Articles of Union contained in the Eleventh Amendment were not properly effected. He gives two reasons for his contentions:

(a) that the amendment was made by the Union Parliament which was not privy to the Treaty of Union; being a third party to the Treaty it had no powers to change the Articles of Union without allowing room for re-negotiation between the contracting parties, namely, Tanzania Mainland and Zanzibar; and

(b) that the changes have created a situation of conflict between the Union Government and the Revolutionary Government of Zanzibar. It is contended that to-date the question whether the structure of the Union should be changed to allow a federal structure still remains unresolved between Mainland Tanzania and Zanzibar and that the situation warrants the convening of a Special Constitutional Court to resolve this conflict.

In the upshot it is submitted that since the Union between the two states was freely entered into, the two parties to it should be given an opportunity to sit down together and amend the Treaty of Union so that it reflects their best interests and aspirations. If this is done unilaterally by one party then the other party can be discharged from its obligation under the Treaty. Thus if changes to the Treaty of Union it shall continue to be, as he says, struggled into the Constitution in circumvention of procedures laid down by law and the existence of the United Republic shall be endangered. We are, therefore, called upon to valiantly champion the struggle to defend our Constitutional order.

We will begin to consider this issue from the tail. We are being urged to champion the struggle to defend our Constitutional order. We need not participate in any struggle in order to defend our Constitutional order. Our oath of office dictates that it is our duty

to defend the Constitution, for the courts are its guardian. We will do so to the best of our energies even without any external urging. Secondly, it is wholly erroneous to argue that the amendment was made unilaterally by one party to the Treaty. The Union Parliament which passed the legislation does not belong to Tanganyika; it belongs to the Union composed of Members from both parts of the Union. Its decisions cannot be unilateral.

Now, as regards the second sub-issue, the petitioners have the grave and the unenviable task of proving what they allege. Whether or not there is a conflict between the Union Government and the Zanzibar Revolutionary Government is a question of fact that requires proof by evidence. All that there is before us are statements from the Bar. Such statements cannot stand in for probative evidence. Plainly, as article 126(1) shows, the sole function of the Special Constitutional Court of the United Republic:

> ... is to hear and give a conciliatory decision over a matter referred to it concerning the interpretation of this Constitution where such interpretation or its application is in dispute between the Government of the United Republic and the Revolutionary Government of Zanzibar.

Thus, in order to convene the Special Constitutional Court the following circumstances must be shown to exist:

> (a) that a matter does exist concerning the interpretation of the Constitution; and
>
> (b) that such interpretation or its application is in dispute between the Union Government and the Revolutionary Government of Zanzibar.

It follows that one of the two Governments must be aggrieved by the interpretation or application of any of the provisions of the Constitution. There is no material before us which shows that either the Revolutionary Government of Zanzibar or the Union Government has a matter to refer to the Special Constitutional Court as by law provided. We consider matters relating to the need for changes in the Constitution as being outside the ambit of article 126(1) unless

such alterations have brought about a contentious interpretation or application of the Constitution. Matters such as the need to re-negotiate the Treaty of Union are purely of a political nature which do not concern the courts. Similar considerations would apply to situations which may bring about the amendment of any provision in the Constitution. Indeed, whether the structure of the Union should be changed or not is another matter that should be pursued as a political agendum.

We are of the strong view that an issue of great importance has been raised by learned counsel regarding the alleged need for re-negotiation of the terms of the treaty of Union. Can really the Union Government and the Revolutionary Government of Zanzibar negotiate and enter into a treaty of any kind? In other words, do they, individually, have capacity to do so? What, really, is a treaty as known in International Law? We understand a treaty to be a most fundamental law of nations. Traditionally and essentially a treaty is an agreement between states or sovereigns binding in virtue of *pacta sunt servanda*. Since a treaty is not only a law but also a contract between two or more sovereign nations, it follows that Tanzania Mainland and Zanzibar do not have capacity to contract. They belong to one nation, the United Republic of Tanzania. The United Republic cannot negotiate a treaty alone and unto itself.

The constituent states of Tanganyika, now Tanzania Mainland, and Zanzibar were extinguished as nations when they merged into the United Republic in terms of the Treaty of Union that was ratified by the associate legislation. They, therefore, cannot negotiate a treaty nor can they negotiate to amend the Treaty of Union. The Treaty of Union as contained in the Articles of Union now forms part of the Acts of Union. The Acts of Union are themselves included in List One of the Second Schedule to the Constitution. It is our view, and we have said so earlier on in this ruling, that only the Union Parliament has the *vires* to amend or modify them. Accordingly the Vienna Convention on the Law of Treaties is inapplicable. These observations take care of the first sub-issue as well.

Finally, there is the doctrine of fundamental change of circumstances. This doctrine is much wider than learned counsel for the petitioners has put forward to us. It includes termination of a treaty by operation of law, such as a supervening impossibility of performance known to the municipal law of contract which will have the effect of frustrating the execution of the terms of the treaty. A good example would be the merger of two sovereign nations into one sovereign state in which case the emerging state will take over treaty obligations of its constituent states. This must be so because the constituent states lose their legal personality when they merge. It follows that Tanganyika and Zanzibar have long since lost their legal personality. It may be correct to say that the unilateral breach of a treaty has as one of its consequences to absolve the party not in breach of all obligations under the treaty. True, as Jennings argues in his book **The Law and The Constitution**, (5 ed, 1959) at page 170, the British Acts of Union were passed to ratify the Treaties of Union and that the amendments to the treaties were carried out in accordance with the *maxim nobus sic stantibus,* that is, it is a tacit condition attaching to all treaties that they shall cease to be obligatory soon as the state of facts and conditions upon which they were founded has substantially changed. We have given serious consideration to this contention. We are satisfied, however, that although the Eleventh Amendment has introduced changes in the Articles of Union, those changes are founded on the lawful and legitimate exercise of legislative power by Parliament. It follows that no breach of the treaty of Union has been established. Thus, the position here is different from Britain. So whereas the Articles of Union form the treaty of Union and consequently part and parcel of our Constitutional law, and even though they constitute the basic norm reflecting the birth of a new grand-norm for our nation, unlike the position in Britain, they are, as we have already held, justifiable as part of the Acts of Union. It follows, therefore, that the doctrine of fundamental change of circumstances cannot apply in the manner it is being argued here. Accordingly this issue would also fail. Upon the foregoing considerations the petition is dismissed with costs

JAMES FUNKE GWAGILO *v.* ATTORNEY GENERAL (HCT)

HIGH COURT OF TANZANIA AT DAR ES SALAAM

(Kyando, J.)

CIVIL CASE No. 307 OF 1999

Torts – Elements of the tort of malicious prosecution – Reasonable and probable cause – Plaintiff prosecuted in an Economic Criminal Case – Whether the prosecution was without reasonable and probable cause.

Torts – Elements of the tort of malicious prosecution – Plaintiff prosecuted by the police – Plaintiff fails to disclose specific police officer who bore malice against him – Whether malice proved

Torts – False imprisonment – Plaintiff arrested, detained and prosecuted – Whether detention in police custody was justified.

Torts – Trespass to the person – Whether trespass to the person was justified.

Civil Service – Whether retirement in the public interest is a disciplinary proceeding – Regulation 46(1)(a) of the Civil Service Regulations 1970.

Civil Practice and Procedure – Pleadings – Defence not pleaded in the Written Statement of Defence – Whether court bound to accept the unpleaded defence.

The plaintiff, a civil servant, who had risen to the senior positions of Principal Secretary and Regional Development Director was on 25 April 1988, at Tabora, arrested by the Police and tried with others in (HC) Economic Criminal Case Number 3 of 1989. In a judgment delivered on 17 August 1991 the plaintiff was acquitted of all the offences he was charged with. But before the conclusion of the trial of the economic criminal case the plaintiff was retired from the public service in the public interest. Upon acquittal the plaintiff filed this suit against the defendant claiming damages for false imprisonment, trespass to the person and malicious prosecution. In an effort to justify

the retirement of the plaintiff from the Public Service, the defendant decided to launch a defence which was not pleaded in his Written Statement of Defence.

Held: (i) There was reasonable and probable cause in the plaintiff's prosecution in Economic Criminal Case Number 3 mentioned herein;

(ii) It was necessary for the plaintiff to indicate the particular police officer(s) who bore malice towards him which actuated him or them to prosecute him;

(iii) Malice in the tort of malicious prosecution does not mean spite or hatred; what it means is merely wrong motive; malice, was not in this case proved;

(iv) The arrest and detention were not unlawful or malicious. There was thus no false imprisonment and/or trespass to the person committed by the police;

(v) Retirement in the public interest does not fall under Regulations 37 to 39 (on Disciplinary Proceedings) of the Civil Regulations 1970. So, regulation 46(1)(a) of the Civil Service Regulations does not bar the act of retiring an officer in the public interest by the President and it has no application to such an act at all;

(vi) The defendant is bound by his pleadings and the additional grounds or points raised are rejected for not having been pleaded.

Suit dismissed

Cases referred to:

(1) *Moris A. Sasawata v. Mathias Maleko* [1980] T.L.R. 158

(2) *Hosia Lalata v. Gibson Mwasote* [1980] T.L.R. 154

(3) *Hicks v. Faulkner* (1881) 8 QBD 167

(4) *Herniman v. Jenkins* [1838] AC 305

(5) *Mitchell v. Jenkins* (1933) 5B and D 588

(6) *Brown v. Hawkes* [1891] 2 QB 718

(7) *Pike v. Waldrum* [1983] 1 Lloyd's Rep. 431

(8) *Stevens v. Midland Countries Railway* (1854)10 EX 352

(9) *Hemchand v. Areylal, A.* 1942 PC 64

Statutory provision referred to:

(1) Civil Service Act Number 16 of 1989, sections 19(3) and 23(2)

Mr Njulumi, for the Plaintiff

Mr Magoma, for the Defendant

JUDGMENT

(Delivered 25 April 2000)

Kyando, J.: In this case the plaintiff, who was a long time Civil Servant and had risen to the very senior positions of Principal (now Permanent) Secretary and Regional Development Director in the Public Service of Tanzania, was, on 24 May 1988, at Tabora, arrested by the Police and then tried with others in (HC) Economic Criminal Case Number 3 of 1989. There was a count alleging conspiracy contrary to section 384 Penal Code; and a count alleging giving false information contrary to secion 122 and one count charging robbery with violence contrary to section 286 of the Penal Code. In a judgment delivered on 17 August 1991, Korosso, J. acquitted the plaintiff of all the offences charged in the above counts. But before the conclusion of the trial of the economic criminal case above the plaintiff was retired from the Public Service in the public interest by a letter (Exhibit P 1) which reads as follows:

Kustaafishwa Kwa Manufaa Ya Umma 15 Mei 1990:

1. Nimeagizwa nikuarifu kuwa Rais, chini ya Kifungu cha Sheria ya Utumishi Serikalini (Act Number 16/1980), kifungu 8 (f) cha Sheria ya Malipo ya Pensheni Sura 371) na Standing Order F. 35 amekustaafisha kazi kwa manufaa ya Umma, kuanzia tarehe 15 Mei 1990.

2. Kutokana na uamuzi huu wa Serikali, utalipwa haki zako za Pensheni kwa Utumishi wako Serikalini hadi kufikia tarehe 14 Mei 1990.

3. IIi kuepusha ucheleweshaji wa kukulipa haki zako, Katibu Mkuu wa Wizara ya Tawala za Mikoa na Serikali za Mitaa anaagizwa

kukutayarishia Hati za malipo ya Pensheni yako mapema na kuziwasilisha kwa Katibu Mkuu wa Wizara ya Fedha, kwa malipo.

4. Mwisho, napenda kuchukua nafasi hii kukushukuru kwa niaba ya Serikali na kwa niaba yangu mwenyewe kwa utumishi wako wa muda mrefu na ushirikiano wako mkubwa ulionyenyesha wakati wote ukiwa Mtumishi wa Umma na pia kukutakia kila la kheri katika maisha yako ya baadaye.

Sgd: WH Shellukindo

Katibu Mkuu (Utumishi)

It is shown on the letter (Exhibit page 1) that the plaintiff received it on 8 January 1991. By the time of his arrest and trial the plaintiff was Regional Development Director for Tabora Region and was stationed at Tabora. And because of the economic criminal charges he was facing, by letter Reference Number PM/PCF.6763/7 dated 28 December 1989, the Acting Principal Secretary, Office of the Prime Minister and First Vice President, interdicted him under Regulation 35 of the Civil Service Regulations 1970. The plaintiff was aggrieved by both his retirement in the public interest and his arrest and prosecution in the Economic Crimes Case referred to above. He brought this action against the defendant, therefore, seeking the following reliefs:

(a) A Declaration that the termination of his services with the Government of the United Republic of Tanzania was wrongful.

(b) A Declaration that he is still the lawful employee of the Government of the United Republic of Tanzania;

(c) Payment of TZS. 211 916 485-38 as per paras 4-10 of the Plaint.

(d) Payment of salary and other fringe benefits at current rate from the date of filing the suit until his reinstatement.

(e) Costs of the suit,

(f) Any other or further reliefs as to the court may appear fit and just to grant.

Concerning the retirement the plaintiff has stated in paragraph 5 of his plaint (See Amended Plaint presented on 19 August 1997) that it was wrongful *"because at the time of the purported retirement, the plaintiff was under interdiction at half pay for reasons of facing Economic Crimes Case Number 3 of* 1989' [emphasis supplied]. In paragraph 6 he states that by the time of his retirement he was claiming TZS. 3 320 309-60 from the Government made up of several items which he has listed in the paragraph and in paragraph 7 he says as a result of the retirement he further claims TZS. 52 596 179-78 "being monies from entitlements of the plaintiff in accordance with his terms of service contained in letters collectively marked with letters 'E.1-10' and 'F.1-17' respectively." The particulars for these have also been set out in the plaint.

In paragraph 8 of the plaint the plaintiff states that the Police were instrumental in his arrest, detention and subsequent prosecution in the Economic Criminal Case mentioned above and in paragraph 9 he claims damages of TZS. 30 000 000 for false imprisonment, TZS. 40 000 000 for malicious prosecution and TZS. 50 000 000 for trespass to the person. He says this was because he was subjected to psychological and bodily torture and humiliation in the prosecution he had to endure in the economic criminal case. In paragraph 10 he states that as a result of his retirement he failed to pay up his THB loan and to complete his house "and he, therefore, claims TZS. 36 000 000 being loss of expected earnings from the house."

The above amounts are the ones which add up to the total of TZS. 211 916 485-38 prayed for in relief (c) above. It may be added that besides the criminal proceedings in which he was involved, the plaintiff also faced disciplinary charges of (i) doing acts that are scandalous and embarrassing to the Government Service contrary to Standing Order F 36 read together with Regulations 1970 (G.N. 288 of 1970), in that, while Regional Development Director for Tabora Region, knowing that he could have official dealing with matters concerning M/s Soud Saidi S.K. Saidi, a businessman of Nzega, on the 2 January 1986, he borrowed TZS. 500 000 from the said Soud

Saidi/S.K. Saidi, and (ii) doing acts that are scandalous and embarrassing to the Government Service, in that, the plaintiff, while Regional Development Director for Tabora Region, used his position "as such RDD to prevent the allocation of 500 crates of beer which ought to have been lawfully allocated by the Regional Allocation Committee for essential commodities, which commodity he allocated through racketeering means."

The inquiry into the above charges was commenced on 1 August 1988 and concluded on 29 January 1989. It was conducted by Mwaikasu, J. and ended in the plaintiff's favour, i.e. he was, again, acquitted on both the counts.

In his Written Statement of Defence the defendant first raised a number of points by way of Preliminary Objections to the suit. Some of these objections do not seem to have been followed through, but as for the main one, i.e. that the suit is incompetent "as by virtue of section 23(2) of the Civil Service Act Number 16 of 1989, courts have no jurisdiction to inquire into the exercise of Presidential powers under section 19(8) of the Civil Service Act and article 36 of the Constitution of the United Republic of Tanzania of 1977", in a long ruling delivered on 10 Janaury 1994 Mwalusanya, J. overruled it, holding that the President's power under section 19(3) of the Civil Service Act to remove civil servants in the public interest can be challenged in courts of law.

Then, in paragraph 6 of the Written Statement of Defence the defendant states that the plaintiff was RDD. "only up to second March, when he was transferred to the Central Establishment. In paragraphs 9 to 10 the defendant disputes the plaintiff's claims to the entitlements which he has made in paragraphs 6 - 7 of the Plaint and denies *in toto* the claims in paragraph 8 to 12 of the Plaint. He prays for dismissal of the suit therefore.

The background to the arrest and detention of the plaintiff on 24 May 1988 is that in the evening on 23.05.88 the plaintiff and a Dr Lamu went to the Police at Tabora to report a robbery, at gunpoint,

of a vehicle, Registration Number TZ 91943. The said Dr Lamu was a doctor at the Regional Government Hospital, Kitete, Tabora, and the vehicle had been assigned to him in relation to his duties. According to SP Goodluck Joseph Mongi (DW3), who was then a police officer at the Tabora District Police Station, the report made by the plaintiff and Dr Lamu at the Police Station was to the effect that they (the plaintiff and Dr Lamu) had been out in the villages on duty and they were robbed of the vehicle there. They said they had been with one Moses Lyimo on the vehicle when the robbery took place. The police, upon receiving the report, directed road-blocks to be put up in efforts to catch the robbers and possibly recover the vehicle as well. The vehicle was not traced that night, however.

On 24 May 1988, the said vehicle was used in a robbery at the Sikonge Branch of the then National Bank of Commerce. Some of the robbers in the bank robbery were a Captain Numuzi Ambrose Lamu and Christopher Lembo. DW3 stated in his evidence: "It was then said that Numuzi Lamu was a relative of Dr Lamu. From police investigations, it was revealed that during the day, on the date when the vehicle was stolen at gunpoint Numuzi Lamu and Christopher Lembo had been together with the plaintiff and Dr Lamu in the vehicle. In these circumstances, i.e. that the plaintiff and Dr Lamu had reported robbery of the vehicle, together with the reports that during the day the plaintiff, Dr Lamu and some of the robbers had been seen together on the vehicle, it was concluded by the Senior Officials that the plaintiff and Dr Lamu had been involved in a conspiracy to rob the bank and that the report by the plaintiff and Dr Lamu about the robbery of the vehicle had only been a camouflage to show that the vehicle had been robbed from them by unknown people. There must have been a relationship of some sort between the plaintiff and Dr Lamu on the one hand and Numuzi Lamu and Lembo on the other in view of the reports that they had been together during the day at the villages before the plaintiff and Dr Lamu came to the police to report the robbery of the vehicle. After the linkage of the plaintiff to the bank robbery as explained above, he and others were taken to court."

This is how the plaintiff came to be involved in the economic criminal case mentioned earlier on above and it is this involvement of him in that case which has resulted into the claims of damages for false imprisonment, trespass to the person and malicious prosecution in this suit.

The drawn issues of the case or suit are these:

(1) Was the removal from employment in the public interest wrongful or not?

(2) Was there false imprisonment?

(3) Whether the defendant committed any criminal trespass to the body of the plaintiff.

(4) Was there any malicious prosecution?

(5) To what relief, if any, are the parties entitled?

I propose to start with issues numbers (2)-(4). These arise, as shown above, from the arrest, detention and eventual prosecution of the plaintiff in the economic criminal case mentioned herein. As regards these issues, the torts of false imprisonment and malicious prosecution have been fully expounded on by Samatta, J. (as he then was), that legal luminary, in the cases respectively of *Moris A Sasawata v. Mathias Maleko* (1) and *Hosia Lalata v. Gibson Mwasote* (2). False imprisonment and trespass to the body are inter-related. In fact false imprisonment is a form of trespass to the person. False imprisonment is the total unlawful restriction of a person's freedom of movement. It includes unlawful arrest. As for trespass to the person, this is the wrongful direct interference with another person. An action for trespass to the person is in modern times brought for intentional acts, in the form of actions for assault, battery and false imprisonment and it is actionable *per se,* i.e. without proof of actual damage. In view of the shown inter-relationship between false imprisonment and trespass to the person, pleading them separately in this case was a result of confusion on the part of the plaintiff.

Concerning malicious prosecution, in order to succeed in a suit for damages for this kind of tort, the plaintiff must prove:

(a) that he was prosecuted by the defendant;

(b) that, the prosecution ended in his favour;

(c) that the prosecution was conducted without reasonable or probable cause;

(d) that in bringing the prosecution the defendant was actuated by malice.

Now, starting with issue number 4 amongst the three issues under discussion first, there is no dispute that the plaintiff was prosecuted in Economic Crimes Case Number 3 of 1989 as alleged in paragraph 8 of the plaint. There is no dispute, too, that the prosecution terminated in the. plaintiff's favour, i.e. that he was acquitted. There is however, great controversy between the parties as to whether or not (i) the prosecution was conducted without reasonable or probable cause and (ii) whether or not in bringing the prosecution the defendant was actuated by malice. In relation to these two points, I have, unfortunately, not been able to find a local authority in which the complaint was directed, as in this case, against the police generally. Almost all the cases on the subject which came to the courts here were against defendants who were private persons or individuals. However, looking at **Civil Actions Against the Police** by Clayton and Tomlinson (Sweet and Maxwell) (London) (1992) pages 284 - 306, a book kindly availed to me by Mr Njulumi who acts for the plaintiff, it is possible for there to be an action for malicious prosecution against the police, too.

Was there a reasonable and probable cause in prosecuting the plaintiff in this case? "Reasonable and probable cause" probably requires to be explained, and the standard is that given by Hawkins J. in the case of *Hicks v. Faulkner* (3) at page 171 and approved by the House of Lords in *Herniman v. Smith* (4). Reasonable and probable cause, according to this explanation, is:

> an honest belief in the guilt of the accused based upon a full conviction, founded upon reasonable grounds, of the existence of a state of circumstances,

> which, assuming them to be true, would reasonably lead any ordinary prudent and cautious man, placed in the position of the accuser, to the conclusion that the person charged was probably guilty of the crime imputed.

In his evidence, the plaintiff says very little, if anything at all, about his prosecution being without reasonable or probable cause. He only mainly concentrates on it having been actuated by malice. In his submissions Mr Njulumi relies on circumstances which were shown in the judgment of Korosso, J. in the Economic Crimes Case Number 3 of 1989 (*supra*) to show that there was no reasonable and probable cause in the police prosecuting his client, the plaintiff. In the book **Civil Actions Against the Police** mentioned hereinabove, the learned authors state at page 285: "Malicious prosecution has become an extremely difficult tort to prove, requiring the proof of a negative. Without some hard evidence of lack of honest belief in the charges made on the part of the prosecuting police officers, a plaintiff faces an extremely difficult task." Well, as indicated already, the plaintiff in the instant case gave no evidence to prove lack of reasonable or probable cause on the part of the police in prosecuting him. He has thus failed to prove this element of the tort of malicious prosecution. But also, looking at the circumstances of the whole case myself, I am far from persuaded that there was lack of reasonable and probable cause in prosecuting the plaintiff. The circumstances which led to his prosecution have been explained by DW3 in his evidence which I have reproduced above. I am of opinion that those circumstances furnish sufficient circumstantial evidence for me to accept that the Police honestly believed in the guilt of the plaintiff in relation to the crimes he was charged with and were justified therefore in prosecuting him. Captain Lamu, one of the bandits who participated in the robbery at the Bank, and who was tried together with the plaintiff, was convicted of the robbery. This man was connected to Dr Lamu, a person who had gone together with the plaintiff to report the motorvehicle robbery to the Police. Christopher Lembo was also convicted. The Police had received reports that both Captain Lamu and Lembo had been together with the plaintiff and Dr Lamu during the day on the date the vehicle was reported to have been stolen at gunpoint. This was

besides the relationship between Captain Lamu and Dr Lamu. The allegedly stolen vehicle was only the following morning used in the Bank robbery. Surely the circumstances linked the plaintiff to the Bank robbery and he cannot now be seriously heard to complain that there was no reasonable and probable cause in the police prosecuting him. I reject his contentions in regard to this therefore, and hold that there was reasonable and probable cause in the plaintiff's prosecution in Economic Criminal Case Number 3 mentioned herein.

I move now to consider the element of malice. It is now well established that by *malice* in the tort of malicious prosecution it does not mean spite or hatred; what it means is merely *wrong motive.* (See *Mitchell v. Jenkins* (5) and *Brown v. Hawkes* (6)). It is wrongful to intend to use legal process for something other than its legally appointed and appropriate purpose: *Pike v. Waldrum* (7) at page 451. In *Stevens v. Midland Countries Railway* (8) at page 356, Alderson B put it thus:

> Any motive other than that of simply instituting a prosecution for the purpose of bringing a person to justice, is malicious motive on the part of the person who acts in that way.

So, now, has the plaintiff in the present case proved that his prosecution by the police was actuated by malice on their part. In the first place he does not specify any particular police officer in his plaint or evidence who could have been propelled by malice into prosecuting him. Malice exists in human beings; it does not exist in inanimate bodies such as, say, the Police force as such. As those who constitute "the Police" are individual human beings, it was necessary for the plaintiff to indicate the particular police officer(s) who bore malice towards him which actuated him or them to prosecute him. There is no identity, as indicated, of any such police officer(s).

In his evidence the plaintiff says the police acted maliciously because the Regional Security Officer and the Regional Commissioner showed animosity towards him in the inquiry conducted by Mwaikasu, J. Yet, the allegations in the plaint are against the police and not

against the Regional Commissioner and Regional Security Officer as well. Secondly, there is nothing to show that the Police in prosecuting the plaintiff were acting under the direction of these two officials or that they were acting in concert with them. So there is no proof of any malice by the Police through the Regional Commissioner and the Regional Security Officer.

The plaintiff further states in his evidence that his prosecution was actuated by malice because (i) he was acquitted, (ii) he reported the vehicle as a good citizen and witness but was turned into a robber and (iii) he was charged three times. With respect, none of these are evidence of malice. The acquittal is only an element of the whole tort of malicious prosecution and not proof of malice as such; as for reporting the robbery of the vehicle, as DW3 told the court, the Police believed that the report was a cover up for plans for the robbery at the Bank. I see no malice in this belief myself on the part of the police. As for charging him three times in two criminal cases and in the disciplinary inquiry - I do not see how this establishes malice in so far as Economic Criminal Case Number 3, which is the subject of his complaint, is concerned. Who after all, in relation to that case was malicious? None, as already indicated, has been identified.

On the other hand, as I have explained in relation to the element of want of reasonable and probable cause, the police acted honestly and on reasonable grounds in prosecuting the plaintiff. Malice therefore has not been proved in this case and I reject here the allegation that the Police were actuated by malice in prosecuting the plaintiff.

This disposes of issue number 4 of the suit. It is decided in the negative against the plaintiff.

I pass now to consider issues numbers 2 and 3, which I think should be considered together in view of my opinion above that false imprisonment and trespass to the person are interrelated. There is no dispute in the case that the plaintiff was arrested by the Police in relation to the Bank robbery and that he was detained for some time and then released. He says in his evidence that he was detained for a

total of 91 hours. He claims, as shown above, too, to have been manhandled by the Police upon his arrest and that he developed BP due to his incarceration. So imprisonment has been proved. Was it justified? This is for the defence to establish for, as it has been stated in **Halsbury's Laws of England**, Volume 38, (3 ed), page 765, paragraph 1266:

> The gist of false imprisonment is the mere imprisonment; the plaintiff need not prove that the imprisonment was unlawful or malicious, but establishes a *prima facie* case if he proves that he was imprisoned by the defendant; the onus then lies on the defendant of proving justification.

I have shown in the discussion above in relation to want of reasonable or probable cause and malice that there was justification in the prosecution of the plaintiff and that there was no malice in such prosecution. My consideration and conclusions in relation to those elements apply equally to the questions of whether or not there was justification in the arrest and detention of the plaintiff. I hold therefore that the circumstances in which the plaintiff was arrested in this case justified the arrest and detention and the said arrest and detention were not unlawful or malicious. There was no false imprisonment and or trespass to the person committed by the police in such arrest and detention in this case and the contention by the plaintiff that there were is rejected. This disposes of issues numbers 2 and 3 of the suit which are also determined against the plaintiff.

I turn now to a consideration of the issue of the plaintiff's retirement in the public interest. This appears, as I understand the case, to be the more crucial one in view of the lot that has been put into it. As shown above, in his plaint the plaintiff alleges that his retirement was wrongful because at the time of the purported retirement he, the plaintiff, was under interdiction at half pay for reasons of facing Economic Crimes Case Number 3 of 1989. However, as the case progressed, especially following the ruling of Mwalusanya, J. on the competence of the suit, a number of other grounds, not pleaded in the plaint, have proliferated and have been raised in efforts to show that the retirement was wrongful. These included that (i) the plaintiff was not told, in Exhibit P1, the nature of the public interest

that necessitated his retirement; (ii) the retirement was retrospective; (iii) no reasons were given for the retirement and (iv) the plaintiff was not afforded an opportunity to be heard in his defence before the decision to retire him was taken.

The defence too, in an effort to justify the retirement, decided to launch the unpleaded defence that at the time the plaintiff was retired he had already reached his age of compulsory retirement. But the defence, as already stated, was not part of the defendant's case in his Written Statement of Defence.

What do the rules of pleading say in relation to the situation revealed above? The general rule is that a party is bound by his pleadings and should not be allowed to succeed on a case not made out in his pleadings, i.e. plaint and/or Written Statement of Defence. In *Hemchand v. Areylal* (9), an Indian case, the Privy Council characterised as irregular procedure of the trial court in allowing evidence to be adduced on points not raised in the pleadings or issues and held that this should not have been allowed without amendment of the pleadings and issues. I see no grounds in the instant case for departing from these general rules of pleading. This is because the parties had ample opportunity to amend their respective pleadings and include the points that were later raised but did not utilise that opportunity. They are now therefore bound by their pleadings and the additional grounds or points raised are hereby rejected for having not been pleaded.

As for the defence that the plaintiff had already reached retirement age, I find it a rather ludicrous defence. If the plaintiff had reached that age, why was it then found necessary to retire him in the *public interest?* Normal procedure demands that he should only have been informed that he had reached his age of compulsory retirement already and he should retire. He would then have gone into retirement in the normal way. That he had to be retired in the public interest shows to me that he had to be retired before his normal age of compulsory retirement and that is what, in my view, is partly meant by retirement in the public interest i.e. that although one has not reached his age of compulsory retirement, for some reason he should be retired before reaching that age in the public interest.

Did the retirement of the plaintiff in the public interest while under interdiction make the retirement wrongful? This is the question I now proceed to consider. The plaintiff relies on rule 46(1)(a) of the Civil Service Regulations 1970. The rule reads:

> 46(1) Where an officer is alleged to have committed a disciplinary offence *and the act or omission constituting such offence also constitutes a criminal offence* under any written law, then, notwithstanding the provisions of any law to the contrary, the following rules shall apply:
>
> (a) if no disciplinary proceedings under these Regulations have been commenced in respect of the disciplinary offence, but proceedings for the criminal offence (hereinafter referred to as "criminal proceedings") are instituted against the accused officer in any court of law, then *no disciplinary proceedings shall be commenced until the conclusion of the criminal proceedings.*[emphasis supplied]

Was the offence in Economic Criminal Case Number 3 of 1989 in respect of which he was interdicted the reason for the plaintiff's retirement in the public interest? The letter of his retirement (Exhibit P1) does not state why the plaintiff had to be retired in the public interest. Is it safe to assume that he was retired in relation to the offence in the Economic Criminal Case? In view of the silence of the letter as regards the grounds for the retirement, especially because, as shown, the plaintiff had been involved in other proceedings inquired into by Mwaikasu, J., he could have been retired because of the allegations in those proceedings alone as well especially after he was acquitted by Mwaikasu, J. His retirement would therefore have not been related to the interdiction which was the result of Economic Criminal Case Number 3 of 1989 and it (the retirement) cannot be said to have been wrongful because it was done while the plaintiff was under interdiction for that case then.

Secondly, the provisions of Regulation 46(1)(a) prohibit the commencement or continuance of *disciplinary proceedings* during the pendency of criminal proceedings. Is retirement in the public

interest a disciplinary proceeding within that rule? Disciplinary proceedings are explained in Regulations 37 - 39 of the Civil Service Regulations. Retirement in the public interest does not fall in those regulations. So Regulation 46(1)(a) of the Civil Service Regulations does not bar the act of retiring an officer in the public interest by the President and it has no application to such an act at all.

As shown, the prohibition in Regulation 46(1)(a) of the Civil Service Regulations is the only ground the plaintiff relies in challenging his retirement in the public interest according to his plaint. The regulation having been held to be inapplicable to his case, i.e. to retirements in the public interest, his entire challenge to his retirement collapses. I hold here that the plaintiff has not proved that his retirement in the public interest by the President was wrongful. I find in respect of issue number 1 of the case therefore in the negative too, against the plaintiff. The claims in paragraphs 6-7 of the plaint hinge on this issue and having determined the issue against the plaintiff, those claims fail too.

In the final result, having determined all the issues of the case against the plaintiff, the suit fails and it is dismissed with cost.

RASHID BARANYISA *v.* HUSSEIN ALLY

IN THE HIGH COURT OF TANZANIA
AT TABORA
(Mwita, J.)

CIVIL APPEAL No. 40 OF 1998

(Appeal from the decision of judgment of Kigoma District Court)

Land Law – Right of occupancy granted over land held under customary law – Whether the right of occupancy extinguishes the title held under customary law.

Land Law – Land held under customary law in an area declared a planning area – Whether holder of land under customary law is automatically rendered a squatter after declaration.

Land Law – Revocation of offer – Offer for granted right of occupancy issued – Whether it can be revoked.

Land Law – Revocation of offer – Proper procedure for revocation.

Appellant instituted the suit at Kigoma District Court seeking to have respondent evicted from plot number 2 Block B Maheme Trading Centre, Kigoma District. Before this area was designated a trading centre and surveyed the respondent held land in that area under a deemed right of occupancy. In 1989, the land in Mahembe was surveyed. In August 1989, the appellant applied to the District land allocation authorities for the disputed land, indicating that the land was his. The Allocation Authority accepted the application and the appellant paid fees in part. Later on, he was issued with a letter of offer. But all this transpired before the District Land Allocation Authorities had visited the area to verify his claim. On the land authorities visiting the disputed area it was discovered that the plot was the respondent's; Land Officer then withdrew the offer to the appellant and issued the letter of offer to the respondent. The appellant sued the respondent in District Court where the suit was dismissed. On Appeal, counsel for the appellant argued that there was double allocation of the plot and that revocation of the letter of offer to the appellant was unlawful as he was not given notice to show cause nor shown cause why the offer was revoked.

Held: (i) The mere act of designating the area a trading centre and surveying it did not have the effect of extinguishing the deemed right of occupancy of the respondent over the land and reducing him into a squatter.

(ii) The purported allocation of the plot to the appellant was ineffectual.

(iii) Withdrawal of the letter of offer issued to the appellant was proper.

Appeal dismissed

Cases referred to:

(1) *Mtoro Bin Mwamba v. Attorney General* [1953] 2 T.L.R. 327

(2) *Methusela Paul Nyagaswa v. Christopher Mbote Nyirabu* [1985] T.L.R. 103

(3) *Mwalimu Omary and another v. Omari A. Bilali* [1997] T.L.R. 9

(4) *Attorney General v. Lohay Akonaay and another* [1995] T.L.R. 80

(5) *Patman Garments Industries Ltd v. Tanzania Manufacturers Ltd* [1981] T.L.R. 303

(6) *Suzana Kakubukubu and Two Others v. W.J. Kasubi and another* [1988] T.L.R. 119

Statutory provisions referred to:

(1) Land Ordinance Chapter 13, sections 2, 6 and 10

(2) The Constitution, article 24

Mr Boaz, for the Appellant

JUDGMENT

(Dated 25 April 2000)

Kyando, J.: In 1997 Rashid Baranyisa instituted a suit at Kigoma District Court seeking to have Hussein Ally evicted from plot number 2 Block B Mahembe Trading Centre, Kigoma District. The suit was dismissed. Dissatisfied by the District Court's decision, Rashid Baranyisa (appellant) has appealed to this court.

At the hearing of this appeal the appellant was represented by Mr Boaz, learned advocate. The respondent, though duly served, did not appear nor was he represented by counsel. The appeal was accordingly heard *ex-parte.*

Briefly stated, the facts are as follows: At the center of the controversy between the parties is ownership of a parcel of land known as plot number 2 Block B Mahembe Trading Centre, Kigoma District. There is evidence on record to the effect that before the area was designated a trading centre and surveyed, land at Mahembe was being held under customary law; that is deemed rights of occupancy. On 7 March 86 the respondent bought the disputed parcel of land from one Wilson

Tungiye for TZS. 6 000. It appears that by 1989 land at Mahembe had been surveyed and residents were advised to apply for granted right of occupancy. On 10 August 1989, the appellant applied to the District land allocation authorities for the disputed land. He indicated that the disputed land was his property. He was issued with letter of offer no AR/KGV/2421/1/E.M. dated 10 August 1989. He was required to pay fees amounting to TZS. 254-50. On 24 August 1989 he made part payment amounting to TZS. 105-75. The appellant was issued with the letter of offer before the land authorities had visited the area to verify his claim. On the land authorities visiting the disputed parcel of land it transpired that the plot was the respondent's property and that the respondent had built a structure on it. On realizing the mistake the land officer by letter number AR/KGV/2421/2/EM dated 26 October 1989 withdrew letter of offer dated 10 August 89. The respondent was issued with letter of offer number AR/KGV/2421 April EM dated 26 January 1990 in respect of the disputed parcel of land.

Mr Boaz argued strongly that this was a case of double allocation. In his submission the purported revocation of the appellant's letter of offer dated 10 August 9 was unlawful and inoperative because the appellant was not given notice to show cause why the right of occupancy granted to him should be revoked and no good cause was shown for revocation. In support of his contention Mr Boaz referred this court to the provisions of section 10 of the Land Ordinance, Chapter 113 and the case of *Partman Garments Industries Ltd v. Tanzania Manufacturers Ltd* (5).

Before considering Mr Boaz's arguments, there is one important issue which should be addressed first. It is not in dispute that immediately before the survey of the area and purported allocation of the disputed parcel of land to the appellant, the said parcel of land was being held by the respondent under customary tenure. It was then a deemed right of occupancy in terms of section 2 of the Land Ordinance. The issue is whether the act of designating the area where such land was situated a trading centre and the land being surveyed with a view

to the granted rights of occupancy over such land had the effect of extinguishing the then deemed rights of occupancy rendering the former owners thereof squatters.

In *Suzana Kakubukubu and Two Others v. W.J. Kasubi and another* (6) it was held that the payment of compensation in respect of unexhausted improvements to a holder of a deemed right of occupancy extinguishes that right.

Section 2 of the Land Ordinance Chapter 113 defines a right of occupancy as follows:

> "Right of occupancy" means a title to the use and occupation of land and includes the title of the native or of a native community lawfully using or occupying land in accordance with native law and custom.

Section 2 of the Land Ordinance as amended by Act Number 28 of 1970 defines the word "native" as meaning any person who is citizen of the United Republic and who is not of a European or Asiatic origin or descent. It is clear, therefore, that customary or deemed rights of occupancy are recognized by the law of this country.

In *Attorney General v. Lohay Akonaay and Joseph Lohay* (4) the Court of Appeal said:

> We have been led to the conclusion that customary or deemed rights in land though by their nature are nothing but rights to occupy and use the land, are nevertheless real property protected by the provisions of article 24 of the Constitution. It follows therefore that deprivation of a customary or deemed right of occupancy without fair compensation is prohibited by the Constitution.

In *Mwalimu Omari and Ahmed Baguo v. Omari A. Bilali* (3) the status of a deemed right of occupancy as compared with a right of occupancy granted under section 6 of the Land Ordinance was made quite clear. In that case the Court of Appeal quoted with approval an extract from Mustafa, J.A.'s judgment in *Methuselah Paul Nyagwaswa v. Christopher Mbote Nyirabu* (2) at page 108 as follows:

> In my view the law in Tanzania on land and tenure is still developing and certain areas are unclear and would have to await the necessary legislation. At any rate I am not prepared on the rather inconclusive and tenuous arguments adduced in this appeal, to hold that the right of a holder of a right of occupancy by virtue of customary law is extinguished and he thereby becomes a squatter on an area being declared a planning area.

The Court of Appeal went on to say:

> ... a holder of right of occupancy under customary law cannot under any circumstances be reduced to a squatter. What is a squatter? By the ordinary dictionary meaning, squatter is a person who settles on new, especially public land, without title, a person who takes un authorized possession of unoccupied premises. Since the title of a holder of a right of occupancy under customary law is recognized by the law of the land, i.e. the Land Ordinance, such a holder does not fit in the above definition of a squatter, his title being protected by statute. Such a title can only be taken away from the holder by an act authorized by a relevant law i.e. the Land Acquisition Act but certainly not by a simple act of declaring an area a planning area.

The Court of Appeal after quoting with approval, Makame, J.A., minority judgment in *Nyagwaswa's* case (2) *said:*

> We therefore think with respect that the provisions of the Land Ordinance as they are and the forceful exhaustive arguments advanced, were sufficient to enable the court to hold that the right of a holder of a right of occupancy under customary law, cannot be extinguished and turn such a holder into a 'squatter' upon the area being declared a planning area.

The Court of Appeal said further:

> We are now in a position to revert to the point of law framed by the High Court and to the grounds of appeal. The point of law as framed by Maina J. when granting leave to appeal was whether holder of land under customary law in planned area have an inferior title to those who are subsequently allocated. We wish to say with respect that no one can hold land under customary law in planned area. The statement is therefore legally incorrect. We say this in full awareness that *Mtoro Bin Mwamba* (1) is not a direct

authority for the proposition that customary law does not apply to urban areas, the main issue in that case being the right of a holder under customary law to register his title under the Land Ordinance. The question of application of customary law in urban areas of the right of holders of land under customary law in planned or urban areas was not directly answered in *Nyagwaswa* (2). But we want to say now that customary law cannot apply in urban area for the very good reason that a deemed right of occupancy is not compulsorily registrable whereas in urban areas all titles to land must be registered. This is necessary for the smooth urban planning. Therefore if the learned judge was referring to the legal status of those holding land under customary law after the area is declared a planning area in relation to those who are subsequently granted the same land, the answer as we have already stated is that a deemed right of occupancy is equal to the granted right of occupancy under the Land Ordinance hence none takes precedence over the other. Therefore all that the holders of a deemed right of occupancy need do is to convert these into granted right of occupancy by having their holdings surveyed and title deeds issued to them.

The above authorities make it quite clear that the deemed right of occupancy is recognized by the laws of this county and is property protected by article 24 of the Constitution. The right of a holder of a right of occupancy under customary law cannot be extinguished and the holder thereof turned into a squatter upon the area where the said land is situated being declared a planning area. A deemed right of occupancy is equal to a granted right of occupancy and none takes precedence over the other. Nevertheless no person can hold land under customary law in a planned area. All that holders of deemed right of occupancy need do, when the area where their deemed right of occupancy are situated are declared a planning area, is to convert their rights into granted right of occupancy by having their holdings surveyed and title deeds issued to them.

It follows, therefore, that the mere act of designating Mahembe area a trading centre and having the land situated there surveyed with a view to offering granted rights of occupancy did not have the effect of extinguishing the deemed right of occupancy situated there and

reducing the holders thereof into squatters. All that they had to do was to apply for granted rights of occupancy in respect of their holdings. The purported allocation of plot no 2 Block B Mahembe Trading Centre to the appellant was ineffectual. The plot was not available for allocation to any other person but to the holder of a deemed right occupancy over the area. In fact the allocation was done by mistake, a mistake induced by the appellant's misrepresentation. Having represented himself as the owner of the disputed parcel of land, the Land Officer issued the appellant with the letter of offer believing him to be the holder of a deemed right of occupancy who was applying to convert his right to a granted right of occupancy. It transpired that he had no deemed right of occupancy to convert into a granted right of occupancy. Withdrawal of letter of offer dated 10 August 1989 was a proper action to take. As the allocation was ineffectual, there was no need to require the appellant to show cause why the letter of offer should not be withdrawn. The subsequent allocation of the plot to the respondent did not constitute double allocation as the respondent merely converted his deemed right of occupancy to a granted right of occupancy.

The appeal is accordingly dismissed. As the respondent did not appear at the hearing of this appeal there will be no order as to costs

BETTY KASSIRI *v.* EASTERN AND SOUTHERN AFRICAN MANAGEMENT INSTITUTE (ESAMI)

HIGH COURT OF TANZANIA AT ARUSHA

(Rutakangwa, J.)

CIVIL CASE No. 15 OF 1997

Civil Practice and Procedure – Immunity from legal proceedings, how conferred – Waiver of immunity, express and implied – Waiver ex post facto - Preliminary Objections and their efficacy – Judicial

Notice – Ouster of statutory provisions by case law – Procedure of raising Constitutional questions – The Vienna Convention.

The plaintiff, an erstwhile employee of the defendant, sued the defendant for libel in which she was claiming general damages not exceeding TZS. 50 million.The defendant, who had entered an appearance and filed a defence, raised a Preliminary Objection to the effect that the suit against the defendant was not legally maintainable because the defendant was enjoying diplomatic immunity from legal process by virtue of the Agreement establishing it, to which Tanzania was a party, and also by virtue of subsequent legislation passed by the Tanzania Parliament, as alluded to in the written statement of the defendant. It was submitted by learned counsel for the plaintiff that the Preliminary Objection had no leg to stand on and that the case should proceed to trial because the Preliminary Objection had not been expressly and specifically raised in the pleadings.

Held: (i) The preliminary point raised by the defendant is a point of law. A point of law, like this one, touching on the lack of jurisdiction by the court, which may have the effect of disposing of the suit or proceedings without involving a trial or full hearing, if successfully argued, should be raised as soon as it becomes apparent either from the pleadings or from statutory (be it parent or subsidiary) law which, if upheld, might dispose of the case.

(ii) The issue of immunity was apparent from Annexture PK1 of the Written Statement of Defence. Why should the parties be put to the costly expenses of a trial when the matter can be disposed of more cheaply and speedily when it is clear that the proceedings will be dismissed or struck out as being barred by any law? Neither reason nor rhyme will ever countenance such a course of action. In the instant case, the point raised by the defendant was an unmistakable point of law which, if upheld, could dispose of the case.

(iii) The submission by learned counsel for the plaintiff that diplomatic immunity must be specifically and expressly pleaded by a party is misconceived. Immunity from legal process was conferred on the defendant by Act Number 5 of 1986, Act Number 3 of 1987 and G.N. Number 85 of 1988. The Acts and subsidiary legislation speak for themselves.

(iv) The learned counsel for the plaintiff had relied on **Dicey's Conflict of Laws** and an 1870 English Court decision on waiver of diplomatic immunity. These authorities could have been fairly resulted to if there had been a vacuum in our laws. Those authorities cannot be relied on to oust specific provisions of a statute, as was the case in point in the case before the court; and the language of the statute is impeccably clear: the defendant Institute had been granted unfettered immunity. Since the expression used in the law is "**expressly waived**", it goes without saying that an **implicit waiver**, even by the Director of the defendant, is not acceptable. To hold otherwise would be tantamount to rendering this legal provision otiose and that is not the function of the court. If the Member States and our Parliament had wanted such waiver to be implicit, they could have so provided. In this case there has been no waiver.

(v) If the Institute was abusing this privilege, as gallantly argued by learned counsel for the plaintiff, that was an issue of policy which could best be tackled and resolved by the executive and legislative branches of the Member States.

(vi) It is clear that proceedings brought against somebody, certainly civil proceedings, who is entitled to diplomatic immunity, are in fact proceedings without jurisdiction and null and void, unless and until there is a valid waiver which, as it were, would bring proceedings to life and give jurisdiction to the court.

(vii) A valid waiver of immunity from a suit and/or legal process is one which is obtained before the institution of the suit. Such a waiver cannot be obtained *ex post facto*. Immunity does not depend on whether a claim for it is put forward or not. It is there unless expressly waived.

(viii) If during Dicey's time, the law and practice tolerated implied waiver of diplomatic immunity, all that has now been put to rest by the Vienna Convention, which has now been ratified by over 150 states (including Tanzania) and in this case by the Agreement establishing the Institute and enabling Acts and Order referred to earlier. In short, there has been no valid and/or effective waiver of the immunity from suit enjoyed by the Institute by virtue of the unambiguous provisions of the law.

(ix) As regards the submissions by the plaintiff's learned counsel that paragraph 2 of the Schedule to Act Number 3 of 1987 is unConstitutional as being in contravention of article 13(3) and (6) of the Constitution, all that could be said here was that the court was not clothed with jurisdiction even to give a disguised comment on the complaint. This was because this is not an appropriate forum to determine the Constitutionality or otherwise of this piece of legislation or any of its provisions. If learned counsel thought that it was so, then he could petition the court accordingly. The proper procedure is clearly spelt out in the Basic Rights and Duties Act 1984.

Preliminary Objection upheld and suit struck out

Cases referred to:

(1) *Mukisa Biscuit Manufacturing Company Ltd v. West End Distributors Ltd.* [1969] EA 697

(2) *Regina v. Madan* [1961] 2 QB 1

(3) *Schibsby v. Westernholz* [1870] 6 QB 155

Statutory provisions referred to:

(1) The Constitution, articles 13(3) and (6)

(2) Act Number 5 of 1986, section 13(1)

(3) Civil Procedure Code 1966, section 18(b)

(4) Evidence Act 1967, sections 58 and 59(1)(a)

(5) Diplomatic and Consular Immunities Act 1986, section 13(1)(a)

Mr Mahatane, for the Plaintiff

Mr P Shayo, for the Defendant

RULING

(Delivered 2 May 2000)

Rutakangwa, J.: The plaintiff, Betty Kassiri was an employee of the Eastern and Southern Africa Management Institute (or ESAMI), the defendant herein. She is now no longer working with the defendant. In the instant suit she is suing her erstwhile employer for libel. She is claiming to be paid general damages, not exceeding TZS. 50 000 000. The defendant has resisted the claim.

The suit was scheduled for trial on 22 November 1999. Before the trial commenced, Mr Shayo, learned counsel for the defendant, raised a Preliminary Objection on a point of law. The objection concerns the maintainability of this suit against the defendant which he says enjoys immunity from being sued. This objection was argued by filling of written submissions. The submission of Mr Shayo and Mr Mahatane learned counsel for the plaintiff, form part of the court record. This ruling is in respect of the said Preliminary Objection.

The thrust of the defendant's Preliminary Objection is that this suit against it is not legally maintainable because it is enjoying immunity from legal process. This stance of the defendant is predicated on the Agreement establishing the said ESAMI or the Institute. The said Agreement was entered into on 28 February 1980. Tanzania is a party or signatory to this Agreement. Indeed the Institute's headquarters are based in Arusha, Tanzania.

In article XVIII of the said Agreement provided as follows, in paragraphs 1, 2 and 3:

1. To enable it to achieve its objectives and perform the functions entrusted to it, the Institute shall possess in the territory of each member state an independent juridical personality. To this end, the status, capacity, privileges, immunities and exemptions as set forth in paragraphs 2 to 12 of this article shall be accorded to the Institute in the territory of each member state.

2. The Institute shall for the purposes of this Agreement have the capacity:

(a) to enter into contract;

(b) to sue and be sued;

(c) to acquire and dispose of movable and immovable property;

(d) subject to the provisions of this Agreement, have power to borrow such sums of money as it may require for its purposes.

3. The Institute, its property and assets shall enjoy immunity from every form of legal process, except in so far as in any particular case it has, through the Director of the Institute, expressly waived its immunity.

Provided, however, that no waiver of immunity shall extend to any measure of execution.

In order to fulfil its obligations under this Agreement, the United Republic of Tanzania, had to pass a specific legislation "for giving effect to certain provisions contained" therein. This is the Southern African Management Institute Act 1987 (or the Act).

The Act gave the Institute a legal personality capable of suing and being sued. In section 7, the Act specifically provides that:

> The provisions of the Agreement set out in the schedule to this Act shall have the force of law in the United Republic.

The provisions of article XVIII as above reproduced have been given the force of law in Tanzania by the Act. It is also provided in section 13(1)(a) of the Diplomatic and Consular Immunities Act 1986 (Act Number 5) as follows:

13(1) The Minister may by order published in the Gazette-

(a) provide that any organisation specified in the Third Schedule (hereinafter referred to as the Organisation) shall to such extent as may be so specified in the order, have the immunities and privileges set out in Part 1 of the Fourth Schedule, and shall also have the legal capacities of a body corporate.

The Institute appears in the said Third Schedule to Act Number 5 of 1986 and is listed as number 9. By virtue of this inclusion, among the immunities and privileges enjoyed by the Institute under the said Third Schedule is immunity from being sued and other legal process. Indeed the Minister for Foreign Affairs did provide that the Organisations specified in the Third Schedule to Act Number 5 of 1986 shall have all immunities and privileges set out in Part 1 of the Fourth Schedule to Act Number 5 of 1986: vide G.N. Number 85 published on 18 March 1988; i.e. "The Diplomatic and Consular Immunities and Privileges (Designation) (International Organizations) Order, 1986. Needless to over-stress here is the naked fact that the Institute has not through its Director, expressly waived its immunity in this particular case to be sued. It is now a glaring fact (see Annexture 1 to Mr Mahatane's written submission) that the plaintiff had, prior to instituting this suit, unsuccessfully petitioned the State House and Ministry for Foreign Affairs, to have the said Immunity from legal process granted to Esami/the Institute waived so as to sue it. She was told that the Foreign Ministry had no such power.

In view of these facts and the stance of the law, Mr Shayo has raised this question in his submission. Can the Institute/ESAMI be sued in a court of law without first obtaining a waiver of its immunity through its Director General? The learned counsel, basing on the same facts and law, has provided a negative reply to the question. He is accordingly maintaining that this suit is incompetently before this court and is praying for its dismissal with costs.

For his part, Mr Mahatane has prayed for the dismissal of the Preliminary Objection and the suit to proceed to trial on its merits.

Whence this courage in view of the above facts and state of the law? To him the Preliminary Objection has no leg to stand on because it does not arise from the pleadings available. According to the learned counsel, "it is a matter of principle and established procedure that a Preliminary Objection ... can be taken up by a party to a civil suit pending in a court of law only if that particular point is raised or is brought up in the pleadings in that case". He has referred me to no single authority, be it binding or persuasive, to prop up this proposition. In response to this attack, Mr Shayo is contending that:

> ... the preliminary point which the defendant Institute has taken, is a point of law. It is a point of law like the plea of limitation which can be taken at any time during the proceedings, or even at the submission stage. The court could of its own motion raise it, and would be quite legitimate for this point to be cleared before the merits of the case are considered. It can be taken up even if it is not pleaded.

I fully concur with the contention of Mr Shayo. That is the reigning practice. A point of law, like this one touching on the lack of jurisdiction by the court, which may have the effect of disposing of the suit or proceedings without involving a trial or full hearing, if successfully argued, should be raised as soon as it becomes apparent either from the pleadings or from a statutory law or subsidiary legislation; it is much better if it is raised and argued before the trial commences. It was also thus held in *Mukisa Biscuit Manufacturing Company Ltd v. West End Distributors Ltd* (1):

> a Preliminary Objection consists of a point of law which has been pleaded or which arises by clear implication out of the pleadings and which if argued may dispose of the suit.

Indeed, the issue of immunity is apparent from Annexture PK1 to the Written Statement of Defence. Why should the parties be put to the costly expenses of a trial (when the matter can be earlier disposed off more cheaply and speedily) when it is clear that the proceeding will be dismissed or struck out as being barred by law? Neither reason

nor rhyme will ever countenance such a course of action. In the instant case, the point raised by the defendant is an unmiskable point of law which if upheld may dispose of the suit at this stage. The issue of lack of jurisdiction has been properly and fairly raised.

Mr Mahatane has resisted the Preliminary Objection from another front. He is contending that, the defence of "*diplomatic immunity* like the plea or defence of estoppel or *res judicata* must be specifically and expressly pleaded by a party" relying on it. He is further contending that such immunity is subject to proof by admissible evidence. The learned counsel is inviting this court not to take judicial notice of this plea of diplomatic immunity for "they are not matter of facts of notoriety." Attractive as this argument may appear to be, I think it cannot help the plaintiff in this particular case. Indeed, it is misconceived. Immunity from legal process and/or suit was conferred upon the defendant Institute by Act Numbers 5 of 1986 and 3 of 1987, and G.N. Number 85 of 1988. As learned counsel is well aware, no evidence is needed to prove this. The Act and the subsidiary legislation speak for themselves. By virtue of sections 58 and 59(1)(a) of the Evidence Act 1967, this court is bound to take judicial notice of the same, that they exist and confer the said immunity on the Institute.

Mr Mahatane has also submitted that the Institute should be taken to have waived this immunity *impliedly* by submitting to the jurisdiction of this court, by making unconditional appearances filing a defence and/or submissions, etc. He has also relied on section 18 of the Civil Procedure Code 1966. The learned counsel has relied on Dicey's **Conflict of Laws** and an 1870 English Court decision on waiver of diplomatic immunity. As rightly pointed out by Mr Shayo, these authorities cannot be relied on to "oust specific provision of a statute which is the case in point" here. To me these authorities could fairly only be resorted to if we had a vacuum in our laws. There is no such lacuna. One has to look at the relevant laws. The language used therein is impeccably clear. The defendant Institute has been granted unfettered immunity from legal process unless and until has, through its Director,

expressly waived its immunity. The word used here is "*expressly waived*". It goes without saying therefore that an *implicit waiver* even by the Director is unacceptable. To hold otherwise would be tantamount to rendering this legal provision otiose and that is not the function of this court. If the Member States and our Parliament had wanted such waiver to be implicit, they could have so provided. As already pointed out in this particular case there has been no such waiver of the Institute's Immunity. If the Institute is abusing this privilege as gallantly argued by Mr Mahatane that is an issue of policy which can best be tackled and resolved by the executive and legislative branches of the Member States.

If I may be allowed to advance this argument a bit further, I am confident in stating that contemporary jurisprudence on the issue does not support Mr Mahatane. While it may be said that his arguments are true in relation to *state immunity*, the same, at present, is not the case in relation to *diplomatic immunity* as he is alleging. In the case of *Regina v. Madan* (2) Lord Parker, C.J. had this to say in relation to English law on the issue:

> Certain things are, we think clear. In the first place, it is not for someone who is entitled to diplomatic immunity to claim it in the courts. It is unnecessary to refer to the authorities, but we think it is clear that proceedings brought against somebody, certainly civil proceedings brought against somebody entitled to diplomatic immunity, are in fact proceedings without jurisdiction and null and void, unless and until there is a valid waiver which, as it were, would bring proceedings to life and give jurisdiction to the court ... at page 7.

In my considered opinion, a valid waiver of immunity from suit and/or legal process is one which is obtained before the institution of the suit. Such a waiver cannot be obtained *ex post facto*. It was also correctly stated in *Madan's* case that immunity does not depend on whether a claim for it is put forward or not. It is there until expressly waived. Professor Ian Brownlie is an eminent Public International Law scholar and writer. He has contributed a lot to the development

of this branch of law. In his treatise, **Principles of Public International Law,** (4 ed) (1990), he has this to say in relation to waiver of diplomatic immunity:

> Previous practice had been to some extent tolerant of implied waiver based on conduct but article 32, paragraph 2, states that "waiver must always be express" (at page 358).

The learned author here, has in mind article 32 of the Vienna Convention on Diplomatic Relations (1961), which has been in force since 24 April 1964. If during Dicey's time and when *Schibsby v. Westenholz* (3) was decided (see (1840) 6 QB 155, 161), the law and practice tolerated implied waiver of diplomatic immunity, all that has now been put to rest by the Vienna Convention, which has now been ratified by over 150 states (including Tanzania) and in our particular case by the Agreement establishing the Institute and the earlier cited enabling Acts and Order. In short, there has been no valid and/or effective waiver of the immunity from suit enjoyed by the Institute by virtue of the unambiguous provisions of the law.

Mr. Mahatane has also cited section 18 (b) of the Civil Procedure Code 1966 to bolster his "principle of submission or acquiescence". With respect, I have been unable to find the relevance of this section to the issue under discussion. The section deals with places where suits may be instituted only. The principle of submission or acquiescence, relied upon by Mr. Mahatane here is applicable under this section when a suit is instituted in a court otherwise competent to try it, which is outside the local jurisdiction of the Defendant contrary to the provisions of section 18 and the Defendant submits himself to that court's jurisdiction.

Mr Mahatane has also raised the issue of the Constitutionality of paragraph 2 of the schedule to Act Number 3 of 1987. He is claiming that the proviso thereto is in contravention of article 13(3) and (6) of the 1977 Constitution. He is contending that it is therefore unConstitutional and should be struck out. All that I can say here out of courtesy, is that I am not clothed with jurisdiction ever to give a

disguised comment on this complaint. This is because this is not the appropriate forum to determine the Constitutionality or not of this piece of legislation or any of its provisions. If he thinks that it is so, then he must petition this court accordingly. The proper procedure is clearly spelt out in the Basic Rights and Duties Enforcement Act 1994 (Number 33).

In his submission, learned counsel Mr Mahatene had the unexpected audacity to label the Institute "an impositor" which "has got no immunity upon it at all". He predicated this startling accusation on his belief that it is not a Gazetted Organisation as required by the provisions of section 13(1) of Act Number 5 of 1986. Had he been industrious enough he would have found the answer to his predicament in G.N. Number 85 of 18 March 1988 already cited in this ruling. It is plainly provided therein for every one to see that the Institute enjoys "all the immunities and privileges set out in Part 1 of the Fourth Schedule" to Act Number 5 of 1986.

In the light of the above, I uphold the Preliminary Objection raised by the defendant. The defendant Institute enjoys full immunity from suit and other legal process. In the absence of explicit waive by its Director, I am enjoined by law to hold and rule that this court has no jurisdiction to entertain this suit *against it.* I accordingly strike it out with costs to the defendant.

RAYA SAID MTHANA *v.* REGISTERED TRUSTEES OF BARAZA KUU LA WAISLAM TANZANIA (BAKWATA)

IN THE HIGH COURT OF TANZANIA AT MTWARA

(Kaji, J.)

CIVIL APPEAL No. 7 OF 1996

(An Appeal from Civil Cause No. 20 of 1994, the decision of Lindi Resident Magistrate Court dated 2 May 2000)

Islamic Law – Wakf – Founder of the Mosque – Whether the founder of the Mosque can dedicate the Mosque.

Islamic Law – Wakf – Whether the founder of a Mosque is the owner.

Societies Act – Registration of Civil Societies – Bakwata – Registered as Civil society – Whether its Constitution is enforceable.

The appellant was the daughter of the founder of Mosque in Lindi Town one Said Mthana Bin Jabir Ibn Saady, situated on plot number 1 Block F. The founder left Wakf dedicating 67 coconut trees which were along the same plot where the mosque is, to his children and grand children. Between 1988 and 1994 Bakwata took over the management and supervision of the said Mosque, on behalf of the Muslims. Bakwata argued that article 10(3) of its Constitution gives it power to do so. The appellant opposed the take over of the Management and supervision of the Mosque, on the ground that the management and supervision were dedicated to the family of the founder of the Mosque through the Wakf. The matter went through the District Commissioner, Regional Commissioner, and the Minister of Home Affairs in vain. The appellant then filed a suit in the Court of the Resident Magistrate at Lindi where she lost, hence this appeal.

Held: (i) The founder of the Mosque did not dedicate the Mosque in the Wakf; what he dedicated in the Wakf were only 67 coconut trees.

(ii) Article 10(3) of the Constitution of the respondent must be given a strict (limited) interpretation to the extent that it gives power to the respondent to manage

and supervise Mosques that the respondent had constructed and those mosques which had been surrendered voluntarily to it by the founders for management and supervision.

(iii) The respondent had no automatic right to take over the management of the mosque in dispute.

(iv) In the circumstances of this case the respondent had better title to possess and manage the mosque than the appellant for the interest of peace and tranquility.

Appeal dismissed

JUDGMENT

(Delivered 5 May 2000)

Kaji, J.: There is a mosque in Lindi Town situated on plot number 1 Block F. It was founded before 1920 by the late Said Mthana Bin Jabir Bin Saady for prayers by Moslims of Sunni or Shafi sect. It is the management and possession of this mosque which is in dispute in this appeal.

It is in the record that before the year 1920, the late Saidi Mthana Bin Jabir Bin Saady erected that mosque on that plot for prayers by Moslems of Sunni or Shafi sect. In the year which would appear to be 1918, that is, the Islamic year of 1338 (according to Exhibits PE1 and PE2) the late Said Mthana wrote a Wakf (Exhibits PE1 and PE2) which would appear to have been understood to mean that he dedicated his 67 coconut trees to the use of that mosque, but he reserved in himself, his friend Abdallah Bin Umar Khamis Al Qassary and their children and descendants the right/power to manage the said mosque. Thus he managed that mosque till his death in 1920.

After his death in 1920 his friend Abdallah Bin Umar took over the management till his death around 1924. Thereafter the management and administration of Said Mthana's estate was taken over by the Administrator General as per Administrator General's Cause Number 41 of 1924.

In 1935 or thereabout, the young brother of Abdallah in the name of Abderehman Umar was appointed the guardian of the appellant Raya Bint Saidi Mthana and 2 others who were by then minors as per Probate and Administration Cause Number 16 of 1935 of the then His Majesty's High Court of Tanganyika at Dar es Salaam. The said Abderhman Umar took over the management of the said mosque as trustee of the said minors. Thereafter the management of the said mosque devolved around those two families until the "birth" of the respondent Bakwata around 1988 or 1993.

Between 1988 and 1994, Bakwata took over the management and supervision of that mosque. By then there was chaos in that mosque. A sect calling itself Answar Sunna had emerged and was threatening to take over the management of that mosque from the Sunni or Shafi.

Raya opposed the take over of the management of that mosque by Bakwata. The matter went through the District Commissioner's and Regional Commissioner's offices and later to the then Minister of Home Affairs, Mr Mrema. It would appear there was no compromise. Raya finally took the matter to Lindi Resident Magistrate's Court where she lost. Hence this appeal.

Before both courts the crucial issue has always been as to what is the meaning of the Wakf, (Exhibits PE1 and PE2,) that is, whether it concerned both the mosque and the 67 coconut trees. And if so whether the late Said Mthana Bin Jabir Bin Saady dedicated the management of the mosque to devolve to his descendants and those of Abdallah Bin Umar Khamis Al Qassary. Also the legality of the respondent Bakwata in taking over the management and supervision of the said mosque.

The said Wakf was written in Arabic (Exhibit PE1). But it was later translated into Swahili by the National Kiswahili Council. This was in 1995 (Exhibit PE2). The crucial words are as follows:

> Mimi Said Bin Muthana Bin Jabir Assaidy nimeweka Wakfu kwa ajili ya kutaraji thawabu kwa Allah ikiwa ni sadaka, miti ya minazi 67 ili kuendeshea msikiti huu unaoitwa "MASJID NUR." Minazi hii na (msikiti) ipo Lindi

katikati ya mji, katika sehemu ya Mkwajuni. Na miti hiyo iliyotajwa iko karibu na huo msikiti na imeelekea katika upande wa kusini. Na kila mti wa mnazi umewekewa alama yenye namba 256. .. Haiuzwi kwa ye yote wala kutolewa zawadi wala hairithiwi na mtu ye yote mpaka kiyama ...

Mwangalizi wa shughuli hizi ni mimi mwenyewe na Abdallah Bin Umar Khamis Al Qassary, kisha watoto wetu, kisha watoto wa watoto wao kadiri koo hizi hizi zitakavyokuwa zimeendelea mpaka siku ya kiyama. Na mimi nimeandika haya nikiwa katika hali ya siha nzuri na akili timamu. Nilivyovitoa wakfu vikiwa ni mali yangu ... "

Unofficial English translation:

I Saidi Bin Muthana Bin Jabir Assaidy have dedicated my 67 coconut trees to the Almighty God for his blessings. Those coconut trees will be for the use of a mosque called "MASJID NUR". These coconut trees and (the mosque) are at the centre of Lindi Town at Mkwajuni. Those coconut trees are near that mosque and lined up south ward. Each coconut tree is marked number ... 256.

Those coconut trees are not to be sold to anybody or be given as a gift to anybody or to be inherited by anybody till the end of the world...

The supervisor of all these activities is myself and Abdallah Bin Umar Khamis Al Qassary, later our children, later the children of our children and descendants till the end of world. I have written all these while in good health and with sound mind. What I have dedicated (Wakf) are my properties.

According to the appellant, the true meaning of that Wakf is that the late Said Mthana dedicated the mosque and the 67 coconut trees. But he reserved himself, Abdallah, their children and descendants the right/power to manage the said mosque. But according to the respondent, the true meaning of that Wakf is that, the late Said Mthana dedicated only the 67 coconut trees and reserved himself etc the power to manage the said 67 coconut trees. The respondent went on to argue that the late Said Mthana could not rightly dedicate the mosque because once a mosque is built it becomes automatically the property of the Almighty God for the use of all Moslems to

offer prayers therein without any distinction of sect. In that sense a mosque being the property of the Almighty God is automatically a Wakf of a founder and the founder does not necessarily have to write any Wakf to that effect. Further that the Wakf itself (Exhibits PE1 and PE2) did not mention anywhere that the management of that mosque would devolve around himself, his friend Abdallah, their children and descendants. According to the respondent the activities mentioned in that Wakf were limited to the management and supervision of the 67 coconut trees to make sure that their proceeds were really used for the purpose which was intended, that is, for the use of the mosque.

In his well reasoned judgement, the learned trial Resident Magistrate concurred with the respondent. Raya was aggrieved.

I have carefully considered the arguments of learned advocates for both parties, the learned trial magistrate's reasoning together with the overall circumstances surrounding this case. I have also carefully read the Wakf (Exhibits PE1 and PE2). In my view the late Said Mthana did not dedicate the mosque in that Wakf. What he dedicated in that Wakf were only the 67 coconut trees. Had he intended to dedicate the mosque too he would have said so. Maybe he did not do this on the understanding that once a mosque is built it becomes the property of the Almighty God. In that respect a mosque is a Wakf in itself and the founder does not necessarily have to say so.

On whether the late Said Mthana reserved himself etc the right to manage that mosque in that Wakf, I am of the view that he did not do so. The activities upon which the late Said etc reserved the right to manage referred to the management and supervision of the 67 coconut trees which were dedicated in that Wakf. Those activities did not include the management of the mosque in which was not dedicated in that Wakf. Had the late Said Mthana intended the said activities to include management of the mosque he would have said so.

Therefore, if the appellant has any right or power to manage that mosque then that right or power is derived from somewhere else

and not from the Wakf (Exhibits PE1 and PE2). The next question is whether the respondent Bakwata had any legal right to take over the management and supervision of that mosque.

A mosque is a house of the Almighty God. It is the property of God. But we do not see the Almighty God dealing with the day-to-day activities in a mosque. Instead we see different people doing this on his behalf. There are the Imams who lead prayers, mosque committees which deal with day to day activities or the Mutawalis. Thus on the face of it, it would appear the right of management and supervision devolving around the founder and his family is just a matter of prestige and respect. It is a kind of reciprocity by the worshippers to the founder and his family and descendants. It is a kind of psychological satisfaction by the founder and his family and descendants that worshippers are appreciating the good work done by the founder, and are duty bound to respect him and his family and descendants. All these are worldly considerations. They are worldly materials or benefits. The kind of reward the founder and his family and descendants deserve after death is left in the hands of the mosque owner to decide, that is, the Almighty God. I am not sure whether there is any wealth or monetary consideration. Thus, on the face of it, one would be tempted to assume that if the right of management and supervision is taken away from the founder and his family and descendants, there is nothing the founder and his family and descendants will suffer materially, provided the takeover is proper and legal.

In the present case the appellant Raya is complaining that the takeover of the management and supervision of that mosque by the respondent Bakwata was improper and illegal because there was no law empowering Bakwata to do so. In that respect she said that, since she is the eldest surviving child of the founder she has the right of management and possession of that mosque here on earth.

On the other hand the respondent Bakwata is alleging that the takeover of the management and supervision of that mosque by Bakwata was proper and legal for the following reasons:

Firstly, Bakwata is the only recognized Islamic body at Lindi. Secondly, the management and supervision of all Islamic mosques throughout Tanzania is vested in Bakwata by virtue of article 10 of the Bakwata Constitution. The crucial issue therefore is as to whether the Bakwata Constitution is enforceable.

I had an opportunity to peruse the said Bakwata Constitution of 1993 especially article 10. That article says:

> 10. 1. ...
>
> 2. ...
>
> 3. Kufungua, kujenga, kusimamia na/au kusaidia kuendesha misikiti, mali za Wakfu, hospitali za afya, hospitali za dawa, zahanati au majumba mengine ya sadaka kama baraza kuu litakavyoona inafaa.
>
> 4. ...
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> 5. ...
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> 6. ...
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> 7. ...
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> 8. ...
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> 9. ...
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> 10. ...
>
> 11. ...

It is mainly from this article that the respondent Bakwata is claiming to have powers of management and supervision of the mosque in question.

I have carefully considered the arguments of both parties. I must admit that it has been very difficult for me to decide the legality of the Bakwata Constitution from which the respondent is alleging to have derived powers to take over the management and supervision of mosques. That Constitution appears to be a mere document made by Members of Islamic Community to guide their affairs. It does

not appear to be a part of any subsidiary legislation nor does it purport to have been made under the authority of any article of the Constitution of this Country. Bakwata was registered under the Societies Ordinance Chapter 337. Maybe one could argue that by being registered under an Ordinance of this country, then its Constitution was legalized and it (Bakwata) legally assumed the powers contained in that Constitution. If this argument is to be entertained, then article 10(3) of that Constitution must be interpreted very strictly. It must be given a limited interpretation. Its limited interpretation is that it gave powers to Bakwata to manage and supervise mosques which Bakwata had constructed, and those mosques which have been surrendered voluntarily to Bakwata by the founders for management and supervision. It is very unfortunate that the respondent's advocate could not cite any proper provision of law which empowered Bakwata to grab all mosques and manage/supervise them.

There is no dispute that the mosque in dispute was not erected by the respondent Bakwata. There is no evidence that those who were managing that mosque surrendered voluntarily the management to the respondent.

There was ample evidence that before the management was taken over by the respondent it (i.e. management) was devolving around the founder Said Mthana and his friend Abdallah and their families. Of course this was through usage and not through the ambit of the Wakf (Exhibits PE1 and 2) as I have already stated earlier although they thought and believed in good faith that their right to manage that mosque emanated from that Wakf.

Since there was no law authorizing the respondent to take over the management of that mosque by force, the respondent had no automatic right to take over the management of that mosque.

Since both parties had no automatic right to manage the affairs of that mosque, the only crucial issue is as to who between them had a better title to manage the affairs of that mosque. The mosque in question is the house of God. It is supposed to be sacred for

worshippers to pray to the Almighty God. It is not supposed to be a place for quarrels or the like.

In the present case, under normal circumstances the management of that mosque should be placed in the hands of the founder Said Mthana and his friend Abdallah Bin Umar and their families and descendants who had been managing that mosque for many years. But according to the circumstances of this case, doing so would be very dangerous to peace and order in that mosque. There is an uncontroverted evidence that before the respondent took over the management, two rival groups had emerged, that is, the Sunni or Shafi who go to burial places praising the Almighty God loudly, and who prepare food (Hitima) at the mourning. The other group is the Answar Sunna or Kimumuna who go to the burial places praising the Almighty God silently and do not prepare food at the mourning. These groups were at logger-heads and each was fighting for the management of that mosque. This was not a happy situation. It was a very unhappy situation and very dangerous to a peaceful society.

The respondent is a public Islamic body. By taking over the management it acted as a mediator and peace keeper. There is evidence in the record that since the respondent took over the management there is peace and tranquillity in that mosque. Peace and tranquillity are very crucial in any civilized, peace loving society/country such as ours. There is no reason why Lindi should be an exception.

Thus, although under normal circumstances the appellant Raya would have a better title to possess and manage that mosque by virtue of the founder (her father) and his family and friend having managed it for many years, yet under the circumstances of this case the respondent Bakwata has a better title to possess and manage that mosque for the interest of peace and tranquillity. I so hold. Appeal dismissed with costs.

CHIKU HUSSEIN LUGONZO *v.* BRUNNIDS S. PAULO

COURT OF APPEAL OF TANZANIA
AT DAR ES SALAAM
(Ramadhani, Lubuva and Lugakingira, JJ.A.)

CIVIL APPLICATION No. 30 OF 1999

(From the decision of the High Court of Tanzania at Dar es Salaam, Mackanja, J., dated 3 March 1999, in Miscellaneous Civil Application No. 2 of 1998)

Civil Practice and Procedure – Appeal – Appeal from ruling of the High Court – Whether a ruling of the High Court rejecting an application for review can be appealed against – Section 5(1)(c) of the Appellate Jurisdiction Act 1979 and Order XLII, rule 7(1) of the Civil Procedure Code 1966.

Civil Practice and Procedure – Review – Application for Review not accompanied by a copy of the drawn order sought to be reviewed – Whether fatal to the application – Order XL, rule 2, Order XLII, rule , and Order XXXIX, rule 1(1) of the Civil Procedure Code 1966.

This was an application for revision under section 4(3) of the Appellate Jurisdiction Act 1979, seeking revision of an order of the High Court striking out an application for review on the ground that the said application (for review) was not accompanied by a copy of the drawn order sought to be reviewed. It was argued, in this application for revision, that it was improper for the applicant in this case to apply for revision because the way was open for the applicant to seek leave to appeal against the High Court order she sought to be revised.

Held: (i) As the application for review was based on the provisions of Order XLII, rule 7(1) which do not allow appeals, with or without leave, against rejection of an application for review, the applicant had no other option but to apply for revision; therefore the Court of Appeal is properly moved to exercise its revisional jurisdiction.

(ii) There is no provision under the Civil Procedure Code which requires a drawn order to accompany an application for review; Order XLII, rule 3 of the Civil Procedure

Code 1966 only requires the form of preferring appeals to apply, *mutatis mutandis*, to be used in applications for review;

(iii) In this case the *mutatis matandis* rule required only the form of the Memorandum for Review and did not go further to require what was to accompany the memorandum.

Application allowed

Case referred to:

(1) Halais Pro-Chemie Industries Ltd v. Wella A.G. [1996] T.L.R. 269

Statutory provisions referred to:

(1) Appellate Jurisdiction Act 1979, sections 5(1)(c), 4(3)

(2) Civil Procedure Code 1966, Order XLII, rule 7(1), Order XXXIX, rule 1(1), rule 4(2) Order XLII and Order XLII, rule 3

Mr Rutabingwa, for the Applicant

Mr Shayo, for the Respondent

RULING

(Dated 10 May 2000)

Lubuva, J.A.: This is an application for revision filed under section 4(3) of the Appellate Jurisdiction Act 1979 as amended by Act Number 17 of 1993. Under Notice of Motion, the court is moved to exercise its Revisional Jurisdiction upon the following ground:

> The Honourable Judge of the High Court did not properly exercise the jurisdiction vested in him when he heard (*sic*) that the Memorandum of Review was not accompanied by a drawn order and it was only the memorandum filed whereas the application was accompanied by the ruling and the matter was before the same court and the applicant was unrepresented.

The application is supported by an affidavit sworn by the applicant, Chiku Hussein Lugonzo. From the affidavit, the submissions by counsel

for both parties and other documents laid before the court, the background of the matter is brief. The matter arises from High Court Miscellaneous Civil Application Number 2 of 1998. In Kinondoni District Court Civil Appeal Number 68 of 1996, the applicant lost on 6 August 1997, when judgment was delivered against her. Following this decision, she filed in the High Court Miscellaneous Civil Application Number 2 of 1998 seeking extension of time in which to institute appeal out of time against the decision of the District Court. She also sought an order for stay of execution. On 30 April 1998, the High Court judge (Nsekela, J.) in dismissing the application held that the applicant had not given any reason for failure to file the petition of appeal within the prescribed time. The application for stay of execution was not granted. Undaunted, the applicant made another attempt by filing in the High Court an application for review. That is that the applicant was moving the court to exercise its jurisdiction to review its decision of 30 April 1998, dismissing the application for extension of time in which to appeal and for stay order. Following the application for review being struck out on 3 March 1999, this application has been filed.

In striking out the application for review the learned judge (Mackanja, J) held that the non-attachment of a drawn order to the application rendered the application incurably defective, it was incompetent. He stated, *inter alia*:

> Since the review is sought in respect of an order that dismissed an application then a copy of the drawn order in terms of rule 2 Order XL ought to have accompanied the memorandum for review. This was not done... [The] omission...has rendered a fatally incurable irregularity to the application for review.

The learned judge came to this conclusion on the basis of his interpretation and understanding of Order XLII, rule 3, Order XL, rule 2 and Order XXXII, rule 1 of the Civil Procedure Code.

At the hearing of this application, the applicant was represented by Mr Rutabingwa, learned counsel, and the respondent was advocated

for by Mr Shayo, learned counsel. In his submission, Mr Rutabingwa vehemently criticized the learned judge's decision to strike out the application. He stated that it was erroneous on the part of the learned judge to take the view that it was necessary under the provisions of Order XL, rule 2 to have the Memorandum for Review accompanied by a copy of the drawn order. In a case such as this one which involves the same court and case file, Mr Rutabingwa urged, it was not necessary to have the application accompanied by a drawn order. A copy of this ruling, the subject of the application attached to the application was sufficient, he added.

Opposing the application, Mr Shayo, learned counsel for the respondent urged the court to dismiss the application because it has no merit. In the first place, he stated, it is a mandatory requirement under rule 2 Order XL of the Civil Procedure Code to attach a drawn order to the Memorandum for Review. In this case, he submitted, the omission in attaching the drawn order was fatal, the learned judge had no alternative but to reject the application in terms of rule 4(2) Order XLII of the Civil Procedure Code. Secondly, with leave of the court, this matter is appellable under section 5(1)(c) of the Appellate Jurisdiction Act 1979 and so, it is inappropriate to invoke the court's power for revision. The applicant should have appealed against the High Court Order (3 March 1999) striking out the application for review Mr Shayo insisted.

We intend to deal first with the issue raised by Mr Shayo that the court is not properly being moved to exercise its revisional jurisdiction in this matter. Once the court is satisfied that it is not properly moved to invoke its revisional jurisdiction it would be unnecessary to go further into the merits of the matter. With respect, we do not agree with Mr Shayo, learned counsel, that the High Court Order of 3 March 1999 (Mackanja, J.) is appellable to this court with leave of the Court or the High Court in terms of the provisions of section 5(1)(c) of the Appellate Jurisdiction Act 1979. The reason is that Order XLII, rule 7(1) of the Civil Procedure Code clearly provides that an order of the court rejecting an application for review shall not be

appealable. As the application for review was based on the provisions of Order XLII which, as already pointed out, does not allow appeals against the rejection of an application for review, it is, in our view, inconceivable that an appeal with or without leave can, as urged by Mr Shayo, be entertained. The law simply, does not allow. This, we think is a case whose circumstances aptly fall within category (iii) of the guiding principles set out in the case of *Halais Pro-Chemie Industries Ltd v. Wella AG* (1). In that case, under category (iii), among others, the principle was stated in these terms:

> A party to proceedings in the High Court could invoke the revisional jurisdiction of the court in matters which were not appealable with or without leave.

Such being the position of the law, we are increasingly of the view that this matter is appropriately before the court as it involved a matter which was not appealable. Mr Shayo's contention that the court is not properly moved to exercise its revisional jurisdiction is therefore rejected.

Next we will deal with the merits of the application. The question that falls for consideration is whether the application for review was properly struck out. As already observed the learned judge (Mackanja, J.) was of the view that a copy of the drawn order was not annexed to the Memorandum for Review. This, the learned judge further held, was fatal because it did not comply with the mandatory provisions of Order XL, rule 2 of the Civil Procedure Code, Order XLII, rule 3 provides:

> The provisions as to the form of preferring appeals shall apply, *mutatis mutandis*, to applications for review. [emphasis supplied]

With regard to appeals, Order XXXIX, rule 1(1) states:

> 1(1) Every appeal shall be preferred in the form of memorandum signed by the appellant or his advocate ... in this behalf. *The memorandum shall be accompanied by a copy of the decree appealed from* and (unless the court dispenses therewith) of the judgment on which it is founded. [emphasis supplied]

From the wording of these provisions, it is crystal clear that as regards appeals two things are provided, namely, the form of the Memorandum of Appeal and what to accompany the memorandum. On the other hand, as regards the Memorandum for Review the position is different. Here, as seen from the provisions of Order XXXIX, rule 1 the requirement is limited to the form only. It is common knowledge that matters pertaining to the form of the Memorandum of Appeal or for review include such things like the title, the name of the parties, the number of the suit, the date of the decree, the numbering of paragraphs etc. As to what is to accompany the Memorandum for Review, it is our settled view that there is no provision under the Civil Procedure Code to that effect. For this reason therefore, we think with respect, the learned judge misapplied the provisions of the Civil Procedure Code when he erroneously held that it was a necessary requirement under Order XL, rule 2 to have the Memorandum for Review accompanied by a drawn order. As just observed, there is no such requirement relating to review.

With great respect, it appears to us that the learned judge got mixed up in applying Order XLII, rule 3 in relation to the form of preferring appeals *mutatis mutandis* to application for review without the important limitation and restriction to **form only**. At this juncture, it is perhaps instructive to briefly state in general terms what *mutatis mutandis* means. Simply stated, *mutatis mutandis* means that when dealing with cases of a similar type and circumstances, applicable principles would, in similar manner, apply to the cases with the necessary changes and modification. In this case, as already observed, from the very wording of Order XLII, rule 3 even with the necessary changes and modification, the application of the rule *mutatis mutandis* was applied only in so far as the form of the memorandum for review was concerned. The learned judge, with respect went beyond the form of the Memorandum for Review in dealing with what to accompany the memorandum.

In our view, apart from the requirement of the law under the Civil Procedure Code as we have endeavoured to explain in this ruling,

the requirement for a drawn order to accompany the Memorandum for Review does not also accord with logic in an application for review. The reason is that unlike the situation in an appeal, in the case of an application for review involving the same file and the same court as was the case here, it was not necessary for review. A copy of the ruling or order attached to the application would, in our view be sufficient.

All in all therefore and for the foregoing reasons, we are satisfied that in the circumstances of the case, had the learned judge addressed on the fact that Order XLII, rule 3 is limited to the form of the Memorandum for Review, he would have reached the conclusion that the application was competent. Consequently, we allow the application, set aside the order of 3 March 1999 striking out the application.

It is further ordered that the matter be remitted to the High Court with direction that the application shall be heard a merit by another judge.

MOBRAMA GOLD CORPORATION LIMITED *v.* MINISTER FOR WATER, ENERGY AND MINERALS AND THREE OTHERS

COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Samatta, C.J., Ramadhani and Lugakingira, JJ.A.)

CIVIL APPEAL No. 31 OF 1999

(From the Decision and Order of the High Court of Tanzania at Dar es Salaam, Mapigano, J., dated 19 February 1999, in Miscellaneous Civil Case No. 42 of 1995)

Mining Law – Prerogative orders – Enabling provisions for applications for prerogative orders – Whether the Mining Act 1979 has provisions for applications for prerogative orders.

Limitation – Limitation period for applications for prerogative orders.

By an agreement between the appellant, Mobrama Gold Corporation Limited, and the Ministry for Water, Energy and Minerals of 6 August 1994, made under section 15 of the Mining Act 1979, the appellant acquired sole and exclusive right to undertake gold operations over and beneath an area of about 150 square kilometres as defined in annexture "A" to the Agreement, and referred to as the Contract Area. The prospecting period's subsistence was to be stipulated in a prospecting licence. On 6 September 1994, the Minister granted the appellant Prospecting Licence Number 217 of 1994 for a period of 36 months from that date. annexure "A" to the Licence redefined the Contract Area to exclude registered claims as well as two blocks of land described as TR1 and TR2, thus reducing the Licence Area to about 112 square kilometres. On 15 May 1995, the Commissioner for Mineral Resources (third respondent) told the appellant the demarcations of TR1 and TR2 and on 29 August 1995, the appellant was told that the Minister had directed the granting of titles over TR1 and TR2 to small scale minors operating there. After signing the Agreement, the appellant had sought clarification on annexture "A" so as to discuss the matter with the Minister. The granting of titles over TR1 and TR2 moved the appellant on 15

September 1995 to file an application for leave to apply for prerogative orders of *certiorari, mandamus* and prohibition seeking to quash the Commissioner's letter, a declaration that the Minister's grant of titles over TR1 and TR2 was null and void, and order prohibiting the Minister from issuing other claims or licences contrary to the Agreement. On 13 June 1996, six small scale miners were nevertheless granted prospecting licence number 388 of 1996 over TR1 and TR2; and five days later, the licence was transferred to the fourth respondent, Africa Mashariki Gold Mine Ltd and on 30 June a mining licence (ML) was granted to the fourth appellant.

The application for leave was deferred pending reference to arbitration, which never took place. In the end, the application for leave was granted; and the substantive application was filed on 17 April 1997 asking to quash the Commissioner's letter of 16 May 1995 and the Minster's decision to grant PL 388/96 and other orders. The fourth appellant was joined as intervener. In the end the High Court refused to grant the application. On appeal to the Court of Appeal, the question for consideration was whether the application for prerogative orders was filed within time.

Held: (i) The Mining Act made no provision for application for prerogative orders: its provisions refer to dispute settlement by the Commissioner regarding disputes on reconnaissance, prospecting or mining operations either among the miners themselves or in relation to themselves and third parties other than the Government.

(ii) The period of limitation for prerogative orders cannot exceed six months from the date of the act or omission to which the application relates.

(iii) The application for leave made on 15 September 1995, was both misconceived and hopelessly out of time. It ought to have been rejected for being incompetent.

Cross-appeal was allowed, appeal rejected and proceedings quashed

Cases referred to:

(1) *R. v. Strafford –on –Avon DC* [1985] 3 All ER 769

(2) *Pollock House Ltd v. Nairobi Wholesalers Ltd.* [1972] EA 172

(3) *Ally Ruhondo v. Tanzania Zambia Railway Authority,* CAT – Civil Appeal Number 1 of 1986 (unreported)

(4) *Parry v. Carson* [1963] EA 546

Statutory provisions referred to:

(1) Law Reform Ordinance Chapter 360, section 18

(2) Mining Act 1979, sections 15 and 74

Mr Mujulizi, for the Appellant

Attorney General, for the first and second Respondent

Dr Kapinga, for the fourth Respondent

JUDGMENT

(Dated 12 May 2000)

Lukangira, J.A.: This appeal comes from the decision of the High Court (Mapigano, J.) refusing an application for prerogative orders. Although it raises a number of issues, its disposal turns on only one.

The appellant, Mobrama Gold Corporation Limited, and the fourth respondent, Afrika Mashariki Gold Mines Limited, are, as their names indicate, gold mining companies presently locked in a dispute over two pieces of land in Tarime District. By an agreement dated 6 August 1994 between the appellant and the Minister for Water, Energy and Minerals (first respondent), made under section 15 of the erstwhile Mining Act 1979, the appellant acquired the sole and exclusive right to undertake gold operations on, in and beneath an area of approximately 150 square kilometers as defined in annex "A" to the Agreement and referred to as the Contract Area. The Agreement was, subject to the Act to subsist during the prospecting period to be stipulated in a prospecting licence. Article 25 of the Agreement also provided for the suspension of the obligations thereunder in the event that non-performance or delay was caused by *force majeure* and the suspension was to operate to extend the time for the performance of any obligation or the exercise of any right dependent thereon.

On 6 September 1994, the Minister granted the appellant a Prospecting Licence (PL) Number 217/94 for a period of 36 months from that

date. Annex "A" to the License redefined the Contract Area, now termed as the Licence Area, to exclude registered claims as well as two blocks of land described as "TR1" and TR2". The exclusions reduced the Licence Area to approximately 112 square kilometers and it is understood that TR1 And TR2 constituted the crown jewels of the area. On 15 May 1995, the Commissioner for Mineral Resources (Third respondent) communicated to the appellant the demarcations of TR1 and TR2, and on 29 August 1995, the appellant was informed that the Minister had directed the granting of titles over TR1 and TR2 to small-scale miners operating there. These developments disturbed the appellant which, on 15 September 1995, filed an application in the High Court for leave to apply for *certiorari* to quash the Commissioner's letter; a declaration that the grant of TR1 and TR2 to unidentified small-scale miners was null and void; and *mandamus* "prohibiting" the Minister from issuing further claims or licences that conflicted with the Agreement. It was to be contended that the exclusion of TR1 and TR2 was *ultra vires* the Agreement and section 15 of the Mining Act.

The Ministry was undeterred. On 13 June 1996, six small-scale miners were granted Prospecting Licence Number 388 of 1996 over TR1 and TR2. Five days later on 18 June, the Licence was, with the consent of the Minister, transferred to the fourth respondent (then known as East African Gold Mines Limited), and on 30 June, a Mining Licence (ML) Number 18 of 1996 was granted to the fourth respondent over areas covered by PL 388/96. Meanwhile, the application for leave had come up for hearing on 19 October 1995, but it was stayed pending reference to arbitration pursuant to an objection raised by the Attorney General (second respondent). For one reason or another arbitration was not pursued, hence the appellant applied for the application for leave to proceed to hearing. This was granted and, there being no objection, leave to apply was also granted. The substantive application was lodged on 17 April 1997. The appellant was praying for *certiorari* to quash (a) the Commissioner's letter of 16 May 1995, and (b) the Minister's decision to grant PL 388 of 1996 to small-scale miners;

mandamus commanding the Minister to withdraw or cancel any claims issued in respect of the disputed areas and to withdraw or cancel PL 388 of 1996 and his approval of its transfer to the fourth respondent; and prohibition preventing the Minister from further issuing or renewing claims or licences to third parties in the disputed areas. This litigation came to the attention of the fourth respondent which, in order to safeguard its interests, successfully applied to be joined in the proceeding as an intervenor.

It will be noted that there were apparent variations in the prayers between the application for leave and the substantive application. First, the substantive application contained no prayer for a declaration; second, *certiorari* in the substantive application was extended to quashing PL 388 of 1996; third, the purpose of *mandamus* was now to command the Minister to withdraw or cancel PL 388/96 and any third-party claims over the disputed areas; fourth, the substantive application introduced a prayer for prohibition. In the light of these apparent variations, one of the issues argued in the High Court was whether the substantive application was not something for which leave had not been properly obtained. Also argued was whether, as regards *certiorari* to quash PL 388 of 1996, the substantive application was within the prescribed period of limitation, considering that PL 388 of 1996 was granted more than six months before the date of the applicant's chamber summons of 17 April 1997. There was also a general argument whether the dispute, arising, as it was, from an alleged breach of a term of the Agreement, was amenable to prerogative orders.

Mapigano, J. answered the last question affirmatively and said the case was basically one against the Minister and the Commissioner for wrongs allegedly committed by them in the discharge of their statutory functions, and therefore involved an element of public law, although the relationship between the appellant and the Government was contractual. Regarding the first and second questions, the learned judge observed, first, that the hub of the dispute was the exclusion of TR1 and TR2 from PL 217 of 1994 and everything else, such as

the grant and transfer of PL 388 of 1996 and its conversion to ML 18 of 1996, derived from and revolved around that exclusion. If the exclusion was held *ultra vires,* the acts deriving therefrom would automatically be invalidated. Although not expressly saying so, he then seemed to argue that since, according to him, the application for quashing the exclusion of TR1 and TR2 was in time, it was illogical to speak of quashing PL 388 of 1996 as being out of time. Next, he stated that although there was no specific prayer for prohibition in the preliminary application, it was obvious from the accompanying statement that the term *mandamus* was inaptly used, the intention being to apply for prohibition. He accordingly concluded that there was nothing fatal about the appellant's pleadings, that leave was properly obtained and that the application as it concerned the order of *certiorari* was not time-barred. In the end, however, he declined to grant the prerogative orders for two reasons.

First, he held that the *force majeure* clause in article 25 of the Agreement derogated from the Mining Act as it virtually took away the discretion of the Minister under section 36(2) to grant or not to grant a suspension of obligations under the Agreement. Since the article was thus void, it could not operate to extend the prospecting period and, therefore, PL 217 of 1994 which was granted for three years from 6 September 1994, expired on 5 September 1997. The same was true with the Agreement whose life depended on the prospecting period. There was accordingly no basis upon which the prerogative orders could be issued at the time of the ruling on 19 February 1999. Second, the judge held that the exclusion of TR1 and TR2 from PL 217 of 1994 was not *ultra vires* the powers of the Minister since the Agreement, which had to be consistent with the Mining Act could not take away the Minister's powers under section 28(2) to prescribe the shape, orientation and dimensions of the area of land over which a prospecting licence is granted.

The decision triggered off a flurry of appeals. The appellant appealed contending that the learned judge erred in law and mis-directed himself in holding:

1. that the *force majeure* clause was *ultra vires* the Mining Act; and
2. that the prescription of the shape and dimensions of a prospecting area could not be the subject of agreement under section 15 of the Act.

The fourth respondent cross-appealed seeking, among other things, the variation or reversal of the decision where the judge held:

1. that the appellant had properly obtained the leave of the High Court to institute the proceeding; and
2. that the appellant was not out of time to apply for or to obtain an order in the nature of *certiorari* to quash PL 388 of 1996.

The Attorney-General, representing also the Minister and the Commissioner, similarly cross-appealed seeking the variation or reversal of the decision where the judge held:

1. that the appellant's application was amenable to prerogative orders; and
2. that the appellant had obtained leave to institute the proceeding.

When the court sat on 29 September 1999, it was agreed that parties present written submissions and learned counsel were directed to draw up a consent order setting out the time-frame for presentation of the submissions. When the consent order was presented to the court later on the same day, it transpired that the Attorney-General had quit the contest. This judgment is therefore directed at the appeal and cross-appeal of the appellant and the fourth respondent respectively.

As indicated at the beginning, the disposal of the appeal turns on one ground, and that ground is whether, on the assumption that the dispute was amenable to prerogative orders, the application for *certiorari* was within time. If the answer is in the negative, it will render irrelevant the other grounds in the appeal and cross-appeal.

Rather curiously, the application proceeded on two wrong premises before the High Court and the same misconceptions plagued the appeal almost to the end. In the first place, it was assumed that the exclusion of TR1 and TR2 from PL 217 of 1994 was effected by

the Commissioner's letter of 16 May 1995. Secondly, it was assumed that the time of limitation was to be reckoned with reference to the substantive application. Hence, in his affidavit of 16 April 1998 before the High Court, and in the submissions in the cross-appeal, learned counsel for the fourth respondent, Dr Wilbert Kapinga, stated and states.

> ... all the alleged actions of the first respondent complained of in the Application, occurred more than six months before the date of the applicant's chamber summons of 17 April 1997 namely:
>
> 1.2.5.1 the introduction of the areas TR1 and TR2 into the applicant's Prospecting Licence occurred on 6 September 1994 when the Licence was issued;
>
> 1.2.5.2 the issue of claims in respect of the Intervenor's Prospecting Licence occurred in September 1995; and
>
> 1.2.5.3 the issue of Prospecting Licence Number 338 of 1996 occurred on 14 June 1996.
>
> Accordingly, the applicant was out of time to commence any fresh Application for Prerogative Orders in respect of those matters in the manner set out in the chamber summons of 17 April 1997

In elaboration, Dr Kapinga argues that rule 21 of the English Crown Office Rules 1906, makes it clear that an application for an order of *certiorari* has to be made within six months from the date when the grounds for the application arose, unless the court extends the time. He submits that the appellant was clearly outside that time limit, and, in the absence of any explanation for the delay, the application ought to have been rejected. He cited R. *v. Stratford-on-Avon* (1), which considers the time-limit imposed by the Rules of the Supreme Court in England, and *Pollock House Ltd v. Nairobi Wholesalers Ltd* (2), on the desirability of an explanation for a delay.

In reply thereto, the appellant through Mr AKS Mujulizi of Ishengoma, Masha, Mujulizi and Magai advocates, contends that there is a local statute providing for the matter and submits that citation of foreign

legislation, and subsidiary legislation at that, is irrelevant. He cites *Hamisi Ally Ruhondo v. Tanzania Zambia Railway Authority* (3) where this court (Makame, J.A.) said:

> Under the Law Reform Act Number 55 of 1968, an application for an order of *certiorari* should normally be made within six months of the event ...

It is apparent, however, that, initially, the Appellant's impression was not different from the fourth Respondent's as regards the event on which the application had to be derived and the application to which the limitation of time applied. It seems that on reflection, the appellant realized the error, at least is part, and hastened to point out in an addendum that there are two stages to a judicial review, beginning with an application for leave, and to contend that the application for leave was in this case made in time. It did not demonstrate how the application was made in time apart from adding that as a matter of common sense and the law, an application for leave must be made within six months. The appellant then cites a passage from *Stratford-on-Avon* (1) where the Court of Appeal in England held that although on a literal reading RSC Order 53, rule 4(1) appeared to refer to the substantive application for judicial review, in practice the courts treated the application referred to as being the application for leave. This submission by the appellant made the fourth Respondent similarly to realize the wrong footing on which the case had proceeded. In a rejoinder the fourth Respondent says that as to whether the application for leave was out of time, this court has power to review the issue because the point was argued before the trial judge. Regarding the exclusion of TR1 and TR2, the Fourth Respondent observes that that was expressed in the original grant of PL 217/94 on 6 September 1994, yet the application for leave was not filed until 15 September 1995. It adds that the six months limit provided for by Act Number 55 of 1968, is not a period for quiet reflection by an intending applicant. At last the parties landed on the right track.

To begin with, Act Number 55 of 1968 introduces into the Law Reform Ordinance Chapter 360, section 18 which provides for matters

pertaining to applications for prerogative orders. Subsection (1) thereof permits the Chief Justice to make rules of procedure for making the relevant applications, subsection (2) provides that in specified proceedings, the rules may provide for the application for leave to be brought within six months or less of the act or omission complained of, but subsection (3) stipulates that in the case of *certiorari* to quash any judgment, order, decree, conviction or other proceeding, an application for leave will not be granted unless it is brought within six months of the proceeding sought to be quashed or such shorter period as may be prescribed under any law.

We wish to make two observations in connection with the above provisions. First of all, the Mining Act 1979, made no provision for applications for prerogative orders. Part VI of the Act which dealt with disputes was irrelevant in this context because it was devoted to settlement by the Commissioner of Disputes between persons engaged in reconnaissance, prospecting or mining operations, either among themselves or in relation to themselves and third parties other than the Government. The other observation is that subsection (3) applies to applications for *certiorari* to quash proceedings of a judicial or quasi-judicial nature, i.e. any judgement, order, decree, conviction or other proceeding. The phrase "or other proceeding" has to be construed *ejusdem generis* with judgement, order, decree and conviction as having reference to a judicial or quasi-judicial proceeding as distinct from acts and omissions for which *certiorari* may be applied for under subsection (2). Although in *Hamisi Ally Ruhondo* (3) above no particular provision was cited, that case fell under subsection (3) because it involved a quasi-judicial proceeding before the erstwhile Permanent Labour Tribunal.

In the case before us, the act of the Minister of excluding TR1 and TR2 from the Licence Area was neither judicial nor quasi-judicial; it was therefore an act falling under subsection (2), assuming it to be an act to which prerogative orders could be brought to bear. Although the Chief Justice is yet to make rules under subsection (1), we think that should not be a cause for uncertainty as to the applicable law.

The effect of subsection (2) is to place a ceiling beyond which the Chief Justice cannot go when he turns to make the rules. Those rules may only prescribe that applications may be made within six months or less as the Chief Justice may consider appropriate in specified proceedings; in other words, whether with or without rules, the time of limitation cannot exceed six months. The absence of rules is therefore no reason or excuse for recourse to foreign legislation or precedent but we are of the view, and so hold, that until the rules, when made, provide otherwise, an application for leave in relation to a matter falling under subsection (2) has to be made within six months after the act or omission to which the application relates.

In the instant case, the decision which triggered off the dispute was the exclusion of TR1 and TR2 from PL 217/94 and that event took place on 6 September 1994. Annex "A" to PL 217/94 was unambiguous, unequivocal and immediate in terms. After setting out the coordinates of the licence area in Clause A.1, it further stated:

> A.2 Without prejudice to the generality of Clause A.1 above, the following sub-areas are excluded from the Licence Area unless otherwise approved as per section 48 of the Mining Act 1979:
>
> All claims registered pursuant to section 74 of the Mining Act 1979; and Gold-Small Scale Blocks TR1 and TR2.

The date of reckoning was therefore 6 September 1994 when the exclusion took place, but not 16 May 1995 when the Commissioner communicated the demarcations of TR1 and TR2 or 13 June 1996 when PL 388/96 was granted. As Mapigano, J. had occasion to observe early in his ruling, the Commissioner's communication simply reiterated the Government stand that the blocks were excluded from (the) licence area. There is no doubt, either, that the appellant understood that to be the position from the very beginning because in a letter to the Principal Secretary five weeks later on 14 October, the appellant said:

> We read on page 4 annex "A" – under A.2 that certain areas within the limits of the concession, as defined by the corner boundary coordinates in DSS 5/4 and 6/3, are excluded from the licence area or Contract Area...

The letter went on to seek further information about these certain areas and added: This will be very useful in order to avoid trespassing on the territory granted to the small scale claims. It concluded stating that the information was needed as soon as possible so we can discuss these issues with the Ministry. We think that while there was nothing wrong with discussing the issues with the Ministry, that did not preclude or excuse the appellant from applying for leave within six months of 6 September, 1994. We would observe, as Windham C.J. did in *Parry v. Carson* (4), that the wise and sensible thing to have done was for the appellant to file its application for leave within the six month period, without prejudice to its discussions with the Ministry, and to withdraw the application later if the discussions had succeeded.

In our judgment, therefore, and assuming, as we have said, that the dispute was amenable to prerogative orders, the application for leave made on 15 September 1995, was both mis-conceived and hopelessly out of time. It ought to have been rejected for being incompetent. In the premises, we allow the cross-appeal, reject the appeal and quash the proceeding. As the parties finally discovered, the limitation issue was not correctly addressed before the High Court, but this court was invited to use its powers and review the same since the point was argued before the trial judge. In the circumstances, we do not consider this a p roper case in which to saddle any party with costs, but each party will bear its costs. Since it was common ground that the relationship between the appellant and the Government is contractual, the appellant is at liberty to pursue its remedies in contract if it can satisfy the High Court on the delay.